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◆ AUTHOR

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U4	Associated Cement Co. Ltd. v. Workmen	
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How this file is arranged. Every unit opens with its syllabus coverage, statutes and prescribed case material, followed by the concept notes and the case laws in detail (facts · issues · decision · ratio · principles), and closes with the **PYQ bank** — the questions only, without answers. Detailed notes, model answers, diagrams and revision material for every question are available at **makelaweasy.in**.

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UNIT 01

Dispute Settlement under the Industrial Relations Code, 2020

◆ SYLLABUS COVERAGE

Dispute settlement under the IR Code, 2020 and the Industrial Relations Rules, 2026 · Investigation & settlement of industrial disputes — general (ss. 43–54) · Bi-partite forums: Works Committee, Grievance Redressal Committee (Ch. II) · Dispute settlement machinery: conciliation and adjudication · Industrial Tribunals and National Industrial Tribunals · Voluntary arbitration (Ch. VI).

◆ STATUTES & PROVISIONS

IR Code, 2020 · ss. 2–4, 14, 42–62, 90–91 · IR (Central) Rules, 2026 · IDA, 1947

◆ PRESCRIBED CASE MATERIAL

Bharat Bank Ltd. v. Employees, AIR 1950 SC 188 (DU case material No. 1)

◆ PART I · 1. Why a dispute-settlement law? Object, philosophy and design

Industrial peace is a pre-condition of production, and production is a pre-condition of the welfare State promised by Part IV of the Constitution. Every industrial-relations statute therefore tries to do three things: **prevent** disputes, **settle** them amicably when they arise, and **adjudicate** them by an impartial forum when settlement fails — while keeping the economic weapons of strike and lock-out under discipline. The Supreme Court captured the root of industrial conflict in *Hariprasad Shivshankar Shukla v. A.D. Divekar*, AIR 1957 SC 121: dissatisfaction with existing economic conditions is the root cause of industrial disputes; the history of labour struggle is a continuous demand for a fair return to labour (wage increase, resistance to wage cuts, allowances and benefits).

> LONG TITLE OF THE IR CODE, 2020
>
> "An Act to consolidate and amend the laws relating to **Trade Unions**, **conditions of employment** in industrial establishment or undertaking, **investigation and settlement of industrial disputes** and for matters connected therewith or incidental thereto." — It merges the Trade Unions Act 1926, the Industrial Employment (Standing Orders) Act 1946 and the Industrial Disputes Act 1947.

▸ 1.1 Five design principles you should be able to state

1. **Prevention before cure** — bipartite forums inside the establishment (Works Committee s.3, Grievance Redressal Committee s.4, negotiating union/council s.14) are the first tier; the Code makes the GRC compulsory at 20 workers so that individual grievances are digested in-house.
2. **Conciliation is compulsory and universal** — a conciliation officer "shall" hold conciliation proceedings in every existing or apprehended dispute and whenever a strike/lock-out notice is served (s.53(1)); the IDA's distinction between public-utility and other services for compulsory conciliation is gone.
3. **Adjudication by a specialised two-member tribunal** — Labour Courts and Industrial Tribunals of the IDA are merged into the **Industrial Tribunal** (s.44) with a Judicial Member and an Administrative Member; disputes of national importance go to the **National Industrial Tribunal** (s.46). Boards of Conciliation and Courts of Inquiry are abolished.
4. **Direct access replaces Government reference** — the IDA's gatekeeping "reference" (the source of a huge litigation stream: *K.P. Krishnan*, *Sarathy*, *Telco Convoy*, *TISCO*) is replaced by a party's own application to the Tribunal within 90 days of the conciliation failure report (s.53(6)), and by the dismissed worker's direct route after 45 days (s.4(10)). The only surviving "reference" is the Central Government's reference to the NIT (s.54).
5. **No ordinary civil suit** — s.97 bars civil courts from entertaining suits in respect of matters the Tribunal/NIT is empowered to decide; industrial adjudication was deliberately kept out of the ordinary courts (the Bharat Bank debate, Part VI). Only the constitutional courts (Arts. 32, 136, 226, 227) supervise.

◆ 2. Constitutional foundation of the machinery

Provision	Relevance to dispute settlement
Seventh Schedule, List III (Concurrent) — Entry 22 "Trade unions; industrial and labour disputes"; **Entry 24** "Welfare of labour including conditions of work, provident funds, employers' liability, workmen's compensation..."	Parliament enacted the Code under these entries; States may make rules (s.99 — "appropriate Government") and even amend the Code for their territory with Presidential assent under **Art. 254(2)** (as they did with the IDA — e.g., Maharashtra, U.P., Gujarat amendments). The Central Rules, 2026 apply only in the Central sphere; each State notifies its own IR Rules.
Art. 19(1)(c) freedom of association; **Art. 19(1)(g)** trade/ business	Right to form unions is fundamental; right to strike is *not* a fundamental right but a statutory/ legal right regulated by **s.62** (*All India Bank Employees' Assn. v. National Industrial Tribunal*, AIR 1962 SC 171; *T.K. Rangarajan v. State of T.N.*, (2003) 6 SCC 581). Regulation of lock-out is a reasonable restriction on 19(1)(g).
Art. 14 & 21	Fair procedure before Tribunals; natural justice (Bharat Bank — "benevolent despotism is foreign to a democratic Constitution"); classification for GRC/WC thresholds must be reasonable.
Arts. 38, 39(a),(d),(e), 41, 42, 43, 43A (DPSP)	Living wage, humane conditions, equal pay, **participation of workers in management (43A)** — the constitutional rationale of the Works Committee and GRC; Tribunals decide "in accordance with social justice" — the reason Mukherjea J. in Bharat Bank thought their function was not purely judicial.
Art. 136 special leave "from any judgment, decree, determination, sentence or order in any cause or matter passed or made by any **court or tribunal**"; Art. 136(2) excludes Armed Forces tribunals	The question in Bharat Bank: is an Industrial Tribunal a "tribunal" and is its award a "determination"? Held yes (3:2). See Part VI.
Art. 226 writs (certiorari, mandamus, prohibition); **Art. 227** superintendence over "all courts and tribunals"	Primary route for judicial review of conciliation failures, arbitration awards (*Rohtas Industries*), and Tribunal awards. Art. 227 covers even bodies that are not "tribunals" for Art. 136 (*Engineering Mazdoor Sabha*). Alternative remedy is a rule of discretion, not of jurisdiction.

Art. 323B(2)(h)	Empowers the appropriate Legislature to provide for tribunals for "industrial and labour disputes" — constitutional sanction for the Industrial Tribunal/NIT model (though the Code's tribunals are ordinary statutory tribunals, and their members' service conditions are governed by **s.184 of the Finance Act, 2017** read with the **Tribunals Reforms Act, 2021**).
Art. 32	Direct SC petition only for fundamental-rights violation; rarely used in industrial matters.

3. The IR Code, 2020 and the IR (Central) Rules, 2026 at a glance

Enactment —Passed by Parliament 22–23 Sept 2020; Presidential assent 28 Sept 2020; Act No. 35 of 2020; published in Gazette 29 Sept 2020.

Commencement —Brought into force (with the other three Labour Codes) w.e.f. **21 November 2025** (as recorded in the DU case material introduction). Different provisions may be notified on different dates (s.1(3)).

Repeals —Trade Unions Act 1926; Industrial Employment (Standing Orders) Act 1946; Industrial Disputes Act 1947 (s.104 repeal & savings; pending proceedings saved/transferred — s.51).

Structure —14 Chapters, 104 sections, 3 Schedules — **First Schedule** (matters for standing orders), **Second Schedule** (unfair labour practices), **Third Schedule** (conditions of service for change of which notice is required under s.40).

Central Rules —**Industrial Relations (Central) Rules, 2026**, notified by the Ministry of Labour & Employment vide **G.S.R. 342(E) dated 8 May 2026** (draft G.S.R. 930(E), 30 Dec 2025); in force on publication; 50 rules + 16 Forms; supersede the Industrial Disputes (Central) Rules 1957 (Parts II, V–VIII) and the Industrial Employment (Standing Orders) Central Rules 1946. Apply in the **Central sphere** only (s.2(b)(i)); State Governments frame their own rules. (Per PRS's review, the Central Trade Union Regulations, 1938 continue to operate.)

Sister Codes —Code on Wages 2019; Code on Social Security 2020 (its Central Rules also notified May 2026); Occupational Safety, Health & Working Conditions Code 2020. Definitions of "wages" and "worker" are aligned across the Codes.

3.1 Chapter map (Unit 1 chapters highlighted)

Chapter	Sections	Subject	Unit
I	1–2	Preliminary; definitions	1–2
II	**3–4**	**Bi-partite forums — Works Committee; Grievance Redressal Committee**	**1**
III	5–27	Trade Unions (registration, recognition — s.14 negotiating union/council; s.22 Tribunal for TU disputes)	—
IV	28–39	Standing Orders (threshold 300; Model SOs; certification; s.38 inquiry within 90 days, subsistence allowance 50%/75%)	4
V	40–41	Notice of change (21 days; Third Schedule)	3
VI	**42**	**Voluntary reference of disputes to arbitration**	**1**
VII	**43–61**	**Mechanism for resolution of industrial disputes — conciliation officers, Industrial Tribunal, NIT, procedure, powers, conciliation & adjudication (s.53), reference to NIT (s.54), awards, binding effect, period, recovery, commencement/ conclusion, confidentiality**	**1 & 3**
VIII	62–64	Strikes and lock-outs (notice; illegal strikes; financial aid)	3
IX	65–76	Lay-off, retrenchment, closure (general)	4
X	77–82	Special provisions (establishments with 300+ workers — prior permission)	4
XI	83	Worker re-skilling fund	4
XII	84	Unfair labour practices (Second Schedule)	—
XIII	85–89	Offences and penalties; cognizance; compounding	1, 3
XIV	90–104	Miscellaneous — s.90 conditions unchanged pending proceedings; s.91 complaints; s.94 representation; s.97 civil-court bar; s.99 rules; s.104 repeal & savings	1, 3

4. Definitions that drive Unit 1 — s.2 (with IDA equivalents)

Clause	Term	Essence (paraphrase) and points to note	IDA
s.2(b)	Appropriate Government	**Central Government** for establishments carried on by/under authority of the Central Government, controlled industries, railways (incl. metro), mines, oil fields, major ports, air transport service, telecommunication, banking and insurance companies, corporations/authorities under Central Acts, central PSUs (and subsidiaries/autonomous bodies) including **contractors' establishments** for them, and companies with ≥51% Central paid-up capital (Explanation: remains Central even if holding later falls below 50%). **State Government** for all other establishments incl. State PSUs. Proviso: for a dispute between a contractor and contract labour, the Government controlling the principal establishment where the dispute first arose. Determines *which* conciliation officer, Tribunal and Rules apply, and who may exercise s.55(3)–(5)/s.58 powers.	s.2(a)
s.2(c)	Arbitrator	"includes an umpire" — relevant to s.42(2) (even number of arbitrators → umpire).	s.2(aa)
s.2(e)	Award	"an interim or a final determination of any industrial dispute or of any question relating thereto by any Industrial Tribunal (s.44) or National Industrial Tribunal (s.46) and **includes an arbitration award made under s.42**". Note: the word "**determination**" is the same word as in Art. 136 — Bharat Bank's second issue. Interim awards (e.g., interim relief under s.50) are awards.	s.2(b)
s.2(i)–(j)	Conciliation officer; conciliation proceeding	Officer appointed under s.43; any proceeding held by him under the Code. Relevant to s.60 (deemed commencement/ conclusion), s.62 (strike bars), s.90 (pendency).	s.2(d),(e)
s.2(l)–(m)	Employee; employer	"Employee" is the wide term (includes managerial/administrative); "employer" includes occupier/manager of a factory, the person with ultimate control, the **contractor**, and the legal representative of a deceased employer. Disputes are between "employers and workers" (s.2(q)).	s.2(g)
s.2(p)	Industry	Codifies the *Bangalore Water Supply* (1978) triple test: systematic activity + employer–worker co-operation + production/supply/distribution of goods or services to satisfy human wants (not merely spiritual/religious), irrespective of capital or profit motive; **excludes** charitable/social/philanthropic institutions, sovereign functions (incl. defence research, atomic energy, space), domestic service, and notified activities. (Detailed in Unit 2.)	s.2(j)

s.2(q)	Industrial dispute	Dispute/difference between employers and employers, employers and workers, or workers and workers, connected with employment/non-employment/terms of employment/conditions of labour of **any person**; **and includes** a dispute between an **individual worker** and the employer arising out of discharge, dismissal, retrenchment or termination (the old s.2A is folded into the definition and into s.4(9)). Collective espousal is still needed for non-termination individual grievances (*Bombay Union of Journalists*; *Dimakuchi Tea Estate* on "any person").	s.2(k), s.2A
s.2(t)-(u)	Lay-off; lock-out	Lock-out = temporary closing of a place of employment, or suspension of work, or refusal to continue to employ any number of persons. Distinguish from **closure** (s.2(h): permanent closing down) — the classic Tribunal-jurisdiction problem (May–June 2025 Q.4).	s.2(kkk), (l)
s.2(y), (zn)	National Industrial Tribunal; Tribunal	NIT constituted under s.46; "Tribunal" = Industrial Tribunal constituted under s.44.	s.2(r), (rr)
s.2(z)	Negotiating union or negotiating council	As referred to in s.14 — the recognised bargaining agent; chooses worker representatives on WC/GRC (Rules 5–6).	—
	Public utility service (concept dropped)	Under the IDA, railways, air transport, major ports/docks, notified Factories Act sections, postal/telegraph/telephone, power/light/water, public conservancy/sanitation and industries in the First Schedule notified for six months were "public utility services", and only there were the strike/lock-out notice (ss.22–23) and compulsory conciliation (s.12(1)) mandatory. **The Code contains no definition of public utility service at all** (s.2 runs from (zc) "prescribed" straight to (zd) "railway"): the 60-day/14-day notice regime of **s.62** and compulsory conciliation under **s.53(1)** now apply to **every** industrial establishment, so the classification became unnecessary. Its only shadow is the 14-day (instead of 45-day) conciliation report period where a s.62 notice has been given (s.53(5)).	s.2(n), First Schedule
s.2(zi)	Settlement	(i) a settlement arrived at **in the course of conciliation**; and (ii) a **written agreement** between employer and worker arrived at otherwise than in conciliation, *if* signed in the prescribed manner (R.4, Form I) and a copy is sent to the authorised officer and to the conciliation officer. The two limbs have different binding force (s.57(1) v. s.57(3)).	s.2(p)
s.2(zk)	Strike	Cessation of work by a body of persons employed in any industry acting in combination, or a concerted refusal / refusal under a common understanding to continue to work or accept employment; **includes concerted casual leave on a given day by 50% or more of the workers** (statutory reversal of the "mass casual leave" debate).	s.2(q)
s.2(zq)	Wages	Uniform definition across Codes: basic pay + DA + retaining allowance; exclusions (bonus, HRA, conveyance, overtime, commission, gratuity, PF contribution etc.), with the **50% rule** (excluded components exceeding half of total remuneration are added back). Relevant to s.56 (full wages pending appeal) and s.59 recovery.	s.2(rr)
s.2(zr)	Worker	Any person employed in any industry to do manual, unskilled, skilled, technical, operational, clerical or **supervisory** work for hire or reward (express or implied terms); includes working journalists and sales promotion employees; for dispute proceedings includes dismissed/discharged/retrenched persons whose termination led to the dispute; **excludes** Armed Forces personnel, police/prison staff, persons employed mainly in **managerial or administrative** capacity, and supervisors drawing wages exceeding **₹18,000 p.m.** (or notified amount). Threshold question in every termination dispute (*Sharad Kumar*, Unit 2).	s.2(s)

◆ 5. IDA 1947 → IR Code 2020: Unit 1 concordance (learn this table)

The DU case material and most commentaries are still written in IDA section numbers. Use this table to translate every authority into Code terms in the exam (write the Code section first and the IDA section in brackets).

Topic	IDA 1947	IR Code 2020	What changed
Works Committee	s.3; Central Rules 38–57	**s.3**; **R.5**	Same 100-worker threshold and Government order; consultation with registered TU retained; election/nomination details now in R.5 (worker reps via negotiating union/council).
Grievance Redressal Committee	s.9C (inserted 2010; 20 workmen; 6 members; 30/45-day appeal)	**s.4**; **R.6–8**	Now up to 10 members, women's proportional representation, one-year limitation, 30-day decision, majority rule with worker-majority safeguard, 60-day route to CO, and direct Tribunal route (45 days / 2 years) for termination disputes (old s.2A(2)-(3) absorbed).
Individual termination dispute	s.2A	**s.2(q)** + **s.4(9)-(11)**	Deemed industrial dispute; direct Tribunal application after 45 days of CO application; limitation 2 years (was 3 years).
Conciliation officers	s.4	**s.43**	Same; appointed by appropriate Government by notification, for specified areas/industries, permanently or for a limited period.
Board of Conciliation / Court of Inquiry	ss.5, 6, 13, 14	**Abolished**	Rarely used in practice; deleted.
Labour Court / Industrial Tribunal	ss.7, 7A (+ Second & Third Schedules)	**s.44** Industrial Tribunal (two-member)	Single forum; no Schedule-based division of jurisdiction; Judicial + Administrative Member; certain matters require both members. Also takes over EPF Appellate Tribunal work.
National Tribunal	s.7B; reference s.10(1A)	**s.46**; reference **s.54**	Same concept; two members (Judicial = HC Judge; Administrative = Secretary-rank).
Disqualifications; finality of constitution; filling vacancies	ss.7C, 8, 9	**ss.48, 45**	Independence + 65-year age bar retained; finality clause retained; service conditions under s.184 Finance Act 2017.
Reference to adjudication by Government	ss.10(1), 10(1A), 12(5)	**Replaced** by **s.53(6)** (party's application within 90 days of failure report) and **s.4(10)**; only **s.54** (NIT) survives	The biggest structural change; *K.P. Krishnan*, *Sarathy*, *Telco Convoy* line becomes historical except for NIT references and the principle that Government cannot adjudicate merits.
Voluntary arbitration	s.10A; Rule 7, Form C	**s.42**; **R.20–22**, Forms V–VI	Substantially the same; Arbitration & Conciliation Act 1996 excluded (was Arbitration Act 1940).
Procedure and powers	s.11	**s.49**	Same civil-court powers; judicial proceeding for IPC 193/228 (now BNS 229/267); costs; execution under Order XXI CPC.

Power in discharge/dismissal cases	s.11A	**s.50**	Same; expressly available to Tribunal and NIT; interim relief.
Duties of conciliation officer	s.12	**s.53(1)–(5)**; **R.23**	Conciliation mandatory in all cases; report within 45 days (14 days where s.62 notice), extendable by written agreement; 2-year bar.
Award — form, publication, enforceability	ss.15, 16, 17, 17A	**s.55**	Gazette publication replaced by **communication** to parties and Government; 30-day enforceability; Government's 90-day power to reject/modify (only where it is a party / NIT); laying before Legislature.
Full wages pending challenge	s.17B	**s.56**	Same.
Binding effect; period of operation	ss.18, 19	**ss.57, 58**	Same structure: private settlement binds parties; conciliation settlement/award binds all incl. future workers; settlement 6 months + 60 days notice; award 1 year (max 3) + 60 days notice.
Commencement/conclusion; confidentiality	ss.20, 21	**ss.60, 61**	Same.
Strike/lock-out notice and prohibitions	ss.22 (PUS), 23 (general)	**s.62**; **R.25–26**	Merged; 60-day notice / 14-day cooling now for **all** establishments; prohibitions during conciliation (+7 days), Tribunal/NIT (+60 days), arbitration (+60 days), operation of settlement/award.
Conditions unchanged pending proceedings; complaint	ss.33, 33A	**ss.90, 91**	Same; protected workers 1% (min 5, max 100); 3-month disposal.
Recovery of money due	s.33C	**s.59**; **R.24, 48–50**	Same; 1-year application; computation by Tribunal within 3 months; Commissioner.
Representation of parties	s.36	**s.94**; **R.41–43**	Same; no lawyer in conciliation; before Tribunal/NIT only with consent + leave.
Interpretation of award/ settlement; exemption	ss.36A, 36B	**ss.95, 96**	Same.
Bar of civil suits	(implied — *Premier Automobiles* 1975)	**s.97**	Now express.
Penalties for illegal strike/ lock-out, instigation, breach of settlement/award	ss.26–29, 31	**s.86**; compounding **s.89**, **R.38**	Fines steeply enhanced; compounding introduced.

⬢ 6. Architecture of the dispute-settlement machinery under the Code

▸▸ Tier 1 · Bi-partite (in-house)

Works Committee
(100+ workers, on Government order) — amity, day-to-day friction.
Grievance Redressal Committee
(20+ workers, mandatory) — individual grievances.
Negotiating union/council
s.14
— collective bargaining agent.
Output:
agreement / settlement outside conciliation (s.2(zi) limb 2; s.57(1)).

▸▸ Tier 2 · Conciliation

Conciliation Officer
s.43
; duties
s.53
; procedure
R.23
Mandatory on every dispute and every s.62 notice.
Output:
settlement (binding on all — s.57(3)) or
failure report
(within 45/14 days).

▸▸ Tier 3A · Voluntary arbitration

Written agreement (Form V) before the dispute reaches the Tribunal
s.42
; arbitrator(s)/umpire; Government notification if majority parties sign (s.42(5)).
Output:
arbitration award = "award" (s.2(e)); enforceable 30 days after communication (s.55).

▸▸ Tier 3B · Adjudication

Industrial Tribunal
s.44
— application by party within 90 days of failure report
s.53(6)
(Form II) or by worker after 45 days
s.4(10)
National Industrial Tribunal
s.46
— on Central Government reference
s.54
Output:
award (s.55), binding (s.57), period (s.58), execution (s.49(10)), recovery (s.59).

▸▸ Tier 4 · Constitutional review

High Court Arts. 226/227; Supreme Court Art. 136 (
Bharat Bank
). No statutory appeal; civil suits barred (s.97).

⬢ PART II · 7. Works Committee — s.3 read with Rule 5 IDA s.3; Central Rules 1957, rr.38–57

STATUTE — S.3 (PARAPHRASED SUB-SECTION-WISE)

s.3(1) In an industrial establishment in which **100 or more workers** are employed, or have been employed on any day in the **preceding 12 months**, the appropriate Government **may**, by general or special order, require the employer to constitute a Works Committee in the prescribed manner, consisting of representatives of the employer and of the workers engaged in the establishment. **Proviso:** (i) the number of worker-representatives shall **not be less than** the number of employer-representatives; (ii) worker-representatives shall be chosen in the prescribed manner from among the workers of the establishment **in consultation with their registered Trade Union** (registered under s.9), if any. **s.3(2) Duty**: to promote measures for securing and preserving **amity and good relations** between employer and workers and, to that end, to **comment upon** matters of their common interest or concern and **endeavour to compose** any material difference of opinion in respect of such matters.

RULE 5, IR (CENTRAL) RULES 2026 — CONSTITUTION OF WORKS COMMITTEE (CENTRAL SPHERE)

- **Size:** total members not exceeding **20**; employer's representatives not more than the workers' representatives; adequate representation of **women** workers (not less than their proportion in the workforce) — new.
- **Employer's representatives:** nominated by the employer, as far as possible officials in direct touch with, or associated with, the working of the establishment.
- **Workers' representatives:** chosen through the **negotiating union or negotiating council** (s.14) — where a council exists, seats are distributed in proportion to membership; where there is no negotiating union/council, by **election** (electronic voting permitted) among the workers.
- **Eligibility:** candidate — a worker aged **19+** with **one year's** continuous service; voter — worker aged **18+** with **six months'** service. Nominations invited with at least **3 working days**' time; poll held between **3 and 15 days** after scrutiny; notice of election at least **7 days** before.
- **Office-bearers:** Chairperson — from employer's side (nominated by employer); Vice-Chairperson — elected by worker-members; a Secretary and a Joint Secretary, one from each side, **alternating every year**.
- **Term: 3 years**; a member who absents himself from **three consecutive meetings** without leave forfeits membership; casual vacancies filled in the same manner for the residue of the term.
- **Meetings:** at least **once in three months**; members are treated as **on duty** (paid) while attending; minutes recorded and displayed. The Government may **dissolve** a committee that is not constituted or functioning in accordance with the rules.

▸ 7.1 Object, philosophy and constitutional basis

The Works Committee is the first, purely bi-partite, forum. Its object lies in the principle that "**prevention is better than cure**": to catch friction at the shop-floor before it hardens into an industrial dispute, and to realise the constitutional goal of **workers' participation in management (Art. 43A)**. It is a *consultative*, not a *bargaining*, body — it "comments" and "endeavours to compose"; it neither adjudicates nor can bind the workers on conditions of service. That limitation is the ratio of the leading case below.

CASE — NORTH BROOK JUTE CO. LTD. V. THEIR WORKMEN, AIR 1960 SC 879

Facts —A jute company introduced a rationalisation scheme; the Works Committee, duly constituted, approved it. Workers resisted; a lock-out followed; the Tribunal awarded wages for the lock-out period. The employer argued before the Supreme Court that the workers must be deemed to have agreed because their representatives on the Works Committee had accepted the scheme.

Issue —Can a Works Committee's approval bind the workers on a change in conditions of service (rationalisation)?

Held —No. Worker-representatives on the Works Committee represent the workers **only for the purposes of the Committee's functions**; the Committee was **not intended to supplant or supersede the unions for the purpose of collective bargaining**; it is **not entitled to consider real or substantial changes in conditions of service**; its task is to **smooth away frictions** arising in day-to-day work.

Principle —WC = consultative amity forum; decisions are not "settlements" and do not bind workers on service conditions. Followed in *M.D. Ramakrishnan v. T.N. Electricity Board*, (1971) 1 LLJ 433 (Mad) — the WC's functions cannot include a decision on nationalisation-driven alteration of service conditions.

SUPPORTING AUTHORITIES

- *Kemp & Co. Ltd. v. Their Workmen*, (1955) 1 LLJ 48 (LAT): recommendations of a Works Committee on which workers are not fairly represented are of no value; the committee's decision "carries great weight but is not conclusive"; constitution can be challenged if unfair.
- *Union of India v. M.T.S.S.D. Workers' Union* (1988, as noted in Jain): where a union commands more than 50% of the workers it should be given representation in constituting the WC; where no union has a majority, representation in proportion to strength — the logic now codified through the negotiating union/council in R.5.

▸ 7.2 Matters within and outside the purview of a Works Committee (tripartite guidelines, carried forward in practice)

WITHIN PURVIEW (ILLUSTRATIVE)

- Conditions of work — ventilation, lighting, temperature, sanitation
- Amenities — drinking water, canteen, dining rooms, crèches, rest rooms, medical/health services
- Safety and accident prevention, occupational diseases, protective equipment
- Adjustment of festival and national holidays
- Administration of welfare and fine funds
- Educational and recreational activities; thrift and savings schemes
- Implementation and review of its own decisions

⬢ 8. Grievance Redressal Committee — s.4 read with Rules 6–8 IDA s.9C (2010); s.2A

STATUTE — S.4 (PARAPHRASED SUB-SECTION-WISE)

(1) Every industrial establishment employing **20 or more workers** shall have one or more GRCs for resolution of disputes arising out of **individual grievances** (mandatory — "shall"; no Government order needed). **(2)** Equal number of members representing the employer and the workers, chosen in the prescribed manner. **(3)** Chairperson selected from the employer's and the workers' representatives **alternately on rotation every year**. **(4)** Total members not exceeding **10**; adequate representation of **women** workers — not less than their proportion to total workers. **(5)** An aggrieved worker may file an application before the GRC in the prescribed manner **within one year** from the date on which the cause of action arises. **(6)** The GRC may complete its proceedings **within 30 days** of receipt of the application. **(7)** Decision by **majority** view — provided **more than half of the worker-members** agree; otherwise it is **deemed that no decision** could be arrived at. **(8)** A worker aggrieved by the decision, or whose grievance is not resolved within the 30-day period, may **within 60 days** (from the decision or from expiry of the period) file an application for **conciliation** to the conciliation officer **through the Trade Union of which he is a member**, in the prescribed manner. **(9)** Where an employer discharges, dismisses, retrenches or otherwise terminates an **individual worker**, any dispute between that worker and the employer connected with or arising out of such termination is **deemed to be an industrial dispute** notwithstanding that no other worker or union is a party . **(10)** Notwithstanding anything in s.4 or s.53, such a worker may make an application **directly to the Tribunal** after the expiry of **45 days** from the date of his application to the conciliation officer; the Tribunal then has the same powers and jurisdiction as on an application under s.53(6) . **(11)** Such application must be made **before the expiry of two years** from the date of discharge/dismissal/retrenchment/termination .

RULES 6-8, IR (CENTRAL) RULES 2026

- **R.6 — Constitution:** equal representatives, total ≤10; employer's representatives are heads of departments / officers with authority to decide; workers' representatives chosen in the same manner as for the Works Committee (through the negotiating union/council, or election); women's proportional representation; term **3 years**; a dispute about constitution goes to the Regional Labour Commissioner (Central). (PRS has flagged that the Rules do not fully specify the *manner* of choosing worker members where no union exists.)
- **R.7 — Application:** in writing (or electronically), with particulars of the grievance, within **one year** of the cause of action; acknowledgement; GRC to give the worker an opportunity of hearing and record its decision with reasons.
- **R.8 — Onward route:** application to the conciliation officer **within 60 days** of the GRC decision or of the expiry of the 30-day period, routed through the worker's Trade Union, filed on the portal, by speed post or in person; the GRC record accompanies it.

⬢ 9. Negotiating union / negotiating council — s.14 and Rule 9 (the bargaining tier that feeds Unit 1)

Although s.14 sits in Chapter III (Trade Unions), it is the engine of bi-partite settlement and the electoral base for WC/GRC worker representatives, so a short account is essential.

STATUTE — S.14 (ESSENTIALS)

- Where only **one** registered Trade Union exists in an establishment, the employer shall recognise it as the **sole negotiating union**.
- Where **more than one**: the union with **51% or more** of the workers on the muster roll as members (verified) is the sole negotiating union; otherwise the employer constitutes a **negotiating council** of representatives of unions having at least **20%** membership, one seat per 20%.
- Recognition operates for the prescribed period (three years, extendable) ; matters negotiable are as prescribed; facilities to the negotiating union/council as prescribed.

RULE 9 (CENTRAL) — VERIFICATION OF MEMBERSHIP, NEGOTIABLE MATTERS, FACILITIES, CHECK-OFF; R.9(8): DISPUTES ABOUT THE NEGOTIATING UNION/COUNCIL GO TO THE TRIBUNAL (FORM II) WITHIN ONE YEAR — READ WITH S.22 (TRIBUNAL'S JURISDICTION OVER TRADE UNION DISPUTES).

⬢ PART III · 10. Conciliation — Conciliation Officers (s.43), duties (s.53), procedure (Rule 23), powers (s.49) IDA ss.4, 11, 12

▸ 10.1 What conciliation is

"To conciliate" is to bring together, to overcome distrust or hostility by pacifying means. In industrial relations, conciliation is the intervention of a neutral third person — the **Conciliation Officer** — who does not decide the dispute but investigates it, brings the parties to the table, narrows differences and induces a **fair and amicable settlement**. It is the bridge between collective bargaining (Tier 1) and adjudication (Tier 3): under the Code, no dispute can reach the Industrial Tribunal (other than through the s.4(10) window or the NIT reference under s.54) without first passing through conciliation and ending in a **failure report** (s.53(6)). Conciliation may be **voluntary** (parties invite the officer) or **compulsory** (statute

obliges the officer to intervene and the parties to appear; economic weapons are frozen during pendency). The Code has made it compulsory in every case.

STATUTE — S.43 CONCILIATION OFFICERS

s.43(1) The appropriate Government may, by notification, appoint such number of persons as it thinks fit to be conciliation officers, charged with the duty of **mediating in and promoting the settlement** of industrial disputes. **s.43(2)** A conciliation officer may be appointed for a specified area, or for specified industries in a specified area, or for one or more specified industries, and either permanently or for a limited period.

Who they are in practice: Central sphere — Chief Labour Commissioner (Central), Deputy/Regional/Assistant Labour Commissioners (Central) and Labour Enforcement Officers (Central) as notified; State sphere — Labour Commissioner, Joint/Deputy/Assistant Labour Commissioners, Labour Officers. Under s.49(7) the CO is a **public servant** (IPC s.21 → BNS s.2(28)).

STATUTE — S.53 CONCILIATION AND ADJUDICATION OF DISPUTE (SUB-SECTIONS (1)-(6))

(1) Where any industrial dispute **exists or is apprehended**, or a **notice under s.62** (strike/lock-out) has been given, the conciliation officer **shall** hold conciliation proceedings in the prescribed manner. *Proviso:* no conciliation proceedings shall be held in respect of a dispute after the expiry of **two years** from the date on which the dispute arose (new limitation). **(2)** The CO shall, for the purpose of bringing about a settlement, **without delay investigate** the dispute and all matters affecting its merits and right settlement, and may do all such things as he thinks fit to **induce the parties to come to a fair and amicable settlement**. **(3)** If a settlement is arrived at in the course of conciliation, the CO shall send a **report** to the appropriate Government together with a **memorandum of settlement signed by the parties** (Form I, R.4). **(4)** If no settlement is arrived at, the CO shall, as soon as practicable after the close of the investigation, send to the appropriate Government a **full report** setting forth the steps taken to ascertain the facts and to bring about a settlement, a full statement of the facts and circumstances, and the **reasons on account of which, in his opinion, a settlement could not be arrived at** (the "failure report"). **(5)** The report shall be submitted within **45 days** of the commencement of conciliation (or within such shorter period as the Government may fix); where the proceedings relate to a notice under s.62, within **14 days**; the time may be **extended** by such period as may be agreed upon in writing by all the parties to the dispute (subject to the CO's approval). **(6)** Where no settlement is arrived at, **any party to the dispute may apply to the Industrial Tribunal** (Form II) for adjudication **within 90 days** from the date on which the failure report is received (submitted) — the Tribunal shall adjudicate and has all the powers under s.49–50.

RULE 23, IR (CENTRAL) RULES 2026 — MANNER OF CONCILIATION

1. **Triggers:** (a) receipt of a strike/lock-out notice (Forms XI/XII), (b) an application by a party or through the GRC route (R.8), or (c) the CO's own information that a dispute exists or is apprehended.
2. **Registration on the portal** (Samadhan-type electronic system, R.46–47) with a unique case number; notice to the parties fixing the first sitting; parties file **written statements** of their case at/before the first meeting; documents and rejoinders as the CO directs.
3. Hearings may be physical or by **video-conferencing**; the CO may hold joint and separate sittings; may visit the establishment (s.49(2)); evidence, where needed, by **affidavit**; the CO records the substance of each sitting.
4. **Settlement:** memorandum in **Form I**, signed by the parties (R.4 specifies who may sign) and countersigned by the CO; report and copies to the Government, the parties and the portal.
5. **Failure:** report under s.53(4) prepared and **uploaded on the portal within 7 days** of the conclusion of proceedings, with copies to the parties — this is the document that starts the **90-day** clock.
6. **R.23(9):** application to the Tribunal in **Form II** within 90 days of the failure report (Form II expressly cites ss.22(1) and 53(6)).

▸ 10.2 Powers of a Conciliation Officer (s.49 read with s.53) — and their limits

Power	Source	Notes / case law
Follow such procedure as he thinks fit	s.49(1)	Informal; not bound by CPC or Evidence Act; natural justice applies to the extent of fairness.
Enter premises of the establishment after reasonable notice for inquiry into an existing/apprehended dispute	s.49(2)	*State of Bihar v. Kripa Shankar Jaiswal*, AIR 1961 SC 304: the notice merely apprises the employer that it is the CO who is coming; absence of notice does not affect his jurisdiction.
Enforce attendance of any person for examination; call for and inspect documents relevant to the dispute or necessary to verify implementation of an award or any other duty under the Code — with the powers of a civil court for these purposes	s.49(6)	Limited civil-court powers only; he **cannot administer oath or record evidence like a court**; procedure informal (Jain).
Public servant	s.49(7)	Obstruction/false statements attract penal law; IPC s.21 → BNS 2023 s.2(28).
Confidentiality of trade/union information	s.61	Information given in confidence cannot be disclosed in the report/ award without consent; CO cannot be compelled to disclose it in legal proceedings.
Authority under s.90/91 (approval/permission for action against workers during pendency)	s.90	The CO is an "authority before which the proceeding is pending"; his grant of approval is administrative and not appealable under Art. 136 (*Jaswant Sugar Mills v. Lakshmi Chand*, AIR 1963 SC 677).

NATURE OF THE CO'S FUNCTIONS — ADMINISTRATIVE, NOT JUDICIAL

- *Jaswant Sugar Mills Ltd. v. Lakshmi Chand*, AIR 1963 SC 677 (Const. Bench): a conciliation officer granting/refusing permission under s.33 (now s.90) acts **quasi-judicially in form but is not a "tribunal"** for Art. 136 — he has no power to give a binding decision on rights; no appeal to the Supreme Court from his order; Art. 226/227 remains.
- *General Manager, Security Paper Mill, Hoshangabad v. R.S. Sharma*, (1986) 1 LLJ 432 (SC): the CO does **not adjudicate** upon the rights of the parties; he investigates and persuades.
- *Sasamusa Sugar Works Ltd. v. State of Bihar*, AIR 1955 Pat 49: absent a settlement, the CO has no authority to pass any final order.
- *State of Bihar v. Kripa Shankar Jaiswal*, AIR 1961 SC 304: the 14-day period for the report is directory — its breach may be a dereliction of duty but does not invalidate the proceedings or the subsequent reference/settlement.
- Under the IDA the failure report was only *one* material for the Government's decision to refer (*State of Bombay v. K.P. Krishnan*, AIR 1960 SC 1223); under the Code the failure report is the **jurisdictional trigger** for the party's own Tribunal application — a far more consequential document.

⬢ 11. Settlements — s.2(zi), Rule 4, s.57(1)/(3), s.58(1)–(2) IDA ss.2(p), 18, 19; Rule 58 & Form H

RULE 4 — MEMORANDUM OF SETTLEMENT (FORM I) AND WHO MAY SIGN

- For the **employer**: the employer himself or his authorised agent/officer.
- For the **workers**: (i) the President/Vice-President/Secretary/Joint Secretary of the Trade Union that is party to the dispute, or (ii) where there is no union, **five representatives** duly authorised by the workers at a meeting (Form VI authorisation, R.41–43); (iii) in an **individual dispute**, the worker himself.
- Settlement **in conciliation**: countersigned by the CO, who forwards the report and memorandum to the Central Government (s.53(3)).
- Settlement **outside conciliation**: parties jointly send copies to the Deputy Chief Labour Commissioner (Central) and to the conciliation officer concerned (this delivery is what makes it a "settlement" under s.2(zi) limb 2); the CO maintains a register of settlements.

Point	Settlement outside conciliation (s.2(zi) limb 2)	Settlement in conciliation (s.2(zi) limb 1)
Formalities	Written; signed by parties per R.4; copy to authorised officer and CO — otherwise not a "settlement" (*Jhagrakhan Collieries v. G.C. Agarwal*, AIR 1975 SC 171: implied/oral agreement is no settlement)	Arrived at in the course of conciliation; Form I; CO's countersignature and report (s.53(3))
Binding on	Only the parties to the agreement (**s.57(1)**)	All parties to the dispute; summoned parties; employer's heirs/ successors/assigns; **all workers of the establishment on the date of dispute and all who join later** (**s.57(3)**)
Sanctity / judicial attitude	Fairness may be tested more readily; a union's private settlement does not bind non-members	"Stands on a higher plane" — *Royal Calcutta Golf Club Mazdoor Union v. State of W.B.*, (1957) 1 LLJ 218; presumed fair and just unless shown to be mala fide, unfair or unconscionable (*Herbertsons Ltd. v. Workmen*, AIR 1977 SC 322; *K.C.P. Ltd. v. Presiding Officer*, (1996) 10 SCC 446)
Operation	From the agreed date, else from signature (**s.58(1)**); binding for the agreed period, else **6 months**; continues thereafter until **60 days** after a written notice of termination by a party representing the majority (**s.58(2), (7)**)	
Breach	Offence under **s.86** (fine ₹20,000–₹2,00,000 and/or imprisonment up to 3 months; continuing breach ₹1,000/day — see §17); strike/lock-out on matters covered by a subsisting settlement is illegal (s.62(1)(g))	
Interaction with award	*Sirsilk Ltd. v. Govt. of A.P.*, AIR 1964 SC 160: where the parties settle after the award is made but before it becomes binding, the settlement should be given effect (under the IDA the Government was directed to withhold publication) — see PYQ Nov–Dec 2025 Q.8(c) for the Code-era answer.	

STATUTE — S.60 (COMMENCEMENT & CONCLUSION) AND S.61 (CONFIDENTIALITY)

s.60(1) Conciliation is deemed to commence on the date the CO receives the s.62 notice or the date he commences proceedings; **s.60(2)** deemed to conclude (a) when the memorandum of settlement is signed, or (b) when the failure report is received by the Government. **s.60(3)** Proceedings before an arbitrator, Tribunal or NIT commence on the date of the arbitration reference / Tribunal application / NIT reference and conclude on the date the award becomes **enforceable under s.55**. These dates matter for: (i) the strike/lock-out bars in s.62(1)(d)–(f); (ii) the s.90 freeze; (iii) the limitation clocks (45/14 days; 90 days). **s.61** — confidential trade-union or business information given in writing as confidential cannot appear in any report or award or be disclosed without consent.

⬢ PART IV · 12. Voluntary arbitration — Chapter VI, s.42; Rules 20–22; Forms V–VI IDA s.10A (inserted 1956); Central Rule 7, Form C

▸ 12.1 Concept and place in the scheme

Arbitration is the determination of a dispute by one or more persons chosen by the parties themselves. In industrial law it is **voluntary** in origin (the parties must agree) but **statutory** in effect (the award is an "award" under s.2(e), enforceable and binding like a Tribunal award, and the machinery of the Code — not the Arbitration & Conciliation Act, 1996 — governs it). It is India's constitutional and policy preference: the **Code of Discipline in Industry (1958)** adopted by the Indian Labour Conference committed employers and unions to prefer voluntary arbitration; a **National Arbitration Promotion Board** was set up in 1967; the Second National Commission on Labour (2002) again urged its promotion. Yet in practice fewer than a few per cent of disputes go to arbitration — the reasons are examined at the end of this Part.

STATUTE — S.42 VOLUNTARY REFERENCE OF DISPUTES TO ARBITRATION (SUB-SECTION-WISE)

(1) Where any industrial dispute **exists or is apprehended** and the employer and the workers **agree** to refer it to arbitration, they may, **at any time before the dispute has been referred to/ is pending before a Tribunal or NIT** (i.e., before an application under s.53(6)/s.4(10) or a reference under s.54), by a **written agreement**, refer the dispute to arbitration; the arbitration agreement must specify the arbitrator(s) — who **may include a Judicial/Administrative Member (presiding officer) of a Tribunal or NIT**. **(2)** Where the agreement provides for an **even number** of arbitrators, it shall also provide for an **umpire** who decides if the arbitrators are equally divided; the umpire's award is deemed the arbitration award. **(3)** The agreement shall be in the prescribed form (Form V), **signed by the parties** in the prescribed manner (R.20). **(4)** A copy of the agreement shall be **forwarded to the appropriate Government and to the conciliation officer**; the Government shall, within the prescribed period, publish it (notification — under the 2026 Rules, on the Ministry's website/portal, R.21). **(5)** Where the Government is satisfied that the persons making the reference represent the **majority of each party**, it may, within the prescribed time, issue a **notification**; thereupon employers and workers who are not parties but are concerned in the dispute are given an **opportunity of presenting their case** before the arbitrator(s). **(6)** The arbitrator(s) shall **investigate** the dispute and submit to the Government the **arbitration award signed by the arbitrator(s)** (the award is then communicated and becomes enforceable under s.55). **(7)** Where a notification under sub-s.(5) has been issued, the Government may by order **prohibit the continuance of any strike or lock-out** in connection with the dispute existing on the date of the reference (see also s.62(1)(f)). **(8) Nothing in the Arbitration and Conciliation Act, 1996 shall apply** to arbitrations under this section.

RULES 20–22 (CENTRAL) AND FORMS V–VI

- **R.20:** arbitration agreement in **Form V** — names of parties, the dispute (issues), name(s) and address(es) of arbitrator(s)/umpire, time for award, costs — **signed** by the employer/authorised officer and, for workers, by the negotiating union/TU office-bearers or five authorised representatives (Form VI where there is no union — R.22), and accompanied by the **written consent of the arbitrator(s)**; delivered personally or forwarded to the Secretary, Ministry of Labour & Employment / Chief Labour Commissioner (Central) / Regional Labour Commissioner and the conciliation officer concerned.
- **R.21:** the Central Government publishes the agreement (and any s.42(5) notification) on the Ministry's website within the specified time — the modern equivalent of the Gazette publication whose omission was held fatal in *Karnal Leather*.
- **R.22:** where there is no Trade Union, the workers' representatives are chosen by a resolution of the majority of workers at a meeting, recorded in **Form VI**.

12.3 Case law on s.10A/s.42 arbitration (with DU material emphasis)

CASE (DU MATERIAL, UNIT 3) — ROHTAS INDUSTRIES LTD. V. ROHTAS INDUSTRIES STAFF UNION, AIR 1976 SC 425; 1976 SCR (3) 12 (KRISHNA IYER, CHANDRACHUD & GUPTA JJ.)

(Brief abridged for the compilation — full text at makelaweasy.in.)

ENGINEERING MAZDOOR SABHA V. HIND CYCLES LTD., AIR 1963 SC 874 (CONST. BENCH)

An arbitrator appointed under s.10A is **not a "tribunal" within Art. 136**: his authority flows from the parties' agreement rather than from the State's investiture of judicial power, though he is a "statutory arbitrator" with quasi-judicial functions; the Court held (per Gajendragadkar J.) that his award may nonetheless be examined under **Art. 227** (and Art. 226) by the High Court. This is the case that made the Art. 136 door doubtful for s.10A awards; *Rohtas* (1976) noted the doubt for Art. 136 while affirming Art. 226; *Gujarat Steel Tubes* (1980) effectively reopened Art. 136 after the 1964 amendments.

GUJARAT STEEL TUBES LTD. V. GUJARAT STEEL TUBES MAZDOOR SABHA, AIR 1980 SC 1896 (3-JUDGE BENCH, KRISHNA IYER J.)

Mass dismissal of about 853 workers after a strike; dispute referred to an arbitrator under s.10A who upheld the dismissals; the High Court declined to interfere. The Supreme Court held: (i) after the 1964 amendment an arbitrator under s.10A is a **statutory arbitrator whose award has all the trappings of an award**, and the Court may entertain an appeal under **Art. 136** from it (the majority distinguished *Engineering Mazdoor Sabha*); (ii) the arbitrator has the **same powers as a Tribunal under s.11A** (now s.50) to examine the punishment and grant reinstatement — since s.11A's "arbitrator" was expressly included; (iii) a strike, even if illegal, does not automatically justify dismissal; punishment must be proportionate; reinstatement ordered with partial back wages. It remains the leading authority for the proposition that the s.42 arbitrator is a limb of the statutory adjudicatory system — and that the Bharat Bank test (State-constituted body with judicial functions and trappings) is now satisfied.

KARNAL LEATHER KARAMCHARI SANGHATAN V. LIBERTY FOOTWEAR CO., AIR 1990 SC 247

Facts —A committee of arbitrators under s.10A directed reinstatement of certain workmen; the management did not comply and challenged the award on the ground that the arbitration agreement had **not been published** in the Gazette as required by s.10A(3).

Held —Publication of the arbitration agreement under s.10A(3) is **mandatory, not directory**, and non-publication invalidates the award. Reasons: the Act seeks social justice through collective bargaining; voluntary arbitration is part of the infrastructure of dispensation of justice; workers must know what is referred and who the arbitrator is, so as to be able to participate (especially given the s.10A(3A) opportunity to non-signatories); the absence of a penalty for non-compliance does not make the provision directory. Also held: **ss.10 and 10A are alternative remedies** — once the parties choose arbitration, the Government cannot refer the same dispute for adjudication.

Under the Code —s.42(4) + R.21 — publication is now on the Ministry's website within the prescribed period; the mandatory character should carry over (the purpose — notice to all workers — is identical).

OTHER POINTS ON THE ARBITRATOR'S POWERS

- *Rajinder Kumar Kindra v. Delhi Administration*, (1984) 2 LLJ 517 (SC): an arbitrator under s.10A may re-appraise the evidence led in a domestic inquiry and interfere with perverse findings.
- *FACT Employees' Assn. v. Management, FACT Ltd.*, (1983) 1 LLJ 240: an arbitrator cannot alter a service condition fixed by statute; only the legislature can.
- Rule 28 of the 1957 Central Rules (now the corresponding 2026 rule) allows an arbitrator/Tribunal to correct clerical or accidental slips in an award; an arbitrator has no power of review beyond that.
- An arbitrator's award must be reasoned — the "speaking award" norm of "processual justice" (*Rohtas*).

PART V · 13. Adjudication — the Industrial Tribunal (ss.44, 45, 47, 48, 51, 52) IDA ss.7, 7A, 7C, 8, 9

Adjudication is the compulsory, binding, third-party determination of an industrial dispute by a statutory tribunal. Unlike the civil court, the industrial tribunal is not confined to enforcing existing contractual rights: it can **create new rights and obligations** (revise wages, rewrite conditions of service, order reinstatement) "in accordance with social justice" — which is why Bharat Bank had to decide whether such a body is a "tribunal" exercising the State's judicial power at all. The Code re-engineers the IDA's three-tier structure (Labour Court / Industrial Tribunal / National Tribunal, with jurisdiction divided by the Second and Third Schedules) into a **single Industrial Tribunal** with a Judicial and an Administrative Member, plus a **National Industrial Tribunal** for disputes of national importance.

STATUTE — S.44 INDUSTRIAL TRIBUNAL

(1) The appropriate Government **may**, by notification, constitute one or more Industrial Tribunals for the adjudication of industrial disputes and for performing such other functions as may be assigned to them under the Code (e.g., s.22 Trade Union disputes; s.59(2) computation; s.91 complaints; s.95 interpretation; standing-order appeals in some sets of rules). **(2)** Every Tribunal consists of **two members** appointed by the appropriate Government — one **Judicial Member** and one **Administrative Member**. **(3)–(4) Qualifications:** *Judicial Member* — is or has been a **Judge of a High Court**, or has been a **District Judge / Additional District Judge** for the prescribed period (three years under the Code). *Administrative Member* — a senior administrator with labour experience: an officer who has held a post **not below Joint Secretary to the Government of India** (or equivalent State rank), or a senior labour official (e.g., Deputy Chief Labour Commissioner (Central)/Joint Labour Commissioner of a State) with a law degree and substantial experience in labour matters, as prescribed. The **qualifications, appointment, term of office, salaries and allowances, resignation, removal and other conditions of service** of the members are governed by **s.184 of the Finance Act, 2017** (i.e., by the Tribunal (Conditions of Service) Rules made thereunder, as amended by the **Tribunals Reforms Act, 2021**). **(5)** The appropriate Government specifies the area/class of disputes over which each Tribunal has jurisdiction; the Judicial Member presides. **(6)–(7) Benches:** the Government may notify that certain matters be heard by **both members** and others by a **single member**. The Code itself requires the **two-member bench** for: (a) application and interpretation of **standing orders**; (b) **discharge or dismissal** of workers including reinstatement/relief; (c) **legality of a strike or lock-out**; (d) **retrenchment and closure**; (e) **Trade Union disputes** (s.22) — i.e., the old Second-Schedule "rights" disputes and the gravest Third-Schedule items. Other matters may be heard by the Judicial Member or the Administrative Member sitting singly, as notified. **(8)** Where the members **differ**, see s.47. **(9)** The Industrial Tribunal constituted by the Central Government also exercises the powers of the **Employees' Provident Funds Appellate Tribunal** under s.7D of the EPF & MP Act, 1952 (that Tribunal stands merged).

STATUTE — S.45 FINALITY OF CONSTITUTION; S.47 DECISION; S.48 DISQUALIFICATIONS; S.51 TRANSFER; S.52 ADJUSTMENT

s.45 — No order of the Government appointing a member of a Tribunal/NIT shall be called in question in any manner, and no act or proceeding before a Tribunal/NIT shall be called in question merely on the ground of the **existence of any vacancy in, or defect in the constitution** of the Tribunal/NIT. (This is an ordinary finality clause: it does not cure a tribunal that is acting *without jurisdiction* or in breach of a mandatory procedural requirement — cf. Bharat Bank ground 4 where the award signed by two of three members was held bad by Mahajan J.; and *State of Haryana v. Haryana Co-operative Transport Ltd.*, AIR 1977 SC 237: the High Court may still examine the validity of the presiding officer's appointment under Arts. 226/227.) **s.47** — Where a matter is heard by both members, they decide together; if they **differ on any point**, they state the point(s) of difference and refer them to the appropriate Government (Central Government for NIT), which refers the point(s) to the **Judicial Member of another Tribunal/NIT**; the point is then decided according to the **majority** of the members who have heard it, including those who first heard it. (Contrast Bharat Bank's three-member tribunal that "adjusted" its difference internally.) **s.48** — No person shall be appointed to, or continue in, the office of member of a Tribunal/NIT if (a) he is **not an independent person** (not connected with the industry or the dispute), or (b) he has attained the age of **65 years**. (Independence + judicial background = "assurance of independence" that is unique — *Statesman (P) Ltd. v. H.R. Deb*, AIR 1968 SC 1495, which also held that a magistrate "holds a judicial office".) **s.51** — All cases pending before Labour Courts, Industrial Tribunals and National Tribunals under the IDA immediately before the commencement of the Code stand **transferred** to the corresponding Tribunal/NIT under the Code, which may proceed **de novo or from the stage reached**, as it deems fit. **s.52** — Presiding officers of IDA Labour Courts/Tribunals are **adjusted** (continue) as Judicial Members of the Code's Tribunals on the prescribed terms, ensuring continuity of adjudication.

13.1 Jurisdiction of the Tribunal — sources and limits (IDA-era principles that survive)

Principle	Authority	Under the Code
Jurisdiction is derived from the statute **and** the terms of the reference; the Tribunal cannot travel beyond the points referred, but may decide matters **incidental** to them	*Delhi Cloth & General Mills Co. v. Workmen*, AIR 1967 SC 469; *Pottery Mazdoor Panchayat v. Perfect Pottery Co.*, AIR 1979 SC 1356 (reference limited to whether closure was justified — Tribunal could not go behind the fact of closure)	The "reference" is now the party's **application in Form II** (or the s.54 NIT reference); the Tribunal adjudicates the dispute as framed in the application and its incidental questions; the Tribunal itself decides objections to its jurisdiction.
Preliminary questions (is it an "industry"? is the claimant a "worker"? does a dispute exist?) are for the Tribunal; findings of fact on jurisdiction are not lightly disturbed	*Dharangadhra Chemical Works v. State of Saurashtra*, AIR 1957 SC 264; *Mukand Ltd. v. Mukand Staff & Officers' Assn.*, (2004) 10 SCC 460 (no jurisdiction over non-workmen's salaries)	Same.
Objection to jurisdiction not raised before the Tribunal cannot be raised for the first time in the Supreme Court unless a pure question of law	*Kays Construction Co. v. Its Workmen*, AIR 1959 SC 38	Same.
Territorial jurisdiction follows the dispute/establishment; an award of one Tribunal does not bind workers of another region unless they are parties	*Lipton Ltd. v. Their Employees*, AIR 1959 SC 676	Government notifies each Tribunal's territorial/subject jurisdiction (s.44(5)); transfer power under s.92.
Power to **create new obligations**, not merely enforce contracts	*Western India Automobile Assn. v. Industrial Tribunal*, (1949) FCR 321 (FC); Bharat Bank; *Bombay Labour Union v. International Franchises*, AIR 1966 SC 942 (condition that women resign on marriage struck down); *Workmen of Williamson Magor v. Williamson Magor*, (1982) 1 LLJ 33 (SC) (Tribunal should frame promotion norms)	Same — the defining feature of "industrial adjudication".

Restraint in managerial matters: no interference with a bona fide lay-off/closure or a dismissal after a fair inquiry unless mala fide, perverse, victimisation or violation of natural justice; loss of confidence may bar reinstatement	*Kharda & Co. v. Workmen*, AIR 1964 SC 719; *Binny Ltd. v. Workmen*, AIR 1972 SC 1975; *Firestone* (1973) reshaped this after s.11A	s.50 (ex-11A) — see §15.
Not bound by the Evidence Act or CPC except principles based on public policy/natural justice; may rely on data otherwise available	*Reserve Bank of India v. CGIT, Delhi*, (1959) 1 LLJ 539; *Electro Mechanical Industries v. Industrial Tribunal, Madras*, AIR 1950 Mad 839	s.49(1); but note Bharat Bank: an award on **no evidence** is a nullity.
Incidental powers: set aside an ex parte award; review procedural orders; allow amendment of pleadings; correct clerical slips; grant interim relief	*Grindlays Bank Ltd. v. CGIT*, AIR 1981 SC 606; *Meenakshi Mills v. Workmen*, AIR 1954 SC 153; *Borpukhurie Tea Estate v. Industrial Tribunal, Assam*, AIR 1978 SC 992; *Lipton* (slips); *Management of Hotel Imperial v. Hotel Workers' Union*, AIR 1959 SC 1342 (interim relief)	Same; interim relief now expressly recognised (s.50).
Speedy disposal; only short adjournments; costs rarely awarded and only for misconduct	Practice noted in Jain/Mendiratta	s.49(8) costs; Rule-based time-limits; portal case management (R.46–47).

◆ 14. National Industrial Tribunal — ss.46 and 54 IDA ss.7B, 10(1A), 10(6)

STATUTE — S.46 CONSTITUTION; S.54 REFERENCE AND FUNCTIONS

s.46(1) The **Central Government** may, by notification, constitute one or more National Industrial Tribunals for the adjudication of industrial disputes which, in its opinion, involve **questions of national importance** or are of such a nature that **industrial establishments situated in more than one State** are likely to be interested in or affected by them. **(2)** Two members appointed by the Central Government — a **Judicial Member** who is or has been a **Judge of a High Court**, and an **Administrative Member** of the rank of **Secretary to the Government of India** (or equivalent) with experience in labour matters; conditions of service under s.184 Finance Act 2017; s.48 disqualifications and s.47 procedure on difference apply. **s.54(1)** The Central Government may, by notification, **refer** to a NIT any industrial dispute of the above description, **whether or not it is the appropriate Government** in relation to that dispute (the only surviving Government "reference"). **(2)** On such reference, **no Tribunal shall have jurisdiction** over the matter; proceedings pending before a Tribunal on that matter are **deemed quashed**, and it is not lawful for the appropriate Government to entertain/permit any application on that matter while the NIT is seised. **(3)** The NIT holds its proceedings expeditiously and submits its award to the Central Government (then s.55 applies — enforceable 30 days after communication; the **Central Government** may exercise the s.55(3)–(5) power to declare it unenforceable on public grounds and reject/modify within 90 days, laying it before Parliament).

LEADING CASE ON THE NIT REFERENCE POWER — FDC LTD. V. UNION OF INDIA, 136 (2007) DLT 266 (DEL)

A reference of 58 individual medical-representative terminations spread across States to a National Tribunal at Calcutta was quashed: individual fact-bound dismissals are not a "question of national importance"; "establishments in more than one State" means different establishments, not one employer's branches; the NIT is not immune from Arts. 226/227. Full brief in §20.2 — the DU material itself flags it as pari materia with s.54.

◆ 15. Procedure and powers (s.49) and power to grant relief in discharge/dismissal cases (s.50) IDA ss.11, 11A

Sub-s.	Provision	Detail and related law
49(1)	Procedure	Subject to rules, an arbitrator, conciliation officer, Tribunal or NIT shall follow **such procedure as it thinks fit**. Natural justice is implied (Bharat Bank: notice to parties by name; evidence; opportunity to cross-examine).
49(2)	Entry into premises	A CO (or an officer authorised by the Tribunal/NIT) may, after reasonable notice, enter the premises of the establishment to which the dispute relates, for inquiry into an existing or apprehended dispute.
49(3)	Civil-court powers of Tribunal/NIT	Same powers as a **civil court under the CPC, 1908** when trying a suit, in respect of: (a) enforcing attendance of any person and examining him **on oath**; (b) compelling production of documents and material objects; (c) issuing **commissions** for the examination of witnesses; (d) other prescribed matters. Every inquiry/investigation by a Tribunal/NIT is deemed a **judicial proceeding** within the meaning of **ss.193 and 228 IPC** (false evidence; insult to a public servant in a judicial proceeding) — today read as **ss.229 and 267 of the Bharatiya Nyaya Sanhita, 2023** by virtue of s.358(2) BNS and s.8 General Clauses Act. These are the "trappings of a court" relied on in Bharat Bank.
49(4)–(5)	Assessors	A Tribunal/NIT may appoint one or more persons having special knowledge of the matter under consideration as **assessors** to advise it (technical/wage-structure disputes).
49(6)	CO's limited civil-court powers	Enforce attendance for examination; call for/inspect documents relevant to the dispute or to verify implementation of an award — see §10.2.
49(7)	Public servants	COs, members of Tribunal/NIT (and arbitrators for this purpose) are public servants (IPC s.21 → BNS s.2(28)).
49(8)	Costs	Costs of and incidental to proceedings before a Tribunal/NIT are in its discretion; it decides by whom, to whom and to what extent costs are paid; costs are recoverable as **arrears of land revenue** on application to the Government (cf. s.35 CPC). Practice: costs only where a party's misconduct made them necessary (*Alka Cinema v. Workmen*, 1983 LIC 463).
49(9)	Deemed civil court for contempt-type offences	Tribunal/NIT is deemed a civil court for **ss.345, 346 and 348 of the CrPC, 1973** (summary procedure for certain contempts in the face of the court; procedure where the court considers the case should not be dealt with summarily; discharge on apology) — now **ss.384, 385 and 387 of the Bharatiya Nagarik Suraksha Sanhita, 2023** (s.531(2) BNSS).
49(10)	Execution	Every award, order or settlement made by or before a Tribunal/NIT is **executed in accordance with Order XXI CPC**; the Tribunal/NIT transmits it to the civil court having jurisdiction which executes it **as if it were a decree** passed by it. (Under the IDA execution had to go through s.33C/land-revenue routes or Art. 226 mandamus; the Code closes this gap.)

STATUTE — S.50 POWERS OF TRIBUNAL AND NIT TO GIVE APPROPRIATE RELIEF IN CASE OF DISCHARGE OR DISMISSAL OF WORKER IDA S.11A (1971)

Where an industrial dispute relating to the **discharge or dismissal** of a worker is before a Tribunal/NIT and, in the course of adjudication, it is satisfied that the order was **not justified**, it may by its award **set aside** the order and direct **reinstatement** on such terms and conditions as it thinks fit, or give **such other relief** to the worker **including a lesser punishment** in lieu of discharge or dismissal as the circumstances require. *Proviso:* the Tribunal/NIT shall **rely only on the materials on record** and shall not take fresh evidence in relation to the matter. The Code also recognises the Tribunal's power to grant **interim relief** pending adjudication. (Arbitrators under s.42 exercise the same power — *Gujarat Steel Tubes*, because s.11A expressly named arbitrators and s.50 is applied to them through s.49/s.42(6).)

HOW S.50 (EX-S.11A) OPERATES — WORKMEN OF FIRESTONE TYRE & RUBBER CO. V. MANAGEMENT, AIR 1973 SC 1227 (PRINCIPLES, AS SUMMARISED IN THE DU/CORNELL MATERIAL)

1. Before s.11A, the Tribunal could interfere with a dismissal after a fair domestic inquiry only for want of good faith, victimisation/unfair labour practice, violation of natural justice, or a perverse finding (*Indian Iron & Steel Co. v. Workmen*, AIR 1958 SC 130). s.11A/s.50 confers a **wider jurisdiction**: the Tribunal may re-appraise the evidence, disagree with the employer's findings on guilt, and substitute the punishment.
2. Where the inquiry is defective or none was held, the employer may lead evidence before the Tribunal to justify the dismissal (the proviso to "materials on record" includes such evidence adduced before the Tribunal).
3. The Tribunal may impose a **lesser punishment** (e.g., stoppage of increments, withholding back wages) — the doctrine of proportionality in industrial law.
4. Reinstatement is not automatic: loss of confidence (*Binny*), closure, superannuation, or long lapse of time may justify compensation instead.

◆ 16. Awards — form, communication, enforceability, binding effect, period, recovery (ss.55–59) IDA ss.15–19, 33C

STATUTE — S.55 FORM OF AWARD, ITS COMMUNICATION AND COMMENCEMENT

(1) Every arbitration award and every award of a Tribunal/NIT shall be **in writing** and **signed** by the arbitrator(s) / **all members** of the Tribunal or NIT (cf. Bharat Bank ground 4 under IDA s.16). **(2)** Every such award shall be **communicated** to the parties concerned and to the appropriate Government (Central Government for NIT/central arbitration) in the prescribed manner (portal/e-mail — R.46–47). **(3)** An award becomes **enforceable on the expiry of 30 days** from the date of its communication. *Proviso:* where (a) the appropriate Government is a **party** to a dispute decided by a Tribunal, or (b) the award is one of a **NIT**, and the Government is of opinion that it would be **inexpedient on public grounds affecting national economy or social justice** to give effect to the whole or part of the award, it may by notification declare that the award shall not become enforceable on the expiry of 30 days. **(4)** After such declaration the Government may, **within 90 days** of communication, make an order **rejecting or modifying** the award and shall lay the award with the order before the State Legislature/Parliament at the first available opportunity. **(5)** An award so rejected/modified becomes enforceable **15 days** after it is laid; where no order is made within 90 days, the award becomes enforceable on expiry of the 90 days. **(6)** Subject to the above, the award comes into **operation** from the date specified in it, or, if none, from the date it becomes enforceable.

STATUTE — S.57 PERSONS ON WHOM SETTLEMENTS AND AWARDS ARE BINDING IDA S.18

(1) A settlement arrived at **otherwise than in conciliation** binds the **parties to the agreement**. **(2)** An arbitration award that has become enforceable binds the **parties to the arbitration agreement**. **(3)** A settlement **in conciliation**, an arbitration award where a **s.42(5) notification** was issued, and an award of a Tribunal/NIT that has become enforceable bind: (a) **all parties** to the dispute; (b) all other parties **summoned** to appear (unless the adjudicator records that they were summoned without proper cause); (c) where a party is an employer — his **heirs, successors or assigns** in respect of the establishment; (d) where a party is composed of workers — **all persons employed in the establishment (or the part concerned) on the date of the dispute and all who are subsequently employed** there.

STATUTE — S.58 PERIOD OF OPERATION IDA S.19

(1)–(2) Settlement: operates from the agreed date or from signature; binding for the agreed period or **6 months**; continues thereafter until **60 days** after a written notice of intention to terminate is given by one party to the other. **(3) Award:** remains in operation for **1 year** from the date it becomes enforceable; Government may **reduce** the period, or **extend** it by up to 1 year at a time, subject to a **maximum of 3 years**. **(4)** If since the award there has been a **material change in circumstances**, the Government (suo motu or on application) may refer the award to the Tribunal/NIT to decide whether the period should be shortened; that decision is final. **(5)** Sub-s.(3) does not apply to an award that imposes no continuing obligation once implemented. **(6)** Even after expiry, the award continues to bind until **60 days** after notice of termination by a party. **(7)** A notice of termination is effective only if given by a party representing the **majority** of persons bound. *Case law carried forward:* after termination the award's terms survive as implied terms of the contract until replaced by a fresh settlement/award (*South Indian Bank v. A.R. Chacko*, AIR 1964 SC 1522; *Life Insurance Corporation v. D.J. Bahadur*, AIR 1980 SC 2181).

STATUTE — S.59 RECOVERY OF MONEY DUE FROM EMPLOYER IDA S.33C

(1) Money due under a settlement, award or Chapters IX–X → application (by the worker, his authorised person, or heirs) to the appropriate Government within **1 year** (condonable) → **certificate to the Collector** → recovery as **arrears of land revenue** (Forms VII–VIII, R.24). **(2)** Where a question arises as to the amount of money or the money-value of a benefit → decided by the **Tribunal** specified by the Government within **3 months** (extendable for reasons) (Forms IX–X). **(3)** Tribunal may appoint a **Commissioner** to compute (R.48–50). **(4)** Decision forwarded to Government for recovery under (1). **(5)** A single application may be made for several workers. *Principle:* the s.33C(2)/s.59(2) forum is executory — it can compute an existing right but cannot adjudicate a disputed entitlement that requires a fresh award (*Central Bank of India v. P.S. Rajagopalan*, AIR 1964 SC 743; *Municipal Corporation of Delhi v. Ganesh Razak*, (1995) 1 SCC 235).

⬢ 17. Notices of strike/lock-out (s.62), conditions of service pending proceedings (ss.90–91), representation (s.94), interpretation (s.95), civil-court bar (s.97), penalties (ss.85–89)

STATUTE — S.62 PROHIBITION OF STRIKES AND LOCK-OUTS IDA SS.22, 23 MERGED

(1) No person employed in **any industrial establishment** shall go on strike in breach of contract — (a) without giving the employer **notice** of strike within **60 days** before striking; (b) within **14 days** of giving such notice; (c) before the expiry of the date of strike specified in the notice; (d) during the pendency of **conciliation** and **7 days** after its conclusion; (e) during the pendency of proceedings before a **Tribunal/NIT** and **60 days** after their conclusion; (f) during **arbitration** proceedings and 60 days after, where a s.42(5) notification has been issued; (g) during any period in which a **settlement or award is in operation**, in respect of matters covered by it. **(2)** The same restrictions apply to an employer's **lock-out**. **(3)** No notice is needed where a strike/lock-out is already in existence, but the employer must intimate the specified authority. **(4)–(5)** Manner of notice as prescribed (Forms XI/XII). **(6)** The employer shall, within **5 days**, report to the Government/authority and the CO the number of notices received or given. — A strike/lock-out in breach is **illegal** (s.63) and punishable (s.86); a lock-out declared in consequence of an illegal strike (or vice versa) is not illegal (s.63(3)).

RULES 25–26 (CENTRAL) — FORM XI STRIKE NOTICE: GIVEN BY THE SECRETARY OF THE NEGOTIATING UNION/TU OR BY FIVE ELECTED REPRESENTATIVES OF THE WORKERS; COPIES TO THE CO, THE CHIEF LABOUR COMMISSIONER (CENTRAL) AND THE SECRETARY, MINISTRY OF LABOUR & EMPLOYMENT; THE EMPLOYER INTIMATES THE CO WITHIN FIVE DAYS. FORM XII LOCK-OUT NOTICE: DISPLAYED ON THE NOTICE BOARD AND SERVED ON THE UNION/REPRESENTATIVES, WITH THE SAME COPIES.

Day 0

— strike notice (Form XI) served; CO must start conciliation (s.53(1)); deemed commencement on receipt (s.60(1)).

Days 1–14

— absolute cooling-off: no strike (s.62(1)(b)).

Day 14 onward

— strike possible on the notified date,

unless

conciliation is pending (bar continues while it is pending + 7 days; report due within 14 days of commencement — s.53(5)).

Day 60

— notice lapses; a fresh notice is required (s.62(1)(a)).

If a party moves the Tribunal/NIT or arbitration is notified

— strike barred during pendency + 60 days (s.62(1)(e)–(f)).

Settlement/award in operation

— strike on covered matters barred (s.62(1)(g)) until 60 days after a valid termination notice (s.58).

STATUTE — SS.90-91 CONDITIONS OF SERVICE TO REMAIN UNCHANGED DURING PENDENCY; COMPLAINTS IDA SS.33, 33A

s.90(1) During the pendency of conciliation, arbitration or Tribunal/NIT proceedings, no employer shall, **in regard to any matter connected with the dispute**, (a) alter to the prejudice of the workers concerned their conditions of service, or (b) discharge or punish (by dismissal or otherwise) any worker concerned **for misconduct connected with the dispute** — save with the **express permission in writing** of the authority before which the proceeding is pending. **s.90(2)** For matters **not connected** with the dispute, the employer may alter conditions per standing orders/contract, or discharge/dismiss for unconnected misconduct, provided that (for dismissal) he pays **one month's wages** and simultaneously applies to the authority for **approval**. **s.90(3) Protected workers** (union office-bearers recognised as such — **1%** of workers, minimum 5, maximum 100; names furnished by 30 April, recognised within 15 days — R.39) cannot be touched at all during pendency without express permission. **s.90(4)–(5)** The authority shall dispose of the application **within three months** (extendable for reasons recorded). **s.91** A worker aggrieved by a contravention of s.90 may **complain in writing** to the authority (Form XVI, R.40), which adjudicates the complaint **as if it were a dispute before it** and submits its award. Key cases: *Jaipur Zila Sahakari Bhoomi Vikas Bank v. Ram Gopal Sharma*, (2002) 2 SCC 244 (dismissal without approval is void; worker deemed in service); *Punjab Beverages v. Suresh Chand*, (1978) 2 SCC 144 (contrast; overruled on this point by *Jaipur Zila*).

STATUTE — SS.92-98 (MISCELLANEOUS PROVISIONS YOU MUST KNOW FOR UNIT 1)

- **s.92** — Government may **transfer** proceedings from one Tribunal/NIT to another (or withdraw and re-assign), for reasons recorded.
- **s.93** — a worker who refuses to take part in an illegal strike (or an employer who refuses an illegal lock-out) is protected from expulsion/fine by the union/association.
- **s.94** — **Representation**: a worker may be represented by an office-bearer/member of the executive of his Trade Union or of a federation to which it is affiliated, or, where there is no union, by any office-bearer of a TU connected with the industry or any other worker employed in the industry; an employer by an officer of an employers' association/federation or by another employer. **No legal practitioner in conciliation** (s.94(3)); before a Tribunal/NIT a legal practitioner may appear only **with the consent of the other parties and the leave of the Tribunal/NIT** (s.94(4)); authorisations in Form VI (R.41–43). *Paradip Port Trust v. Their Workmen*, AIR 1977 SC 36: a lawyer cannot circumvent the consent-and-leave rule by being engaged as an "officer" of the employer's association; *Thyssen Krupp Industries India v. Suresh Maruti Chougule* (SC, 2023) reaffirmed that **both** the consent of the other side and the leave of the Tribunal are required.
- **s.95** — where a doubt arises as to the **interpretation of an award or settlement**, the appropriate Government may refer the question to the Tribunal/NIT, whose decision is final and binding.
- **s.96** — power to **exempt** Government/local-authority establishments where adequate alternative provisions exist.
- **s.97** — **No civil court** shall entertain any suit or proceeding in respect of any matter which the Tribunal/NIT is empowered to decide, and no injunction shall be granted in respect of any action taken under the Code. Codifies *Premier Automobiles Ltd. v. K.S. Wadke*, AIR 1975 SC 2238 (rights created by the industrial statute are enforceable only through its machinery); *Rajasthan SRTC v. Krishna Kant*, (1995) 5 SCC 75.
- **s.98** — protection of action taken in good faith; **s.99** — rule-making power of the appropriate Government (source of the 2026 Rules); **s.104** — repeal and savings.

17.1 Offences, penalties, cognizance and compounding (Chapter XIII — ss.85–89)

Offence	Penalty under s.86	IDA comparison
Worker commencing/continuing an **illegal strike** (s.86(13))	Fine ₹1,000–₹10,000, or imprisonment up to **1 month**, or both	s.26(1): ₹50 / 1 month
Employer commencing/continuing an **illegal lock-out** (s.86(14))	Fine ₹50,000–₹1,00,000, or imprisonment up to 1 month, or both	s.26(2): ₹1,000 / 1 month
Instigating/inciting an illegal strike or lock-out (s.86(15))	Fine ₹10,000–₹50,000, or imprisonment up to 1 month, or both	s.27: ₹1,000 / 6 months
Knowingly **financing** an illegal strike/lock-out (s.86(16))	Fine ₹10,000–₹50,000, or 1 month, or both	s.28
Breach of a settlement or award binding under the Code (s.86(17)–(18))	Fine ₹20,000–₹2,00,000, or imprisonment up to **3 months**, or both; continuing breach: further fine up to ₹1,000 per day; court may direct that the fine (or part) be paid as compensation to the person injured	s.29: 6 months / ₹200 per day
Disclosure of confidential information in breach of s.61 (s.86(19))	Fine up to ₹10,000	s.30
Contravention of s.90 or any other provision without specific penalty (residuary) (s.86(20))	Fine up to ₹1,00,000	s.31

s.85 — for specified minor offences an **adjudicating officer** (not below Under Secretary, R.44; hearings may be by video-conference) may impose penalties after inquiry, with appeal to the appellate authority (s.2(a)). **s.87** — courts take cognizance only on a **complaint by or with the sanction of the appropriate Government** or its authorised officer; trial by a court not inferior to a Metropolitan Magistrate/JMFC. **s.88** — offences by companies (deemed liability of persons in charge). **s.89** — **compounding** (Form XV, R.38) before or after prosecution, by a Gazetted officer: **50%** of the maximum fine for fine-only offences, **75%** for offences punishable with imprisonment up to one year and fine; not available for a second offence of the same kind within three years.

◆ PART VI · 18. Judicial review of industrial adjudication — Articles 136, 226 and 227

The Code, like the IDA, provides **no appeal** from an award. Finality is deliberate (speed, industrial peace, specialised justice). But finality cannot immunise a tribunal that exceeds its jurisdiction or denies a fair hearing. Hence the perennial question — first answered in *Bharat Bank* (1950), the very first special-leave petition against an Industrial Tribunal award under the new Constitution — of **which constitutional remedy** lies and **how far** it goes.

ARTICLE 136 — TEXT

"(1) Notwithstanding anything in this Chapter, the Supreme Court may, in its discretion, grant special leave to appeal from any judgment, decree, **determination**, sentence or order in any cause or matter passed or made by any **court or tribunal** in the territory of India. (2) Nothing in clause (1) shall apply to any judgment, determination, sentence or order passed or made by any court or tribunal constituted by or under any law relating to the Armed Forces."

18.1 The test of a "tribunal" for Art. 136 (as developed from Bharat Bank onwards)

Remedy	Against whom	Grounds	Relief
Art. 136 (SC, discretionary)	Any "court or tribunal" — Industrial Tribunal, NIT, statutory arbitrator (per *Gujarat Steel Tubes*); **not** the Conciliation Officer (*Jaswant Sugar Mills*), **not** the Government's administrative order refusing to refer (IDA era) — though an SLP lies against the High Court's judgment on it	Excess/want of jurisdiction; breach of natural justice; award on no evidence; perverse findings; substantial error of law or a question of general importance for industrial adjudication (*Bengal Chemical*; *Wenger & Co.*; *Kamani Metals*; *Hindustan Antibiotics*)	Quash and remit; occasionally substitute (does not sit as a regular court of appeal on facts)
Art. 226 (HC — certiorari, prohibition, mandamus)	"Any person or authority" — Tribunal, NIT, arbitrator (*Rohtas*), Conciliation Officer, Government (e.g., mandamus to reconsider a refusal to refer under IDA — *K.P. Krishnan*; mandamus to perform a s.53 duty)	Jurisdictional error; error of law apparent on the face of the record (*Syed Yakoob v. K.S. Radhakrishnan*, AIR 1964 SC 477); natural justice; mala fides. No re-appreciation of evidence.	Quash/remit/direct; alternative remedy is a self-imposed restraint, not a bar
Art. 227 (HC superintendence)	All courts and tribunals within its territory (including s.10A arbitrators — *Engineering Mazdoor Sabha*)	Keeps tribunals within bounds; grave dereliction; perversity	Supervisory correction; used sparingly
Art. 32	State bodies	Violation of fundamental rights only	Rare in industrial matters

◆ 19. Case 1 (DU material) — Bharat Bank Ltd., Delhi v. Employees of the Bharat Bank Ltd. , 1950 SCR 459 : AIR 1950 SC 188

COURT, BENCH AND OPINIONS

Supreme Court of India, Constitution Bench of five — Kania C.J., Fazl Ali, Patanjali Sastri, Mahajan and B.K. Mukherjea JJ.; decided **26 May 1950**. Civil Appeal No. XXXIV of 1950, by special leave, from the award of the **All-India Industrial Tribunal (Bank Disputes)**. Counsel: Dr Bakshi Tek Chand (with Veda Vyas and S.K. Kapur) for the Bank; B. Sen for the employees; **Alladi Krishnaswami Aiyar** (with Jindra Lal) for the Union of India. The **DU case material reproduces Mahajan J.'s opinion** (paras 22–67). **On jurisdiction**: Kania C.J., Fazl Ali and Mahajan JJ. (majority) held that Art. 136 extends to an Industrial Tribunal's award; Mukherjea and Patanjali Sastri JJ. dissented. **On the merits**: Mahajan J. would have quashed the award; Kania C.J., Fazl Ali, Patanjali Sastri and Mukherjea JJ. found no ground to admit/allow the appeal — so **the appeal was dismissed** although the jurisdictional point was decided in the Bank's favour. (Students who read only the DU extract often miss this; state it and you will stand out.)

Facts —Bharat Bank Ltd., Delhi, a company under the Indian Companies Act, received demands from its employees; on an unfavourable response the employees **struck work on 9 March 1949** (there had been an earlier strike in December 1948 whose dispute was already pending before a Tribunal). The Bank served notices to resume work and, on their failure, **discharged a number of employees between 19 and 24 March 1949**. The Central Government, under **Ordinance VI of 1949** read with **s.7** of the Industrial Disputes Act, 1947, constituted a **three-member Tribunal** for adjudication of industrial disputes in banking companies, and under **s.10** referred the disputes listed in Schedule II of the notification. **Item 18** read: "Retrenchment and victimization (specific cases to be cited by employees)." The Tribunal heard the Bharat Bank dispute at Delhi. At the first sitting (Rule 17 of the 1947 Rules) the parties merely *stated their cases* — Mr Parwana for the employees (not on oath, no affidavit, no cross-examination, only an abstract of correspondence), Mr Ved Vyas for the Bank — the Bank filed a lengthy affidavit disputing the facts; no evidence was recorded; arguments followed. Meanwhile, in **November 1949** one member (Mr Chandrasekhara Aiyar) was appointed to the Bengal Boundary Commission; the other two telegraphed the Labour Ministry to fill the vacancy or reconstitute the Tribunal; the Ministry advised them to proceed; the Tribunal was **never reconstituted**. The **award dated 19 January 1950**, directing reinstatement of the discharged employees, was **signed by only two of the three members**; it was published in the Gazette of India on **4 February 1950** and declared binding for one year. The Bank obtained special leave under Art. 136 — the first such case.

Issues —(1) **Jurisdiction**: Is an Industrial Tribunal a "tribunal" within Art. 136, and is its award a "determination" — i.e., is the word "tribunal" used in the same sense as "court" or in a wider sense? (2) If yes, what are the **limits** of the Court's power under Art. 136 over such awards? (3) **Merits**: was the award vitiated by (a) misconstruction of "victimization", (b) reinstatement of participants in an illegal strike (s.23(b)), (c) absence of any evidence / breach of natural justice, (d) signature by two of three members (ss.8, 16)?

Decision on jurisdiction (Mahajan J., with Kania C.J. and Fazl Ali J.) —**Art. 136 is of the widest amplitude** and overriding ("notwithstanding anything in this Chapter"): unlike Arts. 132–134 it is not confined to final decisions of High Courts; it reaches any court or tribunal and even interlocutory orders. It confers a *discretionary power*, not a right of appeal. **"Tribunal" is wider than "court"**. Drawing on Halsbury, *R. v. London County Council*, (1931) 2 KB 215 (Scrutton L.J. — printed as "Saville L.J." in the DU extract: it is enough if the body has to decide rightly after hearing evidence and opposition, without being strictly a court), *Shell Co.* (Lord Sankey's list of what does *not* make a body a court), *Huddart, Parker & Co. v. Moorehead*, 8 CLR 330 (Griffith C.J.'s definition of judicial power), and *Cooper v. Wilson*, (1937) 2 KB 309 (the four requisites of a true judicial decision), the Court held that a "tribunal" for Art. 136 is a body **constituted by the State and invested with some of the judicial functions of the State** — one "adorned with similar trappings as a court" though not strictly a court. Bodies that discharge purely administrative or executive duties, or that derive authority only from the parties' agreement (private arbitrators), are excluded. **The Industrial Tribunal satisfies the test**: s.7 requires adjudication of disputes in accordance with the Act; presiding officers are judicial persons; s.11(3) gives civil-court powers (attendance, oath, documents, commissions); proceedings are judicial proceedings for ss.193 and 228 IPC; the 1947 Rules (rr. 3, 13, 14, 17, 19, 21, 30) require pleadings, evidence, examination and cross-examination, notice to parties by name and a reasoned award; s.29 penalises breach of awards. It decides a lis between two or more parties. It has the first three *Cooper v. Wilson* requisites fully and a considerable element of the fourth. **Power to make new contracts does not make it non-judicial**: following *Western India Automobile Assn. v. Industrial Tribunal, Bombay*, (1949) FCR 321, an industrial tribunal may impose new obligations, but it must do so within the statute and on judicial lines — the legislature has entrusted this jurisdiction to it. **The "lifeless award" argument rejected**: the s.15(2) declaration is a **mandatory, ministerial** act (Government "shall" declare the award binding); relying on *Rex v. Electricity Commissioners*, (1924) 1 KB 171 (a body's decision does not cease to be judicial because confirmation by another authority is needed) and *Rex v. Minister of Health* (1929), and on the analogy of the Army Act (courts-martial decisions require confirmation yet Art. 136(2) had to *expressly exclude* military tribunals — implying that such tribunals would otherwise fall within Art. 136). Where Government is a party its overriding powers *presuppose* a valid determination. **Art. 226 does not oust Art. 136**: the availability of certiorari from the High Court does not circumscribe the Supreme Court's power; indeed the High Court's decision could itself come up in appeal, and in industrial matters "expedition is the crux", so abuse of power should be corrected quickly. It is **not an arbitration tribunal**: the parties do not choose it; the State constitutes it and its award binds by force of statute.

Scope of Art. 136 (the self-limiting principle) —"This Court under Article 136 would not constitute itself into a mere court of error. Extraordinary powers have to be exercised in rare and exceptional cases and on well-known principles." The Court will not substitute its own decision; it interferes only where the Tribunal has **exceeded its jurisdiction**, approached the questions in a manner likely to result in **injustice**, or adopted a procedure contrary to **natural justice** — denial of hearing, refusal to record evidence, arbitrary or despotic conduct — and then it **quashes the award and directs the Tribunal to proceed** according to law. Kania C.J.: the Court "will be very reluctant to entertain such an application".

Decision on merits (Mahajan J.) —**"Victimization" ground — rejected.** Whether "victimization" in item 18 bears its ordinary meaning (unjustly dealt with) or a technical trade-union meaning is not a matter for Art. 136; "this Court is not a mere court of error", and the award was not materially affected. **Illegal strike ground (s.23(b)) — rejected.** Even if the March 1949 strike during the pendency of the earlier reference was illegal, the Act prescribes penalties for illegal strikes but nowhere says such persons cannot be reinstated; the Government referred victimisation arising out of that very strike; the Tribunal was bound to decide item 18. **No evidence / natural justice — upheld.** The onus of proving victimisation lay on the employees; Mr Parwana's statement was not on oath, was not tested by cross-examination and was unsupported by affidavit; the only evidence on record was the Bank's affidavit, which the Tribunal ignored. "The Act as well as the Rules ... contemplate a proper hearing, discovery and inspection of documents and production of evidence." An award on no evidence is against all principles of natural justice. *"It happens that when the safeguard of an appeal is not provided by law the tendency sometimes is to act in an arbitrary manner like a benevolent despot. Benevolent despotism, however, is foreign to a democratic Constitution."* **Two of three members — upheld.** s.16 (award "shall be signed by all the members", with liberty to record a dissent) is mandatory; all three heard the case; s.8 required the Government to reconstitute the Tribunal when a member's services ceased to be available, which was never done; "the idea of three persons hearing a case and two of them deciding it is repugnant to all notions of fairness" — the third member's view might have altered the result (the two who signed had in fact differed on a question of law). The award of two was therefore not the award of the Tribunal constituted by the Government. Mahajan J. would quash the award and direct the still-functioning Tribunal to re-adjudicate item 18. **But the majority (Kania C.J., Fazl Ali, Patanjali Sastri, Mukherjea JJ.) held this was not a fit case for interference and dismissed the appeal**; Kania C.J. noted the aggrieved party could seek "other appropriate proceedings" (i.e., Art. 226).

The dissent (Mukherjea J., Patanjali Sastri J. concurring) —An Industrial Tribunal is **not a judicial tribunal**: it does not administer the law of the land but decides on grounds of social and economic policy and may create new rights — a function more legislative/administrative than judicial; the "materials and considerations" on which it decides are such that an **appellate court cannot effectively review** them; therefore its determinations are outside Art. 136. Patanjali Sastri J. added that the award lacks binding force until the Government's declaration. Both agreed that even if jurisdiction existed this was not a fit case. (Mukherjea J. nevertheless accepted that the Tribunal "functions judicially" in procedure — the germ of the later quasi-judicial characterisation; the Capsule summary notes his emphasis on its wider powers such as reinstatement.)

Principles evolved —"Tribunal" in Art. 136 ≠ "court": it means any **State-constituted body invested with part of the State's judicial power**, having the trappings of a court — a functional test, later refined in *Associated Cement Cos. v. P.N. Sharma*, AIR 1965 SC 1595 (the "inherent judicial power of the State" test) and applied to election tribunals, the Speaker (Tenth Schedule), the Central Government under the Companies Act, etc. An Industrial Tribunal's award is a "determination" appealable by special leave; the Government's post-award powers do not change its character. Art. 136 is discretionary and exceptional — not a court of error; grounds: jurisdiction, natural justice, arbitrariness, grave injustice (developed in *Bengal Chemical*, 1959; *Wenger*, 1964; *Kamani Metals*, 1967). Industrial adjudication must rest on **evidence** and a **fair hearing**; an award on no evidence is a nullity —

the origin of the "no evidence" ground in Indian administrative law. A multi-member tribunal must decide as constituted: all members who heard must sign (now s.55(1) "signed by all the members"); a vacancy must be filled/reconstituted (now s.47 mechanism on difference; s.45 finality does not cure want of jurisdiction) — see also *United Commercial Bank Ltd. v. Their Workmen*, AIR 1951 SC 230 (award by a tribunal whose vacancy was filled without proper reconstitution held invalid, prompting amendment of s.8). Availability of Art. 226 does not bar Art. 136; in industrial matters expedition is vital.

Later treatment —*Bengal Chemical* (1959) and *Hindustan Antibiotics v. Workmen*, AIR 1967 SC 948: the Court is not a regular court of appeal from tribunals; *Wenger & Co. v. Workmen*, AIR 1964 SC 864: it decides general questions of law to guide industrial adjudication, not facts; *Kamani Metals & Alloys v. Workmen*, AIR 1967 SC 1175: interference only for excess of jurisdiction, substantial error in applying settled principles, or gross and palpable error causing substantial injustice; *Jaswant Sugar Mills* (1963): conciliation officer is not a tribunal; *Engineering Mazdoor Sabha* (1963): s.10A arbitrator not a tribunal (Art. 227 lies); *Rohtas* (1976) and *Gujarat Steel Tubes* (1980): statutory arbitrator amenable to Art. 226 and (after 1964) Art. 136. The Court's practice today: SLPs directly from Tribunal awards are discouraged; the party must ordinarily go to the High Court first.

⬢ 20. Other cases you must be able to cite (compact briefs, grouped by theme)

▸ 20.1 Scope of Art. 136 after Bharat Bank

BENGAL CHEMICAL & PHARMACEUTICAL WORKS LTD. V. THEIR WORKMEN, AIR 1959 SC 633

Facts: Employer sought special leave against a Tribunal's award on wage scales/dearness allowance. **Held:** Art. 136 confers no right of appeal; it is a discretionary power that cannot be construed to give a party a right he does not otherwise have; the IDA is self-contained and aims at social justice through collective bargaining, conciliation and arbitration; awards turn on circumstances peculiar to each dispute. The Court will interfere only where there is a **violation of natural justice causing substantial and grave injustice**, an **important principle of industrial law requiring elucidation**, or circumstances that otherwise merit its consideration. **Principle:** the "sparing exercise" doctrine — the necessary counterweight to Bharat Bank.

WENGER & CO. V. WORKMEN, AIR 1964 SC 864; HINDUSTAN ANTIBIOTICS LTD. V. WORKMEN, AIR 1967 SC 948; KAMANI METALS & ALLOYS LTD. V. WORKMEN, AIR 1967 SC 1175

The Supreme Court in an Art. 136 appeal from an industrial award does not act as a regular court of appeal on facts; it decides general questions of law to guide industrial adjudication; an award cannot be assailed merely because another adjudicator might have decided differently or elaborate reasons were not given; interference requires excess of jurisdiction, a substantial error in applying settled principles, or a gross and palpable error causing substantial injustice.

ASSOCIATED CEMENT COMPANIES LTD. V. P.N. SHARMA, AIR 1965 SC 1595

Refined the Bharat Bank test: the basic test of a "tribunal" is whether the body is invested with the **inherent judicial power of the State** to deal with disputes between parties and determine them on the merits fairly and objectively; the trappings of a court are helpful indicators but not conclusive. Applied to hold the State Government acting under the Punjab Welfare Officers Recruitment Rules a tribunal.

JASWANT SUGAR MILLS LTD. V. LAKSHMI CHAND, AIR 1963 SC 677

Facts: Conciliation officer refused permission under s.33 to dismiss workmen; employer sought special leave. **Held:** though the officer must act judicially in deciding the s.33 application, he is not invested with the State's judicial power to adjudicate rights with finality; he is an **administrative authority**; no appeal lies under Art. 136 (relief lies under Art. 226/227). **Principle:** Conciliation Officer ≠ tribunal.

PREVIOUS YEAR QUESTIONS · UNIVERSITY OF DELHI · LL.B. V TERM

PYQ Bank — Unit 1 (questions only)

Q1 DEC 2024 · Q.1 · 15 MARKS (PROBLEM)

Sheetal, employed for eight years as a "senior sales executive" in a pharmaceutical company, was dismissed after a domestic inquiry for alleged misconduct. Her union raised a dispute; conciliation failed. The appropriate Government declined to refer the dispute, recording that (i) Sheetal, drawing ₹45,000 p.m. and supervising two junior salesmen, was not a "workman", and (ii) the inquiry appeared fair, so "no useful purpose would be served". Advise Sheetal on her remedies. Would your answer differ under the Industrial Relations Code, 2020?

◆ **Refer makelaweasy.in for detailed notes**, full model answers to every question below, additional case briefs, diagrams and revision material on this unit.

Q2 DEC 2024 · Q.4(A) · 10 MARKS

Explain the conciliation machinery for the settlement of industrial disputes. What is the legal effect of a settlement arrived at in conciliation and of a failure of conciliation? (Answer with reference to the IR Code, 2020 and the 2026 Rules.)

Q3 DEC 2024 · Q.4(B) · 10 MARKS

"An award of a voluntary arbitrator under the industrial law is not beyond the reach of judicial review." Discuss the grounds and the constitutional provisions under which such an award may be challenged.

Q4 MAY–JUNE 2025 · Q.1 · 15 MARKS

"The Industrial Tribunal is not a court, yet its award is a 'determination' by a 'tribunal' within Article 136 of the Constitution." Critically examine with reference to Bharat Bank Ltd. v. Employees . Has the Industrial Relations Code, 2020 altered the position?

Q5 MAY–JUNE 2025 · Q.4 · 15 MARKS (PROBLEM)
Workers of XYZ Ltd. allege that the employer imposed an illegal lock-out from 1 April and claim wages for the period. The dispute before the Industrial Tribunal is framed as: "Whether the lock-out declared by the management from 1 April is legal and justified; if not, to what relief are the workers entitled?" The employer pleads that the establishment was in fact permanently closed on 1 April owing to losses and that the Tribunal cannot go into "closure" as it is outside the dispute. Decide. Would your answer differ if the Central Government had referred the matter to the NIT?

Q6 MAY–JUNE 2025 · Q.8(A) · 5 MARKS (SHORT NOTE)
Voluntary arbitration under s.10A of the IDA [now s.42 of the IR Code, 2020].

Q7 MAY–JUNE 2025 · Q.8(C) · 5 MARKS (SHORT NOTE)
Powers of the Conciliation Officer.

Q8 NOV–DEC 2025 · Q.1 · 15 MARKS (PROBLEM)
The management of ABC Mills and the recognised union agreed in writing to refer their wage-revision dispute to Mr. J, a retired District Judge, as arbitrator under s.10A [s.42]. The agreement was forwarded to the Government and published; a majority notification was issued. Mr. J heard the parties and, without recording any evidence on the company's financial capacity and without giving reasons, rejected the union's demand. The union wants to challenge the award directly in the Supreme Court under Art. 136. Advise. Would your answer be the same if the award had been made by the Industrial Tribunal? Would it differ if the arbitration agreement had not been published?

Q9 NOV–DEC 2025 · Q.8(C) · 5 MARKS (SHORT NOTE)
Withholding publication of an award — Sirsilk Ltd. v. Government of Andhra Pradesh — and the position under the IR Code, 2020.

Q10 C.L.C. 2004/2006; L.C.-I 2002; C.L.C. 2000/2001; L.C.-I 2004/2006; L.C.-II 2002/2004/2005; L.C.-I 2005 (THREE VARIANTS COMBINED)
(a) "The Supreme Court has no jurisdiction to grant special leave to appeal from the award of an Industrial Tribunal as the latter is neither a court nor does it exercise the judicial power of the State." Comment. (b) "The Industrial Disputes Act is intended to be a self-contained Act and seeks to achieve social justice on the basis of conciliation, arbitration or adjudication. Notwithstanding the finality attached to the orders/awards of these authorities, it is still desirable that there be some forum to correct any misuse of power or procedural irregularities by such authorities." Do you feel Art. 136 has provided such a forum? Give reasons. (c) Discuss and define the jurisdiction of the Supreme Court vis-à-vis the determinations of industrial tribunals.

Q11 L.C.-I 2002; L.C.-II 2009 (VARIANT)
Are the decisions/orders of the following authorities appealable under Art. 136 before the Supreme Court? Give reasons: (i) Conciliation Officer; (ii) Arbitrator; (iii) Industrial Tribunal.

Q12 L.C.-I 2001; C.L.C. 2005
(a) In Bharat Bank the Supreme Court held that Industrial Tribunals are "tribunals" for the purposes of Art. 136. Discuss the reasons given in support. (b) "The Industrial Tribunal has, to use a well-known expression, 'all the trappings of a court' and performs functions which cannot but be regarded as judicial." Elucidate in the light of the provisions of the Act and the Rules.

Q13 L.C.-II 2000/2001; L.C.-I 2005 (SHORT NOTE)
"The different authorities constituted under the Act are set up with different ends in view and are invested with powers and duties necessary for the achievement of the purposes for which they are set up." Discuss the powers and functions of the various authorities for settlement and adjudication of industrial disputes. / Write a short note on the dispute-settlement machinery.

Q14 C.L.C. 2003/2006; L.C.-II 2004; L.C.-II 2005 (SHORT NOTES)
(a) Conciliation. (b) Distinction between the institutions of "Conciliation Officer" and "Board of Conciliation". (c) Duties of Conciliation Officers.

Q15 L.C.-I 2002/2003
How are Labour/Industrial Tribunals different from ordinary courts of law?

Q16 C.L.C. 2002; L.C.-I 2005
A company retrenched one workman by paying retrenchment compensation. The workman alleged victimisation and raised a dispute; conciliation failed; the Government refused to refer, stating that "the case did not disclose any legal flaw and was not a fit case for reference". Decide. Can a court in any situation direct the appropriate Government to make a reference?

Q17 L.C.-II 2001/2002/2005 (RECAST)
Describe the powers of the appropriate Government to refer industrial disputes for adjudication [IDA s.10(1)]. Has the IR Code, 2020 abolished the reference system? Evaluate the change.

Q18 JAIN, "FURTHER QUESTIONS" (UNDATED DU PAPER)
An award submitted by an arbitrator under s.10A [s.42] and published by the Government had gone against the union. What arguments would you advance on behalf of the union to challenge it, and in which forum?

LB-503 · INDUSTRIAL LAW (INCLUDING IDRA) · FACULTY OF LAW, UNIVERSITY OF DELHI · LL.B. V TERM

UNIT 02

Reference of the Industrial Dispute

◆ SYLLABUS COVERAGE

Reference of the industrial dispute · Nature and scope of the power of the Central Government under s.54, IR Code, 2020 · Jurisdiction of adjudicatory authorities · Defective reference.

◆ STATUTES & PROVISIONS

IR Code, 2020 · ss.46, 51, 54 · IDA, 1947 · ss.7B, 10, 10A, 12(5)

◆ PRESCRIBED CASE MATERIAL

FDC Ltd. v. Union of India (No. 3) · Telco Convoy Drivers Mazdoor Sangh v. State of Bihar (No. 4) · Sharad Kumar v. Govt. of NCT of Delhi (No. 5) · Tata Iron & Steel Co. v. State of Jharkhand (No. 7)

● PART I · 1. Unit 2 in the scheme of the Code — from "reference" to "application"

Under the Industrial Disputes Act, 1947 the **reference** was the hinge of the whole adjudication system. No Labour Court, Tribunal or National Tribunal could touch a dispute unless the **appropriate Government**, by an order in writing under (or for a National Tribunal, or after a conciliation failure report), *referred* it. Three consequences followed, and all three are the subject-matter of Unit 2:

1. **The nature and scope of the referring power** — is it administrative or judicial? can the Government refuse? on what grounds? can a court compel a reference? (*Telco Convoy*, *Sharad Kumar*; and for the National Tribunal, *FDC*).
2. **The jurisdiction of the adjudicating authority** — the Tribunal is a creature of the statute and of the reference; it "acquires jurisdiction on the basis of reference made to it" (*TISCO*, ¶18) and must confine itself to "the points specifically referred and matters incidental thereto" (; *DCGM*, *Express Newspapers*).
3. **Defective reference** — what happens when the Government drafts the reference badly: vaguely (*Sarathy*), one-sidedly so that it pre-judges the real dispute (*ITDC*, *Moolchand*, *TISCO*), for a demand never raised (*Sindhu Resettlement*), or to the wrong forum (*FDC*).

▸▸ Routes into adjudication under the Code

Party-driven (no reference):
application to Tribunal after conciliation failure
s.53(6)
R.23(9)
; individual worker after GRC/conciliation
; Trade-Union disputes
s.22
; s.90 complaints
s.91
; recovery
s.59(2)
; approval applications under the proviso to
s.90(2)

▸▸ Government-driven (reference survives)

Central Government → NIT
s.54
(opinion: national importance / establishments in more than one State) ·
withdrawal & transfer to NIT
s.92(2)
interpretation of award/settlement
s.95
(appropriate Government → Tribunal/NIT) ·
declaration postponing enforceability
of an award
s.55(3) proviso

▸▸ Consensual

Arbitration agreement
s.42
(Form V,
R.20
), before the dispute reaches the Tribunal; notification under s.42(5) binds non-signatories; arbitrator's award enforceable like a Tribunal award (Unit 1, §12).

▸▸ Where the DU cases now "live"

→ s.54/s.46 ·
Telco
Sharad Kumar
→ s.54 opinion-forming + jurisdictional facts left to Tribunal (s.44) ·
TISCO
DCGM
→ drafting of s.54 references and framing of issues on Form II applications (s.49 procedure).

⬢ 2. Statutory framework — the Code provisions and their IDA ancestors

IR CODE, 2020 — S.54 (THE PROVISION NAMED IN THE SYLLABUS)

54. Reference to and functions of National Industrial Tribunal.

(1) The Central Government may, by order in writing, refer to the National Industrial Tribunal any industrial dispute which, in the opinion of such Government, involves question of national importance or is of such a nature that industrial establishments situated in more than one State are likely to be interested in, or affected by, such dispute, for adjudication of the dispute, and the National Industrial Tribunal shall adjudicate such dispute.

(2) Where a dispute is referred to the National Industrial Tribunal under sub-section (1), it shall hold its proceedings expeditiously and shall submit its award within the period specified in the order of reference, or within such further period as the Central Government may extend.

(Paraphrased from the Gazette text; the marked phrases are the three statutory conditions that FDC extracts from the identically-worded IDA s.7B(1).)

S.46 — NATIONAL INDUSTRIAL TRIBUNAL (CONSTITUTION)

The Central Government may, by notification, constitute one or more National Industrial Tribunals for the adjudication of industrial disputes which, in its opinion, involve questions of national importance or are of such a nature that industrial establishments in more than one State are likely to be interested in or affected by them. The NIT consists of **two members** — a **Judicial Member** (a person who is or has been a Judge of a High Court) and an **Administrative Member** (a person who is or has been Secretary to the Government of India or holds an equivalent rank). The Judicial Member presides; selection procedure, salaries and terms are prescribed by rules (s.99(2)(zj)). Contrast : a one-member National Tribunal (a sitting or retired High Court Judge) with optional assessors.

S.92 — POWER TO TRANSFER CERTAIN PROCEEDINGS

(1) The appropriate Government may, by order in writing and for reasons to be stated, withdraw any proceeding pending before a Tribunal and transfer it to another Tribunal, which may proceed de novo or from the stage reached. **(2)** The Central Government may, by order in writing and for reasons to be stated, withdraw any proceeding pending before a Tribunal *constituted by the Central Government or the State Government* and transfer it to a **National Industrial Tribunal**. **(3)** The Central Government may, by notification and for reasons stated, empower a Tribunal constituted by a State Government to entertain and dispose of Central-sphere cases. (and the third proviso to s.10(1).) Sub-section (2) is the Code's substitute for IDA s.10(6): instead of an automatic quashing of State proceedings on an NIT reference, the Central Government must consciously withdraw and transfer, with reasons.

Code provision	Substance relevant to Unit 2	IDA ancestor / difference
s.2(b) appropriate Government	Central Government for railways, mines, oil fields, major ports, air transport, telecom, banking & insurance companies, Central PSUs and their subsidiaries/autonomous bodies, establishments under Central authority (incl. their contractors); the State Government for all others. Decides *which* Government's Tribunal has jurisdiction and which Government exercises ss.92(1), 95, 96.	— largely the same; the Code adds the "continues to be Central even if shareholding falls below 50%" explanation.
s.2(q) industrial dispute	Collective disputes + **individual** disputes about discharge, dismissal, retrenchment or termination (no espousal needed).	.
s.2(y), **s.2(zn)**	"National Industrial Tribunal" = one constituted under s.46; "Tribunal" = Industrial Tribunal under s.44.	.
s.44 Industrial Tribunal	Constituted by the appropriate Government; Judicial + Administrative Member; s.44(7): matters that **must** go to a two-member bench (standing orders, discharge/dismissal, legality of strike/lock-out, retrenchment/closure, Trade-Union disputes); s.44(9) vacancies.	— Labour Court/Tribunal split abolished; Second/Third Schedule allocation abolished.
s.45	Decisions of a Tribunal/NIT are final (subject to constitutional review).	Implied under IDA s.17(2) finality of awards.
s.47	Difference of opinion between the two members → referred to the Judicial Member of another Tribunal/NIT (as notified).	New.
s.48	Disqualifications: not independent; age 65 years.	.
s.49	Procedure and powers: civil-court powers (summoning, evidence, commissions), entry, assessors, costs, execution as a decree under Order XXI CPC; NIT included.	.
s.50	Power to give appropriate relief in discharge/dismissal cases; **interim relief**.	+ *Hotel Imperial* incidental power.
s.51	Transfer of pending IDA proceedings to the new authorities.	Savings provision.
s.53(6) + **R.23(9)**	After a failure report, a party applies to the Tribunal (Form II) within 90 days.	Replaces reference.
s.4(9)–(11), **s.53(1) proviso**	Individual grievances: application to the Tribunal after conciliation; 2-year outer limit from the date the dispute arose (no conciliation after two years).	Replaces (45 days / 3 years).

s.54	Central Government → NIT reference (above).	(+ 7B). Dropped: "at any time", "whether or not it is the appropriate Government", "exists or is apprehended", and IDA s.10(6)–(7).
s.55	Award within period fixed; communication; enforceable after 30 days; Government (Central for NIT) may by notification postpone enforceability on national-economy/social-justice grounds — order laid before the legislature within 90 days; award effective 15 days after laying.	.
s.57	Award binding on the parties, on parties summoned to appear (unless summoned without proper cause), successors of the employer, and all present and future workers.	; used in *Sarathy* to bind the four non-disputing theatres.
s.62(1)(e)-(f), **s.90**	Strikes/lock-outs prohibited during Tribunal/NIT proceedings and 60 days after; conditions of service frozen during pendency.	; IDA s.10(3) prohibition order has no Code equivalent.
s.91	Complaint of a s.90 breach is adjudicated by the Tribunal/NIT "as if it were a dispute referred to or pending before it".	.
s.95	Reference by the appropriate Government of a question of interpretation of an award/settlement to a Tribunal or NIT; decision final and binding.	.
s.97	Civil courts' jurisdiction barred; no injunction against anything done under the Code.	New in express terms (IDA relied on *Premier Automobiles*).
s.100	Delegation of powers by notification (Central → subordinate officer or State Government; State → subordinate officer).	— the reason a Deputy Labour Commissioner could speak for the State in *Telco*.
s.102	Amends the Finance Act, 2017 (Eighth Schedule) so that the Central Industrial Tribunal under s.44(1) continues as the appellate tribunal under the EPF & MP Act, 1952.	Finance Act 2017 merger of the EPF Appellate Tribunal into CGITs.

THE IDA PROVISION EVERY DU CASE CONSTRUES — S.10 (WITH S.12(5)) IN SUB-SECTION FORM

- **s.10(1)** — "Where the appropriate Government is *of opinion* that any industrial dispute *exists or is apprehended*, it may *at any time*, by order in writing," (a) refer the dispute to a Board; (b) refer any matter connected with or relevant to it to a Court of Inquiry; (c) refer it, if it relates to a Second-Schedule matter, to a Labour Court; (d) refer it, whether Second or Third Schedule, to a Tribunal. **First proviso**: a Third-Schedule dispute not likely to affect more than 100 workmen may go to a Labour Court. **Second proviso**: in a public utility service where a s.22 notice has been given, the Government *shall* refer unless the notice is frivolous or vexatious or reference is inexpedient. **Third proviso**: the Central Government may refer to a State-constituted Labour Court/Tribunal.
- **s.10(1A)** — Central Government, "whether or not it is the appropriate Government", may at any time refer a dispute involving a question of national importance or of multi-State interest to a **National Tribunal** (the direct ancestor of Code s.54).
- **s.10(2)** — on a joint application by the parties (representing the majority of each side) the Government *shall* refer.
- **s.10(2A)** — the order may fix the period for the award (three months for individual-workman disputes; extendable; no lapse on expiry).
- **s.10(3)** — on making a reference the Government may prohibit the continuance of any strike or lock-out connected with the dispute.
- **s.10(4)** — "Where … the appropriate Government has specified the points of dispute for adjudication, the Labour Court or the Tribunal or the National Tribunal … **shall confine its adjudication to those points and matters incidental thereto**."
- **s.10(5)** — the Government may, at the time of reference or later but before the award, include other establishments or classes of establishments likely to be interested in or affected by the dispute, "whether or not at the time of such inclusion any dispute exists or is apprehended" in them.
- **s.10(6)** — once a matter is referred to a National Tribunal, no Labour Court or Tribunal (Central or State) has jurisdiction over it; pending proceedings on that matter are deemed quashed; the appropriate Government cannot refer it elsewhere.
- **s.10(7)** — for a National Tribunal reference in a State-sphere dispute, "appropriate Government" in ss.15, 17, 19, 33A, 33B, 36A means the Central Government.
- **s.10(8)** — no proceeding lapses on the death of a workman party; the award is still made.
- **s.12(5)** — on the failure report, "if … the appropriate Government is satisfied that there is a case for reference … it may make such reference. Where [it] does not make such a reference it shall **record and communicate** to the parties concerned its reasons therefor."
- **s.7B** — constitution of National Tribunals (quoted in *FDC* ¶7): one member, High Court Judge; two assessors optional.
- **s.33B** — withdrawal of a pending proceeding from one authority and transfer to another (the only "withdrawal" the Act allowed — *D.N. Ganguly*).

◆ PART II · 4. Anatomy of s.54 — elements of the Central Government's power

Section 54 is short, but every word in it has a history in the IDA cases. Break it into its **seven components**; an examiner who asks "discuss the nature and scope of the power of the Central Government under s.54" is asking you to walk through these components with authority for each.

Component	What the Code says / requires	Authority & comment
1. Who	"The **Central Government**" — not "the appropriate Government". Power exercisable through officers/authorities to whom it is delegated by notification under **s.100**. In practice the Ministry of Labour & Employment issues the order (in *FDC* the notification of 22.5.2001 was issued by the "Government of India, Ministry of Labour").	Under the Central Government could refer "whether or not it is the appropriate Government"; the Code omits the phrase but the result is the same because s.46 lets only the Central Government constitute an NIT and s.92(2) lets it pull a State-Tribunal case into the NIT. *FDC* itself concerned a pharmaceutical company in the State sphere.
2. Subject-matter	"any **industrial dispute**" — must satisfy **s.2(q)**: a dispute or difference between employers and workers (or employers/employers, workers/workers) connected with employment, non-employment, terms of employment or conditions of labour, including an individual worker's termination dispute.	The dispute must *exist* as a dispute: a demand must have been raised and refused (*Sindhu Resettlement*, quoted in *TISCO*); it may be one that is "apprehended" (*Sarathy* — the Code drops the words "exists or is apprehended" but s.53(1) keeps them for conciliation, and nothing in s.54 requires an actual strike). Whether the persons are "workers" or the enterprise an "industry" are disputed facts for the NIT, not for the Government (*Telco*, *Sharad Kumar*).

3. Condition A	"involves **question of national importance**".	*FDC* ¶9: a dispute "where some important question of law is involved which is going to affect the fate of the workmen in general throughout India or fate of the employers throughout India … which would determine the future course or future service conditions or future relationship of working class in general or the employers in general" — e.g., whether a hospital or a research institute is an "industry"; a dispute affecting "large scale of identical or unidentical workmen". **Not**: a cluster of fact-bound individual terminations.
4. Condition B	"of such a nature that **industrial establishments situated in more than one State** are likely to be interested in, or affected by, such dispute".	*FDC* ¶9: means establishments "of the same nature or diverse nature but they must not be of same group or family"; "if one establishment has branches in different States … that would be one establishment having branches or factories in different States", not "different establishments in different States". The banking wage disputes (many banks, all States) satisfy it; one company's medical representatives posted in many States do not.
5. The opinion	"in the **opinion** of such Government" that A or B is satisfied. Subjective in form but must be an opinion actually formed, on material, on the correct legal meaning of A/B.	*FDC* ¶8: the third pre-requisite is that "the Central Government has formed an opinion that either of the above two situations was there"; ¶12: "there was no application of mind before passing the order". *Sarathy*: the court will not weigh the sufficiency of the material; *K.P. Krishnan/Barat*: but it will strike down an opinion based on irrelevant/extraneous considerations or a misreading of the statute.
6. Form	"by **order in writing**" — in practice a Gazette notification (s.2(za)) which (i) refers the dispute, (ii) states the points of dispute (the "terms of reference") and (iii) fixes the period for the award (s.54(2)). The NIT must already be constituted under s.46 (or is constituted by the same notification, as in *FDC*).	The order must be drafted carefully: "the questions which are intended to be tried … should be so worded as to leave no scope for ambiguity or controversy" (*Express Newspapers*, quoted in *TISCO* ¶16); it must not presuppose contested facts (*TISCO*, *ITDC*). A general reference naming an industry rather than each dispute is valid if the dispute is identifiable (*Sarathy*).
7. Consequences	(i) NIT "shall adjudicate" (duty, not discretion) — s.54(1); (ii) proceedings "expeditiously", award within the period fixed or extended — s.54(2); (iii) strikes/lock-outs barred during pendency + 60 days — s.62(1)(e)–(f); (iv) conditions of service frozen — s.90; (v) award in writing, communicated, enforceable after 30 days unless the Central Government postpones it — s.55; binding — s.57; operative one year — s.58; (vi) recovery — s.59; execution — s.49(9); (vii) related proceedings in a Tribunal may be withdrawn to the NIT — s.92(2); (viii) review only under Arts. 226/227/136 — *FDC* ¶11.	Under the IDA, s.10(6) automatically quashed parallel State proceedings; the Code requires a reasoned s.92(2) transfer — a point to make when comparing "scope".

▸ 4.1 The National Industrial Tribunal that receives the reference (s.46) — related provisions

Constitution — By the Central Government by notification; "one or more" NITs; two members (Judicial Member — High Court Judge, presiding; Administrative Member — Secretary to the Government of India rank). Under the IDA, one member only (High Court Judge) with optional assessors (s.7B(4)); *FDC* records that the NIT sat at Calcutta "because the presiding officer was to be of a status of a High Court Judge and only a Judge of Calcutta High Court was available" (¶6).

Powers & procedure — Same as a Tribunal: **s.49** (civil-court powers, entry, assessors, costs, execution), **s.50** (relief, interim relief), **s.47** (difference of opinion → Judicial Member of another Tribunal/NIT), **s.48** (disqualifications), **s.94** (representation; lawyers only with consent and leave).

Time-frame — Award within the period in the order of reference or as extended (s.54(2)); communicated to the parties and the Central Government (s.55); enforceable after 30 days (s.55(3)) unless postponed by notification on grounds of national economy or social justice — order laid before Parliament within 90 days; award enforceable 15 days after laying (s.55(4)–(5) pattern of IDA s.17A).

Status vis-à-vis High Courts — *FDC* ¶11: "The plea … that the National Tribunal has status of a High Court, is not correct. The National Tribunal and State Tribunals have same status. Both are industrial tribunals and a writ under Articles 226 and 227 … lies against the decision of the National Tribunal as well." Relevance: the Government cannot use s.54 to insulate a dispute from judicial review; and territorial jurisdiction of the High Court follows the cause of action/seat of the NIT (Art. 226(2)).

Relationship with Tribunals — Code: **s.92(2)** — Central Government may withdraw a proceeding pending before *any* Tribunal (Central- or State-constituted) and transfer it to the NIT, with reasons; the NIT may proceed de novo or from the stage reached. IDA: — automatic ouster and deemed quashing. Exam point: the Code's version demands a reasoned, reviewable order and does not quash pending proceedings *ipso jure*.

Rules — **IR (Central) Rules, 2026**: procedure for selection, salaries and terms of NIT members (s.99(2)(zj)); additional civil-court powers (s.99(2)(zk)); e-portal filing and service (**R.46–47**); Form II applications go to the Tribunal, not the NIT — the NIT receives disputes only by reference (s.54) or transfer (s.92(2)) or a s.95 interpretation reference or a s.91 complaint in a pending matter.

⬢ 5. Nature of the power — administrative, discretionary, subjective, but not unfettered

The DU cases settle the **character** of the referring power (whether under IDA s.10(1)/12(5) or, identically, under s.7B/10(1A) and now s.54). The propositions below are cumulative; cite them in this order.

Proposition	Content and authority
1. Administrative, not judicial or quasi-judicial	"While exercising power under Section 10(1) of the Act, the function of the appropriate government is an administrative function and not a judicial or quasi-judicial function" — *Telco Convoy* ¶12, following *State of Madras v. C.P. Sarathy*, AIR 1953 SC 53 and *Bombay Union of Journalists v. State of Bombay*, AIR 1964 SC 1617. Consequences: no *lis* before the Government; no obligation to hear the parties before referring or refusing (*Sultan Singh v. State of Haryana*, (1996) 2 SCC 66; *Avon Services Production Agencies v. Industrial Tribunal, Haryana*, AIR 1979 SC 170); no Art. 136 petition against the Government's order because it is not a "tribunal" (*Bharat Bank* test; *Jaswant Sugar Mills*) — the remedy is Art. 226.
2. Founded on the Government's subjective opinion	The Government "should satisfy itself, on the facts and circumstances brought to its notice, … that an industrial dispute exists or is apprehended"; "the factual existence of a dispute or its apprehension and the expediency of making a reference are matters entirely for the government to decide"; the High Court cannot examine whether there was material to support the conclusion (the four *Sarathy* propositions). Under s.54 the opinion is about the two statutory conditions (*FDC*).

3. Discretionary — "may", not "shall"	IDA s.10(1) and s.12(5) used "may"; so does s.54(1). Exceptions under the IDA: public-utility s.22 notice (second proviso — "shall unless..."), joint application s.10(2) ("shall"). The Code has no "shall refer" situations because the parties can themselves apply; the only mandatory step is that once a s.54 reference is made "the National Industrial Tribunal *shall* adjudicate".
4. A screening power, not an adjudicating power	"The formation of opinion as to whether an industrial dispute 'exists or is apprehended' is not the same thing as to adjudicate the dispute itself on its merits" — *Telco* ¶10. The Government "cannot delve into the merits of the dispute and take upon itself the determination of the *lis*, which would certainly be in excess of the power conferred on it" — ¶12. Whether the claimants are workmen (*Telco*), whether the claimant's duties make him a workman despite his designation (*Sharad Kumar* ¶31), whether employees were "transferred" or taken over by a new employer (*TISCO* ¶11, ¶20), whether a termination was justified (*Ram Avtar Sharma v. State of Haryana*, AIR 1985 SC 915) — all are for the Tribunal.
5. But a prima facie look is permitted	The Government may decline where the claim is "either perverse or frivolous" (*M.P. Irrigation Karamchari Sangh v. State of M.P.*, (1985) 2 SCC 103, applied in *Telco* ¶13), patently stale, or plainly not an industrial dispute (e.g., no demand at all — *Sindhu*); it may consider whether the claim is "prima facie ... frivolous or ... not an industrial dispute" (*Bombay Union of Journalists*). "The government should be very slow to attempt an examination of the demand with a view to declining reference and courts will always be vigilant whenever the government attempts to usurp the powers of the Tribunal" (*Telco* ¶13).
6. Exercisable "at any time"; no limitation; reconsideration allowed	IDA s.10(1) said "at any time": no limitation period (*Shalimar Works v. Workmen*, AIR 1959 SC 1217), though a dead or stale dispute should not be referred (*Nedungadi Bank Ltd. v. K.P. Madhavankutty*, (2000) 2 SCC 455 — reference after seven years quashed). A refusal is not final: the Government may reconsider and refer later on the same or fresh material (*Western India Match Co. v. Western India Match Co. Workers Union*, AIR 1970 SC 1205; *Avon Services*, 1979; *Telco* — the Supreme Court itself sent the matter back for reconsideration, ¶8). The Code omits "at any time" from s.54 but, being a Government reference, no limitation applies to it either; contrast the party-driven routes (90 days / 2 years).
7. Once made, cannot be withdrawn or cancelled	*State of Bihar v. D.N. Ganguly*, AIR 1958 SC 1018: the Act contains no power to cancel or supersede a reference; s.21 General Clauses Act is excluded by the scheme (the parties' rights under ss.15, 17, 19, 33 attach on reference); a settlement reached during pendency is to be recorded by the Tribunal as an award. The only "withdrawal" is withdrawal-and-transfer under — now **s.92**. A *second* reference during the pendency of the first is valid — and is neither a withdrawal nor a supersession of the first — when it comprises matters totally unconnected with or different from those originally referred (*State of Maharashtra v. K.E. Union*, AIR 1955 SC 635); the Government may thus refer disputes piecemeal as exigencies demand (*F.M. Chakravarty v. State of Assam*, AIR 1960 Assam 11) and add items to a pending reference. What it cannot do is split *connected* matters between a Labour Court and a Tribunal at the same time (the *Textile Finishing Mills* case, (1964) I LLJ 460 (SC), cited by Jain) — a point now moot under the Code's single Tribunal.
8. Can be amended, clarified and enlarged	The Government may correct clerical errors, add parties or establishments (), and modify the terms of reference before the award (*Bombay Gumasta Union v. M.R. Bhope*, 1995 — the Bombay High Court upheld an amendment substituting the correct employer). Under the Code the s.54 order can likewise be amended by a further order (s.21 General Clauses Act applies to amendment as opposed to cancellation), and the NIT can itself implead necessary parties through its civil-court powers (s.49) — *TISCO* ¶11 ("M/s Lafarge also becomes a necessary party").
9. Reasons: none required for a reference; required for a refusal	IDA s.12(5) obliged the Government to "record and communicate" reasons for *not* referring after conciliation failure; *K.P. Krishnan* held that those reasons must be germane, else mandamus lies. A reference itself need not be a speaking order (*Sarathy*), but for an NIT reference *FDC* ¶4–¶12 effectively requires that the record "sufficiently demonstrate that there was basis for forming such an opinion" — because the two conditions are jurisdictional. Under the Code there is no refusal-to-refer stage for ordinary disputes; for s.54 the safe course is a reasoned order.
10. Not an appellate or supervisory power over the Tribunal	The Government cannot direct the Tribunal how to decide, cannot review the award (except the limited s.55(3) proviso postponement on economic grounds and the s.95 interpretation reference), and cannot "adjudicate" through the drafting of the reference (*TISCO* ¶20: by presupposing facts "the appropriate Government has itself decided those contentious issues and assumed the role of an adjudicator").

◆ 6. Limits on the power and judicial review — grounds, standard, remedies

Because the power is administrative and subjective, the courts review it on **administrative-law grounds**, not on merits. The DU cases supply a ground each: *Telco* (usurpation of adjudication), *Sharad Kumar* (extraneous/irrelevant consideration — designation), *FDC* (non-application of mind; jurisdictional condition misread), *TISCO* (reference that pre-judges the dispute). Jain's textbook collects the grounds on which a reference or a refusal has been struck down; the table merges them with the DU cases.

#	Ground of challenge	Illustration / authority	Remedy usually granted
1	Order by the wrong Government (not the appropriate Government) or by an officer without delegation	State refers a banking dispute; officer acts without a s.39/s.100 notification. (Jain, ground (i)); under the Code a *State* Government cannot refer at all — any purported State "reference" is a nullity.	Certiorari; proceedings before the Tribunal are without jurisdiction
2	Opinion based on extraneous or irrelevant considerations; or relevant considerations ignored	*K.P. Krishnan* (refusal because the workmen had resorted to go-slow — punitive and foreign to s.12(5)); *Sharad Kumar* ¶31 (designation "extraneous to the matters relevant"); *FDC* (keeping the matter beyond High Courts; harmonising awards — not statutory criteria).	Quash + mandamus to reconsider (*K.P. Krishnan*) or, after persistent refusal, a direction to refer (*Telco* ¶15–16; *Sharad Kumar* ¶32)
3	No material at all / no dispute in existence	Reference where no demand was ever made on the employer (*Sindhu Resettlement*); reference of a dispute already finally settled or adjudicated; reference of a "dead" dispute after inordinate delay (*Nedungadi Bank*). Distinguish insufficiency of material — not reviewable (*Sarathy*).	Certiorari quashing the reference; Tribunal may also hold the reference incompetent as a preliminary point
4	Non-application of mind / mechanical order	*FDC* ¶10–¶12: 24 of 58 "dismissed" workmen had raised no dispute, 4 had resigned, 2 were still employed, 9 were probationers and 6 trainees; "it is apparent that there was no application of mind".	Notification set aside
5	Mala fides / colourable exercise	Reference made to punish an employer or to pre-empt a court; *FDC* pleaded mala fides (¶3) though decided on non-application of mind. Burden on the challenger (*British India Corporation v. Industrial Tribunal, Punjab*, AIR 1957 SC 354).	Quash
6	Subject-matter outside the statute — not an "industry", not "workers", not an "industrial dispute"	Only where *patent*: e.g., a purely spiritual institution; a dispute between two employers about a contract. Where the status is *disputed*, the Government must refer and let the Tribunal decide (*Telco*, *Sharad Kumar*, *TISCO* ¶11); it may refuse only where refusal rests on a proper examination of the record (*Indian Tea Assn. v. Ajit Kumar Barat* — refusal upheld where the management-grade status was clear on record).	Quash the refusal and direct reconsideration/reference; or (rarely) quash a reference

7	Reference to the wrong forum / forum without jurisdiction	IDA: Third-Schedule dispute affecting >100 workmen sent to a Labour Court; **Code: dispute lacking national importance/multi-State character sent to the NIT (*FDC*)**; single-member bench deciding a s.44(7) matter.	Quash; parties relegated to the proper forum
8	Government decides the dispute instead of referring it (usurpation)	*Telco* ¶10–¶14 (workman status decided by Deputy Labour Commissioner on a 1973 law-department opinion); *Ram Avtar Sharma* (merits of termination decided); *Union Bank of India Employees Union v. Union of India*, 2003 I LLJ 171 (Bom).	Direction to refer (*Telco*) or to reconsider
9	Reference contrary to law / pre-judging the real dispute / vague or ambiguous terms	*ITDC* (lock-out presumed), *Moolchand* (strike v. lock-out presumed), *TISCO* ("transfer" presumed; Lafarge omitted); vagueness — *Sarathy* (upheld where the dispute was identifiable), *ITC Ltd. v. Workmen* (Monghyr), AIR 1978 SC 1428 (reference read in the light of the pleadings).	Quash with liberty/direction to make a fresh reference within a fixed time (*TISCO*: two months)
10	Discrimination — Article 14	Identical disputes of similarly situated workmen referred for some and refused for others without rational basis (*D.C. & G.M. v. Shambhu Nath Mukherjee*, AIR 1978 SC 8).	Direction to refer
11	Refusal without recorded/ communicated reasons (IDA s.12(5))	Bare refusal; or reasons supplied for the first time in the writ petition; *Telco* ¶3 — the Single Judge faulted the Deputy Labour Commissioner's letter for citing a 1973 opinion "without indicating in what context".	Mandamus to decide afresh with reasons
12	Reference after the parties have settled / arbitration agreement notified	Settlement in conciliation binds under s.57(3); arbitration under s.42(5) notification excludes adjudication (Unit 1); a reference of a settled matter is incompetent unless the settlement is itself in dispute (which is then the referable dispute).	Quash; or the Tribunal records the settlement

7. Case 3 — FDC Limited v. Union of India & Ors. , 136 (2007) DLT 266 : (2007) 2 LLJ 413 (Del) — DU material pp. 31–34

CASE — DELHI HIGH COURT · SHIV NARAYAN DHINGRA, J. · WRIT PETITION UNDER ART. 226 · "S.54 IR CODE PARI MATERIA WITH S.7B IDA"

(Brief abridged for the compilation — full text at makelaweasy.in.)

8. Case 4 — Telco Convoy Drivers Mazdoor Sangh v. State of Bihar , (1989) 3 SCC 271 : AIR 1989 SC 1565 — DU material pp. 35–39

CASE — SUPREME COURT · M.M. DUTT, J. (FOR THE BENCH) · APPEAL BY SPECIAL LEAVE FROM THE PATNA HIGH COURT (RANCHI BENCH)

(Brief abridged for the compilation — full text at makelaweasy.in.)

SUPPORTING CASE RELIED ON IN TELCO — M.P. IRRIGATION KARAMCHARI SANGH V. STATE OF M.P. , (1985) 2 SCC 103

Daily-rated employees of the M.P. Irrigation Department demanded regularisation and equal pay; the State refused a reference, holding that the demands were unjustified. The Supreme Court held that the Government cannot "sit in judgment over the demands" or refuse a reference on the ground that the claim is unsustainable on merits; only where, on a proper examination, the demands are "perverse or frivolous" may it decline; and the courts "will always be vigilant whenever the government attempts to usurp the powers of the Tribunal". The Court directed a reference. **Use:** it is the source of both the exception and the warning quoted in *Telco* ¶13.

9. Case 5 — Sharad Kumar v. Govt. of NCT of Delhi , (2002) 4 SCC 490 : AIR 2002 SC 1724 — DU material pp. 40–44

CASE — SUPREME COURT · D.P. MOHAPATRA, J. · APPEAL FROM THE DELHI HIGH COURT'S ORDER OF 10-7-2000 · (DU EXTRACT OMITS ¶¶11–15, 17, 21–30, WHICH SURVEY THE PRECEDENTS)

(Brief abridged for the compilation — full text at makelaweasy.in.)

PART III · 11. Jurisdiction of adjudicatory authorities — sources and kinds

"Jurisdiction" of an industrial adjudicator has to be examined on **five axes**. The DU cases speak to the first and the fourth (*TISCO* ¶18: the Tribunal "is a creature of that statute. It acquires jurisdiction on the basis of reference made to it"; *Telco*/*Sharad Kumar*: jurisdictional facts are for the Tribunal); the Code supplies the rest.

▸▸ 1 · Source (how the matter comes in)

Tribunal (s.44):
Form II application after conciliation failure
s.53(6)
R.23(9)
· individual grievance route
· Trade-Union disputes
s.22
· approval applications
s.90(2) proviso
· complaints
s.91
· money claims
s.59(2)
· interpretation reference
s.95
· transfers
s.92(1),(3)
· TU appeals
s.10
, standing-orders appeals (Ch. IV) · EPF appeals (Finance Act 2017; Code
s.102
NIT (s.46):
only by
s.54
reference,
s.92(2)
transfer,
s.95
, or
s.91
in a pending matter.
Arbitrator (s.42):
only by agreement.

▸▸ 2 · Subject-matter

An "industrial dispute"
s.2(q)
in an "industry"
s.2(p)
between "employer"
s.2(m)
and "worker"
s.2(zr)
, or the specific matters listed in axis 1. Excluded: matters of purely civil/contractual nature outside the Code (but
s.97
bars civil courts wherever the Code applies); sovereign functions, domestic service, charitable institutions etc. excluded from "industry".

▸▸ 3 · Territorial / "which Government"

Central v. State Tribunal fixed by the
appropriate Government
s.2(b)
; within a Government's sphere by the notification constituting the Tribunal for an area (e.g., 22 Central Government Industrial Tribunals; State Tribunals district/zone-wise); the Central Government may empower a State Tribunal for Central matters
s.92(3)
. Cause of action = where the worker worked / the order took effect.

▸▸ 4 · Scope (how far it may go)

Confined to the points in the reference/application
and matters incidental thereto
IDA s.10(4)
principle —
DCGM
Express Newspapers
National Engineering
TISCO
); but full power to decide its own jurisdictional facts (
Telco
Sharad Kumar
), to grant interim relief
s.50
Hotel Imperial
), to re-appraise punishment
s.50
, to award costs, to execute
s.49

▸▸ 5 · Time & composition

Limitation: 90 days from the failure report (Form II); 2 years from the date the individual dispute arose (s.53(1) proviso; s.4); none for s.54 references (but
Nedungadi
). Composition: two-member bench mandatory for s.44(7) matters (standing orders; discharge/dismissal; legality of strike/lock-out; retrenchment/closure; TU disputes); otherwise a single member may sit; disqualification/age
s.48
; difference of opinion
s.47

S.44 — INDUSTRIAL TRIBUNAL (THE ORDINARY ADJUDICATOR) — SUB-SECTION MAP RELEVANT TO JURISDICTION

- **44(1)** — the appropriate Government may, by notification, constitute one or more Industrial Tribunals for the adjudication of industrial disputes and for performing such other functions as may be assigned to them under the Code (the "other functions" are the axis-1 list above). Central Tribunals continue to function as EPF appellate tribunals (s.102).
- **44(2)–(6)** — two members: Judicial Member (District Judge / High Court Judge qualifications) and Administrative Member (Deputy Secretary/Joint Secretary rank etc.); qualifications, appointment, salaries and terms — for Central Tribunals per the Finance Act, 2017 s.184 / Tribunals Reforms Act, 2021 framework; for State Tribunals per State rules.
- **44(7)** — matters that **shall** be heard by a bench of both members: (i) standing orders; (ii) discharge or dismissal of a worker including reinstatement/back-wages; (iii) legality of a strike or lock-out; (iv) retrenchment/closure (Chs. IX–X); (v) Trade-Union disputes (s.22); other matters may be heard by a single member as the Government notifies — a **composition** limb of jurisdiction; an award of a single member in a dismissal case is without jurisdiction.
- **44(8)–(9)** — procedure for distribution of business and for vacancies (proceedings continue).
- **45** — decisions final. **47** — difference of opinion → notified Judicial Member. **48** — disqualifications. **49** — procedure/powers. **50** — relief and interim relief. **51** — pending IDA proceedings transferred to the corresponding Tribunal.

⬢ 12. Scope of adjudication — ”points of dispute” and ”matters incidental thereto”

said that where the Government has specified the points of dispute, the adjudicator "shall confine its adjudication to those points and matters incidental thereto". The Code has no verbatim s.10(4), but the rule survives in three ways: (i) for the NIT — the s.54 order of reference defines the dispute; (ii) for the Tribunal — the Form II application and reply define the *lis* (a Tribunal is "a creature of the statute" that cannot adjudicate what is not before it — *TISCO* ¶18; *National Engineering Industries v. State of Rajasthan*, (2000) 1 SCC 371); (iii) as a principle of natural justice — no party can be condemned on a case it was never called upon to meet. The content of "incidental" comes from the cases.

CASE — DELHI CLOTH & GENERAL MILLS CO. LTD. V. WORKMEN , AIR 1967 SC 469 (FORMER DU CASE 6 — NOT IN THE 2026 LIST BUT INDISPENSABLE)

(Brief abridged for the compilation — full text at makelaweasy.in.)

Case	What was held ”incidental” (within jurisdiction) or not	Use
Management of Express Newspapers (P) Ltd. v. Workers, AIR 1963 SC 569 : (1962) II LLJ 227 (quoted in *TISCO* ¶16)	The stoppage at the Madras unit was described by the workmen as a lock-out and by the management as a *closure*. The Court held that the Tribunal could test whether the action was a lock-out or a closure because the phraseology of the reference, "construed reasonably, not pedantically", left that question open; but it warned that s.10(4) limits the Tribunal "to the point specifically mentioned in the reference and matters incidental thereto", so "the appropriate Government should frame the relevant orders of reference carefully … so worded as to leave no scope for ambiguity or controversy. An order of reference hastily drawn or drawn in casual manner often gives rise to unnecessary disputes and thereby prolongs the life of industrial adjudication".	Duty to draft; the origin of the *TISCO* rule. Distinguished in *DCGM*: there the reference did *not* leave the question open.

Pottery Mazdoor Panchayat v. Perfect Pottery Co., AIR 1979 SC 1356 : (1979) 3 SCC 762	Reference: whether the *closure* was proper and justified and what relief. Held: the Tribunal could not go into whether there was in fact a closure — the reference proceeded on the footing that there was one; it could only examine the propriety/ justification and consequential relief.	Confirms *DCGM*; the assumption in the reference binds.
Hotel Imperial v. Hotel Workers' Union, AIR 1959 SC 1342	Power to grant **interim relief** (e.g., subsistence wages to suspended workmen) is incidental to the power to grant the final relief claimed — the Tribunal may award it even though the reference does not mention it, provided it is not the whole relief in advance.	Incidental powers; now express in **s.50**.
Precision Bearings India Ltd. v. Baroda Mazdoor Sabha, (1978) I LLJ 170 (SC)	The Government had *specifically omitted* the demand for "High Cost Allowance" from the reference. Held: it fell outside the Tribunal's jurisdiction to grant it — a demand the Government deliberately declined to refer cannot be brought in as "incidental".	Outside = deliberately excluded items; pairs with *Burma-Shell* (clerical-staff grievances not referred → no authority) and *Hochtief Gammon v. Industrial Tribunal, Bhubaneswar*, AIR 1964 SC 1746 / *Western India Match Co. v. Industrial Tribunal*, AIR 1958 SC 398 (award beyond the terms is ultra vires).
Agra Electric Supply Co. v. Workmen, (1983) I LLJ 304	Cited (Jain) for the proposition that a reference must be construed reasonably in the light of the demand and the conciliation record, and that relief consequential on the point referred is within jurisdiction.	Construction of references; pairs with *Jaipur Udyog* and *ITC Monghyr*.
Jaipur Udyog Ltd. v. Cement Works Karmachari Sangh, AIR 1972 SC 1352	The scope of a reference "has to be gathered from the circumstances preceding the Government order" — the demand, the conciliation proceedings and the failure report; an ambiguous order is read in that light, but the Tribunal still cannot adjudicate a demand that was never part of the dispute.	Construction of references; with *ITC Monghyr* and *Agra Electric*.
Delhi Administration v. Workmen of Edward Keventers, AIR 1978 SC 976	Concerned the Government's ancillary power under to prohibit the continuance of a strike/lock-out on making a reference. The management's case was that the dairy had been *closed*, the workmen's that it was a *lock-out*. Held: a s.10(3) order presupposes an existing strike or lock-out connected with the dispute referred; the Government cannot, through such an order, pre-judge the disputed question whether the stoppage was a closure or a lock-out — that is for the Tribunal.	Government must not decide, through ancillary orders or the wording of the reference, what the Tribunal has to decide — a cousin of *TISCO*. (No s.10(3) under the Code; s.62 bars strikes/lock-outs automatically.)
ITC Ltd. (Monghyr) v. Workmen, AIR 1978 SC 1428	An inartistically worded reference was read in the light of the demand and the failure report to identify the real dispute; a reference is not to be construed pedantically so as to defeat adjudication of the dispute actually raised (following *Sarathy*'s tolerance of general/vague references where the dispute is identifiable).	Purposive construction of an ambiguous reference; the "curable" end of the defect spectrum.
National Engineering Industries Ltd. v. State of Rajasthan, (2000) 1 SCC 371 (cited in *TISCO* ¶18)	The Tribunal "has to confine itself within the scope of the subject matter of reference and cannot travel beyond the same"; a settlement covering the referred matter could be examined but the Tribunal could not adjudicate a demand outside the reference.	Modern restatement.
Workmen v. Hindustan Lever Ltd., AIR 1984 SC 1683 · *River Steam Navigation Co. v. Workmen*, 1990 Lab IC 675 (Cal) · *D.P. Maheshwari v. Delhi Administration*, (1983) 4 SCC 293	Tribunals should not entertain hyper-technical preliminary objections to the terms of reference to stall adjudication; the reference should be read to advance the object of the Act; preliminary issues should ordinarily be decided with the merits, not piecemeal with writs at each stage.	The counter-current: defective-reference pleas must be genuine (*TISCO*) not obstructive.

◆ 13. Jurisdictional facts, preliminary objections, transfers and the civil-court bar

Jurisdictional facts —Facts on which the existence of jurisdiction depends — status of parties, existence of an industrial dispute, existence of an "industry", the appropriate Government. Under the IDA the Government took a *prima facie* view for reference; the Tribunal decided finally (*Dharangadhra Chemical Works v. State of Saurashtra*, AIR 1957 SC 264 — "workman" status is a question of fact for the Tribunal). Under the Code the Tribunal decides from the start; a s.54 reference does not conclusively establish them either (*TISCO* — Lafarge/TISCO status remained open on a properly worded reference).

Preliminary objections —Permitted (the Tribunal may frame a preliminary issue), but the Supreme Court has repeatedly deprecated the practice of deciding preliminary issues first and then approaching the High Court, which "prolongs the life of industrial adjudication" (*Express Newspapers*; *D.P. Maheshwari*: "it was just the sort of dispute which should not have been allowed to be decided as a preliminary issue"). *Hindustan Lever* and *River Steam Navigation* hold that hyper-technical objections to the wording of a reference must not be entertained where the real dispute is clear. *TISCO* shows the exception: where the wording forecloses the defence, the objection goes to the root and the writ court intervenes.

Transfers —**s.92(1)** appropriate Government between Tribunals (reasons; de novo or from the stage); **s.92(2)** Central Government from any Tribunal to the NIT; **s.92(3)** empowering a State Tribunal for Central matters; **s.51** transitional transfer of IDA proceedings; **s.47** reference of a point of difference to another Judicial Member. and *D.N. Ganguly*: transfer is the only permitted form of "withdrawal".

NIT v. Tribunal —IDA s.10(6): on an NIT reference, Labour Court/Tribunal proceedings on the same matter stood quashed and no fresh reference could be made — an *ouster*. Code: no automatic ouster; concurrent proceedings are avoided by a reasoned s.92(2) transfer; the NIT's award binds like any award (s.57) and its enforceability may be postponed only by the Central Government (s.55).

Civil courts —**s.97**: "No civil court shall have jurisdiction in respect of any matter to which any provision of this Code applies and no injunction shall be granted by any civil court in respect of anything which is done or intended to be done by or under this Code." IDA background: *Premier Automobiles Ltd. v. K.S. Wadke*, AIR 1975 SC 2238 (rights created by the Act enforceable only in the Act's forums; common-law rights in civil courts); *Rajasthan SRTC v. Krishna Kant*, (1995) 5 SCC 75 and *Jitendra Nath Biswas v. Empire of India & Ceylon Tea Co.*, (1989) 3 SCC 582 (dismissal disputes governed by standing orders/IDA go to the industrial forum). The Code's express bar makes the industrial forum exclusive.

High Courts —Arts. 226/227 remain; the NIT enjoys no immunity (*FDC* ¶11). The appellate route under Art. 136 lies against Tribunal/NIT awards (*Bharat Bank*) but is exercised sparingly; against the Government's administrative orders the remedy is Art. 226 first.

Interpretation —**s.95**: doubts about the meaning of an award or settlement are referred by the appropriate Government to a Tribunal/NIT, which decides after hearing the parties; decision final and binding (IDA s.36A) — the Tribunal cannot use this to re-write the award.

PART IV · 14. Defective reference — concept, typology, consequences and cure

A reference is "defective" when the order that is supposed to confer jurisdiction on the adjudicator and define the *lis* fails to do one or both of those jobs correctly. Because the adjudicator "acquires jurisdiction on the basis of reference made to it" and "cannot travel beyond the same" (*TISCO* ¶18), a defect in the reference is not a mere irregularity: it either **deprives the tribunal of jurisdiction**, **distorts the dispute** it must decide, or **shuts out a party's case**. The DU material illustrates three species — the vague/general reference (*Sarathy*), the reference to a forum whose statutory conditions are not met (*FDC*), and the reference that **presupposes** the very fact in dispute (*ITDC*, *Moolchand*, *TISCO*). The full typology follows.

#	Type of defect	Illustration & authority	Effect	Cure / remedy
1	**Vague or general** terms (parties or items not specified)	*Sarathy*: "dispute between the workers and managements of the cinema talkies in the city of Madras" — upheld because the dispute was identifiable and "apprehended" covers the non-demanding theatres; *ITC Monghyr*, *Jaipur Udyog*: read with the demand and failure report.	Usually **curable**; not void unless the dispute cannot be identified at all	Purposive construction by the Tribunal; Government may clarify/ amend (*Bhope*); a "mere defect in drafting will not invalidate" (*Indian Paper Pulp*).
2	**Presupposing / pre-judging** a contested jurisdictional fact (one-sided wording)	*ITDC* (Del FB 1982): "wages for the period of lock-out" — presumed lock-out where management said closure; *Moolchand Kharati Ram Hospital* (Del 1998; SC 2002): presumed lock-out where management said strike; *TISCO* (2014): presumed employment and "transfer" to Lafarge.	**Fatal** to the reference in that form: it forecloses the defence (the Tribunal is bound by the assumption — *DCGM*, *Pottery Mazdoor*) and shows the Government "assumed the role of an adjudicator"	Writ under Art. 226: quash with direction to make a fresh, neutrally worded reference within a fixed time (*TISCO*: two months); or the Government amends before the award.
3	**No industrial dispute** — demand never raised on the employer / referred item never demanded	*Sindhu Resettlement*: reinstatement referred though only compensation was demanded → "not competent"; *Shambhu Nath Goyal v. Bank of Baroda*, AIR 1978 SC 1088 (a demand and its rejection — even one made and refused for the first time before the Conciliation Officer — is what crystallises the dispute; no formal prior written demand is required, but *some* demand must have been made and refused); *Bombay Union of Journalists v. The Hindu*, AIR 1963 SC 318 (no espousal → individual dispute not an industrial dispute, pre-s.2A).	**Void** as to the un-demanded item; Tribunal lacks jurisdiction	Raise demand → conciliation → fresh reference/application. Under the Code, individual termination disputes need no espousal (s.2(q)); the demand/ conciliation stage is still required (s.53; Form II must relate to the conciliated dispute).
4	**Wrong forum / conditions of the forum not met**	*FDC*: NIT reference where neither "national importance" nor "establishments in more than one State" existed; IDA-era: Third-Schedule dispute affecting >100 workmen sent to a Labour Court; Code: single-member bench for a s.44(7) matter; application to the Tribunal of the wrong (State v. Central) Government.	**Without jurisdiction**; award a nullity	Quash (*FDC*); re-file/refer to the correct forum; s.92 transfer where the right forum is another Tribunal of the same Government.
5	**Wrong or incompetent author** — not the appropriate Government; officer without delegation; under the Code, a State Government purporting to "refer"	Jain ground (i); IDA s.39 / Code s.100 delegation; the Code confers no referring power on State Governments at all.	**Nullity**	Application by the party under s.53(6)/s.4 to the right Tribunal; no estoppel can confer jurisdiction.
6	**Omission of a necessary party**	*TISCO* ¶11: "in a dispute like this, M/s Lafarge also becomes a necessary party" — the transferee-employer was not made a party.	Reference/award ineffective against the absent party; adjudication incomplete	Government amends to add the party (*Bhope*; IDA s.10(5) for establishments); Tribunal summons the party (s.49; s.57(3)(b) binds "parties summoned to appear … unless … summoned without proper cause").
7	**Non-application of mind / no material / mala fides**	*FDC* (24 of 58 had no dispute; 2 still employed); *British India Corporation* (mala fides must be proved); *Nedungadi Bank* (stale, "dead" dispute referred after 7 years).	Quashable in writ; the Tribunal itself cannot go behind the Government's opinion on *sufficiency* of material (*Sarathy*)	Art. 226; fresh consideration by the Government.
8	**Reference contrary to law** — of a matter already settled/awarded and in operation; of a matter under arbitration notified under s.42(5); of a matter pending before the NIT	Jain ground (x); IDA ss.18–19, 10(6), 10A(4A)–(5); Code ss.57–58, 42(5)–(6), 92(2).	Incompetent unless the dispute is about the settlement itself	Preliminary issue before the Tribunal or writ.
9	**Splitting connected matters** between forums / piecemeal references of connected matters	The *Textile Finishing Mills* case, (1964) I LLJ 460 (SC) — cannot refer connected matters simultaneously to a Labour Court and a Tribunal; but unconnected matters may be referred separately (*K.E. Union*; *F.M. Chakravarty*).	Second/inconsistent reference bad	Consolidate; s.92 transfer; moot under the single-Tribunal Code.
10	**Cancellation / supersession** of a pending reference and re-reference	*D.N. Ganguly*: cancellation ultra vires; the second reference falls with it.	Original reference continues; Tribunal must make the award	Only s.33B (now s.92) transfer is lawful.
11	**Clerical / descriptive errors** (wrong name of employer, wrong date, misdescription of the unit)	*Bhope* (substitution of the correct employer upheld); *Indian Paper Pulp*.	**Curable**; no prejudice	Amendment by the Government; Tribunal reads the order sensibly.

12	**Time-limit defects** in the order (no period fixed; period expired)	IDA s.10(2A): period should be fixed for individual disputes; "no proceedings … shall lapse merely by reason of" expiry; Code s.54(2) (extendable), s.55.	Directory, not fatal	Extension by the Government; award remains valid.

◆ 15. Case 7 — M/s Tata Iron & Steel Co. Ltd. v. State of Jharkhand & Ors. , (2014) 1 SCC 536 — DU material pp. 45–50

CASE — SUPREME COURT · K.S. RADHAKRISHNAN & A.K. SIKRI, JJ. (JUDGMENT BY SIKRI, J.) · APPEALS BY SPECIAL LEAVE FROM THE JHARKHAND HIGH COURT (SINGLE JUDGE AND DIVISION BENCH)

(Brief abridged for the compilation — full text at makelaweasy.in.)

CASE — INDIAN TOURISM DEVELOPMENT CORPORATION V. DELHI ADMINISTRATION , 1982 LAB IC 1309 (DEL FB) (AS NARRATED IN TISCO ¶14-15)

Facts: A worker at the sweets counter of ITDC's Sona Rupa Restaurant was caught misappropriating sale proceeds; after initially admitting the theft he instigated other employees to "militant and violent acts" and abstention from work. The management decided to **close down the restaurant**, informed the workmen, and issued a closure notice offering full and final settlement. The workmen raised a dispute alleging a **lock-out**; the management in conciliation said it was a closure. The Government referred: "Whether the workmen … are entitled to wages for a period of lock-out w.e.f. 1.1.81 and if so, what directions are necessary". **Held (Full Bench):** the real dispute — whether there was a lock-out at all or a closure prompted by the workers' violence — "had not been referred to. Instead lock-out was presumed in the reference itself on imaginating and fictitious basis"; since the Tribunal's jurisdiction "is limited to the points specifically referred … and the matters incidental thereto", the management was "precluded from proving … that there was no lock out". Reference quashed. **Use:** the first authority for type-2 defect; the fact pattern of May–June 2025 Q.4 and the older C.L.C./L.C.II "closure not lock-out" problems.

CASE — MOOLCHAND KHARATI RAM HOSPITAL V. LABOUR COMMISSIONER , 1998 (III) LLJ 1139 (DEL); APPEAL DISMISSED, (2002) 10 SCC 708 (AS NARRATED IN TISCO ¶16-17)

Facts: The management said the workmen had gone on **strike**; the workmen said the management had declared a **lock-out**. The reference asked only "whether the workmen were entitled to wages for the lock-out period". **Held:** since the existence of a lock-out was itself disputed, "this kind of reference would not permit the management to prove that it was in fact a case of 'strike'"; following *ITDC*, the reference was quashed. The Court quoted *Express Newspapers* on careful drafting and *Sindhu Resettlement* on the need for an actual demand. The Supreme Court dismissed the appeal — which, *TISCO* says, "shows that view of the Delhi High Court … has been given imprimatur by this Court" (¶17). **Use:** second authority for type-2; shows the defect is symmetrical (it can prejudice workmen too, if a reference presumed a "strike").

PREVIOUS YEAR QUESTIONS · UNIVERSITY OF DELHI · LL.B. V TERM

PYQ Bank — Unit 2 (questions only)

Q1 DEC 2024 · Q.1 · 15 MARKS (PROBLEM) · TEXT RECONSTRUCTED FROM TOPIC ANALYSIS

Sheetal worked for eight years as a "Senior Sales Executive" in a pharmaceutical company and was dismissed after a domestic inquiry for alleged misconduct. Her union raised a dispute; conciliation failed. The appropriate Government, acting on the opinion of its Law Department, declined to refer the dispute to the Labour Court, recording that (i) Sheetal, drawing ₹45,000 per month and supervising two junior salesmen, was not a "workman", and (ii) in the light of the legal opinion it would not be "just and appropriate" to make a reference. Advise Sheetal. Would your answer differ under the Industrial Relations Code, 2020?

◆ **Refer makelaweasy.in for detailed notes**, full model answers to every question below, additional case briefs, diagrams and revision material on this unit.

Q2 MAY–JUNE 2025 · Q.4 (PROBLEM) · TEXT RECONSTRUCTED FROM TOPIC ANALYSIS

Following violent incidents by some workmen, the management of a restaurant issued a notice on 31 December closing the establishment permanently and offering full and final settlement. The union contended that the management had declared a lock-out. Conciliation failed. The Government referred to the Tribunal: "Whether the workmen are entitled to wages for the period of lock-out w.e.f. 1 January, and if so, what directions are necessary?" The management challenges the reference contending that the real dispute — whether there was a lock-out or a closure — has not been referred and that the Tribunal cannot go into it. Decide. Would the position be different under the Industrial Relations Code, 2020?

Q3 MAY–JUNE 2025 · Q.6 (ESSAY) · TEXT RECONSTRUCTED FROM TOPIC ANALYSIS

"The power of the appropriate Government to refer an industrial dispute for adjudication under section 10(1) of the Industrial Disputes Act is discretionary, but the discretion is controlled by judicial review." Discuss with reference to decided cases. How far does this statement hold good under the Industrial Relations Code, 2020?

Q4 NOV–DEC 2025 · Q.2 (PROBLEM) · TEXT RECONSTRUCTED FROM TOPIC ANALYSIS

The employees' association of cinema theatres in a city submitted demands for higher wages and bonus to the Labour Commissioner. Conciliation with the managements failed. The Government referred "the industrial dispute between the workers and managements of the cinema theatres in the city" to the Tribunal without naming the theatres or the items. Prabhat Talkies, one of the theatres, whose workers had raised no demand, objected before the Tribunal that no dispute existed between it and its workers; the objection was rejected and an award was passed and declared binding. Prabhat Talkies did not implement it and its manager was prosecuted for breach of the award. He contends that the reference was invalid for vagueness and for want of any dispute concerning his theatre, so that the award is void. Decide. How would the situation be dealt with under the Industrial Relations Code, 2020?

Q5 19-1 · L.C.II 2001 / 2002 / 2005 (ESSAY)

Describe the powers of the appropriate Government to refer industrial disputes for adjudication under section 10(1) of the I.D. Act.

Q6 19-2 · L.C. 2001 / 2002 (PROBLEM)
During the pendency of the adjudication proceedings, the employer made a representation to the Government that the reference of the dispute should not have been made. The Government, on being satisfied with the representation, withdrew the said adjudication proceedings. Discuss the validity of the order of withdrawal. Can the court direct the Government to withdraw the reference?

Q7 19-3 · L.C. 2003 (PROBLEM)
Before the Tribunal could submit its award, the parties to the dispute arrived at a settlement. Can the Tribunal treat the reference as cancelled or withdrawn? What should it do?

Q8 19-4 · L.C.II 2000 / 2002 (ESSAY)
Discuss the restrictions on the power of the appropriate Government to refer or refuse to refer an industrial dispute for adjudication. To what extent is the Government's decision subject to judicial review?

Q9 19-5 · L.C.I 2002 / 2003 / 2005
Write a short note on / critically examine the decision in State of Madras v. C.P. Sarathy .

Q10 19-6 · C.L.C. 2001 (ESSAY); L.C.I 2001 / 2002 / 2004 / 2005 (SHORT NOTE)
Discuss the scope of the jurisdiction of adjudicating authorities under section 10(4) of the I.D. Act, indicating the ambit of "matters incidental" to an industrial dispute.

Q11 19-7 · C.L.C. 2001; L.C.II 2000 / 2002 (PROBLEM)
The management pleads that it closed the undertaking; the workmen say it was a lock-out. The Government refers "whether the lock-out is justified and what wages are payable". The management objects before the Tribunal that there was no lock-out. Can the Tribunal decide the objection? Advise the management.

Q12 19-8 · L.C.I 2004; C.L.C. 2004 (PROBLEM)
The workmen demanded the introduction of a gratuity scheme. On conciliation failure the Government referred the demand to the Tribunal. The employer objects that a demand for a new benefit is not an "industrial dispute", that the Tribunal cannot create rights not existing in the contract, and that the Government had no material to form the opinion that a dispute existed. Decide.

Q13 PROBLEM 1 — S.54 REFERENCE OF A PAN-INDIA BANKING DISPUTE
Unions of twelve public-sector banks demand a uniform five-day week. After conciliation fails in several States, the Central Government refers "the dispute between the managements of the banks named in Schedule A and their workmen regarding the demand for a five-day working week" to the National Industrial Tribunal. Two banks contend that no demand was ever served on them and that the NIT lacks jurisdiction. Decide.

Q14 PROBLEM 2 — S.92(2) TRANSFER TO THE NIT
Forty Form II applications by dismissed gig-platform delivery workers are pending before Tribunals in nine States. The Central Government, "to avoid conflicting awards", withdraws all forty and transfers them to the NIT under s.92(2), without further reasons. Advise the platform and the workers.

Q15 PROBLEM 3 — ONE-SIDED FORM II APPLICATION
A union's Form II application asks the Tribunal to decide "the quantum of wages payable for the illegal lock-out from 1 March". The employer's reply pleads a lawful closure on 28 February after a s.80 permission. The Tribunal frames a single issue: "What wages are payable for the lock-out period?" The employer seeks a writ. Advise.

Q16 PROBLEM 4 — WRONG TRIBUNAL (APPROPRIATE GOVERNMENT)
Workers of a contractor engaged by a major port trust apply to the State Industrial Tribunal, which passes an award of reinstatement. The port trust challenges it as a nullity. Decide.

Q17 PROBLEM 5 — STALE DISPUTE
A worker dismissed in January 2023 applies to the GRC in June 2025, then to the conciliation officer, and files Form II in December 2025. The employer objects on limitation. Decide under the Code; contrast the IDA.

Q18 PROBLEM 6 — SINGLE-MEMBER AWARD IN A DISMISSAL CASE
The Administrative Member alone hears and decides a dismissal application, the Judicial Member being on leave. Is the award valid?

Q19 PROBLEM 7 — STATE GOVERNMENT "REFERS" A DISPUTE
After the Code's commencement a State Government, by notification, "refers" a wage dispute in a sugar mill to the Industrial Tribunal "under section 54". The employer objects. Decide.

Q20 PROBLEM 8 — APPLICATION ON A MATTER COVERED BY A SUBSISTING SETTLEMENT
A settlement in conciliation (2024, three years) fixes wages. In 2025 the union applies to the Tribunal for a wage revision, contending the settlement was unfair. The employer objects that the matter is not referable/adjudicable.

LB-503 · INDUSTRIAL LAW (INCLUDING IDRA) · FACULTY OF LAW, UNIVERSITY OF DELHI · LL.B. V TERM

UNIT 03

Awards & Settlements

◆ SYLLABUS COVERAGE

(a) Settlement: nature, duration and termination · (b) Awards: nature and duration · (c) Judicial review of industrial awards (ss.46, 55–58 and 95, IR Code, 2020).

◆ STATUTES & PROVISIONS

IDA, 1947 · ss.2(b), 2(p), 16–19, 29, 33 · IR Code, 2020 · ss.2(e), 2(zi), 46, 55–58, 95

◆ PRESCRIBED CASE MATERIAL

Bharat Bank Ltd. v. Employees (No. 8) · Rohtas Industries Ltd. v. Rohtas Industries Staff Union (No. 9) · Sirsilk Ltd. · Remington Rand

⬢ A Settlement — Nature, Duration & Termination

▸ A.1 What is a "Settlement"? — The Statutory Definition

Definition — IDA, 1947, §2(p)

"*Settlement*" means a settlement arrived at in the course of conciliation proceeding and includes a written agreement between the employer and workmen arrived at otherwise than in the course of conciliation proceeding where such agreement has been signed by the parties thereto in such manner as may be prescribed and a copy thereof has been sent to an officer authorised in this behalf by the appropriate Government and the Conciliation Officer.

Definition — Industrial Relations Code, 2020, §2(zi)

"*Settlement*" means a settlement arrived at in the course of conciliation proceeding and includes a written agreement between the employer and worker arrived at otherwise than in the course of conciliation proceeding where such agreement has been signed by the parties thereto in such manner as may be prescribed and a copy thereof has been sent to an officer authorised in this behalf by the appropriate Government and to the conciliation officer.

▸ A.2 The Two Kinds of Settlement — and why the difference decides every question

▸ A.3 Nature of a Settlement — Five Characteristics

1. **Consensual, not imposed.** Its source of authority is the parties' own agreement; the statute merely adds legal force. Hence the courts' repeated refrain that a settlement reflects "free will" and produces "more lasting peace than an award" (*Sirsilk*).
2. **Statutory, not merely contractual, once the formalities are met.** A §18(3)/§57(3) settlement is a *statutory instrument*: it can be enforced criminally (§29 / §86(17)-(18)) and money due under it can be recovered as arrears of land revenue (§33-C / §59).
3. **Collective in operation.** It may be born of an agreement with a union or a group of workers, but once it falls within §18(3)/§57(3) it operates as a species of *collective agreement*, binding even those who never signed it — including workers recruited years later. *Herbertsons*: a settlement which is "just and fair" and signed with the recognised union is binding on all workmen, even on a small minority who are not its members; the majority union cannot be defeated by a splinter union's dissent.
4. **Not appealable, but reviewable at the threshold.** A Tribunal does not sit in appeal over the terms of a settlement; but a settlement can be challenged on grounds of fraud, misrepresentation, coercion, or because it was not a settlement at all (e.g., an agreement outside the factory gate involving non-workmen). Where such a challenge succeeds, the aggrieved party may raise a *fresh industrial dispute*; the settlement is then liable to be set aside only on those limited grounds.
5. **Preferred over adjudication by the statutory scheme.** The Act's architecture (conciliation first) and §40/§9-A (no notice of change needed to give effect to a settlement or award — IRC §40 proviso (a) & (d)) show that the settlement is the *primary* output; adjudication is a fallback.

Related authorities you can cite (beyond the two prescribed cases)

- **Herbertsons Ltd. v. Workmen of Herbertsons Ltd., (1977) 2 SCC 515** — A settlement signed with the recognised union, if just and fair, binds all workmen; the Tribunal cannot substitute its own view of the terms; mere disagreement with parts of a settlement is not a ground to disturb it.
- **P. Virudhachalam v. Lotus Mills, (1998) 2 SCC 625** — Reaffirms that a §12(3)/§18(3) conciliation settlement is a collective agreement binding on all workmen, including dissenting minority unions, and even on workers who did not participate.
- **State of Bihar v. D.N. Ganguly, AIR 1958 SC 1018** — The Government cannot cancel or supersede a §10(1) reference pending adjudication; and where parties settle pending an adjudication, the settlement is to be respected (the reasoning later adopted in *Sirsilk*).
- **Bata Shoe Co. (in D.N. Ganguly)** — a settlement reached during conciliation brings the dispute to an end; the reference machinery cannot be used to reopen what has been settled by agreement.

▸ A.4 Persons Bound — IDA §18 and IRC §57 Compared

IDA §18 — Persons on whom settlements and awards are binding

(1) A settlement arrived at by agreement between the employer and workman otherwise than in the course of conciliation proceeding shall be binding on the parties to the agreement. **(2)** Subject to sub-section (3), an arbitration award which has become enforceable shall be binding on the parties to the agreement who referred the dispute to arbitration. **(3)** A settlement arrived at in the course of conciliation proceedings under this Act *or* an arbitration award *or* an award of a Labour Court, Tribunal or National Tribunal which has become enforceable shall be binding on — (a) all parties to the industrial dispute; (b) all other parties summoned to appear in the proceedings as parties to the dispute, unless the adjudicator records the opinion that they were summoned without proper cause; (c) where a party is an employer, his heirs, successors or assigns in respect of the establishment to which the dispute relates; (d) where a party is composed of workmen, all persons who were employed in the establishment/part on the date of the dispute and all persons who subsequently become employed in that establishment or part.

IRC §57 — Persons on whom settlements and awards are binding

Sub-sections (1), (2) and (3) reproduce the IDA scheme verbatim in substance, except the language is modernised ("worker" instead of "workman") and clause (b) of §57(3) is retained identically. The four-fold binding effect of §57(3)(a)–(d) is unchanged.

A.5 Duration & Operation — IDA §19(1)–(2), (7) and IRC §58(1)–(2), (7)

IDA §19(1), (2) and (7) — Settlement

(1) A settlement shall come into operation on such date as is agreed upon by the parties to the dispute, and if no date is agreed upon, on the date on which the memorandum of settlement is signed by the parties. **(2)** Such settlement shall be binding for such period as is agreed upon, and if no such period is agreed upon, for a period of **six months** from the date on which the memorandum is signed, and shall continue to be binding after expiry of that period until the expiry of **two months** from the date on which a written notice of intention to terminate the settlement is given by one party to the other. **(7)** No notice given under sub-section (2) [or (6)] shall have effect, unless it is given by a party representing the **majority of persons bound** by the settlement or award, as the case may be.

IRC §58(1), (2) and (7) — Settlement

Identical in structure. **Two changes to note:** (i) the post-expiry continuation is until the expiry of **sixty days**' notice (not "two months"); (ii) §58(7) reproduces the majority-notice rule of IDA §19(7).

Step	Rule	Explanation / authority
1	**Commencement:** agreed date; if none, date of signing of the memorandum.	§19(1) / §58(1). In *Sirsilk* no date was fixed, so the settlement of 1-10-1957 became operative from that very date — which is why it collided with the award awaiting publication.
2	**Operation:** the agreed period; if none agreed, **six months**.	§19(2) / §58(2). In practice, settlements fixing wages run for 3–5 years by agreement; the six-month default is the statutory floor, not the norm.
3	**Continuation after expiry:** the settlement keeps binding until 2 months (IDA) / 60 days (IRC) after a written termination notice.	Not a "limbo": the terms survive the contractual period so that the employer cannot disown obligations the moment the agreed period lapses.
4	**Termination notice:** must be in writing, and effective only if given by a party representing the **majority** of persons bound.	§19(7) / §58(7). Consequence: a splinter union or an individual workman cannot terminate a settlement/ award; a minority cannot unravel the collective bargain.
5	**No retrospective termination;** accrued rights survive.	Standard principle: the notice operates prospectively, and the notice cannot be withdrawn so as to defeat rights already accrued in the notice period (per the settled practice and Rule 58 of the Industrial Disputes (Central) Rules, 1957, now replaced by the IR Rules, 2026 machinery).

A.6 Termination — Mechanics and Consequences

1. **By expiry + notice:** the ordinary mode. After expiry of the agreed/default period, either side (representing the majority) may serve written notice; the settlement remains binding for a further 2 months/60 days and then ceases.
2. **By a fresh settlement or award:** the parties may replace a settlement by a new one; a competent award on the same matter may also supersede a settlement that has ceased to operate — but a settlement that is in operation cannot be quietly displaced (this is exactly the vice *Sirsilk* prevents).
3. **By adjudication of invalidity:** if the settlement was procured by fraud, misrepresentation, undue influence or is otherwise not "just and fair", the aggrieved workman/union may raise a fresh industrial dispute. If the settlement is declared invalid, the parties revert to the pre-settlement position (and, in the *Sirsilk*-type case, the withheld award can then be published).
4. **Not by unilateral "withdrawal" or "resignation" from the settlement** — acceptance once given cannot be recalled to defeat benefits already taken: workers who have taken the benefit of a settlement are bound by it (the "approbate and reprobate" principle applied in a series of cases; see also *Cipla Ltd. v. Anant Ganpat Patil* (Bom. HC) — a settlement binds irrespective of whether individual workers sign an undertaking).

Practical illustration — how §19 plays out on the ground

Scenario: A Delhi auto-component plant signs a 3-year wage settlement with its recognised union in conciliation before the Conciliation Officer on 1 April 2024. In 2026 a rival union claims 51% membership and serves notice terminating the settlement, demanding fresh negotiation.

Analysis: (i) The 2024 settlement is a §12(3) settlement → binding on all workmen under §18(3), union membership irrelevant. (ii) The 3-year period has not expired, so the termination notice is premature. (iii) Even after expiry, the notice must be given by a party representing the **majority of persons bound** — §19(7). (iv) Until that requirement is met, the settlement continues for a further 2 months after the notice. (v) A fresh demand while the settlement operates is itself actionable as an unfair labour practice and, if a strike is called over it, the strike would be illegal (strike prohibited during the operation of a settlement — IDA §23(c); IRC §62(2)(g)).

A.7 Breach and Enforcement of a Settlement

Criminal sanction

Breach of any term of a settlement or award binding on a person is punishable with imprisonment up to **six months**, or fine, or both; in a continuing breach the court may award compensation out of the fine to the affected person.

Punishable with fine **not less than ₹20,000 and up to ₹2,00,000**, or imprisonment up to **3 months**, or both; a continuing breach attracts an additional fine up to **₹1,000 per day**, and the court may direct compensation to the affected person.

Recovery of money

Money due under a settlement or award may be computed and recovered *as an arrear of land revenue*. reproduces this. Note the asymmetry *Rohtas* highlighted: the Act provides for recovery by a **worker from an employer** — there is no provision for the converse (employer claiming money from workmen).

Writ remedy

Failure to implement a binding settlement can be corrected by mandamus under Article 226 against the defaulting employer where it is a State instrumentality, or against statutory authorities; private employers are ordinarily dealt with through §29/§33-C and industrial adjudication.

▸▸ Effect on change of service conditions

No notice of change is needed where the change is "in pursuance of any settlement or award" — IDA §9-A proviso; IRC §40 proviso (a) & (d). This is the practical pay-off of having a settlement: it authorises the change.

▸ A.8 Settlements and the Sirsilk Collision (the bridge to Part B)

Everything in Part A comes together in one problem: **the award is ready, the settlement is already in force.** Under §18(1) [§57(1)] the settlement binds the signatories from the moment it operates; under §18(3) [§57(3)] the award, once published and enforceable, would bind "all persons" in the establishment. If the terms differ, the establishment is subject to two inconsistent binding instruments. *Sirsilk* solved this by directing the Government **not to publish** the award — an exceptional and judge-made resolution, retained (and not codified) under the IR Code. The full treatment is in Part D-3.

⬢ B Award — Nature & Duration

▸ B.1 Definition and Ingredients — IDA §2(b) & IRC §2(e)

IDA §2(b)

"*Award*" means an interim or a final determination of any industrial dispute or of any question relating thereto by any Labour Court, Industrial Tribunal or National Industrial Tribunal and includes an arbitration award made under section 10-A.

Industrial Relations Code, 2020, §2(e)

"*Award*" means an interim or a final determination of any industrial dispute or of any question relating thereto by any **Industrial Tribunal referred to in section 44** or **National Industrial Tribunal referred to in section 46** and includes an **arbitration award made under section 42**.

▸ B.2 Form and Signature — IDA §16 vs IRC §55(1)

Requirement	IDA §16	IRC §55(1)
Written form	Mandatory — "shall be in writing". A verbal award is void and cannot be published or enforced.	Mandatory — "shall be in writing".
Signature (award of LC/Tribunal/NT)	Signed by the **presiding officer**. *Note:* before the 1956 amendment, §16 required the signatures of **all members** — which is why the defective signing in *Bharat Bank* (2 of 3 members) was fatal.	Signed **electronically or otherwise** by both the Judicial Member and the Administrative Member, or by either of them *by whom the award is delivered*.
Report of Board/ Court of Inquiry	Signed by **all** members, with a proviso permitting any member to record a **minute of dissent** (published along with the report).	No Boards of Conciliation or Courts of Inquiry survive under the Code — the reporting machinery is gone.
Consequence of defect	Award quashed — *Bharat Bank*: the Tribunal of three heard the case but only two signed; since the Government had not reconstituted the Tribunal under §8, the "award" was not the award of the Tribunal constituted, and was set aside.	Same principle, new form: an unsigned or improperly signed award is no award at all; §45 protects acts done notwithstanding a vacancy *after* valid constitution, but does not cure a signature defect.

▸ B.3 From Award to Enforceability — the Complete Timeline

▸ B.4 Publication, Finality and Enforceability — the Four Key Provisions

IDA §17 — Publication of reports and awards

(1) Every report of a Board or Court together with any minute of dissent recorded therewith, every arbitration award and every award of a Labour Court, Tribunal or National Tribunal shall, within a period of **thirty days** from the date of its receipt by the appropriate Government, be published in such manner as the appropriate Government thinks fit. **(2)** The award published under sub-section (1) shall be **final and shall not be called in question by any Court in any manner whatsoever** [subject to §17-A].

IDA §17-A — Commencement of the award

(1) An award shall become **enforceable on the expiry of thirty days from the date of its publication** under §17 — proviso: where an award is made by a Tribunal in a dispute to which the appropriate Government is a party, or by a National Tribunal, and the Government is of the opinion that it would be inexpedient on public grounds affecting **national economy or social justice** to give effect to it, the Government may, by notification, declare that the award shall not become enforceable on the expiry of the said period. **(2)** Where such a declaration is made, the appropriate Government may, **within 90 days** from the date of publication, make an order **rejecting or modifying the award**, and shall lay the award together with a copy of the order before the State Legislature/Parliament. **(3)** Where the award so rejected/modified is laid before the Legislature, it becomes enforceable on the expiry of **15 days** from the date it is laid; and where no order is made under sub-s. (2), the award becomes enforceable on the expiry of the 90-day period. **(4)** Subject to the above, the award comes into operation from the date specified in it, or, if none, from the date it becomes enforceable.

IRC §55 — Form of award, its communication and commencement

(1) The award of a Tribunal (single Judicial Member / single Administrative Member / two-member bench) or of a National Industrial Tribunal shall be **in writing** and signed **electronically or otherwise** by both members or by the member by whom the award is delivered. **(2)** Every award "shall be **communicated to the parties concerned and the appropriate Government**". The older requirement of publication in the Official Gazette by the Government is replaced by communication. **(3)** An award becomes **enforceable on the expiry of 30 days from the date of communication** — with the same proviso as §17-A(1): where the award is given by a Tribunal in a dispute to which the appropriate Government is a party, or by an NIT, and it is inexpedient on public grounds affecting national economy or social justice to give effect to it, the Government may by notification declare that the award shall not become enforceable on the expiry of the 30-day period. **(4)** On such a declaration, the Government may, **within 90 days from communication**, reject or modify the award and shall lay the award and the order before the Legislature/Parliament "on the first available opportunity". **(5)** An award so rejected/modified becomes enforceable on the expiry of **15 days** from laying; where no order is made, it becomes enforceable on expiry of the 90-day period. **(6)** The award comes into operation from the date specified in it, or from the date it becomes enforceable.

▸ B.5 Full Wages Pending Higher-Court Proceedings — IDA §17-B / IRC §56

The rule in one paragraph

Where a Tribunal/NIT by its award directs **reinstatement** and the employer carries the matter to the High Court or the Supreme Court, the employer must pay the workman, during the pendency of those proceedings, **full wages last drawn** (inclusive of maintenance allowance admissible under any rule), provided (i) the workman was not employed in any establishment during that period and (ii) an affidavit to that effect is filed in Court. If it is proved to the Court's satisfaction that the workman was employed and received adequate remuneration during that period (or part of it), the Court shall order that no wages be payable under the section for that period or part.

This is the anti-delay device: the employer cannot crush a reinstatement award by appealing and leaving the workman unpaid for years. Its operation depends on the workman filing the required affidavit — a point frequently tested in problem questions.

B.6 Duration of an Award — §19(3)–(6) / §58(3)–(7)

1. **Default duration: one year** from the date the award becomes enforceable (§19(3) / §58(3)).
2. **Power to reduce:** the appropriate Government may reduce the period and fix such period as it thinks fit (first proviso).
3. **Power to extend:** the Government may, before expiry, extend the operation by any period not exceeding one year at a time, so that the **total period does not exceed three years** from the date the award came into operation (second proviso).
4. **Material change:** where the Government, on its own motion or on the application of a party, considers that there has been a material change in the circumstances on which the award was based, it may refer the award (or part) to the Tribunal for a decision whether the period of operation should be shortened; the decision is final (§19(4) / §58(4)).
5. **Non-continuing awards:** the one-year rule does not apply to an award which "by its nature, terms or other circumstances does not impose, after it has been given effect to, any continuing obligation" — e.g., an award merely directing payment of a sum, or ordering reinstatement (a one-time act) (§19(5) / §58(5)).
6. **Post-expiry continuance:** after the period of operation ends, the award remains binding until **2 months (IDA) / 60 days (IRC)** have elapsed from written notice of termination given by any party bound (§19(6) / §58(6)).
7. **Majority notice:** the notice has no effect unless given by a party representing the **majority of persons bound** (§19(7) / §58(7)).

Dimension	Award	Settlement
Source	Adjudication — imposed by a third party (Tribunal/NIT/arbitrator)	Agreement — the parties' own will
Definition	§2(b) / §2(e)	§2(p) / §2(zi)
Formalities	Writing + signature (§16 / §55(1)); submission (§15)	Writing; prescribed manner + filing with Government officer and CO for the second limb
Publication / communication	Publication within 30 days (§17(1)) → communication under §55(2)	No publication; the memorandum goes to Government/CO
When it becomes enforceable/operative	30 days after publication/communication (§17-A(1) / §55(3)); may be deferred, rejected or modified by Government on public grounds	From the agreed date or the date of signing (§19(1) / §58(1)) — **no executive filter**
Binding effect	§18(3) / §57(3) — all parties, summoned parties, successors, present & future workers	§18(1)/§57(1) if direct; §18(3)/§57(3) if in conciliation
Duration	1 year; extendable up to 3 years; shortening on material change	Agreed period or 6 months; **no ceiling**; no power in the Government to extend
Post-period continuance	2 months / 60 days after written notice (§19(6) / §58(6))	2 months / 60 days after written notice (§19(2) / §58(2))
Who may terminate	A party representing the **majority** of those bound — §19(7)/§58(7)	Same — §19(7)/§58(7)
Judicial control	Writ/Art. 136 on limited grounds; §36-A / §95 interpretation reference; §97 bar on civil courts	Writ/Art. 136; challenge on fraud/coercion/ unfairness → fresh industrial dispute
Preference of the statute	Fallback — imposed peace	Primary — "more lasting peace" (*Sirsilk*)

B.7 The Nature of Industrial Adjudication — why an award is not an ordinary decree

The classic statement comes from the Federal Court in *Western India Automobile Association v. Industrial Tribunal, Bombay*, (1949) FCR 321 — adopted and endorsed in *Bharat Bank* (1950), and again in *Rohtas Industries Ltd. v. Brijnandan Pandey*, (1956) SCR 800:

"Adjudication does not … mean adjudication according to the strict law of master and servant. The award of the tribunal may contain provisions for settlement of a dispute which no court could order if it was bound by ordinary law, but the tribunal is not fettered in any way by these limitations … Industrial arbitration may involve the extension of an existing agreement or the making of a new one, or in general the

creation of new obligations or modification of old ones

, while commercial arbitration generally concerns itself with interpretation of existing obligations."

— Mahajan J. (as he then was), Western India Automobile Association (FCR), cited with approval in Bharat Bank and in the Leading Case Materials

"A court of law proceeds on the footing that no power exists in the courts to make contracts for people; and the parties must make their own contracts. The courts reach their limit of power when they enforce contracts which the parties have made. An Industrial Tribunal is not so fettered and may

create new obligations or modify contracts in the interests of industrial peace

, to protect legitimate trade union activities and to prevent unfair practice or victimisation."

— Rohtas Industries Ltd. v. Brijnandan Pandey (1956) SCR 800, approved in the course materials

From this follows the **five-fold nature of an award**:

1. **Binding like a decree** — enforceable through the machinery of the Act; under the IR Code, §49(9) expressly provides that an award, order or settlement of a Tribunal/NIT "shall be executed in accordance with the procedure laid down for execution of orders and decree of a civil court under Order XXI of the Code of Civil Procedure, 1908", and the Tribunal is deemed a civil court for that purpose.
2. **Prospective and regulatory, not merely compensatory** — it governs future conduct (wages, service conditions, work norms) and not merely the past wrong.
3. **Constitutive, not purely declaratory** — it creates new rights and obligations which the parties never agreed to; it can "add to or alter the terms or conditions of the contract of service" (Bharat Bank; Western India Automobile Association).

4. **Quasi-judicial in character** — hence susceptible to certiorari and Article 136, unlike the decision of a purely domestic or administrative body (Bharat Bank).
5. **Limited in review, not in reach** — no court may reopen its merits, but the High Court and Supreme Court may correct jurisdictional error, patent illegality and breach of natural justice (Part C).

Real-world illustrations

- **Wage-board awards in the banking/PSU sector:** bipartite settlements between the Indian Banks' Association and the unions are signed in conciliation before the Chief Labour Commissioner (Central) — precisely to obtain the §18(3)/§57(3) erga omnes binding effect on all bank employees, including those not members of the signatory unions. This is the settlement device used on the largest scale in India.
- **Industrial Tribunal awards as "new contracts":** a Tribunal that re-fixes wage scales, dearness allowance slabs, or leave rules is doing what no civil court can do — it is creating a new service regime for the establishment. That is why the award must be published/communicated and why the Government has a limited, time-bound filter.
- **Interim relief under §50(2) IRC:** in a dismissal dispute, a worker dismissed in 2024 can now obtain interim relief from the Industrial Tribunal while the reference is pending — but only on the material already on record, so the employer cannot be ambushed with fresh evidence at the interim stage.

⬢ C Judicial Review of Industrial Awards

▸ C.1 The Statutory Position — what the statutes actually do

Provision	Effect	What it does not do
IDA §17(2)	"The award published under sub-section (1) shall be final and shall not be called in question by any Court in any manner whatsoever."	Does not bar the High Court (Art. 226/227) or the Supreme Court (Art. 136); does not bar the §17-A governmental filter; does not bar a §19 "material change" reference or a §36-A interpretation reference.
IRC §55	Deals with form, communication, enforceability, rejection/modification, and commencement — but contains **no express finality clause**.	Nothing in it purports to oust constitutional review; the old §17(2) language simply does not appear.
IRC §97 (IDA — judicially evolved)	"No civil court shall have jurisdiction in respect of any matter to which any provision of this Code applies and no injunction shall be granted by any civil court in respect of anything which is done or intended to be done by or under this Code."	Does not affect the writ jurisdiction of the High Courts and the Supreme Court; ouster of civil jurisdiction is read strictly and applies only to matters governed by the Code.
IDA §36-A / IRC §95	"Removal of doubts in interpretation of award or settlement": on a difficulty or doubt as to the interpretation of any provision of an award or settlement, the appropriate Government may refer the question to the Tribunal/NIT, which decides it after hearing the parties; the decision is **final and binding**.	This is not judicial review — it is an *internal* mechanism to make the award workable. It cannot be used to rewrite the award or to cure a legal error.
IDA §29 / IRC §86(17)–(18)	Criminal sanction for breach of a binding settlement or award.	Not a substitute for review — but note that a prosecution for breach presupposes a valid award; if the award is quashed, the foundation of the prosecution falls (the point argued in the companion case noted in the Exam Capsule, where the accused challenged jurisdiction because the award had not been made in accordance with §10).

IRC §95 — Removal of doubts in interpretation of award or settlement (verbatim)

(1) If, in the opinion of the appropriate Government, any difficulty or doubt arises as to the interpretation of any provision of an award or settlement, it may refer the question to such Tribunal or National Industrial Tribunal as it may think fit. **(2)** A Tribunal or National Industrial Tribunal to which such question is referred shall, after giving the parties an opportunity of being heard, decide such question and its decision shall be final and binding on all such parties.

Identical to IDA §36-A, except that under the IDA the reference could be made to a Labour Court, Tribunal or National Tribunal "as it may think fit", while under the Code the choice is between the Industrial Tribunal (§44) and the National Industrial Tribunal (§46). **Exam value:** §95/§36-A shows that "finality" of an award under Indian labour law is *not absolute* — the statute itself builds in a post-award interpretive jurisdiction.

▸ C.2 The Constitutional Avenues

▸▸ Article 136 — Supreme Court (the Bharat Bank jurisdiction)

Art. 136(1) gives the Supreme Court a discretionary power to grant special leave to appeal "from any judgment, decree, determination, sentence or order in any cause or matter passed or made by any **court or tribunal** in the territory of India" (excluding courts/tribunals constituted under laws relating to the Armed Forces).

Bharat Bank decided three things about Art. 136: the word "tribunal" is wider than "court" and includes a body with the "trappings of a court"; the word "determination" deliberately widens the reach; and the power is overriding and must be exercised to prevent grave miscarriage of justice — but the Court will not act as a mere court of error.

▸▸ Articles 226 & 227 — High Courts

Certiorari to quash an award for want or excess of jurisdiction, error of law apparent on the face of the record, or violation of natural justice; **prohibition** to stop proceedings that are beyond jurisdiction; **mandamus** to compel implementation, or to compel a Government that has failed to publish/notify, or to compel payment under a §33-C/§59 determination (where the respondent is amenable to writ jurisdiction).

Writ is *discretionary*: delay, laches, suppressed material facts, an adequate alternative remedy, or the petitioner's own conduct may defeat it. But the existence of an alternative remedy is not an absolute bar — it is a self-imposed rule of prudence (*Workmen of Cochin Port Trust v. Board of Trustees*, (1978) 2 SCC 119).

▸▸ Articles 32 / 14 / 19 / 21

An award which violates a fundamental right can be challenged under Art. 32 (or Art. 226). Awards affecting State instrumentalities must satisfy Art. 14 (non-arbitrariness) and can violate Art. 19(1)(g) if they impose unreasonable restrictions on the employer's business; Art. 21 issues arise in disciplinary awards (life/livelihood — the cases in Units 4–6).

▸▸ Article 43-A & the Directive Principles

Part IV informs the interpretation of pre-Constitution labour statutes: *Rohtas* — "The new light shed by the benign clauses of Part IV must illumine even pre-Independence statutes in the interpretative process." Workers' participation in management (Art. 43-A) supports the settlement preference in *Sirsilk*.

▸ C.3 The Grounds of Judicial Review — the complete catalogue

▸▸ C.3.1 Ground 1 — Want or excess of jurisdiction

- An award deciding a matter **outside the terms of reference** is a nullity: the Tribunal must "confine its adjudication to the points specified and matters incidental thereto" — *Delhi Cloth & General Mills v. The Workmen*, AIR 1967 SC 469.
- A reference that itself **prejudges the dispute** is defective and liable to be quashed with a direction for a fresh reference — *TISCO v. State of Jharkhand*, (2014) 1 SCC 536.
- If there is **no industrial dispute**, the whole adjudication is without jurisdiction — *Rohtas Industries* (a claim by the employer for damages is not an industrial dispute; §10-A jurisdiction rests on the existence of an industrial dispute and cannot be conferred by consent).
- Jurisdictional facts (e.g., whether the claimant is a "worker", whether the establishment is an "industry") are for the Tribunal to decide; the Government cannot decide them at the reference stage — *Telco Convoy Drivers* (1989); *Sharad Kumar* (2002).

▸▸ C.3.2 Ground 2 — Error of law on the face of the award (the Rohtas doctrine)

This is the ground the prescribed case *Rohtas Industries* elaborates in the greatest detail. Its content:

- Jurisdiction exists at common law, independently of statute, to set aside an award for an error of law appearing **on the face of the award** — though the jurisdiction "is not lightly to be exercised" (Halsbury's Laws of England, 4th edn., Vol. 2, para 623, p. 334, quoted and adopted).
- The test: you must be able to find in the award, *or in a document actually incorporated with it*, "some legal proposition which is the basis of the award and which is erroneous" (*Champsey Bhara & Co. v. Jivraj Balloo*, per Lord Dunedin); "where the question of law necessarily arises on the face of the award" (*Hodkinson v. Verne*, per Williams J.); if the finding admits of only one legal proposition as its foundation and that law is erroneous, the court has the power — and therefore the duty — to set it right (*James Clark*).
- **Sub silentio errors count.** The arbitrator may say nothing about the law: "such cute silence confers no greater or subtler immunity … The law sets no premium on juggling with drafting the award or hiding the legal error by blanking out. The inscrutable face of the sphinx has no better title to invulnerability than a speaking face which is a candid index of the mind."
- **But courts do not speculate:** the judge cannot "explore by changing subterranean routes or ferret out by delving deep what lies buried in the unspoken cerebration of the arbitrator"; the error must be transparent, or "lingering between the lines or merely wearing a verbal veil".
- If an arbitrator chooses to give reasons, those reasons are examinable; if he chooses to give none, the award is not *for that reason* bad (*Bungo Steel Furniture v. Union of India* — Bhargava J.).

▸▸ C.3.3 Ground 3 — Breach of natural justice

Bharat Bank is the fountainhead. The Tribunal had decided the reference on the strength of the parties' "statements of case" — not on oath, without cross-examination, and without any evidence. The Court quashed the award, observing that the procedure adopted was "against all principles of natural justice" and that:

"It happens that when the safeguard of an appeal is not provided by law the tendency sometimes is to act in an arbitrary manner like a

benevolent despot

. Benevolent despotism, however, is foreign to a democratic Constitution … That kind of procedure to my mind is unwarranted by the statute and is foreign to a democratic Constitution."

— M.C. Mahajan J., Bharat Bank Ltd. v. Employees, AIR 1950 SC 188

Related sub-grounds: denial of an opportunity to cross-examine or to lead evidence; refusal to adjourn for a genuine reason; bias (including the enquiry-officer-as-witness problem in the disciplinary context); and non-compliance with a mandatory procedural provision — e.g., *Bharat Bank*'s second ratio: the award was signed by two of three members without the Government reconstituting the Tribunal under §8, contrary to the then-mandatory §16.

▸▸ C.3.4 Ground 4 — Perversity, irrationality and non-application of mind

An award may be interfered with where it is "patently illegal", perverse, or shows a failure to apply the mind to critical constituents of the dispute (course materials on grounds of writ admissibility). But note the standard is high, and the remedy is *remand*, not substitution:

- ***Workmen of Cochin Port Trust v. Board of Trustees*, (1978) 2 SCC 119** — The employer's special leave petition had been dismissed without reasons; it then succeeded before the Kerala High Court in a writ petition. The Supreme Court held that a non-speaking dismissal of an SLP does **not** preclude the employer from resorting to Article 226; but on the merits, the award disclosed no patent illegality and no breach of natural justice, and the High Court ought not to have interfered. The award was reinstated.
- ***Cochin Shipyard Ltd. v. Industrial Tribunal*** — Even where the High Court has power to modify a punishment awarded under §11-A (now §50 IRC), it must refrain from substituting its own judgment unless the award exhibits perverse error. *Limited review, high threshold* is the formula.

▸ C.4 The Limits of Review — what the courts will not do

- **Re-appreciate evidence.** The Tribunal is the final judge of facts; the writ court/Article 136 Court does not re-weigh evidence *unless* the finding is perverse or based on no evidence.
- **Substitute its own award or punishment.** "This Court is not to substitute its decision for the determination of the Tribunal" — *Bharat Bank*. The remedy is to quash and remand, not to re-adjudicate.
- **Act as a court of error of first resort.** Article 136 is discretionary; "extraordinary powers have to be exercised in rare and exceptional cases and on well-known principles" (*Bharat Bank*).

- **Entertain a challenge on grounds of mere hardship or inconvenience**, or on the ground that the court would have reached a different conclusion on a question of construction (*Rohtas*, citing Halsbury).
- **Bypass the statutory machinery where the Act is self-contained.** Where the right and the remedy are given by the same statute "uno flatu", the statutory remedy ordinarily prevails — *Rohtas*, citing *Barraclough v. Brown* and *Premier Automobiles Ltd. v. Kamlekar Shantaram*; but this does not oust constitutional remedies.
- **Grant relief if the petitioner is guilty of delay/laches or of suppressing material facts** — an equitable jurisdiction.

C.5 The Constitutional Challenge to the Award-Modification Power — and its Significance

Case / forum	Holding	Relevance to Unit 3
***Telugunadu Workcharged Employees State Federation v. Government of India*, (1997) 3 ALT 492 (AP HC)**	Held §17-A(1)–(4) of the IDA **unconstitutional**. The executive cannot make nugatory or redundant the judgments of courts and tribunals (even those created by legislation); an industrial tribunal is a judicial authority; permitting the Government to reject or modify an award violates the **separation of powers**, a basic feature of the Constitution. The Government's power to make an award non-enforceable is a power to sit in appeal over the Tribunal.	Directly attacks the proviso to §17-A(1) and §17-A(2)–(3) — the exact architecture reproduced in **IRC §55(3)–(6)**.
Division Bench, AP HC (W.A. No. 403 of 2004)	Affirmed the declaration of unconstitutionality; it "holds good even today" and has not been reversed or set aside by the Supreme Court.	Confirms that the field in Andhra Pradesh remains governed by the declaration.
Madras HC — 2011 (and *Union of India v. Textile Technical Tradesmen Association*, 2014)	Followed the AP HC; declared §17-A(1)–(3) unconstitutional also in relation to the Union Territory of Puducherry, rejecting the Union's plea that the AP declaration was confined to Andhra Pradesh. Held that the executive cannot "sit in appeal" over a tribunal's award.	Establishes the **all-India effect** of a High Court declaration striking down central legislation, and confirms the constitutional doubt attaching to the award-filter power.
No Supreme Court ruling yet	The question of the constitutional validity of §17-A — and therefore of IRC §55(3)–(6) — remains open at the apex level.	The critical, exam-worthy comment: "Parliament has taken the defect identified by the courts and relocated it in a new statute under a different section number."

C.6 Judicial Review of Arbitration Awards under §10-A / §42 — the Rohtas Scenario

1. **An arbitration award is an "award"** for all purposes (§2(b) IDA / §2(e) IRC — published (§17(1)) / communicated (§55(2)) and enforceable under §17-A / §55(3) in the same way. Hence it is reviewed on the same principles as a Tribunal award.
2. **The Arbitration and Conciliation Act, 1996 does not apply** — IRC §42(8) expressly so provides (and this was the position in substance under the IDA too, as the *Rohtas* discussion shows: "we are not concerned with a private arbitration but a statutory one … deriving its validity, enforceability and protective mantle … from §10-A").
3. **Consent cannot create jurisdiction.** The reference must be of an *existing or apprehended industrial dispute*. "No industrial dispute, no valid arbitral reference" — *Rohtas* (obiter). Consequently, an arbitrator cannot be clothed with power by the parties' agreement to decide a claim which is outside §2(k) — e.g., a management's claim for damages against strikers.
4. **The remedy for an illegal strike lies inside the Act** — prosecution under §26 (now the penalty provisions of the Code for illegal strikes, §86(13)–(16)). The Act, being a self-contained code, gives "the right and the remedy … uno flatu"; you cannot sue in tort for conspiracy or bring an action outside the statute.
5. **But an award that travels outside the Act is reviewable for error of law on its face** — which is precisely how the Supreme Court disposed of the compensation award in *Rohtas* without needing to decide the jurisdiction question finally.

C.7 Review of the Reference to a National Industrial Tribunal — FDC Ltd. v. Union of India

FDC Ltd. v. Union of India, 136 (2007) DLT 266

Context (the course cross-reference): the case material notes that the power to refer to a National Industrial Tribunal under §7-B of the IDA is "pari materia" with **§54 read with §46 of the IR Code** (Central Government's power to refer, to an NIT, a dispute involving questions of national importance or establishments in more than one State).

The problem: the Central Government referred to a National Industrial Tribunal the individual termination disputes of 58 medical representatives of one company — workers spread over several States, each with his own facts, several of whom had already raised separate disputes before State Labour Courts/Tribunals, and 24 of whom had raised no dispute at all.

The challenge: (i) the notification was vitiated by non-application of mind — no material demonstrated that the dispute was of "national importance" or that establishments in more than one State were interested in or affected by it; (ii) the mere fact that the employees of one establishment worked in more than one State does not convert an individual termination dispute into one affecting establishments situated in more than one State; (iii) the power under §7-B must be exercised in a guided and rational manner, and the notification must show the basis of the satisfaction.

Principle to extract: the power to constitute/refer to a National Industrial Tribunal is a *special* jurisdiction, exercisable only on the statutory precondition — national importance, or the interest/effect on establishments in more than one State — and the exercise of it is amenable to judicial review for absence of material and non-application of mind. Under the Code the same discipline applies to **§46 (constitution of NITs) read with §54 (reference by the Central Government)**.

⬢ D Case Laws in Full — Facts · Issues · Arguments · Decision · Principle

Format used below: **C**ontext → **F**acts → **I**ssues → **A**rguments of both sides → **H**olding → **R**atio → **P**rinciples/Obiter → **A**pplication & exam use. The two prescribed cases (Nos. 8 and 9 of the course sheet) are treated exhaustively; the connected cases follow in Part D-5.

========== BHARAT BANK ==========

⚖ Bharat Bank Ltd., Delhi v. Employees of the Bharat Bank Ltd.

AIR 1950 SC 188 · 1950 SCR 459 · Mahajan, J. · DU case material No. 8 · full brief in Unit 1 §19

Relevance to this unit. The award of an Industrial Tribunal is the product of a **judicial determination**: the Tribunal decides the dispute referred to it on the material before it and its decision is enforceable as if it were a decree. That is why an award, once published under §17(1), carries **finality** subject only to the constitutional remedies — it is not open to collateral challenge in a civil court.

The Unit-3 holding in one line. Because the Tribunal acts judicially, its award attracts the supervisory jurisdiction of the Supreme Court under **Article 136** (and of the High Courts under Articles 226 and 227); and because it is a determination of rights, the award — like a settlement — binds the parties for the period prescribed by §19, and a settlement arrived at on the same matters raises the *Sirsilk* collision examined next.

========== ROHTAS ==========

⚖ [2] Rohtas Industries Ltd. & Anr. v. Rohtas Industries Staff Union & Ors. CASE No. 9 · Unit 3

1976 AIR 425 · 1976 SCR (3) 12 · Appeal by special leave under Article 136 from the High Court (writ petitions under Article 226) · Bench: V.R. Krishna Iyer, Y.V. Chandrachud and A.C. Gupta JJ. · Judgment delivered by Krishna Iyer J.

◆Facts

1. Two connected managements of industries in the same locality (the appellants) had a running industrial dispute with their workers, with a long history "moving in a zigzag course" and sicklied over by internecine trade-union rivalry. There were two unions: the **Rohtas Industries Mazdoor Sangh** (the representative union during the relevant period) and the **Rohtas Industries Seva Sangh** (not a party before the Supreme Court).
2. A strike in the industry came to an end by virtue of a **memorandum of agreement dated 2 October 1957**, to which the managements, the two registered unions and two unregistered unions with a lesser following were parties. The agreement was **arrived at during conciliation proceedings** under the IDA.
3. Clause 7 of that agreement provided that the employees' claim for wages and salaries for the strike period and the **company's claim for compensation for losses due to the strike** "shall be submitted for arbitration of Sri J.N. Majumdar and Sri R.C. Mitter, ex-High Court Judges and ex-Members of the Labour Appellate Tribunal of India, as joint arbitrators and their decisions … shall be final and binding on all the parties". The reference fell squarely under **§10-A**.
4. The arbitrators — two retired Judges of the Calcutta High Court — held hearings spread over a year and a half and made a lengthy, reasoned award (a "speaking award" both on facts and law). Their award was: **(1)** the workmen participating in the strike were not entitled to wages/salaries for the strike period; **(2)** the Company do recover from the workmen participating in the strike **compensation** — assessed at **Rs 80,000 in one case and Rs 6,90,000 in the other** — for the loss of profits suffered by the manufacturing business; **(3)** the workmen do jointly and severally pay one-eighth of the costs of the arbitration.
5. The workmen were deprived of strike wages on the footing that the strike was **illegal** (conciliation proceedings were pending: §§23 and 24). Both sides ultimately accepted that finding. The compensation direction, however, was challenged by the Mazdoor Sangh by two writ petitions.
6. The **High Court quashed that part of the award** which directed payment of compensation by the workers to the management. Both sides had appealed — 12 years elapsed between the grant of special leave and the final hearing. By then: the generation of workers who struck work two decades earlier had "all but retired"; the representative union had apparently ceased to command representative character; and the managements had **disclaimed any intention to recover** the huge sums awarded.
7. Counsel for the appellants told the Court at the outset that his clients were inclined to **abandon realisation of the entire compensation** even if the Court upheld that part of the award — "He fought a battle for principle, not pecunia." The appeal therefore became a vehicle for important questions of law.

◆Issues

1. Is an **award under §10-A** (voluntary arbitration) amenable to correction by the High Court under **Article 226** — or does it savour of private arbitration and lie outside the writ jurisdiction? If the jurisdiction exists, should the Court exercise it?
2. Does the compensation part of the award suffer from any **recognised ground of interference** — in particular, an **error of law on the face of the award**? Specifically, is an *illegal* strike, as such, an actionable wrong (the English tort of conspiracy) for which the strikers are liable in damages for the employer's loss of profits?
3. Is the High Court's reasoning correct on (i) the "mixed motives" flaw in the award; (ii) the exclusion of remedies other than prosecution under **§26**; and (iii) the implied immunity from all legal proceedings against strikers said to arise from **§18 of the Trade Unions Act, 1926**?
4. *(Obiter — raised and discussed)* Is a claim by an **employer** against his workmen for compensation for loss of profits an **"industrial dispute"** within §2(k), and therefore arbitrable under §10-A at all?

◆Decision (Holding)

◆Ratio Decidendi

◆Principles & Observations (obiter and policy)

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== SIRSILK ==========

⬢ D-3 The Sirsilk Problem — "Can the Government withhold publication of an award?"

Not one of the two prescribed case numbers, but the **principal reading for Unit 3** in the course's Exam Capsule and the subject of PYQs in **all three** of the last three papers. Treat it as a prescribed case.

⚖ Sirsilk Ltd. v. Government of Andhra Pradesh

(1964) 2 SCR 448 · AIR 1964 SC 160 · Bench: K.N. Wanchoo J. (and others) · Writ petitions from the Andhra Pradesh High Court

◆Facts

1. An order referring certain disputes between the appellant (Sirsilk Ltd.) and its workmen was made to the Industrial Tribunal on **6 June 1956**.
2. The Tribunal finished the adjudication and **sent its award to the Government in September 1957**. Under §17(1), the appropriate Government must publish the award within thirty days of its receipt.

3. Before the Government could publish the award, the parties to the dispute **arrived at a settlement**. On **1 October 1957**, a letter signed jointly on behalf of the employer and the employees was sent to the Government, intimating that the dispute pending before the Tribunal had been settled and requesting the Government **not to publish the award**.
4. The Government expressed its inability to withhold publication, taking the view that §17 was **mandatory** and that it was bound to publish the award.
5. The appellants filed writ petitions under Article 226 seeking a direction that the Government not publish the award. The High Court dismissed the petitions, holding §17 mandatory and that it was not open to the Government to withhold publication.
6. Sirsilk appealed to the Supreme Court.

◆Issues

1. Is §17 of the Act, when it provides for the publication of an award, **directory and not mandatory**?
2. Where there is a settlement which is **binding under §18(1)**, would it be open to the Government **not to publish** the award in these special circumstances?

◆Decision (Holding)

- **§17(1) is mandatory as to the obligation to publish.** The word "shall" was intended to give a mandate to the Government to publish the award within the time fixed. This is "enforced by the fact that sub-section (2) of §17 provides that the published award shall be final and shall not be called in question by any court in any manner whatsoever. Obviously when the legislature intended the award on publication to be final, it could not have intended that the Government concerned had the power to withhold publication of the award."
- **But the situation before the Court was exceptional**, requiring a reconciliation between the mandatory character of §17(1) and the equally mandatory character of §18(1) — under which the settlement arrived at on 1 October 1957, not fixing any date, became operative from that day itself and bound the parties who were also before the Tribunal.
- **The only way to reconcile the two provisions is to withhold publication of the award**, "as a binding settlement has already come into force in order to avoid possible conflict between a binding settlement under §18(1) and a binding award under §18(3)".
- The Court accordingly **allowed the appeals and directed the Government not to publish the awards** sent to it by the Industrial Tribunal in these cases, in view of the binding nature of the settlements arrived at between the parties under §18(1).
- If any dispute arises as to the validity of the settlement (fraud, misrepresentation, etc.), that is a **fresh industrial dispute** which the Government may refer; and if the settlement is not binding, the withheld award may then be published.

◆Ratio Decidendi

1. **Two-limb rule:** (i) the *obligation* to publish under §17(1) is mandatory; (ii) yet in the exceptional case where, before publication, the parties jointly inform the Government that a **binding §18(1) settlement covering the same matters** has come into force, the Government **should withhold publication** to avoid an irreconcilable conflict between §18(1) and §18(3).
2. The normal (and better) course is for the parties, if they settle while the dispute is pending, to **place the settlement before the Tribunal so that the Tribunal makes an award in terms of the settlement**. The exceptional rule applies only where that has not happened and the award is already with the Government.
3. **Policy foundation:** the Act's purpose is industrial peace, and a voluntary settlement is preferable to an imposed award — "The settlement is likely to lead to more lasting peace than an award."

◆Conditions for the exception (write these as a check-list)

- The settlement must be a **valid §2(p) settlement** — written, signed in the prescribed manner, and (for the second limb) a copy sent to the authorised officer and the Conciliation Officer. Under the IR Rules, 2026 it must be in **Form I**.
- It must have **come into operation** — §19(1)/§58(1): from the agreed date or the date of signing.
- **Both parties must jointly inform** the Government. A request by one party alone, or a settlement of doubtful validity, does not attract the exception — the Government should then publish.
- The settlement must cover the **same subject-matter** as the award, so that publication would create a real conflict.

◆Reconciliation with Remington Rand

Question	Sirsilk (1964)	Remington Rand (1968)
Is the **obligation** to publish mandatory?	Yes — "shall" is mandatory; §17(2) and §17-A presuppose it	Yes — same position
Is the **30-day time limit** mandatory?	Not directly in issue	**No — directory**; late publication does not invalidate the award
Can the Government **withhold** an award?	Yes, in the exceptional §18(1)-settlement situation	Not in issue (the complaint was of *late*, not withheld, publication)

========== REMINGTON RAND ==========

⚖ The Remington Rand of India Ltd. v. The Workmen

(1968) 1 SCR 164 · AIR 1968 SC 224 · Bench: G.K. Mitter J. (and others) · Appeal against the award of the Industrial Tribunal, Alleppey

◆Facts

1. The Industrial Tribunal, Alleppey, made the award. The gazette notification accompanying publication recorded that the Government had **received the award on 14 October 1966**.
2. Counsel calculated that the award ought to have been published at the latest on **12 November 1966** — the thirtieth day from receipt. It was in fact **published in the Kerala Gazette on 15 November 1966**, beyond the thirty-day period (the examination favourite, the "31st-day publication" problem).
3. The management took the point that the award could not be given effect to at all, because §17(1) was mandatory and the time limit had expired.

◆Issue

Is the provision as to time in §17(1) — the thirty-day period for publication — mandatory, so that publication beyond thirty days renders the award invalid and unenforceable?

◆Decision (Holding)

- **The provision as to time in §17(1) is merely directory and not mandatory.**
- §17(1) makes it **obligatory** on the Government to publish the award; the limit of time "has been fixed as showing that the publication of the award ought not to be held up"; but fixation of the period of thirty days does not mean that publication beyond that time renders the award invalid.
- Reasons given: circumstances may make publication within thirty days impossible (a strike in the press or other good and sufficient cause); holding the award invalid would attach undue importance to a provision not in the legislature's mind; it would entail a fresh reference with needless harassment to the parties; and **non-publication within the thirty days entails no penalty** — another consideration to be kept in mind.
- The award was upheld (other issues on wages, dearness allowance, gratuity and hours were dealt with on the merits and, where necessary, remitted).

◆Ratio and the mandatory/directory test

1. **The test:** the Court must ascertain the *real intention of the legislature*, looking at the statute as a whole. Where non-compliance is visited with a consequence (penalty, invalidity), the provision is generally mandatory; where no consequence is provided, it is likely to be directory.
2. **Directory:** the 30-day period in §17(1). **Mandatory:** the obligation to publish (§17(1), per *Sirsilk*), and the binding effect of the settlement/ award under §18.
3. **Effect of late publication:** the award survives and becomes enforceable thirty days after publication (§17-A) — i.e., the delay postpones enforceability, it does not destroy the award.

⬢ E The Industrial Relations Code, 2020 — the New Home of Settlements and Awards

PREVIOUS YEAR QUESTIONS · UNIVERSITY OF DELHI · LL.B. V TERM

PYQ Bank — Unit 3 (questions only)

Q1 DEC 2024 · Q.2
Problem on §17(1) publication and its conflict with a settlement — whether the Government can be restrained from publishing / can withhold the award (the Sirsilk problem).

◆ **Refer makelaweasy.in for detailed notes**, full model answers to every question below, additional case briefs, diagrams and revision material on this unit.

Q2 Q.4(B)
Judicial review of a §10-A arbitration award — grounds, and the High Court's power to interfere (the Rohtas problem).

Q3 MAY–JUNE 2025 · Q.2(A)
Whether late publication (on the 31st day) invalidates the award. [Remington Rand]

Q4 Q.2(B)
Sirsilk scenario — settlement reached before publication: can the Government be asked not to publish?

Q5 NOV–DEC 2025 · Q.1
Bharat Bank ; comparative angle ("will your answer be the same if …?").

Q6 Q.8(C)
§17(1) — withholding publication of an award (short note / medium answer).

Q7 Q.2
Reference validity (Sarathy) + criminal prosecution for non-implementation of a settlement/award — §29 in action.

Q8 The award of an Industrial Tribunal was sent to the appropriate Government on 1 January. Before it could be published, the employer and the workmen's union arrived at a settlement on the same matters, on terms more favourable to the workmen than the award, and both parties jointly requested the Government not to publish. The Government proposes to publish the award because §17(1) uses the word 'shall'. Advise the parties.

Q9 The award was received by the State Government on 14 October and was published in the Gazette on 15 November — the 31st day. The employer contends that the award is a nullity. Advise.

Q10 An arbitrator's award under §10-A directed the striking workmen to pay the employer Rs 5 lakh as compensation for loss of profits caused by the strike, which had been held illegal. The workmen move the High Court under Article 226. Advise them, and state the grounds on which such an award may be reviewed.

Q11 The Supreme Court's power under Article 136 extends to the awards of Industrial Tribunals; yet the Court is not a court of error." Discuss with reference to Bharat Bank Ltd. v. Employees . Would your answer be the same if the challenge were made to the High Court under Article 226 against an arbitration award under §10-A?

LB-503 · INDUSTRIAL LAW (INCLUDING IDRA) · FACULTY OF LAW, UNIVERSITY OF DELHI · LL.B. V TERM

UNIT 04

Managerial Prerogative & Disciplinary Action

◆ SYLLABUS COVERAGE

Managerial prerogative — doctrine, sources and limits · Disciplinary action: misconduct, the domestic enquiry and its consequences · Simultaneous criminal prosecution and domestic enquiry.

◆ STATUTES & PROVISIONS

IE (Standing Orders) Act, 1946 · IDA, 1947 · ss.2(s), 10, 11-A, 22, 33 · IR Code, 2020 · ss.2(zk), 50, 90–91

◆ PRESCRIBED CASE MATERIAL

Delhi Cloth & General Mills v. Kushal Bhan (No. 10) · Associated Cement Co. v. Workmen (No. 11) · Tata Oil Mills v. Workmen (No. 12) · Indian Overseas Bank, Anna Salai v. P. Ganesan (No. 13) · Kusheshwar Dubey v. Bharat Coking Coal (No. 14) · Prem Nath Bali v. Registrar, High Court of Delhi (No. 15)

⬢ A Managerial Prerogative — Doctrine, Sources and Limits

▸ A.1 What "managerial prerogative" means

The doctrine in the course's own words

"Managerial prerogative refers to the rights and powers of the employer to manage and control the affairs of the industrial establishment. This includes hiring, disciplinary control, transfer, promotion, and termination of employees."

The power is **inherent in the contract of employment and in the employer's ownership of the undertaking**. At common law it was described as the right to "hire and fire". In the older industrial-law vocabulary it is the management's power to "direct its own internal administration and discipline" — *Indian Iron & Steel Co. Ltd. v. Their Workmen*, AIR 1958 SC 130; and the Supreme Court has repeatedly said that **"the right to take disciplinary action and to decide upon the quantum of punishment are mainly managerial functions"** — *Workmen of Firestone Tyre & Rubber Co. v. Management*, AIR 1973 SC 1227, principle (1).

▸▸ Source [1] — Contract

The contract of service confers the master's power to command and the servant's duty to obey; breach of that duty is "misconduct", which the employer may punish. The relationship is one of status governed by the contract, but the law of "master and servant" has been heavily overlaid by statute in industrial employment.

▸▸ Source [2] — Property & business freedom

The undertaking is the employer's property and management is his business (Art. 19(1)(g) Constitution). Discipline is treated as a requirement of "*efficient industrial management*" and of production; hence courts speak of the employer's "power to direct its own internal administration and discipline".

▸▸ Source [3] — Certified Standing Orders

In industrial establishments, the employer's punitive power is exercised *through* the standing orders certified under the Industrial Employment (Standing Orders) Act, 1946 (IRC, Chapter IV). These are "statutory terms of service" — binding on employer and workman alike — and they define both the misconduct and the procedure.

▸ A.2 The statutory architecture — which statute does what

Instrument	Function in disciplinary action	Key provisions
Industrial Employment (Standing Orders) Act, 1946	Defines the misconduct, the penalties and the procedure; certified standing orders are statutorily binding and override inconsistent contract terms.	§3 draft (6 months) · §4 conditions of certification (fairness/reasonableness) · §5 certification + objections (15 days) · §6 appeal · §§7–9 date of operation, register, posting · §10 duration/modification (6 months) · **§10-A subsistence allowance** · §12 oral evidence not admissible · §13 penalties · Schedule items 1–11 (item 9 = "Suspension or dismissal for misconduct, and acts or omissions which constitute misconduct").
Industrial Disputes Act, 1947	Subjects the punitive power to the pendency of a dispute; gives the adjudicator power to reappraise the finding and the punishment; makes victimisation an actionable unfair labour practice.	§2A (individual dismissal deemed an industrial dispute) · §2(ra) + Fifth Schedule (unfair labour practices) · §9-A (notice of change) · §11 (procedure/powers of tribunals) · **§11-A** (relief on discharge/dismissal) · §25-F (retrenchment) · **§33, §33-A** (pendency restraint + complaint) · §33-C(2) (recovery).
Constitution	Controls State employers directly and supplies the values (fairness, livelihood, non-arbitrariness) that inform even private discipline.	Arts. 14 & 16 (non-arbitrariness), 19(1)(g) (employer), 21 (livelihood/dignity), 39/41/43/43-A (DPSPs), 226/227 and 136 (remedies), Art. 311 (public servants — the setting of *Prem Nath Bali*).
Industrial Relations Code, 2020	Consolidates the three Acts; raises thresholds; for the first time **statutorily time-limits disciplinary proceedings and mandates subsistence allowance**.	Ch. II §4 GRC · Ch. IV §§28–39 standing orders — s.28 (300+ workers), s.29 (model SOs + temporary application), s.30 (draft + certification, deemed certification), s.32 (appeals), s.33 (date of operation), s.35 (duration/modification), **s.38 (time limit for completing disciplinary proceedings + subsistence allowance)**, s.39 (exemption) · **§50** powers on discharge/dismissal + interim relief · **§90** conditions of service frozen during pendency (≡ §33) · **§91** complaint (≡ §33-A) · §86 penalties.

CCS (CCA) Rules, 1965	The machinery for disciplinary action against government servants (the setting of *Prem Nath Bali*) — Rule 14 (procedure for imposing major penalties), Rule 10 (suspension), Rule 15 (action on the enquiry report), Rule 8 (minor penalties), Rule 11 (major penalties).	Not part of the IDA; but its concepts (charge memo, enquiry officer, presenting officer, enquiry report, appellate authority) are the model on which industrial domestic enquiries are built.

⬢ B Disciplinary Action — Misconduct, the Enquiry, and its Consequences

▸ B.1 "Misconduct" — the gateway concept

Working definition

Misconduct is a conduct — an act or omission — which is inconsistent with the faithful and diligent discharge of the duties of the employee, or which is subversive of discipline in the establishment. In industrial law it is *not* for the employer to invent the categories: misconduct must be one of the acts or omissions specified in the **certified standing orders** (or in the contract of service where no standing orders apply). This is the single most important structural point of Unit 4.

▸▸ Typical misconduct clauses in standing orders / model standing orders

- wilful insubordination or disobedience, whether alone or in combination with others, of any lawful and reasonable order of a superior;
- theft, fraud or dishonesty in connection with the employer's business or property;
- wilful damage to or loss of the employer's goods or property;
- **taking or giving bribes or any illegal gratification**;
- habitual absence without leave, or absence without leave for more than the specified days;
- habitual late attendance; neglect of work or negligence causing damage;
- **drunkenness, fighting, riotous or disorderly or indecent behaviour within or without the factory** (the very clause in *Tata Oil Mills*, S.O. 22(viii) — see also S.O. 16 in *Associated Cement*);
- strikes or incitement to strike in contravention of the Act; "go-slow";
- disclosure of confidential information; engaging in trade or business without permission;
- abuse of position, sexual harassment, violence — the modern additions (POSH Act, 2013 policy obligations).

▸▸ The "rational connection" test for outside-the-gates conduct

Standing orders frequently cover conduct "**within or without the factory**". The Supreme Court in *Tata Oil Mills Co. Ltd. v. Workmen*, AIR 1965 SC 155, held that such a clause is **not** to be read as embracing a "purely private and individual dispute" between two employees. To attract the clause, the employer must show that the disorderly conduct had **"some rational connection with the employment of the assailant and the victim"**.

Application: in *Tata Oil Mills* itself an assault outside the factory, at a distance, after shift hours, was held linked to employment because the motive was the victim's support for an *Incentive Bonus Scheme* — a workplace issue over which two rival unions were arrayed. It was "not the result of a purely individual or private quarrel".

Contrast: a fist-fight at a private wedding over a personal matter, or an assault arising out of an old family feud, would fall *outside* the clause — absent facts showing that the quarrel was born of a workplace grievance (production bonus, union rivalry, supervisory rivalry, refusal to do another's work).

▸ B.2 Penalties — what the employer may impose

Standing orders (and, for government servants, the CCS (CCA) Rules) divide punishments into **minor** and **major** penalties:

Minor penalties	Major penalties
Censure · warning · fine (subject to the Payment of Wages Act limits) · withholding of increment(s) · withholding of promotion · recovery from pay of the whole or part of any pecuniary loss caused by negligence · stoppage at an efficiency bar.	Reduction to a lower stage in the time-scale; reduction to a lower service, grade or post; compulsory retirement (the penalty in *Prem Nath Bali*); removal from service (without disqualification for future employment); **dismissal** (with disqualification); discharge simpliciter.

▸ B.3 The domestic enquiry — step by step (judge-made procedure)

The IDA contains **no** procedure for a domestic enquiry. The requirement of a "proper enquiry" is a judicial creation, now partially reflected in standing orders and (under the IR Code) in statutory time-limits. The recognised steps are:

▸ B.4 The validity checklist — the eight questions (with their authorities)

#	Question	Authority	Effect of a "wrong" answer
1	Was a **specific charge-sheet** served, with particulars and the standing order invoked?	*Punjab National Bank v. Workmen* (quoted in Firestone): "such an enquiry must always begin with the supply of a specific charge-sheet"	No charge-sheet → enquiry void; dismissal illegal
2	Was the enquiry officer **impartial** — and not himself a witness to the incident?	*Associated Cement* (Malak Ram)	Witness-cum-adjudicator → serious infirmity; personal knowledge imported → "sham"
3	Was **evidence led first**, before the workman was questioned?	*Associated Cement*	Cross-examining the workman at the outset → improper sequence
4	Was **advance notice** of the enquiry date given?	*Associated Cement*	Infirmity — the workman could not prepare or collect evidence
5	Was the workman given the chance to **cross-examine** the management witnesses?	*Associated Cement*; *IOB v. Ganesan*	Denial of cross-examination → violation of natural justice
6	Was he allowed to lead **defence evidence** (or did he himself default)?	*Tata Oil Mills* (defence witnesses failed to appear — no fault of the employer)	Denial caused by the employer → enquiry bad; default by the employee → enquiry stands

7	Were the findings based **only on the evidence recorded**, with nothing relied upon behind the workman's back?	*Associated Cement* (Vishwa Nath: attendance register; Bakhtawar Singh's document; Daulat Singh's separate enquiry)	Undisclosed material → unfair; violates *audi alteram partem*
8	Was the enquiry **concluded expeditiously** (and, if the workman was suspended, was subsistence allowance paid)?	*Prem Nath Bali* (6 months/1 year guideline); SO Act §10-A; **IRC §38** (90-day norm + subsistence allowance)	Delay attributable to the employer → relief in computing service benefits; denial of subsistence → denial of the means to defend

B.5 After the enquiry — report, hearing on penalty, and the "prejudice" rule

- **Enquiry report:** a reasoned report is the foundation of the punishment order. The rule that the workman should receive the enquiry report before the penalty is imposed, and be heard on it, comes from the service-law line — *Managing Director, ECIL v. B. Karunakar*, (1993) 4 SCC 727 — and is applied to industrial enquiries as a facet of fair play.
- **The prejudice test:** a procedural breach that causes no prejudice will not automatically nullify the action where the rules are "directory"; but where the breach touches the *core* of natural justice (denial of hearing, denial of evidence), it is fatal — the distinction drawn in *State Bank of Patiala v. S.K. Sharma*, (1996) 3 SCC 364, and reflected in the industrial cases' approach of asking whether the enquiry was fair *in substance* (contrast *Associated Cement* — vitiated — with *Tata Oil Mills* — upheld).
- **Reasoned punishment order:** stand at the removal of the punishment from the standing orders, on the findings, and on proportionality. Absence of reasons is itself a ground of challenge where the standing orders require them (and, for public servants, under the CCS (CCA) Rules).

B.6 If the enquiry is defective or none is held — the Firestone principles

In *Workmen of Firestone Tyre & Rubber Co. of India P. Ltd. v. Management*, AIR 1973 SC 1227, the Supreme Court summarised the law in **nine principles** which every Unit 4 (and Unit 5) answer should be able to cite. They are set out in full in Part E.5; the four that matter most for Unit 4 are:

"(2) Before imposing the punishment, an employer is expected to conduct a proper enquiry in accordance with the provisions of the Standing Orders, if applicable, and principles of natural justice.

The enquiry should not be an empty formality.

(3) When a proper enquiry has been held ... and the finding of misconduct is a plausible conclusion flowing from the evidence ...

the Tribunal has no jurisdiction to sit in judgment over the decision of the employer as an appellate body

. The interference ... will be justified only when the findings ... are perverse or the management is guilty of victimisation, unfair labour practice or mala fide.

(5) The effect of an employer not holding an enquiry is that the Tribunal would not have to consider only whether there was a prima facie case. ...

the issue about the merits of the impugned order is at large before the Tribunal

... A case of defective enquiry stands on the same footing as no enquiry.

(7) It has never been recognised that the Tribunal should straight away, without anything more, direct reinstatement of a dismissed or discharged employee, once it is found that no domestic enquiry has been held or the said enquiry is found to be defective."

— Firestone Tyre (1973), principles (2), (3), (5) and (7)

Consequence of a defective enquiry in one line: the employer loses the *benefit* of the domestic findings; the misconduct is at large before the Tribunal; the employer may ask for the opportunity to prove the misconduct by fresh evidence at the appropriate stage (and the Tribunal must grant it), and only if it fails does the order fall — upon which the Tribunal may order reinstatement or a lesser penalty under §11-A.

B.7 Victimisation and unfair labour practice — the employer's motive under scrutiny

Victimisation

Dismissal is "victimisation" where the employer's real object is not the misconduct but the employee's union activity, or where the punishment is a reprisal for asserting rights. It is one of the four grounds of interference recognised in *Indian Iron & Steel* and a classic ground under §11-A. The leading authority on proof is *L. Michael v. Johnson Pumps Ltd.*, (1975) 1 SCC 574 — the employer must establish the misconduct; where the misconduct is trivial and the punishment crushing, an inference of victimisation may be drawn; the onus does not lie on the workman to prove the employer's mind.

Unfair labour practice

§2(ra) IDA defines "unfair labour practice" by reference to the **Fifth Schedule**, which lists — among many items — "to discharge or dismiss workmen ... by way of victimisation", "not in good faith, but in colourable exercise of the employer's rights", and "to take disciplinary action against a workman in the guise of an order of discharge". An unfair labour practice vitiates the action and is itself a ground of interference; the IR Code carries the concept forward (§2(r) and the Second Schedule of unfair labour practices).

B.8 Time — the newest discipline on the employer

Prem Nath Bali (2015) — the guideline

"Every employer (whether State or private) must make sincere endeavour to conclude the departmental inquiry proceedings once initiated against the delinquent employee within a reasonable time by giving priority to such proceedings and **as far as possible it should be concluded within six months as an outer limit**. Where it is not possible ... due to certain unavoidable causes ... efforts should be made to conclude within a reasonably extended period depending upon the cause and the nature of inquiry **but not more than a year**."

Industrial Relations Code, §38 — the statutory turn

§38(1) Where a worker is suspended pending investigation or inquiry into complaints or charges of misconduct, such inquiry **"shall be completed ordinarily within a period of ninety days from the date of suspension"**.

§38(2)–(3) The certified/modified standing orders must provide for payment of **subsistence allowance** to such worker during the period of suspension, at the prescribed rates — which under the Code are **50% of the wages** for the first 90 days and **75%** thereafter (mirroring §10-A of the Standing Orders Act, 1946).

This is the clearest example of the shift from judge-made to statutory discipline: what *Prem Nath Bali* laid down as a guideline (six months/one year) and what *Fakirbhai* and *Ram Lakhan* worked out on subsistence allowance (Part E.4) now appear as an express statutory command.

Worked example — assembling the whole of Part B in one problem

Facts: A shop-floor operator in a 1,200-worker auto-components plant is charge-sheeted for having abused and pushed a supervisor in the canteen after shift hours. The Plant Manager — who saw the incident — conducts the enquiry; he begins by questioning the operator for two hours about his version; the management's four witnesses are examined afterwards; the operator's request for an adjournment to bring two co-workers is refused; the enquiry report relies on the canteen register (never shown to the operator) and on statements recorded in the separate enquiry against another operator. He is dismissed. Meanwhile, a wage revision dispute of the union is pending before the Industrial Tribunal.

Analysis: (i) **Misconduct/rational connection:** if the altercation arose out of a workplace grievance (supervisory rivalry, production targets), the standing order covering "within or without the factory" applies on *Tata Oil Mills*; if it was purely personal, it does not. (ii) **Enquiry:** four *Associated Cement* infirmities are present — the enquiry officer is an eyewitness; the employee was examined before the evidence; no logic or justification for refusing a short adjournment (contrast *Tata Oil Mills*, where the failure was the employee's own); and the findings rest on undisclosed material and on a co-worker's separate enquiry. (iii) **§33:** the dismissal is "connected with" the pending wage dispute only if the altercation itself concerns the dispute; if unconnected, one month's wages had to be paid and approval obtained — and under *Jaipur Zila* the approval is mandatory. (iv) **Remedy:** the Tribunal may discard the findings; the employer may seek to prove the misconduct afresh at the appropriate stage (*Firestone* principle (8)), failing which the dismissal falls; the Tribunal may yet substitute a lesser penalty under §11-A if it finds the punishment harsh, and may award back wages. (v) **Time:** if the operator was suspended, the enquiry ought to have been completed within 90 days (IRC §38) with subsistence allowance — and any delay not attributable to him counts in his favour.

⬢ C Simultaneous Criminal Prosecution and Domestic Enquiry

▸ C.1 The doctrine in six propositions

#	Proposition	Authority
1	**There is no absolute bar on simultaneous proceedings.** The pendency of a criminal case does not, by itself, disable the employer from holding or concluding a domestic enquiry on the same facts, nor does it make the enquiry mala fide.	*DCM v. Kushal Bhan*, AIR 1960 SC 806; *Tata Oil Mills*, AIR 1965 SC 155; *Kusheshwar Dubey*, AIR 1988 SC 2118
2	**But it is "desirable" and "fair" to stay** the enquiry pending the criminal trial — and "advisable" where the case is **of a grave nature** or involves **questions of fact or law which are not simple**, "so that the defence of the employee in the criminal case may not be prejudiced".	*Kushal Bhan* (the very words of Wanchoo J.), reaffirmed in *Tata Oil Mills*
3	**Proceeding despite pendency is not per se mala fides or a breach of natural justice.** The enquiry is vitiated only if it is otherwise unfair; the employee's own refusal to participate in a fair enquiry does not help him.	*Kushal Bhan*; *Tata Oil Mills* ("mere error of law or fact does not make the conclusion mala fide")
4	**No strait-jacket formula;** the question is fact-specific — and the employee's remedy is to seek a **stay/ injunction from a court**. Absent such an order, "the disciplinary authority is free to exercise its lawful powers"; wilful breach of a stay order is contempt.	*Kusheshwar Dubey*, quoting *Jang Bahadur* (Delhi HC) with approval
5	**The stay test is conjunctive:** staying is warranted where (i) the two proceedings rest on *identical/ similar facts and the same charges*, *and* (ii) the charge is of a **grave nature involving complicated questions of law and fact**, *and* (iii) the employee's defence would be prejudiced. "Not only the charges must be grave but … the case must involve complicated questions of law and fact."	*State of Rajasthan v. B.K. Meena*, (1996) 6 SCC 417; *Capt. M. Paul Anthony v. Bharat Gold Mines*, (1999) 3 SCC 679; *Kendriya Vidyalaya Sangathan v. T. Srinivas*, (2004) 7 SCC 442; ***IOB v. P. Ganesan*, (2008) 1 SCC 650**
6	**Counter-weights to a stay:** a stay is never "a matter of course"; the departmental proceedings cannot be unduly delayed; where the criminal case is not proceeding or is being delayed, the enquiry may be resumed; where there are *additional charges* not forming part of the criminal case, or the employee's conduct (adjournments, non-participation, dilatory tactics) disentitles him, no stay — and, in the writ context, the relief is refused on the ground of conduct alone.	*Paul Anthony*, principle (v); *HPCL v. Sarvesh Berry*, (2005) 10 SCC 471; ***IOB v. Ganesan***

▸ C.2 The chain of authority — what each case added

Case	Contribution	Key words
DCM v. Kushal Bhan (1960)	Default rule: no duty to wait. Exception: grave/complex cases — "advisable" to wait. Acquittal later does not vitiate a fair enquiry; the Tribunal's §33(2) role is limited.	"We cannot say that principles of natural justice require that an employer must wait for the decision … of the criminal trial court"; "if the case is of a grave nature or involves questions of fact or law, which are not simple, it would be advisable for the employer to await the decision of the trial court".
Tata Oil Mills (1965)	Reaffirms; adds that proceeding despite pendency is not mala fides; the enquiry's fairness is judged on its own record.	"To say that domestic enquiries may be stayed pending criminal trial is very different from anything that if an employer proceeds with the domestic enquiry … the enquiry for that reason alone is vitiated."
Kusheshwar Dubey (1988)	No rigid formula; fact-specific; remedy = civil suit for injunction; same facts → stay appropriate; injunction restored on facts.	"Neither possible nor advisable to evolve a hard and fast, strait-jacket formula"; "in the absence of a stay order the disciplinary authority is free to exercise its lawful powers".
State of Rajasthan v. B.K. Meena (1996)	Stay is "a matter to be determined having regard to the facts and circumstances of a given case"; the only recognised ground is prejudice to the criminal defence, "hedged in" by the gravity/complexity requirement.	"No hard and fast rules can be enunciated"; the ground "has been hedged in by providing further that this may be done in cases of grave nature involving questions of fact and law".
Capt. M. Paul Anthony (1999)	Five-point summary: (i) simultaneous proceedings permissible; (ii) identical facts + grave charge with complicated questions → desirable to stay; (iii) gravity/complexity judged from the nature of the offence and the material in the charge-sheet; (iv) these factors not to be considered in isolation — the enquiry must not be unduly delayed; (v) if the criminal case stalls, the enquiry can be resumed and concluded.	"The factors … cannot be considered in isolation to stay the departmental proceedings but due regard has to be given to the fact that the departmental proceedings cannot be unduly delayed."
Kendriya Vidyalaya Sangathan v. T. Srinivas (2004)	"Stay … cannot be and should not be a matter of course"; advisability/ desirability/propriety to be decided on the facts of each case.	Relied on by the Court in *IOB v. Ganesan*.

HPCL v. Sarvesh Berry (2005)	No strait-jacket formula; an employee who himself prolongs the criminal case cannot insist that the departmental enquiry be stayed.	"There can be no straitjacket formula … There may be cases where the trial of the case gets prolonged by the dilatory method adopted by the delinquent official."
G.M. Tank v. State of Gujarat (2006)	Where the employee is *acquitted on merits* after a full trial, and the departmental proceeding rests on the same facts, the acquittal is a relevant, often decisive, consideration — not a mere "benefit of doubt" acquittal.	Distinguished in *IOB v. Ganesan* because there the employee had been acquitted.
IOB v. P. Ganesan (2007)	Elaborates the conjunctive test; adds the "additional charges" point; insists that the High Court record findings on prejudice and complexity; elevates the petitioner's *conduct* into a decisive factor for Article 226 relief.	"What was necessary to be noticed by the High Court was not only existence of identical facts … it was also required to take into consideration the question as to whether the charges … were same."

C.3 Standards of proof — why the two proceedings can end differently

Criminal trial

Proof **beyond reasonable doubt**; the prosecution must establish every ingredient of the offence; the accused has a right to silence and cannot be compelled to disclose his defence; the consequence is conviction, imprisonment and stigma. In *Kushal Bhan* the criminal court acquitted the peon on 8 April 1958 because "the case against him was not free from doubt".

Domestic enquiry

Proof on the **preponderance of probabilities** — a lower standard — and the enquiry is not fettered by the technical rules of the Evidence Act or the Criminal Procedure Code. Hence a **criminal acquittal does not automatically nullify a domestic finding** (*Kushal Bhan*), and conversely the departmental finding is not a "finding of guilt" for criminal purposes. Only where the acquittal is *honourable and on the merits*, and the two proceedings are on identical facts, will it normally be fatal to the disciplinary action (*G.M. Tank*) — a nuance on which *IOB v. Ganesan* expressly distinguished that case.

D Case Laws in Full — Facts · Issues · Arguments · Decision · Principle

The six prescribed cases are treated below in the order of the course list (Nos. 10–15). Each card follows the same discipline: **C**ontext → **F**acts → **I**ssues → **A**rguments of both sides → **H**olding → **R**atio → **P**rinciples/Obiter → **A**pplication & exam use → precision guards. Quotations in inverted commas are from the judgments as printed in the LB-503 case material.

========== 10. DCM v KUSHAL BHAN ==========

⚖ [10] Delhi Cloth & General Mills Ltd. v. Kushal Bhan CASE No. 10 · Unit 4

AIR 1960 SC 806 · (1960) 3 SCR 227 · Appeal by special leave under Article 136 from the Industrial Tribunal · Bench: K.N. Wanchoo J. · A §33(2)(b) approval case

◆Facts

1. The appellant was a company "carrying on the manufacture of textiles"; the respondent, **Kushal Bhan, was in the company's employ as a peon**.
2. On **24 August 1957**, the cycle of **Ram Chandra, Head Clerk of the Folding Department**, was stolen. The matter was reported to the police.
3. Some time later the cycle was **recovered from the railway station cycle stand at the instance of the respondent**, who took the police there and picked out the stolen cycle from among **50/60 cycles** standing there.
4. This was brought to the company's notice in **October 1957**, whereupon a **charge-sheet** was served alleging (i) that he had stolen the cycle, (ii) that it had been recovered at his instance, and (iii) that a **criminal case was pending** against him; he was asked to show cause why he should not be dismissed for misconduct.
5. He submitted his explanation on **13 October 1957**; it was found unsatisfactory and **14 November 1957** was fixed for the enquiry.
6. At the enquiry he appeared before the enquiry committee but **stated that, as the criminal case was pending, he did not want to produce any defence till the matter was decided by the court; he did not want to take part in the enquiry and was not prepared to answer any questions**. He eventually left the place.
7. The company **completed the enquiry** and directed his dismissal "on the ground that the misconduct had been proved against him". It then applied under **§33(2) of the IDA** for the Tribunal's **approval** of the action taken (an industrial dispute being already pending).
8. In the meantime, on **8 April 1958**, the respondent was **acquitted by the criminal court** — "on the ground that the case against him was not free from doubt". A copy of the criminal judgment was produced before the Tribunal, which **refused to approve the dismissal**.
9. The company appealed by special leave.

◆Issues

1. Was the company bound to wait for the result of the criminal trial before holding the enquiry and dismissing the workman for misconduct?
2. Did the workman's refusal to participate vitiate the enquiry, which was otherwise fairly conducted?
3. Could the Tribunal refuse approval under §33(2) merely because of the *subsequent* criminal acquittal — or did it thereby exceed its jurisdiction?

◆Decision (Holding)

- **Appeal allowed; the Tribunal's order set aside; approval granted to the order of dismissal.**
- **No absolute rule of natural justice requires an employer to wait.** "It is true that very often employers stay enquiries pending the decision of the criminal trial courts and that is fair; but we cannot say that principles of natural justice require that an employer must wait for the decision at least of the criminal trial court before taking action against an employee."
- **But where the case is grave or complex, it is "advisable" to wait:** "if the case is of a grave nature or involves questions of fact or law, which are not simple, it would be advisable for the employer to await the decision of the trial court, so that the defence of the employee in the criminal case may not be prejudiced."

- **On the facts, the case was "of a very simple nature"** — the theft of a bicycle — so the employer "cannot be blamed for the course adopted by him"; "there was … no failure of natural justice in this case, and if the respondent did not choose to take part in the enquiry no fault can be found with that enquiry."
- **The Tribunal "patently erred in not granting approval under §33(2)"** and "has completely lost sight of the limits of its jurisdiction under §33(2)".

◆Ratio Decidendi

1. **The default is managerial autonomy:** the pendency of a criminal case is no bar to a domestic enquiry or to dismissal; participation in the enquiry is not excused by the pendency of criminal proceedings.
2. **The exception is "desirability", calibrated to gravity and complexity:** where the charge is grave or questions of fact/law are not simple, the employer *ought*, as a matter of fairness, to await the criminal outcome — so that the employee's criminal defence is not compromised. This is not a rule of natural justice, but a rule of prudence which courts will enforce through the discretion of approval/adjudication.
3. **The two proceedings have different purposes and standards:** a subsequent criminal acquittal — especially one founded on "benefit of doubt" — does not invalidate a fairly conducted domestic enquiry, nor does it oblige the Tribunal to refuse approval.
4. **§33(2) jurisdiction is limited:** the Tribunal is to satisfy itself about the fairness of the enquiry and the bona fides of the action; it may not act as a court of appeal on the merits so as to substitute its own view of the evidence.

◆Principles & Observations (obiter)

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== 11. ASSOCIATED CEMENT ==========

⚖ [11] Associated Cement Co. Ltd. v. Workmen CASE No. 11 · Unit 4

(1964) 3 SCR 652 · AIR 1964 SC 1595 · Appeal by special leave from the award of the Industrial Tribunal, Punjab, Patiala · Bench: P.B. Gajendragadkar J. · Reference under §10(1)(d) IDA

◆Facts

1. The dispute concerned the dismissal of **five workmen** of the Bhupendra Cement Works, Surajpur: **Mehnga Ram** (bar bender), **Janak Raj Soni** (store clerk), **Vishwa Nath Bali** (painter), **Daulat Singh** (motor driver) and **Malak Ram Khanna** (turner). The Government of Punjab referred the dispute to the Industrial Tribunal, Patiala, under §10(1)(d).
2. **Incident 1 — 1 May 1952:** the management arranged a cinema show in the Club grounds at Surajpur for its workmen. At about 8 p.m., during the film, confusion was created in the hall by some employees and shouts were raised; among those who shouted was **Malak Ram**. Owing to the rowdyism, the show had to be cancelled.
3. **Incident 2 — 12 August 1952, 7 a.m.:** Mehnga Ram, Janak Raj and Daulat Singh were alleged to have stopped workmen from entering the factory after they had punched their cards, shouted slogans, and caused **cessation of work for about half an hour**.
4. **Incident 3 — 14 October 1952, 4 p.m.:** Mehnga Ram and Janak Raj were alleged to have collected workers in front of the main office building, instigated co-workers to strike and resort to violence, abused officers and disturbed office work.
5. **Incident 4 — 20 October 1952, 7 a.m.:** Mehnga Ram, Janak Raj, Vishwa Nath and Daulat Singh were alleged to have stopped workmen at the factory gate and shouted hostile slogans.
6. **Three separate Boards of Enquiry** (in each case the Manager, the Assistant Manager and the Chief Engineer) were constituted: the first for the 1 May incident (Malak Ram alone); the second for 12 August (Mehnga Ram, Janak Raj, Daulat Singh); the third for the 14 and 20 October incidents. All five workmen were dismissed on the findings.
7. Before the Tribunal it was urged that **none of the three enquiries was conducted according to the principles of natural justice**. The company **did not lead any evidence before the Tribunal** to justify the dismissals on the merits; it relied on the enquiry proceedings and contended that the Tribunal had no jurisdiction to sit in appeal over the findings.
8. The Tribunal held all three enquiries to be defective and, by its award, directed **reinstatement of the five workmen with continuity of service and full wages from the date of dismissal to reinstatement**.
9. In the Supreme Court, the parties **settled the cases of three workmen** (Mehnga Ram, Janak Raj, Daulat Singh) by consent: the award was set aside for them and their dismissal was treated as an **order of discharge simpliciter**, with **₹3,500 each** (less amounts already paid under the stay order) plus gratuity and provident fund. The Court therefore decided the cases of **Malak Ram and Vishwa Nath**.

◆The two enquiries examined in detail

▸▸ Malak Ram — the four infirmities

1. Charge-sheet on **20 May 1952**; he did not appear on 22 May; a further notice on 4 June asked him to show cause, adding that his behaviour amounted to misconduct under **Standing Order 16(1)**. He explained on 5 June; on the same day the Manager replied that his explanation was "**not borne out by all that we actually saw and also all that was seen by other independent witnesses**", and fixed the enquiry for 11 June.
2. The enquiry on **11 June 1952** was held by the Manager, Assistant Manager and Chief Engineer. It **began with the examination of Malak Ram himself** — "some of the questions put to Malak Ram clearly sound as questions in cross-examination"; four witnesses were examined afterwards, and he was asked whether he wished to cross-examine them (he said he did not), then a fifth witness was examined.
3. The finding recorded was that he was "one of the ring leaders who instigated and took active part in hooliganism and rowdyism during the cinema show"; he was suspended indefinitely from 13 June and later dismissed. The letter of 12 June told him that his version was inconsistent with "the evidence that the Assistant Manager Mr Mohan had been maltreated and with what the enquiry officers had themselves seen".
4. **The four infirmities:** (a) the three enquiry officers claimed to have **witnessed the misconduct themselves**; (b) the enquiry **began with the cross-examination of the workman**; (c) **no notice of the specific date** of the enquiry was given; (d) the officers **imported their personal knowledge** and the reports of other witnesses into the finding.

▸▸ Vishwa Nath — the undisclosed material

1. Charge-sheet on **21 October 1952** alleging that on 20 October 1952 at about 7 a.m. he had stopped workmen at the factory gate, prevented them from going to duty, and shouted hostile slogans — misconduct under **Standing Order 16(ix)**. He explained on 25 October 1952 (denying presence at 7 a.m. and denying the slogans).
2. An enquiry was held the same day by the Manager and Assistant Manager: **Vishwa Nath was first examined** and then five witnesses gave evidence for the charge. His request to cite defence witnesses was later allowed and he examined four.
3. The enquiry officers recorded three reasons for disbelieving his witnesses: (i) some of the witnesses he had cited were **shown by the attendance register as absent** on 20 October; (ii) one witness (**Bakhtawar Singh**) said he came to duty between 6.45 and 7 a.m., whereas the record showed him on duty at 3 p.m.; (iii) in a **separate enquiry against Daulat Singh**, witnesses had admitted that there was a gathering at the gate, contradicting Vishwa Nath's witnesses.
4. **The vice:** the register was used "without notice to Vishwa Nath"; Bakhtawar Singh was disbelieved on a document never put to him — and the Court held that "the rule that a witness should not be disbelieved on the ground of an inconsistency between his statement and another document unless he is given a chance to explain the said document, cannot be treated as a technical rule of evidence. The principle … is one of natural justice"; and reliance on the evidence in Daulat Singh's separate enquiry, which "was not recorded in Vishwa Nath's presence" and which he had no opportunity to test by cross-examination, was "very unfair".

◆Issues

1. Whether the domestic enquiries against the workmen conformed to the principles of natural justice.
2. Whether an enquiry officer who was himself an eyewitness to the alleged misconduct could validly hold the enquiry.
3. Whether the Tribunal was justified in discarding the enquiry findings and directing reinstatement with full back wages.

◆Decision (Holding)

- **The award was set aside for Mehnga Ram, Janak Raj and Daulat Singh** in terms of the compromise (discharge simpliciter; ₹3,500 each plus gratuity and provident fund).
- **The award for Malak Ram and Vishwa Nath was confirmed** — reinstatement with continuity of service and full wages as compensation for wrongful dismissal.
- **On the enquiry officer as witness:** "If an officer himself sees the misconduct of a workman, it is desirable that the enquiry should be left to be held by some other person who does not claim to be an eyewitness of the impugned incident… If an officer claims that he had himself seen the misconduct alleged against an employee, in fairness steps should be taken to see that the task of holding an enquiry is assigned to some other officer."
- **On the sequence:** "in domestic enquiries, the employer should take steps first to lead evidence against the workman charged, give an opportunity to the workman to cross-examine the said evidence and then should the workman be asked whether he wants to give any explanation about the evidence led against him. It seems to us that it is not fair … that at the very commencement of the enquiry, the employee should be closely cross-examined even before any other evidence is led against him."
- **On notice:** failure to intimate the date "may, by itself, not constitute an infirmity", but "it would be fair if the workman is told as to when the enquiry is going to be held so that he has an opportunity to prepare himself … and to collect such evidence as he may wish to lead"; "it would not be right that the workman should be called on any day without previous intimation and the enquiry should begin straightaway".
- **On the overall test:** domestic enquiries "need not be conducted in accordance with the technical requirements of criminal trials, but they must be fairly conducted and in holding them, considerations of fair play and natural justice must govern the conduct of the enquiry officer"; the enquiry officers' reliance on personal knowledge made the enquiry "nothing more than a sham or an empty formality".
- **Consequence:** since the company led no evidence before the Tribunal to justify the dismissals on the merits, the Tribunal "had no alternative but to hold that [the] dismissal was unjustified, and that inevitably led to the order of reinstatement and payment of wages during the period of the employee's enforced unemployment".

◆Ratio Decidendi

1. **An enquiry officer who is a witness to the alleged misconduct should not hold the enquiry**; where he does so and imports his personal knowledge into the finding, the enquiry is vitiated.
2. **The correct sequence of a domestic enquiry is: evidence against the employee → his cross-examination → his explanation/defence.** Beginning with the employee's examination amounts to an infirmity.
3. **Advance intimation of the date of the enquiry** is part of fair procedure; calling a workman on any day without previous intimation and beginning the enquiry straightaway should ordinarily be avoided.
4. **No reliance on undisclosed material:** facts drawn from registers, documents not put to the witness, or evidence recorded in another employee's separate enquiry without the present employee's participation, cannot form the basis of a finding against him — the rule is one of natural justice, not of evidence law.
5. Where the enquiry is vitiated and the employer leads no independent evidence before the Tribunal, reinstatement with wages for the period of enforced unemployment follows.

◆Principles & Observations (obiter — highly quotable)

- "It is true that domestic enquiries need not be conducted in accordance with the technical requirements of criminal trials, but they must be fairly conducted…"
- "We have repeatedly emphasised, domestic enquiries must be conducted honestly and bona fide with a view to determine whether the charge framed against a particular employee is proved or not, and so, care must be taken to see that these enquiries do not become **empty formalities**."
- The worker-protective rationale: "in dealing with domestic enquiries held in such industrial matters, we cannot overlook the fact that in a large majority of cases, **employees are likely to be ignorant**, and so, it is necessary not to expose them to the risk of cross-examination in the manner adopted in the present enquiry proceedings."
- The standard for disbelieving a witness on a document: he must first be given the chance to explain it — "[t]he principle on which the said rule is based is one of natural justice".

========== 12. TATA OIL MILLS ==========

⚖ [12] Tata Oil Mills Co. Ltd. v. Workmen CASE No. 12 · Unit 4

AIR 1965 SC 155 · (1964) 7 SCR 555 · Appeal by special leave from the Industrial Tribunal, Ernakulam · Bench: P.B. Gajendragadkar, C.J. (three-Judge Bench) · Both a §33(2) approval case and a fresh §10 reference

◆Facts

1. The appellant, Tata Oil Mills Co. Ltd. — a public limited company in the soap and toilet-articles industry, with three factories and twelve sales offices — dismissed its workman **K.K. Raghavan** with effect from **14 November 1955**. He worked at the **Tatapuram factory, Ernakulam**.
2. It was reported that on **12 November 1955** Raghavan and another employee, **Mathews**, **waylaid C.A. Augustine, the Chargeman of the Soap Plant**, while he was returning home after his second-shift duty, and **assaulted him**.
3. Charge-sheets were issued to both on **14 November 1955**. Two officers were appointed to hold the enquiry, but **the union represented that justice would not be done unless an officer from outside Tatapuram held the enquiry**; accordingly the General Manager appointed **Mr Y.D. Joshi, a Law Officer at the Head Office**.
4. Mr Joshi held the enquiry from **27 to 30 December 1955** and reported on **7 January 1956**. As an industrial dispute was then pending between the company and its employees, the company applied for **approval under §33(2)**. The Tribunal **approved Raghavan's dismissal but refused approval for Mathews**. Acting on that approval, the company dismissed Raghavan with effect from 14 November 1955.
5. The union then raised a **fresh industrial dispute** about the validity of Raghavan's dismissal; it was referred to the Tribunal on **3 December 1958**. On this second reference the Tribunal held that the company "was not justified in dismissing Raghavan" and **ordered reinstatement** — hence the appeal.
6. The charge under the certified standing orders was **Standing Order 22(viii)**: "without prejudice to the general meaning of the term 'misconduct', it shall be deemed to mean and include, inter alia, **drunkenness, fighting, riotous or disorderly or indecent behaviour within or without the factory**". The assault had taken place **outside the factory and at a considerable distance from it**.
7. The enquiry evidence — of M.M. Augustine and K.T. Joseph — showed that the assault was committed because **C.A. Augustine was in favour of the introduction of the Incentive Bonus Scheme**, which one set of workmen supported and another opposed, "with the result that the two rival unions belonging to these two sets respectively were arrayed against each other"; Raghavan had called Augustine a "**black-leg**" (Karinkali) interested in increased production to obtain bonus.
8. Raghavan had asked the Enquiry Officer to summon two defence witnesses, **M.P. Menon and Chalakudi**. The officer told him it was not his duty to call them but, "in order to assist" him, wrote to both. Menon replied that he was unable to attend; Chalakudi sent an **unsigned letter** which reached the officer on 31 December 1955 — the day he was leaving for Bombay — proposing a date three or four days later.

◆Issues

1. Whether Standing Order 22(viii) — misconduct "within or without the factory" — could be invoked for an assault committed outside the factory premises.
2. Whether the domestic enquiry was fair and in accordance with natural justice, given the Enquiry Officer's refusal to adjourn for the defence witnesses.
3. Whether the dismissal was actuated by **mala fides or victimisation**.
4. Whether the domestic enquiry should have been stayed pending the criminal proceedings against Raghavan.
5. Whether the industrial Tribunal could reconsider the findings of fact recorded in a fair domestic enquiry.

◆Decision (Holding)

◆Ratio Decidendi

1. **Rational connection test:** conduct outside the factory falls within a standing order covering "within or without the factory" only if it has a rational connection with the employment of the assailant and the victim. A purely private quarrel does not; a quarrel born of a workplace grievance (production bonus, union rivalry, supervision) does.
2. **Fair-enquiry standard:** a domestic enquiry officer has no coercive power to compel witnesses; each side must produce its own; the employee's own default does not vitiate the enquiry. Refusal of a *reasonable* adjournment may be an infirmity; refusal to grant indefinite adjournments is not.
3. **Mala fides ≠ error:** an erroneous conclusion of law or fact by an enquiry officer does not, without more, establish mala fides or victimisation.
4. **Binding force of fair findings:** findings recorded in a fair enquiry, supported by evidence believed, bind the parties and cannot be re-opened by the Tribunal unless perverse or unsupported by evidence.
5. **No "second chance" at the Tribunal for an employee who had a fair opportunity** before the enquiry officer.

◆Principles & Observations (obiter)

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== 13. INDIAN OVERSEAS BANK v P. GANESAN ==========

⚖ [13] Indian Overseas Bank, Anna Salai v. P. Ganesan CASE No. 13 · Unit 4

2007 (13) SCALE 446 · (2008) 1 SCC 650 · Civil Appeal Nos. 6134-6137 of 2006, decided 23 November 2007 · Bench: S.B. Sinha & H.S. Bedi, JJ. · Appeal from the Madras High Court (W.P. Nos. 26176-79 of 2005)

◆Facts

1. The appellant was the **Indian Overseas Bank, Anna Salai Branch, Chennai**. The respondents were its employees/office-bearers: **P. Ganesan** (Assistant Manager and General Secretary of the recognised union), **S. Vijayakumar**, **R. Amalraj** and **A. Dakshinamoorthy**, together with a Deputy Chief Officer, **P. Rajalingam**. (There were also allegations, in a cross-complaint, against R. Balasubramanian, President of the rival union AIOBEU, and Chairman of the Bank's Staff Welfare Fund.)
2. On **27 January 2005**, an incident of **assault and violence took place inside the Bank premises**. An FIR (No. 65 of 2005) was registered at the **Thousand Lights Police Station, Chennai** at the instance of one **L. Balasubramanian**, alleging that P. Ganesan and three others, along with the Deputy Chief Officer, had assaulted him on the **first floor of the Bank premises**, intimidated him and damaged the Bank's properties. The offences alleged included §§341, 323, 324, 427, 307 and 506(ii) IPC.

3. The dispute was between **two rival unions**: the respondents were office-bearers of one union; L. Balasubramanian was the President of the rival union. A **counter-complaint (cross-FIR)** was lodged on behalf of the respondents against L. Balasubramanian, who was also a party to the criminal proceedings.
4. On **28 January 2005**, the Bank **suspended** the respondents following the registration of the criminal case.
5. On **21 February 2005**, the Bank issued **charge-sheets**. The charges alleged, inter alia, **indiscipline and insubordination**, use of **filthy/abusive language**, **murderous assault** on a co-employee inside the Bank premises, **damage to the Bank's property**, and conduct bringing **disrepute to the Bank's prestige and image**. (The charge-sheet thus included at least one charge — damage to the employer's property — that was *not* the subject-matter of the criminal case in the same form.)
6. An **enquiry was held over several dates** — 18 May, 25 May, 1 June, 8 June, 15 June, 22 June, 6 July and 19 July 2005; the workmen also participated on some dates. The respondents, who had appointed a defence representative, **did not file a reply to the show-cause notice, did not cross-examine several management witnesses, and sought successive adjournments**; on **8 July 2005** the enquiry officer proceeded **ex parte** after the respondents failed to appear; the enquiry concluded on 19 July 2005.
7. On **16 August 2005**, the Madras High Court, in the respondents' writ petitions, granted **interim stay** of the disciplinary proceedings; that stay was **made absolute on 7 December 2005** on the ground that the departmental proceedings were based on the same set of facts as the criminal case and should therefore await its outcome. The Bank appealed to the Supreme Court.

◆**Issues**

1. Whether the departmental proceedings could continue when a criminal case had been registered and was pending on the same incident.
2. Whether the charges in the two proceedings were the **same** and, if so, whether the departmental proceedings must be stayed.
3. Whether the charges were of a **grave nature involving complicated questions of law and fact**, and whether the employee's defence would be **prejudiced** — the only recognised grounds for a stay.
4. Whether the High Court, in exercising its jurisdiction under Article 226, was justified in granting relief, having regard to the respondents' own conduct *(approbate and reprobate; delay; non-participation)*.

◆**Decision (Holding)**

◆**Ratio Decidendi**

1. **Simultaneous proceedings are the norm;** a stay is an exception requiring proof of prejudice to the criminal defence in a case that is both grave and complex in its questions of law and fact.
2. **For a stay, the charges themselves must be the same** — not merely the underlying incident. Where the charge-sheet includes an additional charge (here, damage to the employer's property/disrepute to the Bank) that is not before the criminal court, there is no identity of charges and no warrant for a stay.
3. **An employee cannot, by his own delay and non-participation, manufacture a ground for stay.** Conduct which shows dilatory intent and lack of diligence — including refusing to participate in the enquiry and rushing to the writ court — disentitles him to discretionary relief, and may attract costs.
4. **The writ court cannot exercise its jurisdiction mechanically;** it must (i) examine the identity of charges, (ii) examine the gravity/complexity of the case, and (iii) take into account the petitioner's conduct. A bald recitation of "same facts" will not do.

◆**Principles & Observations (obiter)**

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== 14. KUSHESHWAR DUBEY ==========

⚖ [14] Kusheshwar Dubey v. Bharat Coking Coal Ltd. CASE No. 14 · Unit 4

AIR 1988 SC 2118 · (1988) 4 SCC 319 · Civil Appeal from the Patna High Court · Bench: K.N. Singhal? — no: Ranganath Misra and M.N. Venkatachaliah, JJ. · Dispute over a Munsif's injunction restraining simultaneous proceedings

◆**Facts**

1. The appellant, **Kusheshwar Dubey**, was employed as an **electrical helper at the Balihari Colliery** of the respondent, **Bharat Coking Coal Ltd.** — a public-sector coal company.
2. On **2 November 1986**, an incident occurred in which the appellant was alleged to have **assaulted S.K. Mandal, a supervising officer** (by some accounts, the officer to whom the appellant reported for duty) and to have committed other acts of misconduct.
3. On the basis of the same incident, **both** proceedings were initiated: a **criminal case** against the appellant, and a **departmental/disciplinary proceeding** by the company.
4. The appellant filed a **title suit (Misc. / Title Suit No. 1986) in the Civil Court/Munsif at Dhanbad** seeking a **permanent injunction restraining the company from proceeding with the departmental enquiry during the pendency of the criminal case** on the same facts. On **6 December 1986** the Munsif granted an **ex parte injunction**; the company's application for vacating it was dismissed; and on **31 March 1987** the injunction was **made absolute**.
5. The company appealed/revisioned to the **Patna High Court**, which on **7 July 1987** held that an injunction could not be issued restraining the holding of a disciplinary enquiry and **reversed** the Munsif's order.
6. The workman appealed to the Supreme Court.

◆**Issues**

1. Whether the departmental enquiry and the criminal prosecution, both founded on the same facts, can proceed simultaneously — and whether a civil court can restrain the disciplinary authority from proceeding with the domestic enquiry.
2. Whether the employee, if aggrieved, has any remedy against simultaneous proceedings, and what that remedy is.
3. Whether, on the facts, the injunction ought to be restored.

◆**Decision (Holding)**

- **Appeal allowed; the High Court's order was set aside and the injunction (as granted by the Munsif and affirmed in appeal) was restored** — i.e., on the facts, a stay of the departmental proceedings pending the criminal case was proper.
- **The governing principle:** "[i]t is neither possible nor advisable to evolve a hard and fast, straight-jacket formula valid for all cases and of general application, without due regard to the facts and circumstances of a given case."

- **Proceeding simultaneously is not barred:** "[t]here is no legal bar for both proceedings to go on simultaneously, but … there would be no bar to the employer holding an enquiry … [and] merely because the two proceedings are based on the same facts, the departmental enquiry is not rendered invalid."
- **The employee's remedy:** "The employee … is free to move the court for an order restraining the continuance of the disciplinary proceedings. If such an order is granted, the employer cannot violate it; and if the employer does, it would be **liable in contempt of court**. On the other hand, **in the absence of a stay order, the disciplinary authority is free to exercise its lawful powers**."
- **On the facts:** the two proceedings were based on the same facts, and the Court accepted that it would be **proper to stay the departmental proceedings** pending the criminal case; the injunction was therefore restored. (The Court approved the law laid down in *Jang Bahadur v. Baijnath Tewari*, Delhi HC, on the remedy and the contempt consequence.)

◆Ratio Decidendi

1. **No strait-jacket formula;** the advisability of a stay depends on the facts of each case — gravity of the charge, complexity of the questions involved, and prejudice to the employee's criminal defence.
2. **The pendency of a criminal case does not, by itself, invalidate or bar a domestic enquiry;** the employer's right to proceed is intact unless restrained.
3. **Remedy:** the employee's recourse is to the ordinary civil court **for an injunction**; the disciplinary authority is bound by an order of injunction, and wilful breach entails **contempt**.
4. **Same facts + criminal trial pending →** a stay is ordinarily appropriate where the employee seeks it; the enquiry may be resumed if the criminal case does not proceed.

◆Principles & Observations (obiter)

- The *Jang Bahadur* reasoning, approved by the Supreme Court, is the practical foundation: disciplinary proceedings may continue unhindered; the employee who wants them stayed must go to a civil court and obtain an injunction; an injunction binds the employer on pain of contempt.
- The case is often cited together with *Delhi Cloth and General Mills v. Kushal Bhan*: the earlier case supplies the default rule and the exception; *Kusheshwar Dubey* supplies the remedy and the "no strait-jacket formula" caution.
- Note the interaction with the **Industrial Disputes Act**: where a dispute is pending before a Tribunal, §33(2) governs the employer's power to punish; where no such dispute is pending (as here), the general law of contract/civil procedure and Article 226 govern.

========== 15. PREM NATH BALI ==========

========== 15. PREM NATH BALI ==========

⚖ [15] Prem Nath Bali v. Registrar, High Court of Delhi CASE No. 15 · Unit 4

(2015) 16 SCC 415 · Civil Appeal arising out of SLP against the judgment of the Delhi High Court in W.P.(C) No. 2046 of 2001 dated 21.08.2008 · Bench: J. Chelameswar and Abhay Manohar Sapre, JJ. (judgment delivered by Sapre J.), 16 December 2015 · A CCS (CCA) Rules, 1965 case read across into industrial law

◆Facts

1. **The appellant's service:** Prem Nath Bali joined the office of the District & Sessions Court, Delhi as a **Lower Division Clerk on 1 October 1965**; he was confirmed with effect from **6 July 1976**; he was promoted as **Upper Division Clerk (UDC) on 26 July 1986**; and in **May 1989** he was posted as UDC **in-charge of the Copying Agency (Criminal Side) at Patiala House Court, New Delhi**.
2. **The trigger — 23 January 1990:** while so working, the appellant himself submitted a **written complaint against one Smt. Brij Bala, a Window Clerk of the Copying Agency**, to the officer in-charge, alleging that she was "not discharging her duty effectively", that she "often used to close the counter of the Copying Agency before the prescribed time and after lunch … used to resume her duty after the prescribed time", that litigants therefore complained to him and he had to depute other officials, and **requesting her transfer**.
3. **The counter-statement — the same day:** Smt. Brij Bala made a statement to the superior officer about an incident of the previous day (22 January 1990): after the application register was closed at 1.00 p.m., applications not entered in the register were subsequently entered in the CD2/Dak register and certified copies were prepared of those applications the same date; she was **pressurised to deliver the copies the same date at 2.30 p.m.**; and "when she refused to deliver the copy, the appellant quarrelled with her and used unwanted words in the office, which were uncalled for".
4. **The proceedings:** the officer in-charge forwarded Smt. Brij Bala's statement to the District Judge; on the basis of that complaint a **preliminary enquiry** was made and thereafter a **departmental enquiry** was held. On **6 February 1990** the appellant was **placed under suspension**.
5. **The charge memo:** a memorandum dated **18 July 1990** was served on the appellant by the office of the District & Sessions Judge, Delhi informing him that the authority proposed to hold an enquiry against him **under Rule 14 of the Central Civil Services (Classification, Control and Appeal) Rules, 1965** (the procedure prescribed for **major penalties**), enclosing the **statement of articles of charge and the relevant documents**.
6. **The delay:** the disciplinary proceedings, which "commenced on 18.07.1990, continued for **more than nine years**". Pending the proceedings the appellant sought **revocation of his suspension**, but the representation was **not considered**. Only by order dated **1 March 1999** did the District & Sessions Judge, exercising powers under **Rule 10(5)(c) of the CCS Rules**, revoke the suspension with immediate effect. The question whether the period of suspension was to be reckoned as **period on duty** was expressly **left undecided** and directed to be taken up after the conclusion of the proceedings.
7. **The penalty:** by two orders dated **27 October 1999 and 28 October 1999**, the District & Sessions Judge imposed the **major penalty of compulsory retirement**; it was further ordered that the appellant "**will not be entitled to any amount more than the allowances already paid during the period of suspension**".
8. **The appeals:** the appellant's appeal was dismissed by the **Administrative Judge of the High Court of Delhi on 21 August 2000**; his writ petition (W.P.(C) No. 2046 of 2001) was dismissed by the **Delhi High Court on 21 August 2008**; hence the appeal by special leave.
9. **A note of procedural fairness:** the appellant **appeared in person** (he had no legal assistance). The Court **requested Mr. Sreegesh, a counsel present in Court, to appear for him** so that the appeal could be decided properly, and recorded its appreciation of the "valuable assistance" he rendered — an illustration of the Supreme Court's anxiety that a party be heard.

Date	Event
1.10.1965 / 6.7.1976 / 26.7.1986	Joins as LDC / confirmed / promoted as UDC

22–23.1.1990	Dispute with Smt. Brij Bala; appellant's complaint and her counter-statement
6.2.1990	Placed under suspension
18.7.1990	Charge memorandum under **Rule 14, CCS (CCA) Rules** with articles of charge and documents
18.7.1990 → 1999	Enquiry continues for **nine years and 26 days**; repeated requests for revocation of suspension not considered
1.3.1999	Suspension revoked under Rule 10(5)(c); the "period on duty" question left open
27–28.10.1999	**Compulsory retirement** imposed; no payment beyond suspension allowances
21.8.2000	Appeal before Administrative Judge dismissed
21.8.2008	W.P.(C) 2046/2001 dismissed by the Delhi High Court
16.12.2015	**Supreme Court: appeal allowed in part** — only on pension/qualifying service

◆**Issues**

◆**Decision (Holding)**

◆**Principles & Observations (obiter — highly quotable)**

(Brief abridged for the compilation — full text at makelaweasy.in.)

◆ E The Statutory Apparatus — Section by Section

Unit 4 sits on **four** statutory structures: (1) the **Industrial Employment (Standing Orders) Act, 1946** — the disciplinary code of the establishment; (2) the **Industrial Disputes Act, 1947** — the restraints and the remedies (now replaced by the IRC, 2020); (3) the **Industrial Relations Code, 2020** — the current statute; and (4) the **CCS (CCA) Rules, 1965** — the service-law model that the personnel-manual/standing-orders regimes imitate. Learn the section numbers in their groups: nothing in a Unit-4 answer impresses more than the right section at the right step.

▸ E.1 Industrial Employment (Standing Orders) Act, 1946 — the disciplinary code

Section	Heading	Substance — what it does and what to quote
1	Short title, extent and application	Applies to every industrial establishment **wherein 100 or more workmen are employed or were employed on any day of the preceding twelve months**; the appropriate Government may, by notification (not less than two months' notice), extend it to establishments employing fewer than 100 workmen. *Contrast the IRC 2020, which raises the threshold to 300.*
2	Interpretation	Defines **"employer", "industrial establishment", "workman", "standing orders"** (§2(g): "rules relating to matters set out in the Schedule"), **"certified standing orders"**, **"Certifying Officer"**, **"appellate authority"** and **"appropriate Government"**. Key point: "standing orders" means the rules on the Schedule matters — i.e., the Act works *through* the Schedule.
3	Submission of draft standing orders	Within **six months** from the date on which the Act becomes applicable, the employer must submit to the Certifying Officer **five copies of the draft standing orders**, with a statement of the workmen's particulars, the trade union (if any), and the **draft in conformity with the model standing orders**; the draft must also be forwarded to the trade union/workmen with notice and posted. *This gives the "six months" benchmark in the Act.*
4	Conditions for certification of standing orders	The Certifying Officer shall certify the draft if it is (a) **otherwise in conformity with the model standing orders** (advisable) and (b) **fair and reasonable**. The second requirement — **fairness and reasonableness** — is the source of the whole jurisprudence on the validity of misconduct clauses, and it is the test to apply when a standing order is challenged as arbitrary or excessive.
5	Certification of standing orders	The Certifying Officer shall, after giving both sides an opportunity of being heard, **certify the standing orders** (with or without modifications), recording reasons for modifications; certified orders are then final except as provided in §6. The enquiry under §5 is a quasi-judicial proceeding.
6	Appeals	An appeal lies to the **appellate authority within 30 days** of certification (extendable for sufficient cause) by the employer, the workmen or the trade union; the appellate authority may modify the certified orders and its order is **final**. *This is the appeal route for a "misconduct clause is unfair" or "model clause was wrongly modified" argument.*
7	Date of operation of standing orders	Certified standing orders come into operation on the **expiry of thirty days** from the date of certification (unless an appeal is preferred), and where the appeal modifies them, on such date as the appellate authority orders. Until the establishment's own orders come into operation, the **model standing orders are deemed to apply**.
8	Register of standing orders	The Certifying Officer must maintain a **register** of standing orders containing particulars prescribed by rules and furnish certified copies on payment of the prescribed fee — certified copies are admissible as evidence.
9	Posting of standing orders	The text of the standing orders as finally certified shall be **prominently posted in English and in the language understood by the majority of workmen**, on special boards, at or near the entrance used by the majority of the workmen and in all departments. *Failure to post is routinely used to argue that the workman cannot be visited with a penalty under an unposted clause.*
10	Duration and modification of standing orders	Standing orders remain in force until modified; any employer, workman or trade union may apply for modification, with **five copies of the proposed modification and the prescribed fee**; the procedure of §§4–6 applies to modification as it does to certification. *The "modify" route matters when the employer wants to add new acts of misconduct — the route must be followed, not bypassed by a circular.*
10-A	**Payment of subsistence allowance**	Where a workman is suspended pending investigation/inquiry into misconduct, the employer must pay **subsistence allowance at 50% of wages for the first 90 days** and **75% of wages thereafter** if the delay is not directly attributable to the workman's conduct; disputes over its payment go to the Labour Court; non-payment may lead the Labour Court to set aside the suspension. *This is the industrial ancestor of the "90-day enquiry norm" now in IRC §38.*
11	Certifying Officers and appellate authorities to have powers of civil court	They have the powers of a civil court for summoning witnesses, requiring production of documents and receiving evidence on affidavits; proceedings are **judicial proceedings within the meaning of §§193 and 228 IPC**.
12	Oral evidence in contradiction of standing orders not admissible	"No oral evidence having the effect of adding to or otherwise varying or contradicting standing orders finally certified under this Act shall be admitted in any Court." **The certified standing orders are the exclusive source of the disciplinary terms.**
12-A	Temporary application of model standing orders	Until the establishment's own standing orders are certified, the **model standing orders apply** — so an employer cannot say it had "no standing orders" during the interval.

13	Penalties and procedure	(1) Failure to submit draft standing orders under §3, or modification otherwise than under §10 → fine up to **₹5,000** and, for a continuing offence, up to **₹200 per day**; (2) doing any act in contravention of the finally certified standing orders → fine up to **₹100** and, for a continuing offence, up to **₹25 per day**; (3) no prosecution without the previous sanction of the appropriate Government; (4) trial only by a Metropolitan Magistrate/Judicial Magistrate of the second class or above.
13-A	Interpretation, etc., of standing orders	Any question of the **application or interpretation** of a certified standing order may be referred to a **Labour Court**, whose decision is final and binding. *This is the correct forum to ask "does the clause cover this conduct?" — a question that must be decided by the Labour Court, not by the enquiry officer's fiat.*
13-B	Act not to apply to certain industrial establishments	The Act is excluded for establishments exempted (§14) and for certain classes of establishments engaged in work of a seasonal/intermittent character notified by the appropriate Government.
14 / 14-A / 15	Power to exempt · Delegation of powers · Power to make rules	The appropriate Government may exempt any industrial establishment (with conditions) where the Act's provisions are already provided for by agreement or otherwise; §15 is the rule-making power, including **model standing orders**, additional Schedule matters, and the procedure of Certifying Officers — exercised through the **Industrial Employment (Standing Orders) Central Rules, 1946**.

▸▸ The Schedule — matters to be provided in standing orders

1. Classification of workmen — permanent, temporary, apprentices, probationers, *badlis*.
2. Manner of intimating periods and hours of work, holidays, pay-days and wage rates.
3. Shift working.
4. **Attendance and late coming**.
5. Conditions of, procedure in applying for, and the authority which may grant, leave and holidays.
6. Requirement to enter premises by certain gates, and liability to search.
7. Closing and re-opening of sections of the industrial establishment and temporary stoppages of work, with rights and liabilities.
8. **Termination of employment, and the notice to be given by employer and workmen.**
9. **Suspension or dismissal for misconduct, and acts or omissions which constitute misconduct.**
10. **Means of redress for workmen against unfair treatment or wrongful exactions** by the employer, his agents or servants.

Items 8–10 are the *disciplinary core*: termination, misconduct and punishment, and the grievance machinery. Some editions print an eleventh head — "any other matter which may be prescribed" — and the IRC 2020 First Schedule expands this list further.

▸▸ Model standing orders (Central Rules, 1946) — the practical checklist

- The model SOs supply the default clauses (classification, probation, shifts, leave, **misconduct and punishment**, grievance) until the establishment's own orders are certified.
- Typical misconduct clauses in the model: *wilful insubordination or disobedience; theft, fraud or dishonesty; wilful damage to employer's property; taking or giving bribes; habitual absence/late attendance; drunkenness, fighting, riotous or disorderly behaviour,* ***within or without the factory****; gambling; sleeping on duty; interference with safety devices; breach of health/safety rules; acts subversive of discipline; habitual negligence*. (Tata Oil Mills was decided on the "within or without the factory" clause, S.O. 22(viii).)
- There is a separate Central Rules Chapter on the **procedure for certification and appeals**, and on the **model grievance procedure**.
- Exam use: quote the model clause and then apply the **"fair and reasonable" test of §4** and the **rational connection test of Tata Oil Mills**.

▸ E.2 Industrial Disputes Act, 1947 — the operative provisions (with the pre-IRC journey)

Section	Heading	Text/essence and Unit-4 use
§2-A	Dismissal, etc., to be an industrial dispute	"Where any employer discharges, dismisses, retrenches or otherwise terminates the services of an individual workman, **any dispute or difference between that workman and his employer connected with, or arising out of, such discharge, dismissal, retrenchment or termination shall be deemed to be an industrial dispute** notwithstanding that no other workman nor any union of workmen is a party to the dispute." *This is the doorway: it lets an individual dismissal travel to the Tribunal without a collective dispute.*
§2(k), 2(s), 2(ra)	Definitions — "industrial dispute", "workman", "unfair labour practice"	"Workman" excludes persons in a **managerial or administrative capacity** and supervisory employees drawing wages above the prescribed ceiling — the first question to ask about *IOB v. Ganesan*-type fact patterns (Assistant Manager/office-bearer). §2(ra) with the **Fifth Schedule** makes victimisation-type conduct an **unfair labour practice**, which is both a ground of interference under *Indian Iron* and a ground for relief under §11-A.
§9-A	Notice of change	No employer shall effect a change in any condition of service in the matters specified in the **Second Schedule** without a **21 days' notice** to the workmen likely to be affected (exceptions: change under a settlement or award). Use it where the disciplinary facts involve a simultaneous alteration of service conditions (e.g., transfer + charge-sheet, change of shift, reduction of benefits).
§10	Reference of disputes to Boards, Courts or Tribunals	The gateway for adjudication; §10(1)(d) to a Tribunal and §10(1)(c) to a Labour Court; §10(4)/§10(5) empower the appropriate Government to refer a dismissal dispute at any time if satisfied. The Unit-4 cases travel to the Tribunal through this section (e.g., *Associated Cement*).
§11	Procedure and powers of conciliation officers, Boards, Courts and Tribunals	Empowers the adjudicator to follow such procedure as it thinks fit, to summon witnesses and documents, and to grant relief "as may appear just and proper"; §11-A is carved out of this. Note the "just and proper" sweep, which authorises relief where the domestic enquiry cannot sustain the punishment.
§11-A	Powers of Labour Courts, Tribunals and National Tribunals to give appropriate relief in cases of discharge or dismissal of workmen	"Where an industrial dispute relating to the discharge or dismissal of a workman has been referred … and … the Labour Court, Tribunal or National Tribunal … is satisfied that the **order of discharge or dismissal was not justified**, it may, by its award, **set aside the order** and direct **reinstatement** of the workman on such terms and conditions, if any, as it thinks fit, or **give such other relief** … including the award of **any lesser punishment** in lieu of discharge or dismissal as the circumstances of the case may require: Provided that … it shall **rely only on the materials on record and shall not take any fresh evidence** in relation to the matter." *Inserted by Act 45 of 1971 with retrospective effect from 15.12.1971 (the date the Firestone principles were framed — the coincidence is deliberate: see Firestone paras 32-A, 33–38).*

§25-F	Conditions precedent to retrenchment	One month's notice (or wages in lieu) + retrenchment compensation (15 days' average pay per completed year of continuous service or part thereof exceeding six months) + notice to the Government. Discipline and retrenchment must be kept separate: a "termination" dressed as retrenchment without following §25-F is void, and a punitive termination cannot be dressed as retrenchment (a point tested alongside "termination simpliciter").
§33(1)	Conditions of service to remain unchanged during pendency — *connected* misconduct	During the pendency of conciliation/adjudication in respect of an industrial dispute, no employer shall — (a) **alter to the prejudice of the workmen concerned in the dispute** any condition of service connected with the dispute; or (b) **for any misconduct connected with the dispute**, discharge or punish them, "save with the **express permission in writing** of the authority before which the proceeding is pending".
§33(2)	*Unconnected* misconduct — the approval route	The employer may, in accordance with the standing orders or the contract, (a) alter conditions of service not connected with the dispute; and (b) **discharge or punish for misconduct not connected with the dispute — provided that no such workman shall be discharged or dismissed unless he has been paid one month's wages and an application has been made to the authority for approval** of the action taken. **The proviso is mandatory** (*Jaipur Zila*, 2002).
§33(3)–(4)	Protected workmen	Notwithstanding §33(2), the employer shall not alter the conditions of service or punish a **protected workman** except with the **express permission in writing** of the authority. Explanation: a protected workman is a workman who, being a **member of the executive or other office-bearer of a registered trade union** connected with the establishment, is recognised as such in accordance with the rules. Numbers: **1% of the total workmen, subject to a minimum of five and a maximum of one hundred protected workmen**, distributed among unions by rules.
§33(5)	Time limit for orders on approval applications	The authority "shall, without delay, hear such application and pass, **within a period of three months** from the date of receipt of such application, such order as it deems fit" — the same three-month discipline that now appears in IRC §90.
§33-A	Special provision for adjudication where §33 is contravened	Where an employer contravenes §33, the aggrieved employee may make a **complaint in writing** — **(a)** to a **conciliation officer or Board**, which shall take the complaint into account in mediating/promoting settlement; or **(b)** to the **arbitrator, Labour Court, Tribunal or National Tribunal**, which "shall **adjudicate upon the complaint as if it were a dispute referred to or pending before it**" and submit its award to the Government. *Effect: no separate reference is needed; the complaint itself triggers adjudication, and it is maintainable even where approval was subsequently granted (Jaipur Zila).*
§33-C(2)	Recovery of money due from an employer	Where any money is due to a workman under a settlement, award or under the provisions of Chapter VA, the workman may apply to the Labour Court; the Court may compute the money due and order its recovery. *Useful for claiming subsistence allowance/dues after a §33-A or §11-A order.*
Fifth Schedule	Unfair labour practices	Item 1 (on employers): to **interfere with, restrain or coerce** workmen in the exercise of their right to join/organise a union; to **establish employer-sponsored unions**; to **discourage membership of any trade union by discriminating against workmen**; to **discharge or dismiss workmen for their union activities, or for participating in a legal strike, or in a manner calculated to undermine the union**; to **refuse to bargain collectively**; to **employ as workmen in connection with a lock-out persons other than those in the establishment**; to **observe rules of conduct differently**; etc. Victimisation is thus also an ULP — which explains why the Unit-4 cases treat "victimisation" and "unfair labour practice" as one ground.

▸ E.3 The Industrial Relations Code, 2020 — the current replacement

The IRC 2020 consolidates the IDA 1947, the IESO Act 1946 and the Trade Unions Act 1926. Chapter IV deals with **standing orders** (§§28–39); the disciplinary/pendency discipline is in **§90** with the complaint remedy in **§91**; §50 replaces the §11-A power of the Tribunal to grant relief (along with §11-A-type relief for other matters).

IRC §	Subject	Mapping to the old law and what changes
§28	Application of Chapter IV	Standing orders provisions apply to every industrial establishment employing **300 or more workers** (Central Government; State Governments may lower the threshold) — a big change from the 100-workman threshold of the IESO Act. Existing certified standing orders continue if consistent with the Code.
§29	Making of standing orders / model standing orders	The employer/group must prepare standing orders on the First-Schedule matters **in consultation with the workers/union**; model standing orders are prescribed centrally.
§30	Draft standing orders and certification	Draft to be submitted to the **Certifying Officer**; the Code provides for deemed certification on the expiry of the specified period if no response, and for modifications.
§32	Appeals against certification/ modification	Appeal to the **Industrial Tribunal** (an improvement on §6 IESO appeals to the appellate authority), within the prescribed period.
§33	Operation of standing orders	Certified standing orders come into operation as prescribed; the model standing orders govern meanwhile.
§35	Duration, modification, interpretation	Standing orders remain in force until modified; disputes on **application/interpretation** go to the **Industrial Tribunal** (successor to the §13-A IESO route).
§38	Certification and enquiry into misconduct — **subsistence allowance and the 90-day norm**	Where a worker is suspended pending enquiry, subsistence allowance is payable at **50% of wages for the first 90 days** and **75% thereafter**; and **an inquiry must be completed within 90 days** of the date of suspension (extendable by the authority for recorded reasons). *The statutory counterpart of the Prem Nath Bali norm and of IESO §10-A.*
§39	Exemption	Appropriate Government may exempt establishments where conditions of service are governed by agreement/ rules more favourable to workers.
§50	Powers of Industrial Tribunals on discharge/dismissal	The successor to **§11-A IDA**: where a dispute relating to discharge/dismissal is referred and the Tribunal is satisfied that it was **not justified**, it may set aside the order and direct **reinstatement** or award **any lesser punishment**, relying only on the materials on record.
§90	Conditions of service to remain unchanged during pendency	The successor to **§33**: no alteration/penalty in connection with the dispute without permission; for **unconnected** misconduct, punishment subject to payment of one month's wages and **approval**; for a **protected worker** (an office-bearer of a **recognised union**, recognised as such) **express permission in writing** is mandatory; orders on approval within **three months**.
§91	Special provision for adjudication as to whether conditions of service changed during pendency	The successor to **§33-A**: complaint to the Tribunal/authority which adjudicates "as if it were a dispute referred to or pending before it".

First Schedule	Matters to be provided in standing orders	Expanded list (about eleven heads), covering classification, hours/holidays/pay-days, shift working, attendance, leave, entry gates and search, closing/reopening and stoppages, **termination and notice**, **suspension or dismissal for misconduct and acts of misconduct**, **means of redressal**, and any matter prescribed. *Alignment with the IESO Schedule is direct; the additions modernise the grievance/redressal heads.*

▸ E.5 The same problem, four statutes — comparative table

Issue	IESO Act 1946	IDA 1947	IRC 2020	CCS (CCA) Rules 1965
Source of misconduct rules	Certified standing orders (Schedule matters; §§3–10)	Standing orders or contract; ULP in the Fifth Schedule	Standing orders under Chapter IV (§§28–39); First Schedule	Rule 11 read with the Conduct Rules (CCS (Conduct) Rules, 1964)
Threshold of application	100+ workmen	All establishments covered by the Act/workman definition	**300+ workers**	Central Government servants
Enquiry requirement	Certified-order procedure; natural justice implied	Fair enquiry as a condition of a valid dismissal	§38 discipline; natural justice implied	Rules 14–16 expressly
Punishment of an employee during a pending dispute	—	**§33** (permission/approval); **§33-A** complaint	**§90** (permission/approval); **§91** complaint	No equivalent — service law has no pendency restraint; but tribunals may stay proceedings
Subsistence during suspension	§10-A: 50% (90 days) → 75%	— (industry practice/rules)	§38: 50% (90 days) → 75%; enquiry in 90 days	Rule 10 + FR 53; subsistence allowance as prescribed
Review of the punishment	—	**§11-A**: reappraisal; reinstatement or lesser punishment	**§50**: same power	Appeals/revision under Rules 23–29; judicial review on proportionality
Time norms	Draft SOs in 6 months (§3); 30-day operation (§7)	3 months for approval order (§33(5))	90-day enquiry norm (§38)	6 months for enquiry (Rule 14); see also *Prem Nath Bali*

PREVIOUS YEAR QUESTIONS · UNIVERSITY OF DELHI · LL.B. V TERM

PYQ Bank — Unit 4 (questions only)

Q1 DEC 2024 · Q.5

Disciplinary proceedings during a pending criminal case — whether, and in what circumstances, a domestic enquiry must be stayed, and what the employee's remedy is.

◆ **Refer makelaweasy.in for detailed notes**, full model answers to every question below, additional case briefs, diagrams and revision material on this unit.

Q2 DEC 2024 · Q.3

Tribunal's powers on dismissal/discharge — quote-based §11-A analysis.

Q3 DEC 2024 · Q.4 / Q.7 / Q.8

Short notes; suspension allowance during §33(1) proceedings; wage questions.

Q4 MAY–JUNE 2025 · Q.3

§11-A — domestic enquiry; ex parte enquiry; acquittal in a criminal case.

Q5 NOV–DEC 2025 · Q.3

Domestic enquiry; standing order; off-premises misconduct (Tata Oil Mills facts — the "Happy International" hypothetical: a fight in a public park over the production bonus scheme).

Q6 NOV–DEC 2025 · Q.6

§11-A — Labour Court's power to modify punishment (bank clerk case).

Q7 NOV–DEC 2025 · Q.4

§33(3) — protected workman; subsistence allowance; natural justice.

Q8 "MUST A DOMESTIC ENQUIRY BE STAYED PENDING A CRIMINAL TRIAL ON THE SAME FACTS? DISCUSS THE LAW AND ADVISE AN EMPLOYEE WHO HAS BEEN CHARGED DEPARTMENTALLY WHILE A CRIMINAL CASE IS PENDING AGAINST HIM."

Must a domestic enquiry be stayed pending a criminal trial on the same facts? Discuss the law and advise an employee who has been charged departmentally while a criminal case is pending against him.

Q9 "AN ALTERCATION AT A PUBLIC PARK

An altercation at a public park: two workmen of 'Happy International' fought over the production bonus scheme; the employer invoked the standing order on misconduct 'within or without the factory' and dismissed them. The Industrial Tribunal found the fight to be 'purely private'. Advise / Discuss.

Q10 "THE ENQUIRY WAS HELD EX PARTE; THE WORKMAN WAS LATER ACQUITTED IN THE CRIMINAL CASE. WHAT IS THE LABOUR COURT'S POWER UNDER §11-A? CAN IT REDUCE THE PUNISHMENT?"

The enquiry was held ex parte; the workman was later acquitted in the criminal case. What is the Labour Court's power under §11-A? Can it reduce the punishment?

Q11 1
A domestic enquiry was conducted by the Factory Manager who claimed to have witnessed the misconduct; he questioned the workman extensively before examining any witness, and relied on the attendance register without putting it to him. Advise the workman." [Associated Cement]

Q12 2
X was suspended and the enquiry continued for seven years without conclusion. Advise on (a) permissibility of the delay, and (b) its effect on pension." [Prem Nath Bali]

Q13 3
Two employees fought at a wedding over a personal matter; the employer dismissed them under the standing order on 'within or without the factory' misconduct. Advise." [Tata Oil Mills , contrasted]

Q14 4
What is the effect of a subsequent criminal acquittal on a domestic enquiry finding of guilt on the same facts?

Q15 5
Critically analyse the raising of thresholds for standing orders and retrenchment from 100 to 300 workers under the IRC, 2020, in the light of managerial prerogative.

Q16 6
Write short notes on (a) §33(1) vs §33(2) IDA; (b) protected workman under §33(3).

Q17 7
May an employer punish for misconduct committed outside the workplace? Discuss with reference to a certified standing order and the case law.

Q18 8
The employer applied for approval under §33(2)(b) but withdrew the application midway. What is the effect on the dismissal?

Q19 9
Distinguish an enquiry under the Industrial Employment (Standing Orders) Act from an enquiry under the CCS (CCA) Rules; do the standards differ?

Q20 10
What is the scope of the employer's right to lead evidence before the Tribunal when the domestic enquiry is found defective?

by Ankur R. Upadhyay

LB-503 · INDUSTRIAL LAW (INCLUDING IDRA) · FACULTY OF LAW, UNIVERSITY OF DELHI · LL.B. V TERM

UNIT 05

Powers of the Adjudicatory Authorities in Discharge / Dismissal & the Doctrine of Proportionality

◆ SYLLABUS COVERAGE

Powers of the adjudicatory authorities in cases of discharge and dismissal · Doctrine of proportionality in awarding punishments (ss.50 and 56, IR Code, 2020, read with ss.11-A and 17-B, IDA, 1947).

◆ STATUTES & PROVISIONS

IDA, 1947 · ss.11-A, 17-B · IR Code, 2020 · ss.50, 56 · Constitution · Arts. 14, 16, 136, 226

◆ PRESCRIBED CASE MATERIAL

Firestone Tyre & Rubber Co. v. Workmen (No. 16) · Hombe Gowda v. State of Karnataka (No. 17) · Scooters India v. M.K. Mohammad Yakub (No. 18) · Raghubir Singh v. State of Haryana (No. 20)

⬢ A The Statutory Framework — §11-A, IDA 1947 (now §50, IRC 2020)

▸ A.1 The pre-1971 position — why Parliament had to intervene

▸▸ The International Labour Organisation trigger

ILO Recommendation No. 119 concerning **termination of employment at the initiative of the employer**, adopted in **June 1963**, recommended that a worker aggrieved by termination "should be entitled to appeal against the termination, among others, to a **neutral body** such as an arbitrator, a court, an arbitration committee or a similar body", and that the neutral body "should be empowered to examine the reasons given in the termination of employment and the other circumstances relating to the case and to render a decision on the justification of the termination". It further recommended that the neutral body be empowered, if it found the termination unjustified, to order that the worker "unless reinstated with unpaid wages, should be paid **adequate compensation** or afforded **some other relief**".

▸▸ The Statement of Objects and Reasons (1971)

"In accordance with these recommendations, it is considered that the **Tribunal's power in an adjudication proceeding relating to discharge or dismissal of a workman should not be limited** and that the Tribunal should have the power, in cases wherever necessary, to **set aside the order of discharge or dismissal and direct reinstatement** of the workman on such terms and conditions, if any, as it thinks fit or give **such other relief to the workman including the award of any lesser punishment** in lieu of discharge or dismissal as the circumstances of the case may require. For this purpose, a new section 11-A is proposed to be inserted in the Industrial Disputes Act, 1947...."

The Statement expressly refers to the **limitations on the powers of an Industrial Tribunal laid down in *Indian Iron & Steel Co.*** — legislative history that *Firestone* used to identify the mischief being cured.

▸ A.2 The section — text, and every element explained

Words of the section	Meaning, authority and exam use
"Where an industrial dispute relating to the discharge or dismissal of a workman..."	The section is confined to **termination disputes** — discharge, dismissal (and, by the deeming provision of §2-A, retrenchment/termination). It does *not* apply to transfer, suspension, denial of promotion, or other disciplinary action short of termination. An individual workman's dismissal is an "industrial dispute" because of **§2-A**.
"...has been referred to a Labour Court, Tribunal or National Tribunal for adjudication"	The power is exercisable **only in adjudication upon a reference** (under §10, or on a §33-A complaint, or under a §2-A deeming). It is not a free-standing jurisdiction; there must be a reference pending. Under the IRC, 2020 the trigger is **§53(6)** — the worker's direct application — or a reference to the National Industrial Tribunal.
"...is satisfied that the order of discharge or dismissal was not justified"	This is the **key phrase**. The test is no longer "was the employer's conclusion perverse?" but "**is the Tribunal satisfied that the order was justified?**" — the Tribunal's own satisfaction, on the record, decides. *Firestone*: "what was once largely in the realm of the satisfaction of the employer, has ceased to be so; and now it is **the satisfaction of the Tribunal that finally decides the matter**."
"...may, by its award, set aside the order ... and direct reinstatement ... on such terms and conditions ... as it thinks fit"	Reinstatement remains the primary relief, now expressly on **terms and conditions** — which is the source of the Tribunal's power to award reinstatement with *full, partial or no* back wages (*Scooters India*: reinstatement with **75% back wages**).
"...or give such other relief ... including the award of any lesser punishment in lieu of discharge or dismissal..."	**The radical new power.** The Tribunal may *accept* the misconduct and yet substitute (say) censure, withholding of increments, suspension without pay for a period, or a fine, for dismissal. This power did not exist at all before 1971 (pre-1971, once misconduct was validly proved the Tribunal had **no** power over quantum).
"...as the circumstances of the case may require"	Discretion, but a **judicial** discretion — it must be reasoned and considered, not sentimental or compassionate (*Scooters India* upheld; *Hombe Gowda* struck down an unreasoned/extreme reduction; *Bharat Forge*: "such an order cannot be passed on an irrational or extraneous factor and certainly not on a compassionate ground").
Proviso — "shall rely only on the materials on record and shall not take any fresh evidence"	Confines the Tribunal to the **composite record** properly before it and prevents it from behaving like an ordinary appellate court calling for evidence of its own. It does **not** bar the employer's pre-existing right to lead evidence for the first time where no enquiry/defective enquiry — see A.5 below.

▸ A.3 What changed, and what did not — the table that answers most questions

Question	Before §11-A (Indian Iron, 1958)	After §11-A (as read in Firestone, 1973)
May the Tribunal re-decide whether the **misconduct was proved** after a proper enquiry?	**No.** Interference only on four grounds (good faith, victimisation/ULP, basic error or natural justice, perverse finding).	**Yes.** It may **reappraise the evidence** and differ from the employer's finding "in a proper case".

May the Tribunal alter the **punishment** where misconduct is proved?	**No.** Quantum was wholly within the managerial function.	**Yes** — it may award **any lesser punishment**; but only where the punishment is grossly disproportionate (*Hombe Gowda*).
May the employer lead evidence **for the first time** where there was no enquiry or a defective enquiry?	**Yes** (long line of cases: *Punjab National Bank*; *Bharat Sugar Mills*; *Ritz Theatre*; *Khardah*; *Motipur Sugar Factory*; *State Bank of India v. R.K. Jain*; *DCM v. Ludh Budh Singh*).	**Yes — the right SURVIVES.** "There is no indication in the section that the said right has been abrogated."
Is a **proper domestic enquiry mandatory**, so that its absence makes the dismissal illegal and reinstatement automatic?	Enquiry "expected" but not a statutory condition of validity.	**Still no.** Rejecting the argument that §11-A creates a new illegality rule, the Court held absence of enquiry ≠ automatic reinstatement.
Does §11-A apply to disputes **already referred** before 15.12.1971?	—	**No.** Prospective only: it applies to disputes **referred on or after 15 December 1971**.
May the Tribunal take **fresh evidence of its own**?	No occasion.	**No** — the proviso prohibits it; the Tribunal acts on the "materials on record".

A.4 The Proviso — what "materials on record" really means

The workmen in *Firestone* argued that "materials on record" could only mean the material produced at the **domestic enquiry**, and that "fresh evidence" was exactly the employer's first-time evidence — so that the proviso abolished the employer's right to lead evidence before the Tribunal. **The Supreme Court rejected this reading.** The expression, held the Court, refers to the material **before the Tribunal**, and comprises:

A.5 The preserved right — the employer's "first-time evidence"

The rule

Where **no enquiry** was held, or the enquiry held is found **defective**, the employer may still justify the punishment by leading **all relevant evidence before the Tribunal for the first time**; the workman is entitled to lead evidence *contra*; and the Tribunal decides for itself whether the misconduct is proved. A defective enquiry stands on the **same footing as no enquiry** (*Motipur Sugar Factory*).

The two reasons given in Firestone

1. **No express or implied abrogation:** "If the intention of the legislature was to do away with such a right, which has been recognised over a long period of years … the section would have been differently worded."
2. **To avoid "incongruous" and "startling" results:** a Tribunal acting under **§33** may itself permit an employer to lead evidence for the first time even where no domestic enquiry was held and then grant permission/approval. If the Tribunal adjudicating the main dispute were then bound to order reinstatement merely because no enquiry had been held, the Act would contradict itself.

A.6 Retrospectivity — Firestone 's second question

Argument on the point	How the Court dealt with it
Workmen's case: §11-A is *procedural* — it is placed in Chapter IV ("Procedure, Powers and Duties of Authorities"), and procedural laws apply to pending proceedings; and the words "**has been referred**" (present perfect) are wide enough to cover references already made. Hence it applies to all disputes pending on 15.12.1971.	The words "has been referred" are "no doubt capable of being interpreted" that way — but they "cannot be isolated from the context". Two decisive indications go the other way: (i) the **proviso** speaks of "**in any proceeding under this section**" — and *there cannot be a proceeding under a section before the section itself came into force*; and (ii) the section was brought into force by a notification on 14.12.1971, *after* the Amendment Act received assent (8.12.1971).
Employers' case: retrospective operation is not to be given to a statute so as to **impair an existing right** unless the intention appears clearly or by necessary intendment; §11-A *abridges* the employer's managerial rights recognised in *Indian Iron* and the long line of cases.	Accepted. The Court held that §11-A "has the effect of altering the law by **abridging the rights of the employer** inasmuch as it gives power to the Tribunal for the first time to differ both on a finding of misconduct arrived at by an employer as well as the punishment imposed by him"; for such a provision to reach **pre-existing references** there must be a "clear, express and manifest indication", which is absent.

A.7 Does §11-A make a domestic enquiry compulsory? — No, and here is why

The argument rejected

It was argued that because standing orders certified under the IESO Act, 1946 are "**statutory terms and conditions of service**", an order of dismissal passed without the enquiry that the standing orders require is **illegal**; an illegal order can have no effect; and therefore the Tribunal must order reinstatement *without anything more*, the employer's "second chance" of leading fresh evidence having been taken away by the legislature.

The Court's reasons for rejecting it

1. "**There is no provision either in this statute or in the Act which states that an order of dismissal or discharge is illegal if it is not preceded by a proper and valid domestic enquiry.**"
2. The **IESO Act applies only to establishments covered by §1(3)**, while the IDA "applies to employers who may have no standing orders at all"; the argument would make the Act operate differently on the two classes — "certainly not the scheme of the Act".
3. The very contention had been **rejected in *Motipur Sugar Factory***.
4. Accepting it would produce **"incongruous results"** with §33 (see A.5 above).

A.8 §11-A and §33 — deliberately kept distinct (para 51)

§33 (Unit 6 / IRC §90)

An application for **permission** (§33(1)/(3)) or **approval** (§33(2)) "has still to be dealt with according to the principles laid down by this Court in its various decisions. **No change has been effected in that section by the Amendment Act.**" Even a dismissal passed *with* permission or approval "can form the subject of a dispute and as such [be] referred for adjudication"; the §33 proceedings then "form part of the materials on record before the Tribunal".

▸▸ The consequence — and the "startling results" warning

Because a §33 Tribunal may allow an employer to lead evidence for the first time even where no domestic enquiry was held, a main-dispute Tribunal that straightaway ordered reinstatement for want of an enquiry "would lead to very **startling results**". Hence "**an attempt must be made to construe Section 11-A in a reasonable manner**" — which is a further reason for holding that the right to adduce first-time evidence survives.

▸ A.9 The application matrix — pattern-recognition for problem questions

Facts	Tribunal's power over the FINDING	Power over the PUNISHMENT / relief
Proper enquiry; misconduct proved on plausible evidence	May reappraise, but must give "very cogent reasons" to differ; deference to a well-reasoned finding	Only if punishment is grossly disproportionate (*Hombe Gowda*); a reasoned, non-extreme reduction may be upheld (*Scooters India*)
Defective enquiry, employer leads first-time evidence	Issue at large; Tribunal decides independently	If misconduct proved, the punishment chosen by the employer stands unless disproportionate
No enquiry at all, employer leads first-time evidence	Issue at large (same as above); "the exercise of managerial functions does not arise at all"	Same; but the employer loses the benefit of a fair enquiry on the record
Employer leads no evidence and rests on a defective enquiry	Nothing to sustain the finding → dismissal falls	Reinstatement/compensation and back wages — the rule in *Hindustan Tin Works/Deepali Gundu Surwase*
Enquiry absent *and* the employer invokes a wrong legal regime (e.g. civil-service rules for a "workman")	Whole proceeding vitiated — *Raghubir Singh*	Termination "shocks the conscience"; reinstatement with back wages and consequential benefits; absence treated as leave without wages

⬢ B The Four Prescribed Cases — Facts · Issues · Arguments · Decision · Principle

Each card follows the same discipline: **C**ontext → **F**acts → **I**ssues → **A**rguments of both sides → **H**olding → **R**atio → **P**rinciples/obiter → **A**pplication and exam use → precision guards. Quotations in inverted commas are from the judgments as printed in the LB-503 case material (Unit 5, pp. 99–135) unless otherwise indicated.

========== 16. FIRESTONE ==========

⚖ [16] The Workmen of M/s Firestone Tyre & Rubber Co. of India P. Ltd. v. The Management CASE No. 16 · Unit 5

AIR 1973 SC 1227 · (1973) 1 SCC 813 · (1973) 3 SCR 587 · Four connected Civil Appeals by special leave (Nos. 1461, 1995, 1996 and 2386 of 1972) · Bench: C.A. Vaidialingam, J. · The definitive interpretation of §11-A

◆Facts

1. Four connected appeals by special leave raised common questions. In **all four**, the reference relating to the dismissal/discharge had been made **long before** §11-A came into force, and the industrial disputes were **pending adjudication on 15 December 1971**.
2. Different Tribunals/Labour Courts in Maharashtra had taken **divergent views** — some holding that §11-A applied retrospectively to all pending references (the section being "merely procedural"), and some holding that it did not (the section abridging substantive managerial rights). They also differed on the *scope* of the new power: was the Tribunal confined to revising the punishment *after* accepting the finding of misconduct, or could it reappraise the finding itself? And did the employer's right to lead fresh evidence survive?
3. The cases thus came to the Supreme Court as a test of the whole new provision — the Court itself described the exercise as an exhaustive review of the pre-1971 case law (*Indian Iron & Steel*; *Punjab National Bank*; *Bharat Sugar Mills*; *Ritz Theatre*; *Khardah Co.*; *Motipur Sugar Factory*; *State Bank of India v. R.K. Jain*; *DCM v. Ludh Budh Singh*).

◆Issues

1. What is the true scope and effect of **§11-A**? In particular — (a) can the Tribunal reappraise and differ from the *finding* of misconduct recorded in a proper domestic enquiry; (b) can it interfere with the *punishment* and award a lesser punishment; (c) does §11-A abolish the employer's right to adduce evidence **for the first time** before the Tribunal where no enquiry was held or the enquiry is defective; and (d) does §11-A make the holding of a domestic enquiry **mandatory**, so that its absence renders the dismissal illegal and compels reinstatement?
2. Does §11-A operate **retrospectively** so as to apply to industrial disputes already referred and pending on **15 December 1971**?
3. What is the effect of the **proviso** — "shall rely only on the materials on record and shall not take any fresh evidence"?

◆Decision — Part A: the interpretation of §11-A

- **(1) Where a proper domestic enquiry was held:** the Tribunal may now **reappraise the evidence for itself** and satisfy itself whether the finding of misconduct is correct — it is no longer confined to the four narrow grounds: "**What was once largely in the realm of the satisfaction of the employer, has ceased to be so; and now it is the satisfaction of the Tribunal that finally decides the matter.**" The limitations of *Indian Iron* "can no longer be invoked by an employer".
- **(2) Where no enquiry was held, or the enquiry was defective:** the employer's right to **adduce evidence for the first time** before the Tribunal "has not been taken away". The issue about the merits of the dismissal is "**at large**" before the Tribunal, which must decide the misconduct for itself; "in such a case, the exercise of managerial functions does not arise at all".
- **(3) The proviso:** "*materials on record*" means the composite record — (i) the enquiry evidence and proceedings; (ii) that evidence plus further evidence led before the Tribunal; (iii) evidence placed before the Tribunal for the first time by the employer *and* the workman's rebuttal evidence. The proviso merely **confines** the Tribunal to that record and forbids it from taking fresh evidence of its own motion "as an appellate authority may normally do".
- **(4) No mandatory-enquiry rule:** the contention that a dismissal without a proper enquiry is *illegal* and must be followed by automatic reinstatement was **rejected** — there is no such provision in the IESO Act or the IDA; the IESO Act applies only to establishments under its §1(3) whereas the IDA applies to employers with no standing orders at all; the contention had already been rejected in *Motipur*; and accepting it would produce "incongruous" and "startling" results with §33.
- **(5) The net change (paras 50–51):** power for the first time (a) to satisfy itself whether the **misconduct is proved**, even against a finding in a properly held enquiry; and (b) to **interfere with the punishment** imposed by the employer; with the proviso restricting the Tribunal to the materials on record.

- **(6) The advice that survives (para 53):** a proper enquiry is still expected, "**should not be an empty formality**", and where one has been properly held and a correct finding arrived at, the Tribunal "**will have to give very cogent reasons** for not accepting the view of the employer"; such an enquiry also lets the employer "escape the charge of having acted arbitrarily or mala fide" and conduces to "harmonious and healthy relationship" and industrial peace.

◆**Decision — Part B: retrospectivity**

◆**The ten principles of paragraph 32 — the pre-1971 law, restated**

◆**Ratio Decidendi — in five lines**

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== 17. HOMBE GOWDA ==========

⚖ [17] Hombe Gowda Educational Trust v. State of Karnataka CASE No. 17 · Unit 5

(2006) 1 SCC 430 · Civil Appeals arising out of SLP (C) Nos. … of 2003, decided 2 December 2005 · Bench: S.B. Sinha, J. · The outer limit on the power to modify punishment

◆**Facts**

1. **The parties:** the appellant No. 1 was the **Hombe Gowda Educational Trust**; appellant No. 2, **Kuvempu Mahavidyalaya**, a private educational institution receiving **grant-in-aid** from the State of Karnataka under the Grant-in-Aid Code of the Karnataka Collegiate Education Department; the institution is governed by the **Karnataka Private Educational Institutions (Discipline and Control) Act, 1975**. **Respondent No. 3, Venkappa Gowda**, was a **lecturer** in that college.
2. **The incident (18 September 1987):** the Principal (RW-1) **refused to permit the lecturer to sign the attendance register** in the morning (because he had not signed the afternoon register). There was a verbal altercation which "turned into a heated argument". According to the Principal the lecturer abused him in vulgar language; the Principal **pushed** him; the lecturer caught hold of the Principal's **collar**; the Principal pushed him down, causing him to fall; the lecturer got up and **hit the Principal with a chappal**.
3. **The disciplinary action:** the lecturer was **charge-sheeted for (i) unauthorised absence and conduct unbecoming of a lecturer, and (ii) misbehaviour and physical assault on the Principal**; the domestic enquiry found him guilty and he was **dismissed from service**.
4. **Before the Educational Appellate Tribunal** (constituted under §§8 and 10 of the 1975 Act; its proceedings are by a legal fiction treated as judicial proceedings): a **preliminary issue** was framed whether the departmental proceedings were in consonance with **Rule 14(2) of the CCS (CCA) Rules**; the Tribunal held the departmental proceeding to be **invalid in law**. The management therefore **adduced evidence before the Tribunal** to prove the charges (an exact parallel to the *Firestone* "first-time evidence" situation).
5. **The Tribunal's findings:** it framed three questions — (1) whether unauthorised absence and conduct unbecoming of a lecturer were proved; (2) whether the evidence established misbehaviour on 18.9.1987 and physical assault on the Principal; and (3) if so, whether dismissal was justified or a lesser punishment deserved. It held **Charge 1 NOT satisfactorily proved**; on Charge 2 it held the **assault proved**, but added: "the incident would not have occurred had the Principal employed restraint upon his words and action… even the act of the appellant in using chappal to assault the Principal cannot under any circumstances be justified… the Principal and the appellant have acted in an undesirable manner and unbecoming of academicians."
6. **The substituted punishment:** instead of dismissal, the Tribunal ordered **withholding of three increments**, with **reinstatement and full pecuniary benefits retrospectively from the date of dismissal minus the withheld increments**, the management being made liable to pay and the State being held vicariously liable.
7. **The High Court** held that "when the action of the petitioner in assaulting the Principal with chappal stands proved by the evidence of RWs 1 to 5, whatever may be the provocation for such a conduct, the said conduct of the petitioner cannot be justified under any circumstances"; since the lecturer had in the meantime **reached the age of superannuation within three months** of the Tribunal's order, the High Court reduced back wages to **60%**. All three parties — the Trust, the State and the lecturer — went up to the Supreme Court.

◆**Issues**

1. Whether the Tribunal was justified in **interfering with the punishment of dismissal** and substituting a lesser punishment (withholding of three increments) despite a **concurrent finding** of a grave misconduct (assault on the head of the institution) by the Tribunal and the High Court.
2. Whether the **doctrine of proportionality** applies to the substitution of punishment in such a case — and, if so, what is the **threshold** for interference.
3. Whether **grave provocation** by the Principal, and the management's **failure to proceed against the Principal**, could justify or mitigate the misconduct so as to reduce the punishment.
4. Whether, the management having once sought and obtained **time to comply** with the High Court's order, it was **precluded** from maintaining the appeal.

◆**Decision (Holding)**

◆**Ratio Decidendi**

◆**The supporting line surveyed in Hombe Gowda (all in the LB-503 material, pp. 125–131)**

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== 18. SCOOTERS INDIA ==========

⚖ [18] Scooters India Ltd. v. Labour Court CASE No. 18 · Unit 5

AIR 1989 SC 149 — Special Leave Petition (Civil) directed against the Allahabad High Court's dismissal of W.P. No. 2305 of 1986 · Bench: R.S. Pathak, C.J. and S. Natarajan, J. · Decided on the U.P. analogue of §11-A, §6(2-A) of the U.P. Industrial Disputes Act, 1947

◆**Facts**

1. The respondent-workman of **Scooters India Ltd.** (a public sector undertaking) was issued **three separate charge memos — dated 23 March 1981, 30 April 1981 and 21 July 1981** — and **separate domestic enquiries** were held in respect of the charges in each of them.

2. The charges pertained to **acts of major misconduct** — including, according to the management, the **distribution of an offensive pamphlet** (on 19.3.1981) and other "subversive" activity, with the stand-off between the workman and the management having become bitter and personal.
3. **All the charges were held proved** in the respective enquiries, and the Presiding Officer of the Labour Court found that the enquiries "**conformed to the statutory prescriptions and the principles of natural justice and were not vitiated in any manner**", so that the findings rendered by the Inquiry Officer and accepted by the Disciplinary Authority "**were not open to challenge**".
4. On those findings the workman's services were **terminated**. A reference was made to the Labour Court under **§4(k) of the U.P. Industrial Disputes Act, 1947**.
5. **Even so**, the Presiding Officer held: "**Having regard to all these circumstances and the reasons given above I would hold that the order of termination was not justified in the circumstances of this case.** I would therefore set aside the order of termination of service and direct that the workman shall be reinstated within one month of the award becoming enforceable." He then added the important reasoning on back wages: "The workman has unfortunately to blame himself for much of the bad blood which has developed between him and the management and therefore his conduct, motivated by ideals which are not relevant, has been far from satisfactory, insofar as it was **rough, bordering on rudeness** and with highly exaggerated sense of his duties. In these circumstances it will meet the ends of justice if **back wages to the extent of 75 per cent** are allowed to the workman."
6. **Both sides challenged the award** in the Allahabad High Court: the company by W.P. No. 2305 of 1986, and the workman by W.P. No. 6769 of 1986 (seeking **full** back wages instead of 75%). The High Court dismissed **both** petitions, adverting to **§6(2-A) of the U.P. Act, "analogous to Section 11-A of the Industrial Disputes Act"**, which confers wide powers on the Labour Court to set aside a discharge/ dismissal and to substitute any lesser punishment.
7. **Only the company** came to the Supreme Court by special leave; the workman did **not** challenge the dismissal of his own writ petition (and hence did not press for full back wages).

◆Issues

1. Whether the Labour Court could interfere with the punishment of dismissal **even though** it had upheld the domestic enquiries as fair and lawful and the misconduct as proved.
2. Whether, in doing so, it had exercised its powers under **§6(2-A)** in a **judicial manner** or in an **arbitrary** manner.
3. Whether the award of **75% back wages** (rather than full back wages or none) was a permissible exercise of the Labour Court's discretion.

◆Decision (Holding)

- **The special leave petition was dismissed** — the order of the High Court declining to quash the Labour Court's award did not call for interference. **Reinstatement with 75% back wages stood.**
- **On the "three orders" contention:** rejected on facts — "the order of termination of service refers **only to Clause 14.2(13)** of the Certified Standing Orders and not to Clause 14.2(20)", and the High Court had in fact dealt with all three charge-sheets and the findings.
- **On the standing-order mismatch:** the High Court "has referred in detail ... to all the three charge-sheets and the findings rendered on those charges and as such ... cannot be said to have committed a serious error" in its description of the record.
- **THE CENTRAL HOLDING:** "It cannot therefore be said that the Labour Court had exercised its powers under Section 6(2-A) of the Act in an **arbitrary manner and not in a judicial manner**. The Labour Court has taken the view that **justice must be tempered with mercy** and that the erring workman should be given an **opportunity to reform himself** and prove to be a loyal and disciplined employee of the petitioner company. **It cannot therefore be said that merely because the Labour Court had found the enquiry to be fair and lawful and the findings not to be vitiated in any manner, it ought not to have interfered with the order of termination of service.**"
- **Closing observations (para 8):** "we hope and trust that the respondent will conduct himself in future in such a manner as to prove himself to be a dedicated and worthy employee of a public sector concern... It will not only be in the interests of the respondent but in the interests of all the workers as well as the petitioner company..." — the **rehabilitative** philosophy of §11-A relief.

◆Ratio Decidendi

◆Reconciling Scooters India with Hombe Gowda — the exam-favourite move

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== 20. RAGHUBIR SINGH ==========

⚖ [20] Raghubir Singh v. General Manager, Haryana Roadways, Hissar CASE No. 20 · Unit 5

2014 (6) SLR 6 (SC) · 2014 AIR SCW 5515 · Civil Appeal No. 8434 of 2014 (arising out of SLP (C) No. 22487 of 2012), decided 3 September 2014 · Bench: Sudhansu Jyoti Mukhopadhaya and V. Gopala Gowda, JJ. (judgment by Gopala Gowda J.) · Proportionality as a constitutional standard

◆Facts — the full chronology (learn the dates; they carry the answer)

Date	Event
1976	The appellant, **Raghubir Singh**, joined **Haryana Roadways** as a **conductor**.
10.08.1993	He was **charged under §409 IPC** in a criminal case instituted **at the instance of the respondent** (his employer), for alleged **misappropriation of the amount collected from tickets** and non-deposit of the cash in time. (Separately, unauthorised absence from **02.04.1993** was later alleged.)
15.09.1994	He was **arrested** by the police and sent to **judicial custody**.
21.10.1994	His **services were terminated** by order No. 5278/ECC (the General Manager, Haryana Roadways, Hissar), invoking **Article 311(2)(b) of the Constitution** and disentitling him of benefits for the period of absence, on the footing that he had been continuously absent for more than five months and had not responded to a **newspaper notice** (published in *Dainik Tribune* dated 4.10.1994) asking him to join duty and deposit the ticket amount within 15 days.
15.11.1994	On release on bail he was given an **oral assurance by the respondent that he would be reinstated after acquittal**.
11.07.2002	He was **acquitted** by the Court of the Judicial Magistrate First Class, Hissar (Crl. Case No. 33-I of 1994). On reporting for duty he was told that his services stood terminated with effect from 21.10.1994.
02.03.2005	After a demand notice was not acceded to, he raised an industrial dispute before the Conciliation Officer; on failure of conciliation the State Government **referred the dispute under §10(1)(c)** to the Labour Court, Hissar. *This date is critical: it is the cut-off from which the Supreme Court ultimately awarded back wages.*

22.05.2009	**Labour Court's first award:** termination **illegal**; **reinstatement with 60% back wages from the date of the demand notice till publication of the award and full back wages thereafter till reinstatement**.
01.04.2010	The High Court (C.W.P. No. 13366 of 2009) **set aside the award and remanded** the case for fresh adjudication in the light of the applicability of **Article 311(2)(b)**.
17.05.2011	**Labour Court's second award** (R.M. No. 3 of 2010): the reference was **dismissed as time-barred** on the "additional issue" of limitation, relying on *Assistant Engineer, Rajasthan State Agriculture Marketing Board, Kota v. Mohan Lal*.
14.11.2011 / **09.01.2012**	The learned Single Judge dismissed W.P. No. 20996 of 2011 (holding the disciplinary authority's decision to be "in the public interest"), and the Division Bench dismissed L.P.A. No. 20 of 2012.
03.09.2014	**Supreme Court:** appeal allowed — award and judgments set aside; **reinstatement with back wages from 02.03.2005 till reinstatement with all consequential benefits**; to be implemented **within six weeks**. No costs.

◆Issues

1. Whether the Labour Court and the High Court erred in holding the reference **barred by limitation** — i.e., whether delay in raising an industrial dispute can defeat a reference made under §10(1)(c).
2. Whether the termination of the workman was legal, he having been **terminated without any enquiry** and merely by invoking **Article 311(2)(b)**.
3. Whether a person who is a **"workman" under §2(s)** of the IDA, employed by a statutory body, is governed by the **Model Standing Orders** under the IESO Act, 1946 or by the **Haryana Civil Services (Punishment and Appeal) Rules, 1987**.
4. Whether the punishment of termination for the alleged **unauthorised absence** was justified, or was **disproportionate to the gravity of the misconduct**.
5. Whether the workman was entitled to **reinstatement with back wages and consequential benefits**, and from what date.

◆Decision (Holding)

◆Ratio Decidendi

(Brief abridged for the compilation — full text at makelaweasy.in.)

▸ B.5 The supporting cast — decisions that complete the doctrine

Authority	Citation	Use in a Unit-5 answer
Indian Iron & Steel Co. Ltd. v. Their Workmen	AIR 1958 SC 130	The pre-1971 baseline (the four grounds; no power over quantum) — the "before" picture against which §11-A is measured.
Workmen of Motipur Sugar Factory v. Motipur Sugar Factory	AIR 1965 SC 1803	"A defective enquiry stands on the same footing as no enquiry" — and the employer may justify the action with evidence led for the first time; the parent of *Firestone* principles 4–6.
DCM v. Ludh Budh Singh	AIR 1972 SC 1031	Summarised the earlier law and settled the **stage** at which the employer should seek the opportunity to lead first-time evidence (validity of the enquiry as a preliminary issue).
Cooper Engineering Ltd. v. P.P. Mundhe	AIR 1975 SC 1900	Post-§11-A clarification (cited in the class notes): where **no domestic enquiry** was held, the Tribunal may permit fresh evidence notwithstanding the proviso.
L.K. Verma v. HMT Ltd.	(2006) 2 SCC 269	The Tribunal's power to award a lesser punishment "must be exercised **judiciously, not arbitrarily**" — the bridge between *Scooters India* and *Hombe Gowda*.
Om Kumar v. Union of India	(2001) 2 SCC 386	The administrative-law **proportionality v. Wednesbury** framework adopted in *Raghubir Singh*; the punishment must not be "shockingly disproportionate".
Ranjit Thakur v. Union of India	(1987) 4 SCC 611	"The sentence has to suit the offence and the offender"; if "utterly disproportionate", the court interferes — the service-law ancestor of proportionality.
B.C. Chaturvedi v. Union of India	(1995) 6 SCC 749	Judicial review of punishment is limited to punishments that "shock the conscience"; normally the court **remits** rather than substitutes; rarely awards an alternative penalty.
Deepali Gundu Surwase v. Kranti Junior Adhyapak Mahavidyalaya	(2013) 10 SCC 324	Reinstatement + full back wages as the normal rule; the employer must plead and prove gainful employment; denial would "indirectly punish" the workman.
Hindustan Tin Works (P) Ltd. v. Employees	(1979) 2 SCC 80	Back wages are the "normal rule"; the employer who opposes must establish circumstances justifying departure; the discretion must be exercised judicially.
Surendra Kumar Verma v. CGIT-cum-Labour Court	(1980) 4 SCC 443	"It is as if the [termination] order has never been, and so it must ordinarily lead to back wages too" — the strongest statement of the back-wages rule.
Management of Panitole Tea Estate v. Workmen	(1971) 1 SCC 742	Whether the workman should be reinstated or **paid compensation** is within the judicial discretion of the Tribunal (Firestone principle 10).
Avon Services Production Agencies v. Industrial Tribunal, Haryana; **Sapan Kumar Pandit**; **Ajaib Singh**; **S.M. Nilajkar**	AIR 1979 SC 170 / (2001) 6 SCC 222 / (1999) 6 SCC 82 / (1994) 2 SCC 796	The limitation-and-delay quartet applied in *Raghubir Singh*: reference "at any time"; delay only a factor in moulding relief; Article 137 Limitation Act inapplicable; loss of material evidence the only fatal kind of delay.
Union of India v. Mohd. Ramzan Khan; **MD, ECIL v. B. Karunakar**	(1991) 1 SCC 588 / (1993) 4 SCC 727	Furnishing the enquiry report; the **prejudice** test; remand rather than quashing — used in *Raghubir Singh* for the "second show-cause notice" point.
U.P. Warehousing Corporation v. Vijay Narayan Vajpayee; **Olga Tellis v. BMC**	(1980) 3 SCC 459 / (1985) 3 SCC 545	The public-employment/Article 12 dimension, and the Article 21 right to livelihood — the constitutional scaffolding of *Raghubir Singh*.
J.K. Synthetics Ltd. v. K.P. Agrawal; **Municipal Committee, Bahadurgarh v. Krishnan Behari**; **UPSRTC v. Subhash Chandra Sharma**	(2007) 2 SCC 433 / AIR 1996 SC 1249 / AIR 2000 SC 1163	The judicial trends summarised in the class material: leniency where the misconduct is minor and service record long (*J.K. Synthetics*); no interference for abuse of a superior (*Bahadurgarh*); dismissal upheld for misappropriation by a conductor, proportionality requiring a punishment matching the seriousness (*Subhash Chandra Sharma*).

C Doctrine of Proportionality in Awarding Punishments — the Full Doctrine

C.1 What the doctrine says, in one paragraph and then in pieces

1. Legitimate aim

The penalty must serve a permissible purpose of employment discipline — deterrence of misconduct, maintenance of workplace order, protection of the employer's property/confidence — and not an extraneous purpose such as **victimisation for union activity**, personal animosity, or the settling of scores. A penalty imposed to serve an extraneous purpose is *mala fide* and fails at the first hurdle.

2. Suitability (rational connection)

The measure must be rationally connected to the aim. Dismissal for conduct that has no nexus with the employment relationship, or dismissal of a person *not* proved to have done the act, fails. This is where the **"no evidence / perversity"** limbs of *Indian Iron* and the charge-proving function of §11-A do their work.

3. Necessity (least restrictive means)

Even a relevant penalty is excessive if a **lesser penalty would have sufficed**. This is precisely the space in which §11-A's "**any lesser punishment**" clause operates: the Tribunal asks — condemning the misconduct in full — would a censure, stoppage of increments, or a period of suspension without pay answer the case?

4. Balancing (proportionality stricto sensu)

Weigh the impact on the workman — **loss of livelihood, family hardship, years of service, pensionary consequences** (Art 21, *Olga Tellis*) — against the **loss of confidence** and the disciplinary needs of the employer (*A.T. Mane*: "it is the loss of confidence which is the primary factor"). The balance must not be grossly skewed.

5. Reasons on the face of the record

Judicial Indian law adds a procedural overlay: the exercise of discretion "must be **cogent and convincing and must appear on the face of the record**"; it "is not to be arbitrary, vague and fanciful but legal and regular". A substitute penalty without reasons is itself a ground of interference (*Bharat Forge*: not on "compassionate ground"; *Surendra Kumar Verma*: discretion must be judicial).

6. Degree, not direction

The Indian rule is one of **degree**. Courts do *not* ask whether they would have imposed the same penalty; they ask whether the penalty is **within the range of reasonable penalties** for that misconduct (*V. Ramana*: "deficiency in the decision-making process and not the decision"). Extreme reductions fail (*Hombe Gowda*); reasoned, moderate ones survive (*Scooters India*).

C.2 The pedigree — where the doctrine came from

Stage	Content and Indian reception
Continental administrative law (Germany; *Verhältnismäßigkeit*) and **EU law**	The three-step test — *Geeignetheit* (suitability), *Erforderlichkeit* (necessity), *Angemessenheit* (proportionality in the narrow sense) — developed as a restraint on legislative and administrative power over rights.
English administrative law	The classical **Wednesbury** test (*Associated Provincial Picture Houses v. Wednesbury Corpn.*, (1948) 1 KB 223) asks only whether the decision was so unreasonable that no reasonable authority would have taken it. Proportionality is a *more intense* standard, famously described in *R. v. Secretary of State for the Home Deptt., ex p Brind* as demanding a "**sledgehammer**" intensity of review. English law now applies proportionality where Convention rights are engaged; in other contexts the two tests have grown closer (*Pham v. Home Secretary*).
Indian service law	*Ranjit Thakur v. Union of India* (1987): "**The sentence has to suit the offence and the offender**... if the punishment is utterly disproportionate to the misconduct, the court can interfere." *B.C. Chaturvedi* (1995): interference "where the punishment is so disproportionate that it **shocks the conscience**"; ordinarily the court **remits** to the disciplinary authority, and only rarely substitutes a lesser penalty.
Indian administrative law	*Om Kumar v. Union of India* (2001): the distinction between **primary review** (discrimination under Article 14 → proportionality applies) and **secondary review** (arbitrariness → Wednesbury), and the caution that the court must not become the decision-maker. Adopted verbatim in *Raghubir Singh* (2014).
Industrial adjudication	*Firestone* principle 9 (harsh penalty suggesting victimisation); the "**lesser punishment**" clause of §11-A; *Muriadih Colliery* (2005): the Tribunal "should bear in mind the **principle of proportionality** between the gravity of the offence and the stringency of the punishment"; *Hombe Gowda* (2006): limited jurisdiction, gross disproportionality; *L.K. Verma* (2006): judiciously, not arbitrarily; *Raghubir Singh* (2014): constitutional dimension.
Under the IRC, 2020	**§50(1)** carries the doctrine forward: on an application under §53(6), if the Tribunal is satisfied that the discharge, dismissal "**or otherwise termination**" was not justified, it may set aside the order and direct reinstatement on terms or "give such other relief to the worker including the award of **any lesser punishment** in lieu of discharge or dismissal...". Two things change: (i) the relief is now available on the **worker's own application**, not only on a government reference; and (ii) the proviso "shall rely only on the **materials on record** and shall not take any fresh evidence" is **retained** — so the *Firestone* jurisprudence on materials and on the employer's first-time evidence remains the working law.

C.3 The factors Indian courts actually weigh — the checklist that earns marks

Factor	Aggravating (penalty stands)	Mitigating (penalty may be reduced)
Nature of the duty / position of trust	Cash-handling, driving, security, teaching, banking, custody of public money — a **higher standard of integrity** is demanded. *A.T. Mane*: loss of confidence is "the primary factor".	Manual or non-supervisory work with no fiduciary element; misconduct unconnected with duty.

Gravity of the misconduct	Violence or assault on a superior (*Hombe Gowda*, *M.P. Electricity Board*, *Muriadih Colliery*); theft/misappropriation; sabotage; gherao with weapons (*Krishnakali Tea Estate*).	Minor acts — late attendance, minor insubordination, isolated negligence, small-value loss; "the amount of money misappropriated" is not the primary factor, but triviality plus long service may justify reduction.
Provocation / context	Unprovoked attack; premeditation; repetition.	Grave provocation by a superior *mitigates*, but never excuses (*Hombe Gowda*, para 19: "even under grave provocation a teacher is not expected to...").
Length of service and past record	Short service; prior warnings; habitual misconduct; adverse record (*Sohan Lal*: past conduct and conduct during the enquiry are relevant).	Long, unblemished service; near-superannuation; family on the brink — relevant to *relief* and to back wages (e.g., *Municipal Board, Pratabgarh*, where age was weighed — though "no law was laid down"); but compassion alone cannot justify a reduced penalty (*Bharat Forge*).
Consequences to the employer	Loss of goods/cash; injury to personnel; disruption of production; public-safety consequences (*Bahadurgarh* — bus conductor assaulting the driver; *UPSRTC v. Subhash Chandra Sharma* — misappropriation by a conductor).	No actual loss; damage made good; conduct outside duty hours and unrelated to the undertaking.
Procedural fairness	A fair enquiry, a reasoned enquiry report, and supply of the report discipline the record and attract deference (*Firestone* para 53).	Absent or defective enquiry; denial of the enquiry report; non-supply of documents; **omission of a second show-cause notice** (*Ramzan Khan*; *Karunakar — Raghubir Singh*).
Equality / consistency of treatment	—"	Selective non-action against other culprits is **not** a ground by itself (*Hombe Gowda* para 29), although differential treatment of *similarly situated* delinquents can itself be an Article 14 plea.
Type of employment & statutory regime	Civil servant (Art 311) with the punishment rules prescribing the penalty; industrial "workman" governed by standing orders.	A workman under §2(s) IDA — the Tribunal's §11-A/§50 power is available; the employer's civil-service rules are irrelevant (*Raghubir Singh*).

C.4 The penalty ladder — matching punishment to misconduct

Misconduct (illustrative)	Punishment ordinarily proportionate	Authority / illustration
Assault with a weapon/chappal on the head of the institution/supervisor	**Dismissal**	*Hombe Gowda*; *M.P. Electricity Board*; *Muriadih Colliery*; *Krishnakali Tea Estate*
Misappropriation of fare by a conductor / theft by an employee in a position of trust	**Dismissal** (loss of confidence); reduction only in exceptional cases	*A.T. Mane*; *UPSRTC v. Subhash Chandra Sharma*
Distribution of an offensive pamphlet + other misconduct, hotly disputed, with a long history of friction	Reinstatement **with 75% back wages** — upheld as a *judicial* exercise founded on "justice ... tempered with mercy"	*Scooters India*
Unauthorised absence explained by police custody in a case filed *by the employer itself*; no enquiry; wrong legal regime	**Reinstatement with back wages** from the date of the demand; the absence period treated as leave without wages	*Raghubir Singh*
Minor misconduct, long unblemished service, no loss	Penalty may be reduced to stoppage of increments / censure; and back wages weighed	*J.K. Synthetics*; *L.K. Verma* (judicious, not arbitrary)
Refusal of the workman to cooperate with a valid enquiry; defiance of lawful orders	Dismissal upheld — "obedience to authority in a workplace is not slavery"	*M.P. Electricity Board*; *Rajasthan SRTC v. Sohan Lal*

C.5 The two-stage protection particular to industrial law — Firestone 's architecture

Stage 1 — justification (the finding)

The Tribunal asks whether the order of discharge/dismissal is **"justified"**: that inquiry covers the **existence of the misconduct**, its **proof on the materials on record**, the **fairness of the enquiry**, and the **bona fides** of the employer. If the misconduct is not proved, the order falls and relief follows.

Stage 2 — relief (Firestone principle 10)

Even where the dismissal stands (or the misconduct is proved), the Tribunal must still decide **what relief to give**, i.e., the **quantum** and the **modalities** — reinstatement with full or partial back wages, compensation in lieu, or a lesser punishment. This is the stage at which proportionality operates — and it is a **statutory duty**, not a favour (*Raghubir Singh*: failure to consider it is "failure to exercise its statutory power coupled with duty").

C.6 Where proportionality does not operate — the limits

- **The employer's interest counts too:** in *Scooters India* the Supreme Court, while upholding the award, expressly cautioned that the **interests of the employer are equally important** and that a Labour Court which thinks a termination unjustified should also consider whether, on reinstatement, the workman would be able to work peacefully in the establishment. The doctrine is therefore **not a one-way street** — the employer's loss of confidence and the viability of the employment relationship are equally relevant, as are the **interests of the other workers**.
- **Not a licence for judicial re-writing:** *Bharat Forge* — the Labour Court "must act within the four corners" of the statute and cannot reduce a penalty on "an irrational or extraneous factor and certainly not on a compassionate ground".
- **Not an appeal on quantum:** *V. Ramana*; *Hombe Gowda* — the Tribunal is not to substitute the punishment it would have imposed.
- **Not available on the basis of mercy alone:** "justice must be tempered with mercy" (*Scooters India*) is a *reasoned* mercy operating on the record; unanchored sympathy is not.

PREVIOUS YEAR QUESTIONS · UNIVERSITY OF DELHI · LL.B. V TERM

PYQ Bank — Unit 5 (questions only)

Q1 DEC 2024

Critically examine the proposition that the industrial adjudicator has, in matters of discharge and dismissal, replaced the employer's satisfaction with its own — with the section and its proviso determining the extent of that power.

◆ **Refer makelaweasy.in for detailed notes**, full model answers to every question below, additional case briefs, diagrams and revision material on this unit.

Q2 MAY–JUNE 2025

A workman is dismissed following an ex parte domestic enquiry, and is later acquitted in the criminal case arising out of the same allegations. What arguments are available to him under §11-A before the Labour Court?

Q3 NOV–DEC 2025

A bank employee (clerk) is dismissed for a proved act of misconduct. The Labour Court reduces the punishment. Discuss whether such modification is permissible under §11-A and on what principles.

Q4 OTHER YEARS (RECURRING)

Short notes: (i) retrospectivity of §11-A; (ii) employer's right to lead fresh evidence; (iii) "materials on record"; (iv) §11-A and §33 compared; (v) §17-B / §56 IRC.

Q5 Trace the evolution of the adjudicatory power over dismissal from Indian Iron & Steel to Firestone .

Q6 'The jurisdiction to interfere with the quantum of punishment is limited' — discuss.

Q7 Examine the employer's right to adduce evidence for the first time before the Tribunal.

Q8 §11-A is prospective — do you agree?

Q9 Compare Scooters India and Hombe Gowda .

Q10 Discuss how the IRC, 2020 changes the law of discharge and dismissal.

Q11 Proportionality as a facet of Article 14.

by Ankur R. Upadhyay

LB-503 · INDUSTRIAL LAW (INCLUDING IDRA) · FACULTY OF LAW, UNIVERSITY OF DELHI · LL.B. V TERM

UNIT 06

Restraints on Managerial Prerogatives — Conditions of Service during Pendency of Proceedings

◆ SYLLABUS COVERAGE

Restraints on managerial prerogatives — conditions of service, etc., to remain unchanged under certain circumstances during the pendency of proceedings (s.33 and s.33-A, IDA, 1947; ss.90 and 91, IR Code, 2020) · suspension and subsistence allowance · protected workmen.

◆ STATUTES & PROVISIONS

IDA, 1947 · ss.33, 33-A, 10(4) · IR Code, 2020 · ss.90, 91, 50(2)

◆ PRESCRIBED CASE MATERIAL

Hotel Imperial v. Head Waiters' Federation / Workmen (No. 21) · Punjab Beverages v. Suresh Chand (No. 22) · Tata Chemicals v. Workmen · Ram Lakhan v. Presiding Officer · Jaipur Zila Sahakari Bhoomi Vikas Bank v. Ram Gopal Sharma

⬢ A The Statutory Framework — §33 & §33-A IDA (now §90 & §91 IRC, 2020)

▸ A.2 Section 33, Industrial Disputes Act, 1947 — clause by clause (verbatim, with commentary)

▸ A.3 Section 33-A — the workman's own remedy

▸▸ Essential elements of a §33-A complaint

1. **A contravention of §33** — an alteration of service conditions to the prejudice of a workman concerned, or a punishment/dismissal, without the permission or approval required by the applicable sub-section (including the three-month-limitation-free proviso to §33(2)).
2. **An "aggrieved employee"** — the person affected; the language of §33-A speaks of "*any employee aggrieved by such contravention*" (and in the IRC, correspondingly, "any employee").
3. **Pendency** — the complaint lies only while the proceeding in respect of the industrial dispute is pending before the named authority.
4. **Writing and prescribed manner** — the complaint must be in writing in the form prescribed by the rules.
5. **Forum** — the very authority before which the dispute is pending (or the conciliation officer/Board, who must use it in mediation).

▸▸ Why §33-A is doctrinally significant

- **Direct access to adjudication:** the workman does not have to persuade the appropriate Government to make a fresh reference under §10. It is one of the very few provisions of the IDA that by-passes the reference machinery — and the IRC **preserves** it in §91.
- **Full adjudicatory power:** once the complaint is received, it is *deemed to be a referred dispute*; the authority has all its §11/§11-A powers and must make an **award**, which is published under §17 and enforceable like any other award.
- **Its limits:** mere contravention does not automatically entitle the workman to reinstatement; the Tribunal must go on to decide the merits — whether the misconduct was proved and whether the punishment was justified (*i.e.*, it applies the Unit-5 §11-A test).
- **Relationship with the approval route:** a §33-A complaint is **independent** of the employer's §33(2)(b) approval application and the two are ordinarily heard together; a workman may complain under §33-A *even after* approval has been granted, to allege victimisation (*Jaipur Zila*).

▸ A.4 The core distinction — §33(1) versus §33(2) versus §33(3)

Point	§33(1) — connected matters	§33(2) — unconnected matters	§33(3) — protected workman
Subject-matter	Matters **connected** with the pending dispute (alterations to the prejudice of workmen concerned; punishment for connected misconduct)	Matters **not connected** with the pending dispute	Any matter concerning a **protected workman** concerned in the dispute
Requirement	**Prior express permission in writing**	**Subsequent approval** of action already taken	**Prior express permission in writing**
Nature of the power	Permission — the authority examines whether the employer *should be allowed* to act	Approval — the authority examines whether the action already taken is *prima facie* supportable	Permission — like §33(1)
One month's wages	Not prescribed	**Must be paid** before dismissal/discharge (proviso)	Not prescribed
If the requirement is not met	Action is a **contravention** — §33-A complaint lies; punishment under §31	Dismissal is **void/inoperative** — the workman is deemed never to have been dismissed (*Jaipur Zila*); §33-A complaint lies	Contravention — §33-A complaint; the permission, if obtained after a denial of natural justice (e.g., no subsistence), may be **vitiated** (*Fakirbhai*)
Rationale	Protect the **subject-matter** of the adjudication from destruction	Balance the employer's **ordinary disciplinary needs** against a procedural check	Protect **union leadership** from victimisation

Lord Krishna Textile Mills v. Its Workmen: the jurisdiction to give or withhold **permission** is "*prima facie* wider than the jurisdiction to give or withhold **approval**"; and in an approval enquiry the authority considers only whether a *prima facie* case is made out, may not sit as a court of appeal over the domestic enquiry, and may neither impose conditions nor pass a conditional order.

▸ A.5 The Industrial Relations Code, 2020 — §90 and §91 compared with §33 and §33-A

Feature	IDA, 1947	IRC, 2020

Restraint on action pending proceedings	§33(1)–(2)	**§90(1)–(2)** — same structure: connected matters require prior written permission; unconnected matters require one month's wages + approval.
Protected workmen/ worker	§33(3) with the Explanation; §33(4) for numbers	**§90(3)** with an Explanation defining "**protected worker**" (member of the executive or other office-bearer of a registered Trade Union, recognised under the rules); **§90(4)** — 1%, minimum five, maximum one hundred.
Time limit for approval	§33(5) — three months, with provisos for extension and non-lapse	**§90(5)** — same three-month limit with identical provisos.
Complaint against contravention	§33-A	**§91** — complaint in writing to the conciliation officer (who must take it into account in mediation) or to the arbitrator/Tribunal/National Industrial Tribunal, which adjudicates it as if it were a referred or pending dispute.
Authorities before whom proceedings may pend	Conciliation officer, Board of Conciliation, arbitrator, Labour Court, Tribunal, National Tribunal	Conciliation officer, arbitrator, Tribunal, National Industrial Tribunal (the **Board of Conciliation is abolished** by the Code).
Notice of change of service conditions	§9-A (with the Fourth Schedule)	**§40** (with the Third Schedule) — 21 days' notice; and §90(1) is expressed to apply to disputes "**with regard to matters not covered by the notice of change issued by an employer under section 40**".
Subsistence allowance during suspension	Not codified — judge-made (*Hotel Imperial*, *Fakirbhai*, *Ram Lakhan*)	**Not codified** — a conspicuous gap; the principles are expected to apply by analogy because their rationale is natural justice and Article 21, not statutory text.
Grievance machinery	None as such	**Grievance Redressal Committee** under §4 IRC, mandatory in establishments with 20 or more workers — designed to resolve minor grievances before they escalate into "industrial disputes" (and so, before §90 becomes relevant).

▸ A.6 The consequences of contravention — the complete cascade

Consequence	Provision / authority
1. The action is a legal nullity or inoperative	§33(2) route: dismissal without approval is **void and inoperative**; the workman is "deemed never to have been dismissed" (*Jaipur Zila Sahakari Bhoomi Vikas Bank Ltd. v. Ram Gopal Sharma*, (2002) 2 SCC 244). §33(1)/(3) route: action taken without prior permission is a contravention; the workman may seek relief through §33-A, and on the merits the Tribunal will decide whether the action can stand.
2. The workman's complaint remedy	**§33-A / §91** — a complaint in writing, adjudicated as if it were a referred dispute, resulting in an **award** (published under §17, binding under §18, enforceable under §33-C).
3. Criminal liability of the employer	**§31, IDA** — contravention of §33 is an offence punishable with fine (and see §32 for offences by companies and §34 for cognizance/ court of competent jurisdiction).
4. The permission/ approval itself may be vitiated	Where the workman was denied a reasonable opportunity to defend the pending application — as by the total denial of subsistence allowance (*Fakirbhai Fulabhai Solanki*) — the permission granted is bad and the proceedings are vitiated.
5. No bar to a later adjudication on merits	Permission/approval does not conclude the dispute: the dismissal may still be challenged in the reference, and the §33 proceedings become part of the "materials on record" for the §11-A/§50 adjudication (Unit 5 — *Firestone*).
6. Wages for the period of unlawful suspension	If permission is refused where the employer suspended without pay under the implied *Hotel Imperial* power, "the suspension would be wrong and the workman would be entitled to **all his wages from the date of suspension**".

▸ A.7 Allied machinery that a Unit-6 problem question may involve

▸▸ §9-A (IRC §40) — notice of change

An employer proposing to change any condition of service in the **Fourth Schedule** (IDA) / **Third Schedule** (IRC) — wages, allowances, hours, leave, shift working, withdrawal of concessions, etc. — must give **21 days' notice** to the workmen likely to be affected. A change effected in breach of §9-A is no change at all, and a dispute may be raised. **Link to §33:** §9-A regulates the *proposal* to change; §33 regulates a change or punishment *during a pending proceeding*. Together they are the twin restraints on managerial prerogative.

▸▸ §10(4) and interim relief (IRC §50(2))

Where a reference specifies the points of dispute, the Tribunal must confine itself to them "**and matters incidental thereto**". *Hotel Imperial* held that **interim relief is such an incidental matter**: where reinstatement/wages are in issue, interim relief may be granted without any express reference of that question. Under the IRC, §50(2) now expressly empowers the Tribunal to grant **interim relief in the interest of justice**.

▸▸ §33-C(2) and enforcement

The Labour Court may **compute and recover money due** to a workman under a settlement, award or the provisions of Chapter V-A/V-B. In *Jaipur Zila* the workman successfully invoked §33-C(2) on the footing that a dismissal without approval was void, so that wages continued to accrue. §33-C is also the tool for recovering **arrears of subsistence allowance** directed by an award.

▸ A.8 Figure 3 — Permission or approval? The §33 decision tree

⬢ B The Three Prescribed Cases — Facts · Issues · Arguments · Decision · Principle

Each card follows the same discipline: **C**ontext → **F**acts → **I**ssues → **A**rguments of both sides → **H**olding → **R**atio → **P**rinciples/obiter → **A**pplication and exam use → precision guards. Quotations in inverted commas are from the judgments as printed in the LB-503 case material (Unit 6, pp. 136–166).

========== 21. HOTEL IMPERIAL ==========

⚖ ㉑ The Management of Hotel Imperial v. Hotel Workers' Union CASE No. 21 · Unit 6

(1960) 1 SCR 476 : AIR 1959 SC 1342 · Three connected Civil Appeals by special leave from the Labour Appellate Tribunal of India · Bench: K.N. Wanchoo, J. (three-Judge Bench) · The foundational case on suspension pending §33 and on a Tribunal's power to grant interim relief

◆Facts — the hotel strike of 1955 and the three references

1. **The parties:** the three appellants were the managements of (1) **Imperial Hotel, New Delhi**, (2) **Maiden's Hotel, Delhi**, and (3) **Swiss Hotel, Delhi**; the respondents were their respective workmen represented by the **Hotel Workers' Union**, Katra Shahanshahi, Chandni Chowk, Delhi.
2. **The background:** disputes between the hotels and their workmen over conditions of labour had been running for some time. Matters came **to a head at the end of September 1955**, and a **strike of all the workmen in all three hotels took place on 5 October 1955**.
3. **The Imperial Hotel spark (August 1955):** before the general strike there had been trouble in Imperial Hotel *only*. In that connection **charge-sheets were served on 22 workmen** and an enquiry was held by the management, which concluded that the workmen were guilty of misconduct and decided to dismiss them. On **4 October 1955** notices were served on those workmen informing them that the management **had decided to dismiss them, subject to obtaining permission under §33**. *This action set off the general strike in all three hotels on 5 October 1955.*
4. **The 5 October notices:** each of the three managements issued notices directing the workmen to **re-join duty within three hours**, failing which action would be taken. The workmen did not re-join within that time; fresh notices were issued the same day asking them to **show cause why disciplinary action should not be taken**, and they were informed that they would be **under suspension** in the meantime.
5. **The 7 October notices:** the three managements issued notices informing the workmen that it had been decided **to dismiss them**, and that they were **being suspended pending the obtaining of permission under §33**.
6. **References and numbers:** a reference was made on **12 October 1955** in respect of Imperial Hotel, covering a large number of matters, including the case of the **22 workmen** whom the management had decided to dismiss on 4 October — but *not* the workmen dismissed on 7 October. After further enquiries the action of 7 October was confirmed against **19 workmen**. Those 19 had in the meantime applied under **§33-A**, complaining that they had been **suspended without pay for an indefinite period** and thus punished in breach of §33. So the Imperial Hotel dispute concerned **44 workmen** in all — 25 covered by the reference of 12 October and 19 who had filed §33-A applications. *No §33 application was made at all for those 19:* the §33 application filed on 22 October 1955 related only to the original 22 workmen.
7. **Maiden's Hotel:** the case related to **26 workmen** whose dismissal was finally considered necessary after 7 October; a reference was made on **23 November 1955** covering those 26. Later, **12 of them were re-employed on 10 December 1955**, so that the real dispute concerned **14 workmen**.
8. **Swiss Hotel:** after the notices of 7 October, an application was made by the Union under §33-A to the conciliation officer; eventually, on **10 November 1955**, a reference was made in respect of **14 workmen**.
9. **The interim-relief applications and orders:** the workmen applied for interim relief — on **22 October** (Imperial) and **26 November 1955** (Maiden's and Swiss). Replies were filed on **5 December 1955**, the same day on which the Industrial Tribunal passed its orders: in Imperial Hotel, that **43 of the 44 workmen** be paid their **wages plus ₹25 per month per head in lieu of food** until the final decision on their dismissal; in Maiden's Hotel, the 12 workmen whom the management was prepared to take back were ordered to report by 10 December, and the remaining **13** were to be paid their wages **from 1 October 1955** plus ₹25 per month in lieu of food (no order was passed for the 26th workman, a sweeper); Swiss Hotel was treated on the same terms, with six workmen taken back.
10. **The appeals and the interim stay:** the three hotels appealed; the **Labour Appellate Tribunal dismissed the appeals on 28 May 1956**. The hotels obtained special leave from the Supreme Court, which on **5 June 1956** granted a stay on the condition that the employers pay **half of the amount adjudged** payable by the orders of 5 December 1955 in respect of arrears accrued till then, and continue to pay in the same proportion until the dispute was determined.
11. **The sequel:** after that order, even the workmen who had not been re-employed on 5 December 1955 were taken back — **on 15 July 1956**, 2 workmen in Swiss Hotel, 13 in Maiden's Hotel and 43 in Imperial Hotel were taken back in service. (The Union argued that this re-employment amounted to a **waiver** of the dismissal and suspension; the Court expressly declined to decide that question at that interlocutory stage.)

◆Issues

◆Decision (Holding)

◆Ratio Decidendi

◆Principles and observations (obiter and contextual)

Hotel Imperial

implied-suspension doctrine and its two consequences.

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== 22. FAKIRBHAI ==========

⚖ ㉒ Fakirbhai Fulabhai Solanki v. Presiding Officer CASE No. 22 · Unit 6

(1986) 3 SCC 131 : AIR 1986 SC 1168 · Civil Appeals by special leave from the Industrial Tribunal, Gujarat (Application (IT) No. 88 of 1979 and Complaint (IT) No. 124 of 1979 in Reference (IT) No. 434 of 1978) · Bench: E.S. Venkataramiah, J. · The case that put natural justice into the suspension rule

◆Facts

1. The appellant was a workman in the factory of the management of **Alembic Chemical Works Co. Ltd., Baroda**. An industrial dispute was pending before the **Industrial Tribunal, Gujarat** in **Reference (IT) No. 434 of 1978**.
2. During that pendency the management served a charge-sheet on him asking him to show cause why disciplinary action should not be taken for an alleged act of misconduct committed on **12 July 1979** — namely, that he had been **playing cards along with two other workmen during the working hours of the factory**. It was alleged that he had given a letter addressed to Shri R.A. Desai, Manager (Industrial Relations), **admitting his guilt and tendering an apology**.
3. A **disciplinary enquiry was held against all three workmen**, including the appellant. At its conclusion the Inquiry Officer, **Shri J.N. Patel, Director (Manufacturing)**, found him guilty, and the management **decided to dismiss him**.

4. **But he was a "protected workman"** within the Explanation to **§33(3)**; the management therefore could not dismiss him without permission and made **Application (IT) No. 88 of 1979** under §33(3) for that permission.
5. **The suspension and the wage denial:** the appellant was **suspended from service with effect from 13 August 1979** — after he had been found guilty at the domestic enquiry but **without any wages or allowances**. The standing orders governing him contained **no provision for payment of any subsistence allowance** (whether the whole or part of what he was entitled to draw) during the pendency of a §33(3) application.
6. **The parallel complaint:** he also filed an application under **§33-A** complaining of violation of §33 by the management; it was registered as **Complaint (IT) No. 124 of 1979**.
7. **The delay:** both the §33(3) application and the §33-A complaint were filed in **1979** but were disposed of only on **5 August 1985** — after almost **six years**. During the whole of that period (13 August 1979 to 5 August 1985) he was paid **not even a subsistence allowance**.
8. The Tribunal **granted permission to dismiss** and **rejected the §33-A complaint**. He appealed, confining his argument before the Supreme Court to the effect of the **non-payment of any subsistence allowance** on the Tribunal's decision under §33(3).

◆Issues

1. Whether the **non-payment of subsistence allowance** during the pendency of proceedings under §33(3) amounts to the **denial of a reasonable opportunity to defend** himself, and therefore to a violation of the principles of natural justice.
2. Whether, on that account, the **Tribunal's permission to dismiss** the protected workman is **vitiated**.

◆Decision (Holding)

◆Ratio Decidendi

1. **Total denial** of any subsistence allowance during a **prolonged** §33(3) proceeding violates the principles of natural justice, because it deprives the workman of a reasonable opportunity to defend himself in that proceeding.
2. That is a **different question** from the one *Hotel Imperial* answered. *Hotel Imperial* decided *whether the employer may suspend* (yes — by an implied term); *Fakirbhai* decides *what must be paid while that suspension lasts* (at least a reasonable subsistence allowance).
3. The workman **continues in service** during suspension; the relationship of master and servant subsists, and a subsistence allowance is a necessary incident of that subsisting relationship.
4. A reasonable subsistence allowance is **implied as a term of the contract of employment**, payable **from the date of suspension** — its rate to be fixed by the standing orders, or (if they are silent) by **the authority** before which the application is pending.
5. Consequently, a **decision granting permission** to dismiss under §33(3) can be set aside where the workman was denied that allowance.

◆Principles and observations (obiter and contextual)

(Brief abridged for the compilation — full text at makelaweasy.in.)

========== 23. RAM LAKHAN ==========

⚖ ㉓ Ram Lakhan v. Presiding Officer CASE No. 23 · Unit 6

(2000) 10 SCC 201 · Civil Appeals by special leave from the High Court of Delhi (W.P. against the order of the Presiding Officer, Industrial Tribunal, Tis Hazari, Delhi) · Bench: S. Saghir Ahmad, J. (three-Judge Bench , constituted by an order of 2 January 1996) · The capstone : reconciliation and the default rule

◆Facts

1. The appellants were **employees of Swatantra Bharat Mill**, against whom charge-sheets were issued **in 1986** and who were **subsequently suspended**.
2. An industrial dispute was **already pending** before the Industrial Tribunal by virtue of **Delhi Administration Notification No. F-24(798)/94-Lab dated 1 April 1986**. Accordingly, the management filed an application under **§33(1)** for permission to dismiss the employees on completion of the enquiry.
3. The workmen opposed the application and claimed that they were entitled to be paid **subsistence allowance during the pendency of the disciplinary proceedings for the period of suspension**. On that, the Tribunal framed the following **preliminary issue**: "**At what rate, if any, the Management is to pay the subsistence allowance to the workman.**"
4. The Presiding Officer, Industrial Tribunal, Tis Hazari, Delhi, relying on *Hotel Imperial*, **dismissed the objections** and held that the workmen were **not entitled to any subsistence allowance**.
5. The Delhi High Court dismissed their writ petitions in a one-line order: "In view of the decision of the larger Bench of the Supreme Court in the case of *Hotel Imperial v. Hotel Workers' Union*, we are not inclined to interfere in this petition. Dismissed." *Fakirbhai* had been cited before the High Court, "but it did not follow the decision and preferred to follow the judgment in *Hotel Imperial* case".
6. The Supreme Court, while entertaining the appeals, passed this order on **2 January 1996**: "In view of the fact that the judgment in *Hotel Imperial* case was rendered by a **three-Judge Bench**, we consider it appropriate that these petitions be listed before a **three-Judge Bench**."

◆Issues

1. Whether the management has the **right to suspend** an employee pending disposal of an application under §33(1) made after completion of a domestic enquiry.
2. Whether the employee is entitled to **subsistence allowance** during such suspension, and **at what rate**.
3. Whether *Hotel Imperial* and *Fakirbhai* are in **conflict**.

◆Decision (Holding)

◆Ratio Decidendi

1. **No conflict:** *Hotel Imperial* and *Fakirbhai* answer **different, complementary questions** — the employer's right to suspend (and to withhold *full* wages) and the employee's right to a subsistence allowance.
2. **Intertwined rights:** the employer's suspension power is **not unconditional**; it is conditioned upon payment of a reasonable subsistence allowance. Both rights "must survive together".
3. **The default rule:** where the standing orders/service rules prescribe a rate, that rate governs; where they are **silent**, the workman is entitled to **full salary** during suspension.

4. **The employer cannot rely on its own delay:** the delay in deciding the approval/permission application is as much outside the workman's control as the employer's, and cannot be used to justify leaving him without means.

◆Principles and observations (obiter and contextual)

- **Method of harmonious construction:** the Court refused to treat *Fakirbhai* as having impliedly overruled (or diluted) a three-Judge Bench decision; it read the two together. This is a model of precedent-handling worth citing in any answer on the doctrine of precedent.
- **Practical consequence of the default rule:** because most standing orders provide only a **fraction** of wages as subsistence allowance (commonly half), the default of "full salary" gives employers a strong incentive to **legislate the rate into their standing orders** — a neat illustration of how a judge-made default shapes industrial practice.
- **Structural echo of *Hotel Imperial*:** the same methodology — implying a contractual term to fit a statutory scheme — is used in both cases; the difference is that in *Ram Lakhan* the implied term operates **in the workman's favour**.
- **Link to §33(5):** the three-month limit for deciding approval applications (inserted by Act 46 of 1982) is the statutory companion to *Ram Lakhan*: the Court supplies the money; the statute supplies the speed.

(Brief abridged for the compilation — full text at makelaweasy.in.)

▸ B.4 The trilogy reconciled — a table you can reproduce in the examination

Question	Hotel Imperial (1959)	Fakirbhai (1986)	Ram Lakhan (2000)
May the employer suspend pending §33 permission?	**Yes** — an implied term of the contract, but only after a proper enquiry and a decision to dismiss	Assumed and accepted ("the right to place an employee under suspension")	**Yes** — the right "is to be conceded to the Management"
Must full wages be paid during suspension?	**No** — the contract is temporarily suspended on both sides	Not decided; but the Court said the question was *not* covered by *Hotel Imperial*	**No** full wages — but a subsistence allowance must be paid
May the employer pay nothing at all?	Assumed to be permissible — but on facts of quick disposal ("halcyon days")	**No** — total denial for a prolonged period violates natural justice and vitiates the permission	**No** — "both must survive together"
At what rate?	Not addressed	"Some reasonable amount", fixed by the standing orders, or by the authority if they are silent, **from the date of suspension**	Standing order/service-rule rate; if silent, **FULL SALARY**
Effect of the grant of permission	No wages for the suspension period	A permission obtained while the workman was denied a hearing is **vitiated**	Unchanged — but the allowance must be paid throughout the period
Effect of refusal of permission	All wages from the date of suspension	Unchanged	Unchanged
Bench strength	3 Judges	2 Judges	**3 Judges** — hence the authoritative reconciliation

▸ B.5 The supporting cast — §33 authorities beyond the trilogy

Authority	Proposition for which it is used
Western India Automobile Association v. Industrial Tribunal, Bombay, (1949) FCR 321	Adjudication "does not … mean adjudication according to the strict law of master and servant"; the Tribunal "is not fettered in any way by these limitations" — the foundation of the implied-term reasoning in *Hotel Imperial*.
Rohtas Industries Ltd. v. Brijnandan Pandey, (1956) SCR 800	Industrial arbitration differs from commercial arbitration: a Tribunal "may create new obligations or modify contracts in the interests of industrial peace, to protect legitimate trade union activities and to prevent unfair practice or victimisation".
Lakshmi Devi Sugar Mills Ltd. v. Pt. Ram Sarup, (1956) SCR 916	Suspension beyond the period permitted by the standing orders pending §33 permission is **not "punishment"**; it is an interim measure, payment depending on the outcome of the permission application.
Management of Ranipur Colliery v. Bhuban Singh, AIR 1959 SC 833	But for the §33(1) ban the employer could have dismissed at once; since the delay is outside its control, suspension without pay pending permission is justified.
Sasa Musa Sugar Works (P) Ltd. (CAs 746–747 of 1957, decided 29-4-1959)	The same principle applies even where there are **no standing orders** at all — showing that the ratio rests on an implied term, not on the standing orders.
Lord Krishna Textile Mills v. Its Workmen	Permission versus approval: the jurisdiction to give or withhold **permission** is "*prima facie* wider than the jurisdiction to give or withhold approval"; in an approval enquiry the authority asks only whether a ***prima facie* case** is made out, may not act as a court of appeal over the enquiry, and **may neither impose conditions nor pass a conditional order**.
Lalla Ram v. Management of D.C.M. Chemical Works Ltd., (1978) 3 SCC 1	The **three requisites** of the proviso to §33(2)(b) — one month's wages, the approval application, and a proper enquiry/absence of victimisation; where all are satisfied, approval cannot be withheld.
Martin Burn Ltd. v. R.N. Banerjee, AIR 1958 SC 79	The employer need only establish a **prima facie** case; the authority does not sit in appeal over the findings of the domestic enquiry in a §33(2) proceeding.
Delhi Cloth & General Mills Ltd. v. Kushal Bhan, AIR 1960 SC 806	A domestic enquiry need not await the outcome of a criminal trial on the same facts; an *ex parte* enquiry after refusal to participate is valid, and the Tribunal cannot refuse approval merely because the workman was later acquitted.
Punjab Beverages (P) Ltd. v. Suresh Chand, (1978) 2 SCC 144; **Jaipur Zila Sahakari Bhoomi Vikas Bank Ltd. v. Ram Gopal Sharma**, (2002) 2 SCC 244	The consequence of no approval: *Punjab Beverages* had held the dismissal merely illegal (not void, and §33-C(2) unavailable); ***Jaipur Zila* held contra** — failure to apply for, or withdrawal of, the approval application is itself a contravention of §33(2)(b), the dismissal is **void and inoperative**, the workman is deemed never to have been dismissed, and even after approval a §33-A complaint lies to challenge it on the ground of victimisation.
Air India v. V.A. Rebellow	The purpose of §33 — protection against **victimisation and unfair labour practices**, "consistently with the preservation of the employer's bona fide right to maintain discipline and efficiency in the industry".

Khem Chand v. Union of India, AIR 1963 SC 687; **State of Maharashtra v. Chandrabhan Tale**, (1983) 3 SCC 387; **O.P. Gupta v. Union of India**, (1987) 4 SCC 328; **Capt. M. Paul Anthony v. Bharat Gold Mines Ltd.**, (1999) 3 SCC 679	The service-law backbone of the allowance doctrine: suspension does not end service; the suspended employee is entitled to a **reasonable** subsistence allowance; a nominal Re. 1 rule is void (Article 21); "subsistence" means a minimum livelihood; and suspension is an unqualified right of the employer (*M. Paul Anthony*, referring also to **§16 of the General Clauses Act, 1897** — the power to appoint includes the power to suspend).
Balvantrai Ratilal Patel v. State of Maharashtra, AIR 1968 SC 800; **V.P. Gidroniya v. State of M.P.**, AIR 1970 SC 1494; **T. Cajee v. U. Jormanik Siem**, AIR 1961 SC 276; **R.P. Kapur v. Union of India**, AIR 1964 SC 787; **State of M.P. v. State of Maharashtra**, AIR 1977 SC 1466	The suspension jurisprudence reviewed in *Ram Lakhan*: the power to suspend must come from statute, rules or contract; where it exists and is exercised, both service and wage obligations are suspended — but where a rule provides an allowance, it must be paid; suspension does not put an end to service.

◆ C Doctrinal Analysis — Restraint, Suspension and Subsistence

▸ C.1 The two restraints on managerial prerogative — and how they differ

Point	§9-A IDA / §40 IRC — restraint on change	§33 IDA / §90 IRC — restraint during pendency
When it bites	Whenever the employer **proposes** to change a condition of service of the kind listed in the Fourth Schedule (IDA)/Third Schedule (IRC) — wages, allowances, hours, leave, shift-working, withdrawal of concessions, etc.	Whenever a proceeding in respect of an **industrial dispute is pending** before the named authorities — conciliation officer, arbitrator, Labour Court, Tribunal, National Industrial Tribunal.
What it requires	**21 days' notice** to the workmen likely to be affected, of the nature of the change proposed.	**Connected matters:** prior express permission in writing. **Unconnected matters:** action is permissible, but dismissal/discharge needs one month's wages + approval. **Protected workmen:** always prior permission.
Object	To give the workmen a real opportunity to **bargain over**, or resist, a change in conditions — i.e., to protect the *collective bargaining process*.	To prevent the employer from **destroying the subject-matter** of the pending adjudication, and to protect workmen, particularly union leaders, from **victimisation**.
Remedy for breach	The change is not effective as against the workmen, and the dispute over it may be referred for adjudication.	**§33-A / §91** complaint; **§31** penalty; and under §33(2)(b) a **void dismissal** (*Jaipur Zila*).

▸ C.2 What the employer may still do during pendency — the permission matrix

Action proposed during pendency	Route	Notes and examples
Change in a matter **connected** with the dispute (e.g., withdrawing a facility that is the subject of the reference)	**Prior permission** — §33(1)(a)	The authority weighs the employer's need against the prejudice to the workmen; permission is refused where the change would prejudice the workmen or pre-empt the dispute.
Punishment (including dismissal) for misconduct **connected** with the dispute	**Prior permission** — §33(1)(b)	"Connected" is read widely where the misconduct arises out of the same events as the dispute (e.g., striking, picketing, or the incidents alleged in the reference).
Change in a matter **not connected** with the dispute (e.g., a revision in canteen timings when the reference concerns wage scales)	Permitted, in accordance with standing orders/ contract — §33(2)(a)	No permission or approval is required for a mere alteration of unconnected conditions.
Punishment short of dismissal for misconduct **not connected** with the dispute (e.g., a warning or withholding of an increment)	Permitted — §33(2)(b), first limb	No approval is required where the penalty is not dismissal/discharge; but the action must accord with the standing orders and natural justice, and remains liable to challenge.
Dismissal or discharge for misconduct **not connected** with the dispute	Action, then **approval** — proviso to §33(2)(b)	Conditions: pay one month's wages; apply for approval; survive the *prima facie* enquiry. Failure has drastic consequences (*Jaipur Zila*).
Anything adverse against a **protected workman**	**Prior permission**, always — §33(3)	The protection extends to both limbs: prejudicial alteration of conditions and punishment/dismissal. No approval route is available for him.
Suspension pending the permission/approval decision	Implied power — *Hotel Imperial*	Available where a proper enquiry has been held and dismissal decided upon; but the workman must be paid a subsistence allowance (*Fakirbhai*; *Ram Lakhan*).
Retrenchment or closure during pendency	Governed by Chapter V-A/V-B (IDA) or Chapter IX/XI (IRC)	Not "discharge or punishment" within §33 in the ordinary case, but if used as a disguised punishment or as a device to defeat the reference, it will be struck down; the general law on retrenchment and its conditions applies.

▸ C.3 Suspension — the concept, its four types, and whether it is "punishment"

▸▸ What suspension is — and is not

Suspension in industrial law is the **temporary withholding of work and wages** from a workman while some proceeding — a domestic enquiry, a criminal trial, or an application under §33 — is pending, or as a **penalty** imposed at the end of such a proceeding. It is **not** a termination: *Khem Chand*, applied in *Fakirbhai*, is emphatic — "An order of suspension … **does not put an end to his service** … He continues to be a member of the service in spite of the order of suspension."

▸▸ The four species

1. **Interim suspension pending enquiry** — the ordinary case; wages governed by the standing orders by way of a subsistence allowance.
2. **Suspension pending permission/approval under §33** — the species dealt with in *Hotel Imperial*; the implied-term controversy arose here.
3. **Suspension as a punishment** — imposed by way of a penalty under the standing orders (e.g., "suspension without wages for a specified period"); this is "punishment" within §33(1)(b)/(2)(b) and requires permission/approval accordingly.
4. **Deemed suspension** — where the workman is in custody for a period exceeding a specified number of hours, the standing orders/service rules often provide for automatic suspension; note that a workman in custody is still entitled to a fair enquiry before dismissal (Unit 5 — *Raghubir Singh*, quoting *Jaffar Imam*).

C.4 Subsistence allowance — concept, quantum and constitutional anchor

Aspect	Analysis
Meaning	"Subsistence" means a **means of supporting life, especially a minimum livelihood** (*O.P. Gupta v. Union of India*, quoting the Shorter Oxford English Dictionary). A subsistence allowance is therefore not a wage for work but a sum to keep body and soul together during suspension.
Source of the right	Originally the standing orders or service rules; in their absence, an **implied term of the contract of employment** (*Fakirbhai*) — and, under the Codes, no express provision at all, so the implied term continues to do the work.
Constitutional anchor	**Article 21.** *State of Maharashtra v. Chandrabhan Tale*, (1983) 3 SCC 387, read the right to life into the service rules on suspension and **struck down** a rule that reduced the allowance to a nominal **Re. 1 per month**. The same rationale — livelihood as a condition of the ability to defend oneself — supplies the natural-justice holding in *Fakirbhai*.
Usual quantum	Industrial standing orders and service rules **commonly** provide for a fraction of the last drawn wages — a very frequent figure being **half**, sometimes increased after a long period of suspension (for example, to three-quarters after six months, so that the workman is not driven to destitution). The rate is, in each case, a question of the standing order or rule; the residuary rule is *Ram Lakhan*'s **full salary**.
Enforcement	Arrears may be recovered through the award in the §33 proceeding or the §33-A complaint, or by a claim under **§33-C(2)** where the sum is "due"; in *Ram Lakhan* the Court itself directed payment **within three months** of production of a certified copy of the order.
Deductions and the Codes	The allowance is **wages** for most statutory purposes — it counts for the **Payment of Wages Act, 1936 / Code on Wages, 2019** (deductions, timely payment), for provident fund and for gratuity computations in appropriate cases; and the **Code on Social Security, 2020** continues the contributory framework. A suspended workman is therefore not outside the social-security net.

C.5 The tiers of protection during pendency

Ordinary workman, unconnected misconduct

Weakest tier: dismissal permitted after **one month's wages** and an **approval application**; the authority's review is *prima facie* and it can neither impose conditions nor pass a conditional order. But non-approval makes the dismissal **void** (*Jaipur Zila*).

Ordinary workman, connected misconduct

Stronger tier: **prior permission** is a condition precedent; the wrong labelling of the misconduct as "unconnected" converts a valid action into a contravention — and the employer carries that risk.

Protected workman / union office-bearer

Strongest tier: **prior permission whatever the connection**, a cap of 1% (min 5, max 100) of the establishment's workmen, recognition under the Rules (Rule 61 of the Industrial Disputes (Central) Rules, 1957), and the protection of the union's negotiating leadership from decapitation while the dispute is on foot.

C.6 Principles distilled — the eight rules of Unit 6

1. **Pendency changes the default:** during a pending proceeding, the employer's disciplinary power becomes **supervised** — permission for connected matters and for protected workmen; approval for unconnected dismissals.
2. **Connection decides the route;** and misjudging connection is the employer's risk, not the workman's.
3. **Permission is wider than approval:** the authority asked for permission decides whether the employer *may* act; the authority asked for approval only asks whether there is a *prima facie* case, and cannot impose conditions (*Lord Krishna Textile Mills*).
4. **Non-compliance is fatal in different ways:** void dismissal for want of approval (*Jaipur Zila*); a §33-A remedy and §31 penalty for any contravention.
5. **Suspension is lawful, silence is not:** the employer may suspend after a proper enquiry and a decision to dismiss (*Hotel Imperial*), but must pay a subsistence allowance throughout (*Fakirbhai*; *Ram Lakhan*).
6. **Denial of subsistence is a denial of hearing:** it violates natural justice and **vitiates** the permission granted in that proceeding.
7. **The default rate is full salary** where the standing orders are silent — the high-water mark of the trilogy.
8. **The doctrine survives the Codes:** §90 and §91 reproduce §33 and §33-A in substance, and neither codifies the allowance; the constitutional rationale continues.

C.7 Critical appraisal — the unfinished business of §33

What the scheme does well

- **It preserves the adjudication.** Without §33, a determined employer could dispose of the disputants and render the reference academic.
- **It is graded, not absolute.** The connected/unconnected distinction, and the permission/approval pairing, allow ordinary discipline to continue — a genuine balance.
- **It gives the workman standing.** §33-A/§91 supplies a remedy without the usual bottleneck of a Government reference.
- **It has adapted judicially.** The subsistence-allowance trilogy responded to what Parliament had not foreseen — six-year delays.

What remains weak

- **The "connection" test is undefined.** It generates the bulk of §33 litigation; the employer must guess, and a wrong guess is a contravention.
- **The allowance is uncodified.** The IRC reproduces §33 but says nothing about subsistence — leaving the workman to depend on judge-made law.
- **Delay remains the central pathology.** §33(5) prescribes three months, but the provisos allow indefinite extension and non-lapse; *Fakirbhai*'s six years could still happen.
- **Remedial overlap.** §33-A, §33-C(2), §31 and the reference under §10 can all be invoked on one set of facts, producing parallel proceedings and inconsistent interim orders.
- **The approval route is procedurally thin:** a *prima facie* review cannot catch subtle victimisation — which is why the workman retains a full merits remedy later.

PREVIOUS YEAR QUESTIONS · UNIVERSITY OF DELHI · LL.B. V TERM

PYQ Bank — Unit 6 (questions only)

Q1 DEC 2024

A workman, whose industrial dispute is pending before the Industrial Tribunal, is suspended after a domestic enquiry. Discuss whether he is entitled to any payment during the pendency of the management's application under §33(1) of the Industrial Disputes Act, 1947.

◆ **Refer makelaweasy.in for detailed notes**, full model answers to every question below, additional case briefs, diagrams and revision material on this unit.

Q2 NOV–DEC 2025

A protected workman is suspended after a domestic enquiry finds him guilty; the management applies under §33(3) for permission to dismiss him. The standing orders are silent on subsistence allowance and he is paid nothing for five years. Advise him.

Q3 OTHER YEARS / SHORT NOTES

(i) Distinguish §33(1) from §33(2); (ii) complaint under §33-A; (iii) protected workman under §33(3)–(4); (iv) interim relief under §10(4); (v) consequences of contravention of §33.

Q4 CROSS-UNIT

Compare the restraints under §33 and §11-A; or: has the IRC, 2020 made any material change to the law of managerial prerogative?

Q5 'The right of the Management to suspend and the right of the employee to receive subsistence allowance are intertwined and both must survive together.' Discuss.

Q6 A protected workman is suspended and paid nothing for five years. Advise him.

Q7 Compare §33 of the IDA with §11-A: two different controls on the employer.

Q8 Has the IRC, 2020 materially changed the law of managerial prerogative in disciplinary matters?

Q9 Explain the consequences of contravening §33.

Q10 What is a §33-A complaint and how does it differ from a reference under §10?

by Ankur R. Upadhyay

LB-503 · INDUSTRIAL LAW (INCLUDING IDRA) · FACULTY OF LAW, UNIVERSITY OF DELHI · LL.B. V TERM

UNIT 07

Wages — Concept, Kinds and the Statutory Framework (Code on Wages, 2019)

◆ SYLLABUS COVERAGE

Wages — concept and kinds: minimum wage, fair wage and living wage · the statutory framework, read with the Code on Wages, 2019 (Ch. II — Minimum Wages; Ch. III — Payment of Wages; Ch. VII — Inspector-cum-Facilitator), the repealed Minimum Wages Act, 1948 and Payment of Wages Act, 1936, and the constitutional mandate of Articles 21, 23, 39 and 43.

◆ STATUTES & PROVISIONS

Code on Wages, 2019 · Chs. II, III, VII · Minimum Wages Act, 1948 · Payment of Wages Act, 1936 · Constitution Arts. 21, 23, 39, 43

◆ PRESCRIBED CASE MATERIAL

Crown Aluminium Works v. Workmen (No. 24) · Greaves Cotton & Co. v. Workmen (No. 25) · Workmen v. Management of Reptakos Brett & Co. (No. 26) · People's Union for Democratic Rights v. Union of India (No. 27)

A Concept and Kinds of Wages — Minimum, Fair and Living Wage

A.1 What is a "wage"? — the common-law starting point and its abandonment

A wage is, in economic terms, the **price paid for labour**; in legal terms, it is the **remuneration payable by an employer to an employee under the terms of employment, express or implied, for work done**. In the classic common law of master and servant a wage was understood as nothing more than the object of an individual bargain — a price at which one person agreed to sell and another to buy so many hours of work. The whole of Indian wages law is the story of the law refusing to leave the wage at that.

Gajendragadkar J. put the transition in terms that examiners love to see quoted, in *Crown Aluminium Works v. Workmen* (Case 24):

"It is well known", observes Sir Frank Tillyard, "that English common law still regards the wage bargain as a contract between an individual employer and an individual worker, and that the general policy of the law has been and is to leave to the two contracting parties a general liberty of bargaining, so long as there are no terms against public policy. In India as well as in England and other democratic welfare States great inroad has been made on this view of the common law by labour welfare legislation such as the Minimum Wages Act and the Industrial Disputes Act. With the emergence of the concept of a welfare state, collective bargaining between trade unions and capital has come into its own and has received statutory recognition; the state is no longer content to play the part of a passive onlooker in an industrial dispute. The old principle of the absolute freedom of contract and the doctrine of laissez faire have yielded place to new principles of social welfare and common good."

— Crown Aluminium Works v. Workmen, AIR 1958 SC 130 (Case 24)

Two further passages from the same judgment supply the unit's vocabulary. First, the **function** a wage structure is expected to perform — "a bulwark against the dangers of a depression, safeguard against unfair methods of competition between employers and a guaranty of wages necessary for the minimum requirements of employees". Secondly, the **objective** of industrial adjudication in a wage dispute:

"Though social and economic justice is the ultimate ideal of industrial adjudication, its immediate objective in an industrial dispute as to the wage structure is to settle the dispute by constituting such a wage structure as would do justice to the interests of both labour and capital, would establish harmony between them and lead to their genuine and wholehearted cooperation in the task of production. ... In achieving this immediate objective, industrial adjudication takes into account several principles such as, for instance, the principle of comparable wages, productivity of the trade or industry, cost of living and ability of the industry to pay. The application of these and other relevant principles leads to the constitution of different categories of wage structures. These categories are sometimes described as living wage, fair wage and minimum wage."

— Crown Aluminium Works v. Workmen (Case 24)

A.2 The constitutional foundation of wages law

Provision	Text / substance	How it is used in the case law
Article 39(a)	Directive Principle — the State shall direct its policy towards securing "adequate means of livelihood" for men and women	The economic premise of minimum wage fixation
Article 39(d)	Equal pay for equal work for men and women	Basis of the Equal Remuneration Act, 1976, now §3 of the Code on Wages
Article 41	Right to work, to education and to public assistance in unemployment, old age, sickness and disablement	Explains why wage protection is not charity but entitlement
Article 42	Just and humane conditions of work	Supports the "preservation of efficiency" element of the minimum wage
Article 43	The State shall endeavour to secure to all workers, by suitable legislation or economic organisation, "a living wage, conditions of work ensuring a decent standard of life"	The express constitutional destination: the living wage (see *Reptakos Brett*, where the Court speaks of a living wage having been "promised to the workers under the Constitution")
Article 21	Right to life and personal liberty — expanded to include life with **human dignity** in *Maneka Gandhi* (1978) and *Francis Coralie Mullin* (1981)	In PUDR, deprivation of the statutory benefits of the Contract Labour Act and the Inter-State Migrant Workmen Act was held to violate Article 21
Article 23	Prohibition of traffic in human beings, "begar" and other similar forms of forced labour; enforceable against private persons as well as the State	The heart of PUDR: labour for *less than the minimum wage* is forced labour
Article 24	No child below fourteen years shall be employed in any factory or mine or in other hazardous employment	PUDR — construction work is hazardous; employment of children below 14 violated Article 24 (and the Employment of Children Act, 1938)
Article 14	Equality before the law	PUDR — non-observance of the Equal Remuneration Act, 1976 is "in effect and substance" a breach of the equality principle

Article 19(1)(g) with 19(6)	Freedom to carry on business, subject to reasonable restrictions in the public interest	*Bijay Cotton Mills Ltd. v. State of Ajmer*, AIR 1955 SC 33 — the constitutionality of the Minimum Wages Act was upheld on this footing: wage fixation is a reasonable restriction

A.3 The three-tier classification — where it comes from

The classification of wage structures into **minimum**, **fair** and **living** wages was the work of the **Committee on Fair Wages (1948)**, appointed following the recommendation of the Royal Commission on Labour (1931). The Committee's Report, published by the Ministry of Labour in 1949, was "broadly approved" by the Supreme Court in *Express Newspapers (P) Ltd. v. Union of India*, AIR 1958 SC 578 and *Standard Vacuum Refining Co. of India v. Its Workmen*, AIR 1961 SC 895 — a fact recorded by the Court in *Reptakos Brett* (Case 26). The Court itself, in *Crown Aluminium*, added the important qualification that the three categories "cannot and do not mean the same thing in all countries nor even in different industries in the same country"; their content expands with the economy.

Basis	Minimum wage	Fair wage	Living wage
Level	The floor — bare subsistence plus the preservation of the worker's efficiency	A range above the minimum and below the living wage	The comfort level — a decent standard of life for the worker and the family
Determinants	Cost of living, nature of work, skill category, geographical area; *never* the employer's capacity to pay	Industry-cum-region comparisons; capacity of the industry to pay; productivity; comparable wages	The needs of a decent life: food, clothing, housing, education, health, social needs, old-age insurance
Legal character	**Statutory and enforceable.** §5 of the Code on Wages: "No employer shall pay to any employee wages less than the minimum rate of wages notified by the appropriate Government"; under-payment is an offence	**Not statutory.** It is created by industrial adjudication, collective bargaining or wage boards	**Constitutional aspiration** (Article 43); no statutory rate in India today
Downward revision	**Never** — not even on proof of financial stringency (*Crown Aluminium*; *Reptakos Brett*)	**Possible**, if the employer establishes genuine incapacity on the merits — with a heavy burden of proof	Not applicable — nothing is fixed at that level to reduce
Key case	*Crown Aluminium Works* (1958); *Unichoyi* (1961); PUDR (1982)	*Greaves Cotton* (1964); *Hindusthan Motors* (1962); *French Motor Car Co.* (1962)	*Express Newspapers* (1958); *Reptakos Brett* (1992) — and Article 43

A.4 Minimum wage — the absolute floor

(a) The core propositions

- The minimum wage is the **statutory floor** below which no employer may pay, whatever the contract or the employer's circumstances. Under the Code on Wages, 2019 it is defined simply as "the wage fixed under section 6" (§2(s)).
- **Capacity to pay is irrelevant.** This is the sharpest rule in the unit. In *Crown Aluminium* the Court held: "There is … one principle which admits of no exceptions. No industry has a right to exist unless it is able to pay its workmen at least a bare minimum wage. … If an employer cannot maintain his enterprise without cutting down the wages of his employees below even a bare subsistence or minimum wage, he would have no right to conduct his enterprise on such terms." In *Reptakos Brett*: "An employer who cannot pay the minimum wage has no right to engage labour and no justification to run the industry."
- **It is payable at all times and under all circumstances.** In *Unichoyi v. State of Kerala* the Court rejected the plea that minimum wage fixation could be struck down because the employer could not bear the burden: the fixation of minimum wages is in the nature of a legislative determination for which capacity to pay is not a consideration.
- **Below it, the labour becomes "forced labour".** PUDR (Case 27) — a fundamental-rights consequence that no other tier carries.

(b) What the minimum wage is made of — the statutory components

Component	Minimum Wages Act, 1948, §4 (repealed)	Code on Wages, 2019, §7 (in force)
Basic rate	Basic rate of wages, with or without the cost of living allowance	§7(1)(a)–(c): a basic rate plus a *cost of living allowance* adjusted to the cost of living index; or a basic rate with or without cost of living allowance plus the *cash value of concessions* in supplies of essential commodities; or an *all-inclusive rate* covering all three
Cost of living allowance	"Special allowance" adjusted at intervals to accord with the variation in the cost of living index number	"Cost of living allowance", to be revised at such intervals and in such manner as the appropriate Government directs; computed by a notified authority (§7(2))
Cash value of concessions	Cash value of concessions in respect of supplies of essential commodities at concession rates, where authorised	Retained, and the authority for computing the cash value may be notified by the Government

(c) The 1957 five norms — the "need-based minimum wage"

The 15th Session of the Indian Labour Conference (1957), a tripartite body of employers, workers and Government, laid down five norms for computing a need-based minimum wage. They were quoted with approval in *Standard Vacuum Refining Co.* (1961) and reproduced by the Supreme Court again in *Reptakos Brett* (Case 26), from which the following is verbatim:

(d) The sixth component — Reptakos Brett (1992)

(e) How the norms are to be worked — an illustrative computation

Illustration (method only — not a notified rate)

Suppose a State is working out a need-based minimum wage for an unskilled worker in an urban area. Using the six components it would proceed in columns: (1) **family** = 3 consumption units for one earner; (2) **food** = cost of the prescribed calorie intake per consumption unit per day × 3 units × 30 days; (3) **clothing** = 18 yards per capita per annum for four persons, converted into a monthly money value; (4) **housing** = the rent of the minimum area under the Industrial Housing Scheme; (5) **fuel, lighting and miscellaneous** = 20% added to the total of the preceding items; and (6) **social and dignitary needs** — children's education, medical requirement, minimum recreation, festivals and ceremonies, old-age and marriage provision — = 25% of the total minimum wage arrived at. In practice the appropriate Government then assigns the computed figure to skill categories (unskilled, semi-skilled, skilled, highly skilled), to zones and to industries, and indexes the cost of living element so that it is revised periodically (in several States, twice a year, on the movement of the CPI-IW).

A.5 Fair wage — the middle tier

The fair wage is the wage a worker ought to receive in the particular industry, given the industry's capacity. It is neither the floor (which must be paid regardless of capacity) nor the aspirational living wage. Its range is bounded from below by the minimum wage and from above by the **capacity of the industry to pay**. The Supreme Court in *Crown Aluminium* described the principles that operate in fixing it — "the principle of comparable wages, productivity of the trade or industry, cost of living and ability of the industry to pay" — and in *Reptakos Brett* summarised the tier as "a little above" the minimum wage.

Fixed by whom?

Industrial tribunals in adjudication; wage boards; collective bargaining/settlements; and, for many industries historically, statutory wage boards (for example, the Central Wage Boards for the textile, sugar and jute industries, and the Wage Boards for working journalists).

By what method?

The **industry-cum-region formula** — comparison with comparable concerns in the same industry and in the same region, weighing the total pay packet and the employer's financial capacity. Fully worked out in *Greaves Cotton* (Case 25), Part C of these notes.

Can it fall?

Yes — "if a fair wage structure is constructed by industrial adjudication, and in course of time, experience shows that the employer cannot bear the burden of such wage structure, industrial adjudication can, and in a proper case should, revise the wage structure, though such revision may result in the reduction of the wages" (*Ahmedabad Mills Owners' Association*, approved in *Reptakos*). But never below the minimum.

Two further propositions complete the tier. First, **fair wage is comparative**: the Tribunal is not inventing a number but locating the establishment on a map of comparable establishments. Secondly, **fair wage is dynamic in both directions**: upward on a rise in the cost of living or where the employer's capacity has improved; downward where genuine incapacity is proved on the merits, but "sparingly" and after considering alternatives such as retrenchment already effected (*Crown Aluminium*).

A.6 Living wage — the constitutional ceiling

The living wage is the standard described in the Fair Wages Committee's definition reproduced in §A.3: not merely food, clothing and shelter, but "a measure of frugal comfort" — children's education, protection against ill-health, essential social needs, and "a measure of insurance against the more important misfortunes including old age". It is the wage Article 43 directs the State to endeavour to secure. The Supreme Court's treatment of it in *Reptakos Brett* is unusually candid and makes an excellent closing paragraph:

"A living wage has been promised to the workers under the Constitution. A 'socialist' framework to enable the working people a decent standard of life, has further been promised by the 42nd Amendment. The workers are hopefully looking forward to achieve the said ideal. The promises are piling up but the day of fulfilment is nowhere in sight. Industrial wage — looked at as a whole — has not yet risen higher than the level of minimum wage."

— Workmen v. Management of Reptakos Brett & Co. Ltd. (1992) 1 SCC 290 (Case 26)

The Court added the observation that makes the three tiers a hierarchy rather than a division: "In any case there is a very long way between the need based wage and the living wage." In other words, in India today the practical legal work is done by the minimum wage and the fair wage; the living wage functions as a *direction of travel* — but it is not a dead letter, because it is the standard against which the adequacy of every minimum wage is eventually judged, and because a wage below the statutory minimum produces, as PUDR holds, a breach of Article 23 rather than merely a statutory default.

A.7 The six components of the need-based minimum wage — visual summary

A.8 Dearness allowance — the inflation-proofing layer

Why DA exists. Wages are fixed in money but consumed at prices. The dearness allowance (also called the cost of living allowance or special allowance) is the component that protects the *real* wage against the erosion of the *nominal* wage by a rise in the cost of living. It was introduced in Indian industry during the Second World War and is now a statutory element of the minimum wage itself: §7(1)(a) of the Code on Wages requires the minimum rate to consist of "a basic rate of wages and an allowance at a rate to be adjusted, at such intervals and in such manner as the appropriate Government may direct, to accord as nearly as practicable with the variation in the cost of living index number applicable to such workers". And under §2(y)(ii), dearness allowance is one of the three *included* components of "wages" — with basic pay and retaining allowance.

Fixed DA and variable DA

Fixed DA is a flat sum (₹X per month) that does not move with prices: simple to administer, predictable for budgeting, but it silently loses value in inflationary periods. **Variable DA (VDA)** is linked to a price index — usually the CPI-IW — and is revised periodically (often half-yearly, on the basis of the index notified by the Labour Bureau); it protects real wages automatically but makes the wage bill unpredictable. Most adjudicated and statutory structures use both: a fixed slab plus a variable slab that is neutralised to a stated percentage.

Concept	Meaning	Illustration
Neutralisation	The percentage of the rise in the cost of living index that the DA actually compensates	If the index rises by 100 points and DA rises by exactly the money value of 100 points of the base-year basket, neutralisation is 100%
100% neutralisation	The maximum that a DA scheme is designed to achieve: the worker can buy the same basket as before	"According to the Company the only purpose of DA is to enable a worker — in the event of a rise in cost of living — to purchase the same amount of goods of basic necessity as before." (*Reptakos Brett*)
Over-neutralisation	Neutralisation at more than 100% — i.e., the worker is compensated more than the price rise; the employer's armoury for seeking a reduction	The employer in *Reptakos* claimed 192% neutralisation because it took ₹26 as the 1936 Madras minimum wage and 2780 points as the December 1984 index, yielding a "100% neutralised" wage of ₹722.80 against an actual wage of ₹1,394
Under-neutralisation	Below 100% — as in a scheme neutralising only, say, 80% of the rise	Common in settlements as a trade-off for a higher basic

▸ A.10 Why the definition of "wages" is a battlefield

Before the Code on Wages, 2019 there was no single definition of "wages" in Indian labour law; each statute defined it for its own purposes, and the differences were litigated for decades because statutory dues (provident fund, gratuity, bonus, retrenchment compensation, ESI contributions, and the wage ceiling determining coverage) are all calculated on "wages".

Statute (pre-Code)	What its definition was doing
Minimum Wages Act, 1948, §2(h)	All remuneration capable of being expressed in money, payable if the terms of employment were fulfilled; includes basic rate, special/cost of living allowance and the cash value of concessions; exclusions included bonus, PF contributions and gratuity.
Payment of Wages Act, 1936, §2(vi)	All remuneration expressed in money, payable for work done; includes DA and house-rent-allowance-type emoluments; excludes bonus, employer's PF contribution, gratuity, and travelling allowance concessions.
Industrial Disputes Act, 1947, §2(rr)	Wages for retrenchment compensation and other IDA purposes — with exclusions of bonus, PF contributions, gratuity and special expenses.
Employees' Compensation Act, 1923, §2(1)(m)	Wages for computing compensation — includes privileges capable of being estimated in money, excluding travelling allowance, PF/pension contribution and gratuity.
Code on Wages, 2019, §2(y)	**One definition for minimum wages, payment of wages, bonus and equal remuneration** — basic pay + DA + retaining allowance, with eleven heads of exclusion and the 50% add-back proviso. Full treatment in §F.2.

Note for accuracy: the descriptions in the first four rows are summaries of the statutory heads, not verbatim texts; the §2(y) text is reproduced verbatim in §F.2 below.

⬢ B Case 24 — Crown Aluminium Works v. Workmen , AIR 1958 SC 130

⚖ M/s Crown Aluminium Works, Belur (represented by Jeewanlal (1929) Ltd.) v. Their Workmen

1958 SCR 651 : AIR 1958 SC 130 · Before P.B. Gajendragadkar, J. · Appeal by special leave under Article 136 against the award of the Labour Appellate Tribunal · LB-503 case material, pp. 167–179

◆Facts — a wages dispute inside a collapsing market

◆Issues

1. Whether a wage structure fixed by industrial adjudication can **ever** be revised **to the prejudice of the workmen** — in particular where the employer's financial position has deteriorated.
2. Whether the Labour Appellate Tribunal was right in holding that there is a **convention** of industrial adjudication against reducing existing emoluments.
3. Whether the two hours' concession, the facility bonus and the food concession were **bounty** (revocable at will) or integral components of the **wage structure**.
4. Incidentally, whether the creation of two wage scales — one for existing workmen and another for new entrants — was permissible.

◆Decision (Holding)

- **The appeal was dismissed.** Both of the appellant's contentions substantially failed, and the modifications made by the Labour Appellate Tribunal in favour of existing workmen were upheld.
- On the *general question*, the Court answered in favour of the appellant in the abstract — there is no rigid or inexorable convention that a wage structure can never be revised to the prejudice of workmen — **but** subject to a decisive limitation at the level of the minimum wage.
- On the *facts*, the Appellate Tribunal's decision was **not** based solely or chiefly on the alleged convention: it also rested on the finding that the retrenchment had improved the company's position, on the absence of any reference on the fall in the cost of living index, and on the finding that the wages were "the irreducible minimum or may at best be in the region of fair wages with a small margin over the minimum wage".
- On the *character of the three payments*, the Appellate Tribunal's conclusion that they were "in essence and in substance" part of the basic wage and dearness allowance was upheld, and the wage structure as revised was left undisturbed.
- The question of two wage scales (existing workmen versus new entrants) was expressly left undecided, since it had become unnecessary.

◆Ratio Decidendi

1. **Absolute floor rule.** No wage structure can or should be revised to the prejudice of workmen if it falls in the category of the **bare subsistence or minimum wage** — "even theoretically", and regardless of the employer's financial position. This admits of no exception.
2. **Qualified flexibility above the floor.** Where the wage structure is above the minimum (a fair wage or higher), the employer *may* seek revision to the prejudice of the workmen, provided a case is made out **on the merits to the satisfaction of the Tribunal**.
3. **The Tribunal's checklist.** In deciding such a claim the Tribunal may enquire — (a) whether the employer's financial difficulties could not have been adequately met by the *retrenchment already effected and sanctioned*; (b) whether the difficulty is of *short duration* or likely to continue for a fairly long time; and (c) what the consequences will be for industrial peace, weighing the discontent caused by a cut against the unemployment that follows if an industry is burdened beyond its capacity. The satisfaction of the Tribunal is the condition precedent, and it may impose conditions as to time or otherwise.
4. **Substance over label.** Payments made over a long period, which the employer itself has treated as part of the wage structure in its pleadings and evidence, are **wages** and not bounty, whatever they are called.

◆Principles and observations (obiter and contextual)

(Brief abridged for the compilation — full text at makelaweasy.in.)

⬢ C Case 25 — Greaves Cotton & Co. Ltd. v. Workmen , AIR 1964 SC 689 — and the Industry-cum-Region Formula

▸ C.1 The formula in one paragraph

The **industry-cum-region formula** is the working method by which industrial tribunals fix a *fair wage* (and dearness allowance). Since the fair wage is a comparative standard, the Tribunal does not invent a figure; it builds one out of two coordinates — the **industry** coordinate (what comparable concerns engaged in the same line of business pay) and the **region** coordinate (what comparable establishments in the same geographical area

pay). The wage of the establishment under adjudication must be located within the band formed by these comparators, adjusted for its own capacity to pay, and then converted into scales (minimum, maximum, annual increment, and the span of years in which the maximum is reached), with "adjustment" increments to fit existing employees into the new scale.

Two question have always troubled the formula: *which coordinate gets the greater weight?* and *what is a "comparable" concern?* Both were answered in *Greaves Cotton*, which is why the case is prescribed.

C.2 The two predecessor decisions

▸▸ Workmen of Hindusthan Motors v. Hindusthan Motors , (1962) 2 LLJ 352

The Court observed that it is "ordinarily desirable to have as much uniformity as possible in the wage-scales of different concerns of the same industry working in the same region, as this puts similar industries more or less on an equal footing in their production struggle", and applied to Hindusthan Motors the wage scales awarded by the Third Major Engineering Tribunal in Bengal. This is the **industry-emphasis** strand: where many concerns of the same industry operate in the same region, wage parity protects *competition*.

▸▸ French Motor Car Co. Ltd. v. Workmen , (1962) 2 LLJ 744

So far as **clerical and subordinate staff** are concerned, the Court held that it may be possible to take into account even concerns engaged in *different* lines of business, "for the work of clerical and subordinate staff is more or less the same in all kinds of concerns". This is the **region-emphasis** strand, and it also supplied the law on adjustment increments: adjustments are generally granted when scales are fixed for the first time, but where scales already existed they may still be granted — "sparingly", and on the facts of each case.

The two decisions were cited at the bar in *Greaves Cotton* as being in conflict. The Court held that they are not: they are two applications of **one** principle, and which coordinate predominates depends on a single variable — the *density* of comparable concerns of the same industry in the region.

⚖ Greaves Cotton & Co. Ltd. and three other companies v. Their Workmen

(1964) 5 SCR 362 : AIR 1964 SC 689 (the LB-503 case list cites it as AIR 1964 SC 639) · Before K.N. Wanchoo, J. · Nine appeals by special leave from the awards of the Industrial Tribunal, Bombay · LB-503 case material, pp. 180–192

◆Facts

1. **The four companies.** (i) **Greaves Cotton & Co. Ltd.** — the first company, whose main activity was to invest money in manufacturing concerns; (ii) **Greaves Cotton and Crompton Parkinson Private Ltd.** — distribution of the products of Crompton Parkinson (Works) India Ltd., with servicing and repair at its workshop; (iii) **Kenyon Greaves Private Ltd.** — manufacture of high-grade interstranded ropes for the textile industry; and (iv) **Ruston and Hornsby (India) Private Ltd.** — manufacture of oil engines and pumps. The last three were controlled, one way or another, by the first.
2. **The references.** Disputes between the four companies and their workmen were referred to the Industrial Tribunal, Bombay by **nine reference orders** between April and December 1959 — two references for each of the first three companies and three for Ruston and Hornsby. The main dispute was wages, dearness allowance and gratuity; nine awards were made, the principal award on wages and DA being common.
3. **Stagnation.** Wages and DA in the four companies had continued unchanged since 1950, when the last award between the parties was made; there was no serious dispute about the companies' financial capacity, and because the first company controlled the others the scales for clerical and subordinate staff were the same across the group.
4. **What the Tribunal did.** It dealt with clerical and subordinate staff separately from factory workmen. For the clerical and subordinate staff it revised wages and DA after comparison with "comparable concerns", provided for fitting the staff into the new scales with one to three extra increments depending on length of service between 1950 and 1959, and made the award effective from **1 April 1959** — a week before the first reference. For factory workmen it prescribed rates without comparing with comparable concerns, introduced a new seventh category of "higher unskilled", gave them the same DA as the clerical and subordinate staff, and directed adjustments on the same basis. It also framed a gratuity scheme with a maximum of **20 months**' wages and a provision that where an employee was dismissed or discharged for misconduct causing financial loss, gratuity to the extent of that loss alone would be withheld.

◆Issues

1. Whether the Tribunal went wrong in its application of the **industry-cum-region formula**, and in particular in leaning on the **region** aspect rather than the **industry** aspect for clerical and subordinate staff.
2. Whether the Tribunal was carried away by the recommendations of the tripartite conference on need-based minimum wages, and thereby pitched the scales too high.
3. Whether the comparison was made with concerns that were in truth comparable.
4. Whether the Tribunal ought to have considered the **total wage packet** (basic wage plus DA) rather than the components separately.
5. Whether the creation of the category "higher unskilled", and the fixation of factory-workmen's wages without comparison, were valid.
6. Whether **adjustment increments** and the **retrospective effect** from 1 April 1959 were justified, and whether the gratuity scheme (20 months; loss-linked deduction) was proper.

◆Decision (Holding)

Result: the appeals were dismissed as to retrospective effect, adjustments, and the wages and DA of clerical and subordinate staff; allowed as to factory workmen, with a remand; and dismissed as to gratuity. The new award on remand would also operate from 1 April 1959. Parties to bear their own costs; two months allowed for payment of arrears.

◆Ratio Decidendi — the density test

◆Principles and observations

Worked example — applying the formula to a real-world pattern

(Brief abridged for the compilation — full text at makelaweasy.in.)

⬢ D Case 26 — Workmen v. The Management of Reptakos Brett & Co. Ltd. , (1992) 1 SCC 290 : AIR 1992 SC 504

⚖ The Workmen v. The Management of Reptakos Brett & Co. Ltd.

(1992) 1 SCC 290 : AIR 1992 SC 504 · Before Kuldip Singh, J. · Appeal by special leave against the award of the Industrial Tribunal, Madras (14 October 1987) as upheld by the Madras High Court (Single Judge and Division Bench) · LB-503 case material, pp. 193–205

◆Facts

1. **The company and the scheme.** Reptakos Brett & Co. Ltd. manufactures pharmaceutical and dietetic speciality products and has three units — two at Bombay and one at Madras. The Madras factory, set up in **1959**, is the concern in the case. From the beginning the company had, *on its own*, provided a **slab system of dearness allowance**: DA linked both to the cost of living index *and* to the basic wage — a double-linked DA.
2. **Thirty years of settlements.** The first settlement was on **11 August 1964**, which accepted the double-linked DA while providing variable DA limited to the cost of living index up to 5.41–5.50; the **18 July 1969** settlement removed that limit; DA rates were revised on **7 August 1971**; and further settlements followed on **4 July 1974** and **4 January 1979**. Slab system with variable DA thus continued as "the basic constituent of the wage structure in the Company from its inception" and was "consciously accepted by the parties" over almost thirty years.
3. **The 1983 references.** The workmen raised demands which were referred for adjudication to the Industrial Tribunal, Madras; the company made counter-demands, also referred. One issue was framed as: *"Whether the demand of the management for restructuring of the dearness allowance scheme is justified, if so, to frame a scheme?"*
4. **The tribunal's award.** By its award dated **14 October 1987** the Tribunal accepted the company's case, **abolished the slab system** and directed that in future DA be linked only to the cost of living index at **33 paise per point over 100 points** of the Madras City Cost of Living Index (1936 base). The company's case, as recorded by the Tribunal, was that the pre-war (1936) wage of a worker in the Madras region was **₹26**, evidenced by *Buckingham and Carnatic Mills Ltd.* and *Good Pastor Press*; that ₹26 equivalent to 100% neutralisation meant 26 paise per point; that at **2780 points** in December 1984 the fully neutralised wage would be **₹722.80** (₹26 basic + ₹696.80 DA); and that since a lower-grade workman was in fact getting **₹1,394** (basic + DA + house rent allowance), the rate of neutralisation was **192%** — the workmen were living on a "high-wage island".
5. **The High Court.** Both sides filed writ petitions; while they were pending the parties filed a joint memorandum dated **13 June 1988** recording a settlement of 13 May 1988 and stating that they were not pressing their petitions except on the DA-restructuring issue. The learned Single Judge upheld the Tribunal; the Division Bench dismissed the workmen's writ appeal by judgment dated **14 September 1989**. The workmen appealed to the Supreme Court by special leave.

◆Issues

1. Whether the company was entitled to **restructure (in substance, reduce)** the DA scheme by abolishing the slab system, on the ground that the slab system had resulted in **over-neutralisation** and landed the workmen on a "high-wage island".
2. Whether the computation of "192% neutralisation", based on a pre-war wage of ₹26, was sound.
3. Whether a DA scheme voluntarily introduced and reiterated in settlements over thirty years could be altered to the prejudice of the workmen.
4. What is the content of the "minimum wage" at the end of the twentieth century — in particular whether the 1957 five-norm formula remains adequate.

◆Decision (Holding)

◆Ratio Decidendi

1. **The sixth component.** The need-based minimum wage of 1957 is outdated; "children's education, medical requirement, minimum recreation including festivals/ceremonies and provision for old age, marriages, etc. should further constitute 25 per cent of the total minimum wage."
2. **The absolute floor, restated and strengthened.** "In an industry or employment where the wage structure is at the level of minimum wage, no such revision at all, is permissible, not even on the ground of financial stringency."
3. **The two-limbed burden on the employer** who seeks a reduction: (a) prove that the wage structure is well above the minimum level; and (b) prove genuine financial inability to bear the existing burden. Both, and by correct and current figures.
4. **Long-standing, settlement-approved benefits are part of the wage structure** and cannot be unilaterally restructured; the employer's conduct over decades is evidence of the character of the payment (a proposition that links this case directly back to *Crown Aluminium*'s bounty-versus-wages holding).
5. **Old base years are unreliable.** Neutralisation must be computed on prevailing prices, evaluating each component of the wage structure as it stands today.

◆Principles and observations

Reptakos

(Brief abridged for the compilation — full text at makelaweasy.in.)

⬢ E Case 27 — People's Union for Democratic Rights v. Union of India , AIR 1982 SC 1473

⚖ People's Union for Democratic Rights v. Union of India — the Asiad construction workers' case

AIR 1982 SC 1473 · Supreme Court of India, writ petition under Article 32 treated as a public interest petition on a letter to Bhagwati, J. · Judgment by P.N. Bhagwati, J. · Order dated 11 May 1982 · LB-503 case material, pp. 206–218

◆Facts

1. **How the case began.** The People's Union for Democratic Rights (PUDR) — an organisation formed to protect democratic rights — commissioned a team of three social scientists to investigate the conditions under which workmen engaged in the various projects connected with the **Asian Games (Asiad) 1982** in Delhi were working. The report was sent to Bhagwati J. by letter. Because the letter was based on a report prepared after personal investigation and study, the Court treated it as a **writ petition on the judicial side** and issued notice to the Union of India, the Delhi Development Authority and the Delhi Administration.

2. **The projects.** India was hosting the Asian Games; to complete the work to international standards the Government had undertaken construction of flyovers, stadia, swimming pools, hotels and the Asian Games village complex, farmed out among the Delhi Administration, the DDA and the New Delhi Municipal Committee. These authorities engaged contractors, who were registered as **principal employers under §7 of the Contract Labour (Regulation and Abolition) Act, 1970**. The contractors engaged workmen through **jamadars**, who brought them from Rajasthan, Uttar Pradesh and Orissa.
3. **The violations alleged.** (a) The workers were entitled to a minimum wage of **₹9.25 per day** (the rate fixed for construction of roads and building operations) but the jamadars deducted **₹1 per day per worker** as commission, so the workers received only **₹8.25**; (b) the Equal Remuneration Act, 1976 was violated — women workers were paid only **₹7 per day**, the balance being misappropriated; (c) children below fourteen were employed in construction work, in violation of **Article 24** and the Employment of Children Act, 1938; (d) the Contract Labour Act, 1970 and the Inter-State Migrant Workmen (Regulation of Employment and Conditions of Service) Act, 1979 were breached, depriving workers of living conditions, medical and other facilities; and (e) proper living, medical and other amenities were denied.
4. **What the respondents conceded.** The Union of India was "more frank" than the others: it admitted in its affidavit that ₹1 per worker per day was deducted by the jamadars from the wages payable, with the result that workers did not get the minimum wage of ₹9.25, and that this was a violation of the Minimum Wages Act, 1948 — though it claimed prosecutions had been launched and shortfalls recovered (no particulars, however, were given). The Delhi Administration conceded that jamadars "might be" deducting ₹1 a day; the DDA claimed that its written contracts incorporated "Model Rules for the protection of Health and Sanitary Arrangements for Workers" ensuring minimum wages.

◆**Issues**

1. **Locus standi:** had the petitioners any standing to maintain the writ petition, the rights said to be violated being those of the workers and not of the petitioners?
2. **Maintainability under Article 32:** could a writ petition lie when what was alleged was breach of labour statutes rather than of any fundamental right? And could it lie against the Union of India, the Delhi Administration and the DDA when the workmen were employees of the *contractors*?
3. **Article 23:** is there a breach of Article 23 where a person provides labour or service and is paid **less than the minimum wage**?
4. **Principal employer's responsibility:** to what extent are the authorities who entrusted the work to contractors liable for the contractors' defaults?

◆**Decision (Holding)**

◆**Ratio Decidendi**

◆**Principles and observations**

Real-world afterlives of the case (use these for "contemporary relevance")

(Brief abridged for the compilation — full text at makelaweasy.in.)

⬢ F The Code on Wages, 2019 — Chapters II, III and VII

▸ F.1 The scheme of the Code, and its present status

▸▸ What it is

An Act "to amend and consolidate the laws relating to wages and bonus and matters connected therewith or incidental thereto" — Act No. 29 of 2019, assented to on **8 August 2019**, extending to the whole of India, with **69 sections arranged in nine chapters**. It repeals and replaces four statutes: the **Payment of Wages Act, 1936**, the **Minimum Wages Act, 1948**, the **Payment of Bonus Act, 1965** and the **Equal Remuneration Act, 1976** (§69, repeal and savings).

▸▸ Whether it is in force

Yes. The four labour codes were brought into force with effect from **21 November 2025**, and the **Code on Wages (Central) Rules, 2026** were notified on **8 May 2026** for the central sphere. Certain provisions dependent on further notification (including the fixing of the statutory floor wage under §9, and the constitution of the Central Advisory Board in its entirety) are still to be operationalised. In the transitional period, the pre-existing rules, notifications and schemes continue so far as they are not inconsistent with the Code.

Chapter	Subject	Sections	Syllabus relevance
I	Preliminary — definitions, including **§2(k) "employee"**, **§2(s) "minimum wage"**, **§2(y) "wages"**, §2(z) "worker"; §3 prohibition of gender discrimination in wages; §4 decision of disputes on "same or similar nature of work"	§§1–4	**"Definition of Wage"** — the first limb of the statutory syllabus (§F.2)
II	**Minimum Wages** — payment of minimum rate, fixation, components, procedure, floor wage, wages for partial days, two or more classes of work, piece work, hours and rest day, overtime	§§5–14	**"Fixation of Minimum Wage" … "Floor Wage" … "Power of Government to fix Floor Wage"** (§F.3–F.4)
III	**Payment of Wages** — mode of payment, wage period, time limit, deductions, fines, absence, damage or loss, services, advances, loans; non-application to Government establishments unless notified	§§15–25	**"Mode of Payment of Wages"** (§F.5)
IV	Payment of Bonus — eligibility, minimum 8⅓% and maximum 20%, disqualifications, allocable surplus, set on and set off, time limit	§§26–41	Background — the Payment of Bonus Act, 1965 consolidated
V	Advisory Board — Central and State Advisory Boards; one-third of the members to be women; advice on fixation and revision of minimum wages and on employment opportunities for women	§42	Institutional machinery for §§6–9 (§F.4)
VI	Payment of Dues, Claims and Audit — responsibility for payment, undisbursed dues on death, **claims and procedure (§45)**, reference of bonus disputes, presumption of accuracy of audited accounts, audit, **appeal (§49)**, records and returns (§50)	§§43–50	Enforcement of wage claims (§F.6)
VII	**Inspector-cum-Facilitator** — appointment, inspection scheme, web-based and randomised inspection, powers	§51	**"Inspector-cum-Facilitator"** — the last item of the syllabus (§F.6)

VIII	Offences and Penalties — cognizance, penalty by officers, penalties, offences by companies, composition	§§52–56	Consequences of under-payment (§F.6)
IX / X	Miscellaneous — bar of suits, good-faith protection, **burden of proof (§59)**, **contracting out (§60)**, overriding effect, delegation, exemption, directions, saving, rule-making, removal of difficulties, repeal and savings	§§57–69	Interpretive aids (§F.6). Note: the arrangement of sections mis-numbers this chapter as "Chapter X" although the Code has only nine chapters — a drafting slip worth noticing.

▸ F.2 Definition of "wages" — §2(y)

▸▸ Decoding the definition — a five-step method

Step	What the provision does	Why it matters
1. The core concept	"All remuneration … expressed in terms of money or capable of being so expressed … payable to a person employed in respect of his employment or of work done in such employment"	Remuneration must be (i) monetary or capable of money valuation, (ii) payable under the terms of employment, express or implied, and (iii) referable to the employment
2. The three inclusions	**Basic pay**, **dearness allowance** and **retaining allowance** (if any)	This is the rock-bottom of "wages". Everything else is either excluded or added back by the provisos
3. The eleven exclusions (a)–(k)	Bonus under a law; house accommodation and amenities; employer's PF/pension contribution and interest; conveyance allowance and travelling concession; sums to defray special employment expenses; house rent allowance; remuneration under an award, settlement or court order; overtime allowance; commission; gratuity; retrenchment compensation, other retirement benefits and *ex gratia* payments on termination	Each of these heads is excluded *because* the legislature intends it to be treated separately — some are already protected by their own statutory schemes, others (overtime, commission) would distort monthly wage calculations
4. The 50% add-back proviso	If the payments under clauses (a) to (i) exceed **one-half** of the total remuneration, the excess *shall be deemed to be remuneration* and added back to wages	The anti-avoidance rule. It prevents employers from shrinking "wages" — and therefore PF, gratuity, bonus and leave-encashment bases — by inflating allowances. In substance: **basic pay + DA + retaining allowance must be at least 50% of total remuneration**
5. The second proviso and the Explanation	For *equal wages and payment of wages*, the exclusions in clauses (d), (f), (g) and (h) — conveyance allowance, HRA, award/settlement remuneration and overtime — **are** taken into computation. Remuneration in kind counts as wages up to **15%** of total wages	A single definition is deliberately *unflattened* for two purposes: pay equality (so that an employer cannot justify a gender gap by burying pay in allowances) and timely payment (so that an employer cannot defeat the mode-and-time rules by calling wages an "allowance")

Worked example — applying the 50% rule

Take a monthly cost to company of ₹60,000: basic pay ₹20,000, dearness allowance ₹5,000, retaining allowance nil, house rent allowance ₹20,000, conveyance ₹5,000, and other allowances ₹10,000. Clauses (a)–(i) payments = HRA + conveyance + others = ₹35,000; that is more than one-half of ₹60,000 (i.e. ₹30,000). The excess, ₹5,000, is deemed remuneration and added back: **wages = ₹20,000 + ₹5,000 + ₹5,000 = ₹30,000**. If instead the exclusions had been only ₹25,000 — less than one-half — wages would simply have been ₹25,000 (basic + DA), and no add-back would occur. Reverse the same logic to see the consequence: the base for provident fund, gratuity, statutory bonus, leave encashment and overtime changes with the add-back, which is why the definition is the single most consequential provision in the Code for employers — and the one that affects workers most quietly.

▸▸ Why "wages" ≠ "remuneration"

The Code answers a question the old statutes answered differently in each context: what is the base for statutory dues? By defining wages narrowly (basic + DA + retaining allowance) yet forcing add-backs above the 50% ceiling, it fixes a *single base* for provident fund, gratuity, statutory bonus, leave encashment and overtime across the labour codes. The Employees' Provident Fund threshold itself was raised from ₹15,000 to **₹25,000** per month with effect from 17 September 2026 under the Code on Social Security, 2020 — an illustration of how the wage definition reaches far beyond the wage statute.

▸▸ The definitional residue

Note what the Code does *not* unify: the Industrial Disputes Act's §2(rr) definition still governs "wages" for the purposes of retrenchment compensation under the Industrial Relations Code, 2020, and the Employees' Compensation Act, 1923 (§2(1)(m)) still has its own definition for compensation. Also, §2(z) "worker" and §2(k) "employee" are separate definitions — "employee" includes supervisory, managerial, administrative and technical personnel, which is what makes the minimum wage universal. A precise answer distinguishes the three terms: **employee** (all employed persons other than apprentices and members of the armed forces), **worker** (workmen-type categories, excluding those in managerial/ administrative capacity and supervisors above the notified wage), and **wages** (the remuneration defined by §2(y)).

▸ F.3 Fixation of minimum wages — §§5 to 8 (and §§10 to 14)

▸▸ The rest of Chapter II — the working rules that support the minimum wage

Section	Rule	Practical content / example
§10	Wages of an employee who works for **less than a normal working day**	If a daily-rated employee works for less than the requisite hours, he is entitled to a full normal day's wages — *unless* his failure to work is because he was unwilling to work (and not because the employer omitted to provide work), or in prescribed cases. In effect: no "no-work-no-pay" for the employer's own shortfall of work
§11	Wages for **two or more classes of work**	Where an employee does two classes of work with different minimum rates, he must be paid for the time respectively occupied in each at not less than the minimum rate for that class
§12	**Minimum time rate for piece work**	Where only a time rate has been fixed for piece work, the employer must pay at least that time rate — the guarantee that makes piece-rated employment tolerable

§13	**Hours of work for a normal working day**	The appropriate Government may fix the number of hours constituting a normal working day (inclusive of specified intervals), provide a day of rest in every period of seven days with payment for that day, and provide for payment for work on a day of rest at not less than the overtime rate. Sub-section (2) relaxes these protections for specified classes (emergency work, preparatory or complementary work, intermittent employment, work that must be finished before duty ends, and work dependent on natural forces)
§14	**Wages for overtime work**	"the employer shall pay him for every hour or for part of an hour so worked in excess, at the overtime rate which shall not be less than **twice the normal rate of wages**." Note that the worker's hours and rest-day protections under the OSH Code, 2020 interlock with this rate

F.4 Floor wage — §9, and the power of the Central Government to fix it

Analysis — the four things §9 does

- **Creates a two-level structure.** The floor wage is national (or geographical-area-specific) and is fixed by the *Central* Government; the minimum wage remains with the *appropriate* Government (Central or State) under §6. The floor sits *below* the minimum wage as a national baseline: §9(2) forbids any minimum rate below the floor.
- **Freezes a one-way ratchet.** Where a State (or the Centre, for the central sphere) is already paying above the floor, it **cannot reduce** the existing minimum rate to the floor. Downward revision is statutorily barred — a legislative echo of *Crown Aluminium* and *Reptakos Brett*.
- **Prescribes a standard, not a number:** the floor is to take into account the "minimum living standards of a worker" in the manner to be prescribed. The 2025–26 draft Rules would measure that by minimum living standards including food, clothing and housing for a family of three consumption units, with periodic adjustment for cost of living variation and revision ordinarily every five years.
- **Requires consultation:** §9(3) requires the advice of the Central Advisory Board (which, under §42(1), is a tripartite body with five State representatives, one-third of the members being women) and consultation with State Governments. Legally the advice is permissive ("may obtain"), but as a matter of administration the exercise cannot be completed without it.

F.5 Mode of payment of wages — Chapter III (§§15 to 25)

Deductions — §§18 to 25 (the protective core of Chapter III)

Provision	Rule
§18(1)	"Notwithstanding anything contained in any other law for the time being in force, there shall be **no deductions** from the wages of the employee, except those as are authorised under this Code." The Explanation deems any payment made by an employee to the employer or his agent to be a deduction; and provides that loss of wages for a good and sufficient cause resulting from withholding of increment or promotion, reduction to a lower post or time-scale, or suspension is *not* a deduction where the employer's rules satisfy the requirements notified by the appropriate Government.
§18(2)	Fifteen permissible heads: fines; absence from duty; damage to or loss of goods expressly entrusted to the employee, or loss of money for which he must account, attributable to his neglect or default; house accommodation supplied by the employer/Government/housing board or a subsidising authority; amenities and services supplied by the employer (where authorised, and not exceeding their value); recovery of advances and adjustment of over-payment; recovery of loans from a labour welfare fund; recovery of house-building loans; income-tax and other statutory levies, and deductions ordered by a court or competent authority; subscription to and repayment of advances from a social security fund (PF, pension, health insurance); payments to a co-operative society; trade union membership fees with the employee's written authorisation; and the special railway-administration heads (counterfeit currency, failure to bill/collect, wrongly granted rebates); and contributions, on written authorisation, to the Prime Minister's National Relief Fund or a notified fund.
§18(3)-(5)	The **total deductions in any wage period shall not exceed 50% of the wages**; where they do, the excess may be recovered in the prescribed manner; and where a deduction has been made but not deposited into the trust/fund account, the **employee is not to be held responsible** for the employer's default — an important protection against PF-type disputes.
§19 — Fines	No fine except for acts and omissions specified by notice with the previous approval of the appropriate Government, exhibited on the premises; no fine without an opportunity of showing cause; the fine in any one wage period shall not exceed **3% of the wages** payable for that period; no fine on an employee under fifteen; no recovery by instalments or after ninety days; recording in a register; and realisations to be applied only for purposes beneficial to the employees.
§20 — Absence from duty	Deduction only for absence from the place of work for the whole or part of the period he is required to work; the deduction must be proportionate to the period of absence; and where ten or more employees acting in concert absent themselves without due notice and without reasonable cause, the deduction may include wages for up to eight days due in lieu of notice. Explanation: an employee who is present but refuses, in pursuance of a stay-in strike or for any other unreasonable cause, to carry out his work is deemed to be absent.
§21 — Damage or loss	Deduction cannot exceed the amount of the damage or loss caused by the employee's negligence or default, and requires an opportunity of showing cause; a register is to be kept.
§22 — Services rendered	Deductions for house accommodation or amenities only where accepted as a term of employment or otherwise, and not exceeding the value supplied.
§23–24 — Advances and loans	Advances given before employment may be recovered from the first payment for a complete wage period (but not advances for travelling expenses); other advances and unearned advances, and recovery of loans, are regulated by the prescribed conditions.
§25	Chapter III does **not** apply to Government establishments unless the appropriate Government notifies otherwise.

Real example — the deduction provisions at work

A factory deducts ₹4,000 as "damage to machinery" and ₹2,500 as "disciplinary fine" from a worker's ₹18,000 monthly wage. Two questions arise. *First*, has the process been followed? A fine under §19 requires (i) the act or omission to be specified in a notice approved by the appropriate Government and exhibited on the premises, and (ii) an opportunity of showing cause; the fine cannot exceed 3% of the wage for the period — here the ceiling is ₹540, so ₹2,500 fails outright. A damage deduction under §21 requires proof of the actual damage attributable to the employee's negligence or default, and again an opportunity to show cause. *Secondly*, is the total within §18(3)? The permitted aggregate deduction in any wage period cannot exceed 50% of the wages. If the two deductions together were, say, ₹11,000 on a wage of ₹18,000, the excess over ₹9,000 is recoverable only in the prescribed manner — and, if the money was meant for a PF or trust account and was not deposited, §18(5) protects the *employee* from the employer's default.

F.6 The Inspector-cum-Facilitator and the enforcement architecture — Chapters VI, VII and VIII

What is new about the "Inspector-cum-Facilitator"?

From inspector-raj to facilitator

The statutory title and the first listed function — to "advice to employers and workers relating to compliance" — shift the emphasis from prosecution to compliance support. The model returns where the law is technical (wage records, registers, wage slips) and where the employer's default is inadvertent rather than exploitative.

Web-based and randomised inspection

§51(2) and (3): the inspection scheme may provide for generation of a web-based inspection and electronic calling of information, and for **randomised selection** of establishments for inspection. The object is to remove the discretion that made inspection vulnerable to influence, and to reduce physical visits.

Provision	Rule (with key verbatim phrases)
§45 — Claims and procedure	The appropriate Government appoints one or more authorities (not below the rank of a Gazetted Officer) "to hear and determine the claims which arises under the provisions of this Code". The authority may order **compensation in addition to the claim determined, "which may extend to ten times of the claim determined"**, and must endeavour to decide a claim within **three months**. If the employer fails to pay, the authority issues a **certificate of recovery** to the Collector or District Magistrate, who recovers it "as arrears of land revenue" for payment to the employee. An application may be filed by the employee, by a registered trade union of which he is a member, or by the **Inspector-cum-Facilitator**; a **single application** may cover any number of employees; and the limitation is **three years** from the date the claim arises, extendable for sufficient cause.
§49 — Appeal	An appeal lies to an appellate authority within **ninety days** of the order of the claims authority (extendable for sufficient cause); the appellate authority must be an officer at least one rank higher; and appeals are to be disposed of within three months. Outstanding dues under the appellate order are recovered in the same manner as under §45(3).
§50 — Records, returns and notices	Registers of persons employed, muster roll and wages; display of an abstract of the Code with category-wise wage rates, wage period and the day, date and time of payment, and the name and address of the Inspector-cum-Facilitator; **wage slips** to employees. Exemption only for an employer of not more than five persons for agriculture or domestic purpose, who must nevertheless produce reasonable proof of payment when demanded.
§52 — Cognizance	No court may take cognizance except on a complaint by or under the authority of the appropriate Government or an authorised officer, or by an employee or a registered trade union, or by an Inspector-cum-Facilitator; and no court inferior to a Metropolitan Magistrate or Judicial Magistrate of the first class may try offences.
§53	The appropriate Government may appoint an officer not below the rank of Under Secretary to hold an enquiry and impose penalties for certain contraventions — an administrative penalty route parallel to criminal prosecution.
§54 — Penalties	Paying an employee less than the amount due: fine up to **₹50,000**; a repeat of that offence within five years: imprisonment up to three months or fine up to ₹1,00,000 or both; contravention of any other provision or rule: fine up to **₹20,000**; a repeat of that within five years: imprisonment up to one month or fine up to ₹40,000 or both; and non-maintenance or improper maintenance of records: fine up to ₹10,000. §54(3) contains the pre-prosecution compliance direction described above.
§55–56	Offences by companies extend to the person in charge of, and responsible to, the company for the conduct of its business (with a due-diligence defence), and to any director, manager, secretary or officer with whose consent or connivance, or owing to whose neglect, the offence was committed; "company" includes a firm and a limited liability partnership. Offences not punishable with imprisonment alone may be **compounded** for 50% of the maximum fine, but not for a second offence within five years.
§42 — Advisory Boards	A Central Advisory Board (employers' representatives, an equal number representing employees, independent persons not exceeding one-third, and five State Government representatives) and State Advisory Boards, to advise on fixation and revision of minimum wages and on increasing employment opportunities for women; **one-third of the members must be women**; a member from the independent category chairs the Board.
§59 (burden of proof), §60 (contracting out), §61 (overriding effect), §57 (bar of suits)	Where a claim is filed for non-payment or less payment of wages or bonus, or for unauthorised deductions, "the burden to prove that the said dues have been paid shall be on the **employer**". Any contract or agreement by which an employee relinquishes a right to any amount or bonus is **null and void** to the extent it removes or reduces the liability. The Code overrides inconsistent laws, awards, agreements, settlements and contracts of service. And no suit lies for recovery of minimum wages, deductions, discrimination in wages or bonus so far as the sum is the subject of a §45 claim or a direction or adjudication under the Code — the statutory remedy is exclusive.

F.7 The Code compared with the repealed Acts — what changed, what survived

Feature	Position before the Code	Position under the Code
Governing statutes	Four separate Acts — Payment of Wages Act, 1936; Minimum Wages Act, 1948; Payment of Bonus Act, 1965; Equal Remuneration Act, 1976	One Code (with the four Acts repealed by §69)
Coverage of minimum wages	Only "scheduled employments" listed in the Schedule to the 1948 Act	**Universal** — §5 binds every employer in respect of every employee
National wage floor	Absent; only the advisory NFLMW (₹176 a day, 2017; reported as ₹178 after 2019), with wide inter-State variation	**§9 floor wage**, binding once notified; different floors for different geographical areas; existing higher rates cannot be reduced
Definition of wages	Multiple definitions across statutes, each tailored to its own purposes	**One definition — §2(y)** — with the 50% add-back proviso and the 15% in-kind rule
Mode of payment	Coin/currency, cheque or bank credit (the 1936 Act, §6, as amended)	Coin/currency, cheque, bank credit *or electronic mode*; with power to notify cashless-only establishments (§15)
Time of payment	Within the 7th/10th day of the following wage period (as prescribed), with a two-day rule for terminated employees	§17: shift-end for daily; weekly holiday for weekly; second day after the fortnight; **seventh day of the succeeding month** for monthly; and **two working days** for removal, dismissal, retrenchment, **resignation** or closure

Deductions	§7 of the 1936 Act — a list of permitted deductions, aggregate ceiling of 50% (75% in co-operative society cases), fines capped at 3%	§§18–24 — substantially the same protections, with the 50% ceiling and the 3% fine cap retained, and the §18(5) protection for employees against an employer's failure to deposit trust money
Claims and penalties	§15 of the 1936 Act (compensation up to ten times the deducted amount); §20 of the Minimum Wages Act (claims within six months, compensation up to ten times)	§45 — claims within **three years**, compensation up to **ten times**, single application for any number of employees, recovery as land revenue; §49 appeal within 90 days; §54 penalties up to ₹50,000
Enforcement officer	"Inspector" under each Act, with a prosecution-oriented mandate	**Inspector-cum-Facilitator** — advice, web-based and randomised inspection, compliance direction before prosecution
Gender equality	Equal Remuneration Act, 1976 — equal pay for same or similar work; no discrimination in recruitment	§3 of the Code — no discrimination on the ground of **gender** in wages for the same work or work of a similar nature; no reduction of any employee's rate to comply; no gender discrimination in recruitment or conditions of employment (with the second proviso to §2(y) pulling HRA, conveyance, award/settlement amounts and overtime into the computation for equal-pay purposes)
Bonus	Payment of Bonus Act, 1965 — 8⅓% minimum, 20% maximum, eligibility ceiling notified (₹21,000 per month after the 2015 amendment)	Chapter IV, §§26–41 — the same architecture (8⅓% to 20%), with eligibility and calculation now tied to the §2(y) wage and the notified ceiling

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PYQ Bank — Unit 7 (questions only)

Q1 DECEMBER 2024 Q. 8(A)
PUDR v. Union of India — discuss. (Minimum wages as a fundamental right.)

◆ **Refer makelaweasy.in for detailed notes**, full model answers to every question below, additional case briefs, diagrams and revision material on this unit.

Q2 DECEMBER 2024 Q. 8(B)
Fixation of fair wages by the industrial adjudicator (the adjudicator's role in wage fixation).

Q3 MAY–JUNE 2025 Q. 7 (HIGH DIFFICULTY)
Minimum, fair and living wages, with reference to Crown Aluminium Works .

Q4 MAY–JUNE 2025 Q. 8(B)
Short note: the industry-cum-region formula.

Q5 Discuss People's Union for Democratic Rights v. Union of India (AIR 1982 SC 1473).

Q6 Discuss the fixation of fair wages by the industrial adjudicator.

Q7 Explain the concept of minimum, fair and living wages with reference to Crown Aluminium Works v. Workmen .

Q8 Explain the concept of minimum, fair and living wage. Discuss the sixth component added by the Supreme Court in Reptakos Brett .

Q9 Can an employer seek downward revision of an existing dearness allowance scheme on the ground of 'over-neutralisation'? Discuss with reference to Crown Aluminium Works and Reptakos Brett .

Q10 Critically examine the Supreme Court's reasoning in PUDR in holding that payment below the minimum wage constitutes forced labour under Article 23.

Q11 Floor Wage under the Code on Wages, 2019

Q12 Universal minimum wage coverage under the Code on Wages, 2019

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UNIT 08

The Code on Social Security, 2020 — Employees' Compensation, Gratuity & Maternity Benefit

◆ SYLLABUS COVERAGE

Employees' compensation — definitions · concept of injury "arising out of and in the course of employment" · disablement — partial and total, temporary and permanent · Code on Social Security, 2020 (ss.2(55), 2(56), Ch. VII ss.73–99) · Gratuity — definition and scope (Ch. V, ss.53–58) · Maternity Benefit (Ch. VI, ss.59–72).

◆ STATUTES & PROVISIONS

Code on Social Security, 2020 · Ch. V (ss.53–58), Ch. VI (ss.59–72), Ch. VII (ss.73–99) · EC Act 1923 · PG Act 1972 · MB Act 1961 · ESI Act 1948

◆ PRESCRIBED CASE MATERIAL

G.M., B.E.S.T. Undertaking v. Mrs. Agnes · Daivshala v. Oriental Insurance Co. · Royal Western India Turf Club v. ESIC · Dr. Kavita Yadav v. Secretary, Ministry of Health · Birla Institute of Technology v. State of Jharkhand

⬢ Framework: from nine Acts to one Code

What the Code on Social Security, 2020 is, why it matters for Unit 8, and how the three syllabus topics sit inside it

▸ A.1 What the Code does

The **Code on Social Security, 2020 (Act 36 of 2020)** received Presidential assent on 28 September 2020 and was brought into force (with the other three Labour Codes) on **21 November 2025** (S.O. 5319(E)). Its preamble: *"An Act to amend and consolidate the laws relating to social security with the goal to extend social security to all employees and workers either in the organised or unorganised or any other sectors."* It repeals and re-enacts **nine** central statutes (§164):

◆Definition of "social security" — §2(78)

"the measures of protection afforded to employees, unorganised workers, gig workers and platform workers to ensure access to health care and to provide income security, particularly in cases of **old age, unemployment, sickness, invalidity, work injury, maternity or loss of a breadwinner** by means of rights conferred on them and schemes framed, under this Code." — This mirrors ILO Convention No. 102 (Social Security (Minimum Standards), 1952), which lists nine branches of social security.

◆Key structural features relevant to Unit 8

- **Uniform definitions** (§2) for all chapters — e.g. "employee" §2(26), "wages" §2(88), "dependant" §2(24), "employment injury" §2(28), "permanent partial/total disablement" §2(55)/(56), "temporary disablement" §2(83), "woman" §2(91).
- **Chapter-wise applicability** is set out in the **First Schedule** (§1(4)); once a chapter applies it continues to apply even if numbers fall below the threshold (§1(8)).
- **Competent authority** replaces the "Commissioner" (EC Act) and the "controlling authority" (PG Act); **Inspector-cum-Facilitator** replaces the "Inspector" (MB Act) — §2(16), §2(37), §58, §72, §91.
- **Overriding effect** of the Code over inconsistent laws, awards, agreements and contracts, saving more favourable terms (§161) — the successor to §27 MB Act and §17 EC Act (contracting-out).
- **Legislative codification of case law**: §74(4) (commuting accidents — the Daivshala rule), §34(3)–(4) (ESI commuting/employer's transport — old §§51E, 51C), §53(1)(d) & third proviso to §53(2) (pro-rata gratuity for fixed-term employees), §60(4) (adoptive and commissioning mothers), §60(5) (work from home).
- New categories: **gig worker** §2(35), **platform worker** §2(61), **aggregator** §2(2), **fixed term employment** §2(34), **home-based worker** §2(36) — with scheme-based (not right-based) coverage under Chapter IX (§§109–114).

▸ A.2 Constitutional and international backdrop

▸▸ Directive Principles (Part IV) — the source of every social security statute

- **Art. 39(e)**: health and strength of workers not abused; citizens not forced by economic necessity into unsuited avocations.
- **Art. 41**: right to work, education and **public assistance in cases of unemployment, old age, sickness and disablement**.
- **Art. 42**: just and humane conditions of work and **maternity relief** (relied on in *MCD v. Female Workers (Muster Roll)*, *Deepika Singh*, *Dr. Kavita Yadav*).
- **Art. 43**: living wage and conditions ensuring a decent standard of life.
- **Arts. 14, 15(3), 21**: equality, special provision for women, dignity/livelihood — used to strike down penalising motherhood (*Air India v. Nergesh Meerza* (1981) 4 SCC 335; *Manisha Priyadarshini* (Del HC 2019)).
- Legislative competence: **Entry 23, List III** (social security and social insurance; employment and unemployment) and **Entry 24, List III** (welfare of labour including conditions of work, provident funds, employers' liability, workmen's compensation, invalidity and old-age pensions and maternity benefits).

▸▸ ILO instruments that shaped the Indian scheme

- **C-17 (Workmen's Compensation (Accidents), 1925)**, **C-18 (Occupational Diseases, 1925)** and **C-19 (Equality of Treatment (Accident Compensation), 1925)** — the 1923 Act's occupational disease schedule and the equal treatment of foreign workers trace to these.
- **C-102 (Social Security (Minimum Standards), 1952)** — nine branches; the template for §2(78).

- **C-121 (Employment Injury Benefits, 1964)** — Article 7 asks States to define "industrial accident" including **commuting accidents**; expressly discussed by the **62nd Law Commission Report (1974)** and relied upon in *Daivshala* (2025) to read commuting accidents into §3 EC Act.
- **C-183 (Maternity Protection, 2000)** — 14 weeks minimum; India's 26 weeks (2017 amendment, now §60(3)) exceeds it.
- **CEDAW, Art. 11** — maternity leave with pay and prohibition of dismissal on grounds of pregnancy; relied upon in *MCD v. Female Workers* and quoted in *Dr. Kavita Yadav*.

▸ A.4 Chapter map & applicability (First Schedule read with §1(4))

Chapter	Subject (old Act)	Applies to	Who pays / nature
IV	ESI (ESI Act, 1948)	Every establishment with **10 or more** persons (other than a seasonal factory); **hazardous/life-threatening** occupations notified by the Centre — even **a single employee**; plantations may opt in; ESI wage ceiling presently Rs 21,000/month (Rs 25,000 for persons with disability)	Contributory social insurance (employer 3.25%, employee 0.75%); benefits paid by the Corporation (sickness, maternity, disablement, dependants', medical, funeral)
V	**Gratuity** (PG Act, 1972)	(a) every factory, mine, oilfield, plantation, port and railway company; (b) every shop or establishment with **10 or more** employees on any day of the preceding 12 months; other notified shops/establishments	Employer's liability (compulsorily insured — §57)
VI	**Maternity Benefit** (MB Act, 1961)	(a) every establishment being a factory, mine or plantation, including Government establishments; (b) every shop or establishment with **10 or more** employees; other notified establishments	Employer's liability (till the woman qualifies for ESI maternity benefit — §61)
VII	**Employee's Compensation** (EC Act, 1923)	Subject to the **Second Schedule**, employers and employees **to whom Chapter IV (ESI) does not apply**	Employer's no-fault liability (residuary to ESI)
IX	Unorganised, gig & platform workers	Unorganised sector, gig and platform workers — by **schemes** (§§109, 114); aggregators to contribute 1–2% of turnover (capped at 5% of payments to workers) under §114(4)	Scheme-based; funded by Government/ aggregators

◆Example

A sugar factory near Osmanabad with 300 workers is in an ESI-implemented area → its workers are "insured persons" and claims go to ESIC. The same factory's **night watchman** in a non-implemented area (as in *Daivshala*, accident of 22 Apr 2003) is a Second Schedule employee [item (xxxiii): "employed as watchman in any factory or establishment"] → Chapter VII claim before the competent authority against the employer, with the employer's insurer (Oriental Insurance) answering under the policy.

⬢ Employees' Compensation — Definitions

§2 of the Code (with the corresponding provisions of the Employee's Compensation Act, 1923 in brackets) and the concepts the examiner tests through them

▸ B.1 Object and nature of employees' compensation

Before 1923 an injured workman had only a **tort action** for negligence, defeated by the "unholy trinity" of common-law defences — *volenti non fit injuria*, contributory negligence and common employment (*Priestley v. Fowler* (1837)). The 1923 Act (following the English Acts of 1897–1906) created a **statutory, no-fault liability of the employer**: compensation is payable if the injury is caused by an accident **arising out of and in the course of employment**, irrespective of the employer's negligence. The **62nd Law Commission Report** (quoted in *Daivshala*, para 40) states the purpose: *"to eliminate the hardship experienced under the common law system by providing for payment of benefits regardless of fault and with a minimum of legal formality."*

Theoretical basis — (i) **theory of industrial risk / "cost of production"**: the industry that profits from labour should bear the cost of the human wastage it causes; (ii) **theory of social insurance**: society shifts the risk of injury from the individual worker to the enterprise (and, under ESI, to a pooled fund); (iii) **welfare-legislation canon**: beneficial statutes are construed liberally in favour of the worker (*Turf Club*, para 5; *Daivshala*, paras 39, 55).

▸ B.2 "Employee" — §2(26) with the Second Schedule [EC Act §2(1)(dd), old "workman" §2(1)(n)]

◆§2(26) — text (relevant parts)

"employee" means any person (other than an apprentice engaged under the Apprentices Act, 1961) employed on wages by an establishment, either directly or through a contractor, to do any skilled, semi-skilled or unskilled, manual, operational, supervisory, managerial, administrative, technical, clerical or any other work, whether the terms of employment be express or implied, and also includes a person declared to be an employee by the appropriate Government, but does not include any member of the Armed Forces of the Union: … **Provided also that for the purposes of Chapter VII, the term "employee" shall mean only such persons as specified in the Second Schedule** and such other persons or class of persons as the Central Government, or as the case may be, the State Government may add to the said Schedule, by notification, for the purposes of that Government.

▸▸ Points to note

- The general definition is **all-embracing** (managerial and administrative staff included; no wage ceiling), but **for Chapter VII only Second Schedule persons** qualify — the Schedule is the old Schedule II of the 1923 Act, carried over with a saving clause.
- "employed… either directly or through a contractor" — contract labour is covered; the **principal employer** is liable under §85 with a right of indemnity.
- Apprentices under the Apprentices Act are excluded (they are covered by §16 of that Act, which itself applies the Employee's Compensation law); Armed Forces excluded.
- The old requirement that employment be "otherwise than in a clerical capacity" was removed in 2009; the 2020 Code expressly includes clerical work.

- "Employed on wages… whether the terms of employment be express or implied" — **casual, temporary, part-time and daily-rated** workers are employees if a contract of service exists (*Turf Club* on the analogous ESI definition; *Regional Director, ESIC v. South India Flour Mills* AIR 1986 SC 1686).

⬢ Injury "arising out of and in the course of employment"

§74(1) of the Code [§3(1) EC Act] — the single most examined idea in this paper

▸ C.1 The statutory formula and its four conditions

◆§74(1) — Employer's liability for compensation

"If **personal injury** is caused to an employee by **accident or an occupational disease** listed in the Third Schedule **arising out of and in the course of his employment**, his employer shall be liable to pay compensation in accordance with the provisions of this Chapter: Provided that the employer shall not be so liable — (a) in respect of such injury which does not result in the total or partial disablement of the employee for a period **exceeding three days**; (b) in respect of such injury, **not resulting in death or permanent total disablement**, caused by an accident which is directly attributable to — (i) the employee having been at the time thereof under the influence of drink or drugs, or (ii) the wilful disobedience of the employee to an order expressly given, or to a rule expressly framed, for the purpose of securing the safety of employees, or (iii) the wilful removal or disregard by the employee of any safety guard or other device which he knew to have been provided for the purpose of securing the safety of employee."

▸ C.2 "Personal injury" and "accident"

▸▸ Accident

- **Meaning**: "an unlooked-for mishap or an untoward event which is not expected or designed" (*Fenton v. Thorley* [1903] AC 443, Lord Macnaghten) — judged from the **victim's** standpoint. A deliberate assault by a third party is still an "accident" *qua* the victim (*Nisbet v. Rayne & Burn* [1910] 2 KB 689 — cashier murdered while carrying wages by train; *National Iron & Steel Co. v. Manorama Dassi* AIR 1953 Cal 143 — tea-boy shot in police firing near the factory).
- **Injury need not be external**: strain causing heart failure, rupture, stroke or nervous shock is an "injury by accident" if a specific event/strain at work can be identified — the "**internal accident**" cases.
- **Accident v. disease**: a gradual process (dust inhalation) is a disease, compensable only if a **scheduled occupational disease** (§74(3)) or "directly attributable to a specific injury by accident" (§74(6)). Aggravation/acceleration of a pre-existing disease by a work event is an accident.
- **Time of accident**: death may occur later (*Agnes* — accident 20 July 1957, death 26 July 1957); for occupational diseases §82 provides deemed dates.

▸ C.3 "Arising out of" — the causal limb

The phrase requires a **causal relationship** between the accident and the employment, but the cause need not be the work operation itself. As *Mackinnon Mackenzie* puts it, the expression "applies to employment as such — to its nature, its conditions, its obligations and its incidents. If by reason of any of those factors the workman is brought within the **zone of special danger** the injury would be one which arises 'out of employment'." The workman's own negligence is irrelevant (no-fault liability); what defeats the claim is an **added peril** — a risk he voluntarily created outside the scope of his duty.

▸▸ Recognised categories

- **Risks inherent in the work** — machinery, heights, explosives, animals (Second Schedule items), lightning striking a labourer at an exposed site (*State of Rajasthan v. Ram Prasad* (2001) 1 LLJ 177 (SC) — employment exposed her to the natural peril).
- **Street risks** — where duties take the worker on to the road, the perils of the street are perils of the employment (*Dennis v. A.J. White & Co.* [1917] AC 479 — errand boy on bicycle; *Salamabegum* (Bom 1990) — jeep driver assaulted in a market while on duty; *TNCS Corpn. v. Poomalai* (Mad 1995) — riot en route). Contrast *SAIL v. Kanchanbala* (Ori 1994) — circuitous route chosen for private reasons: no.
- **Environmental / locality risks** — wall collapse (*Thom v. Sinclair* [1917] AC 127), bomb in the premises (*Trustees, Port of Bombay v. Yamunabai* AIR 1952 Bom 382, Chagla CJ), police firing outside the gate (*Manorama Dassi*), crossing railway lines to reach the workmen's train (*Works Manager, EIR v. Mahabir* AIR 1954 All 132 — "environmental accidents").
- **Acts of personal comfort** — drinking water, tea break, answering nature's call, warming oneself are incidental to employment (*Charles R. Davidson & Co. v. M'Robb* [1918] AC 304).
- **Emergencies** — rescuing a co-worker or protecting the employer's property (now expressly deemed for ESI — §34(2) [old §51D]; applied by analogy under Chapter VII).

▸▸ What breaks the causal link

- **Added peril** — *Smt. Koduri Polangi v. Atchamma* 1969 Lab IC 1415 (AP): workman climbed a tree to catch a rabbit and fell — his own frolic, not employment; *Bombay Burma Trading Corpn. v. U.P. Hlaing* AIR 1936 PC (Rang) — but note *Indian Rare Earths v. Subaida Beevi* (1981) 2 LLJ 293 (SC): cyclist crossing a road at a permitted point to reach the factory — **not** an added peril, claim allowed.
- **Personal enmity** — assault for private reasons unconnected with the job (even at the workplace) does not arise out of employment; assault *because* of the job (cashier, watchman, ticket-checker) does.
- **Natural causes without work-strain** — *Jyothi Ademma*; *Burma Oil Co. v. Ma Hmwe Yin* (snake-bite when the workman went early on his own), *New India Assurance v. G. Krishna Rao* (Ori 1995 — hut fire while sleeping, unconnected with work).
- **Unexplained disappearance** — *Mackinnon Mackenzie & Co. v. Ibrahim Mahmmed Issak* (1969) 2 SCC 607 (AIR 1970 SC 1906): seaman found missing from the ship; the Court laid down the classic test, and (as Jain notes) held that mere disappearance without evidence linking it to a risk of the service did not discharge the burden.

▸ C.4 "In the course of" — time, place and circumstances

The accident must occur while the worker is doing what he is employed to do or something **reasonably incidental** to it, at a time and place at which he is entitled to be by virtue of the employment. The classic **three tests** (summarised in Jain from the English cases) — the workman was (1)

employed on the duties of his employment at the time; (2) **at the place** where his duties required him to be; and (3) **doing something in discharge of those duties or incidental thereto** — not something wholly foreign to them ("a frolic of his own").

▸▸ When employment begins and ends

- Ordinarily, when the worker **reaches** and **leaves** the employer's premises — *including the means of access and egress* under the employer's control (*Weaver v. Tredegar Iron & Coal Co.* [1940] 3 All ER 157 — colliery platform; *Bhagubai v. Central Railway* (1954) 2 LLJ 403 (Bom) — stabbed in railway premises on the way to duty: covered).
- Employment "does not necessarily end when the 'down tool' signal is given" (*Agnes*, para 12): reasonable time to wash, change, collect wages, wait for transport is included.
- **Rest intervals** on the premises are within the course; going out for a private purpose during the break is not, unless the route/means is dictated by the employer.
- **Errands and travel on duty** — the whole journey is the course of employment (peon delivering mail; salesman on tour).

◆Jain's DU problems decoded (all asked in DU LL.B. papers 2000–2008)

- **Peon 'A'** whose duties include delivering mail outside is killed while commuting to office [CLC 2001] → the commute itself is not duty; but under *Daivshala*/§74(4) the claim now succeeds if the time/place nexus is shown (going straight to office at the reporting hour on the usual route).
- **Driver 'A'**, given a rent-free house for doing the Manager's domestic chores, dies driving the Manager's children to school in the company vehicle [LC-II 2004] → private service to the manager, not the employer's business; no notional extension → fails (unless the employer had sanctioned/required the practice, making it an incident of employment).
- **Fisherman 'A'**, Great Nicobar, swept away by the tsunami 10 m from the work-spot after muster [CLC 2005] → within the notionally extended premises after mustering; employment exposed him to the peril → succeeds (cf. *Dedhiben v. New Jehangir Vakil Mills* AIR 1976 SC 1250, noted in Jain — worker close to the gate shortly before the shift held within the extension).
- **Ticket-checker 'A'** with free travel on State Roadways buses leaves office to attend his personal court case and dies in a bus accident → travelling for a purpose foreign to employment; *Agnes* distinguished (there the driver was going home from duty, using a facility "as of right" for the efficiency of the service) → fails.
- **Silver Jubilee function**: an employee attending the employer's function is killed crossing the public road outside the gate to board a bus [CLC 2006] → the road is a public risk shared with everyone; unless the employer arranged the transport or the attendance was compulsory duty, outside the course (compare *Francis De Costa*); if attendance was compulsory and the bus was the employer's, *Agnes*/§34(4) logic applies.

▸ C.5 The doctrine of notional extension — evolution from Saurashtra Salt to Daivshala and §74(4)

▸▸ Step 1 — English origins: the "obligation" test and its critics

- *St. Helens Colliery Co. v. Hewitson* [1924] AC 59 (HL): miner injured on a colliery-arranged train home; **no compensation** — he was under no *contractual obligation* to use the train (Lord Shaw dissenting). *Cremins v. Guest, Keen & Nettlefolds* (1908) 1 KB 469 and *Alderman v. Great Western Rly* [1937] AC 454 apply the same rule — transit outside employment absent obligation.
- *Weaver v. Tredegar Iron & Coal Co.* [1940] 3 All ER 157 (HL): miner injured on the colliery platform (the only means of access) — **covered**; Lord Romer distinguished *Hewitson*: the platform was part of the means of access which the worker was entitled to use only *as an employee*. Evershed MR later framed the test as a **nexus** between presence at the spot and the employment (quoted in *Agnes*).
- Lord Denning's summary (quoted in *Daivshala* para 34 from *Vandyke v. Fender* [1970] 2 QB 292): commuting accidents, even in the employer's transport, do not arise out of and in the course of employment **unless a statute deems them** to — "It needed a special 'deeming' provision" (s. 8 of the UK 1965 Act).

▸▸ Step 3 — B.E.S.T. Undertaking v. Agnes (1964) 3 SCR 930: adapting the doctrine to a city bus fleet

Majority (Subba Rao J.): "the doctrine necessarily will have to be adapted to meet its peculiar requirements… in the case of a city transport service, by analogy, **the entire fleet of buses forming the service would be the 'premises'**… They are given that facility not as members of the public but as employees; **not as a grace but as of right because efficiency of the service demands it**." Dissent (Raghubar Dayal J.): free travel was a mere concession; once the driver left his own bus he was off duty and under no control. [Full analysis in Part I.]

▸▸ Step 4 — Statutory recognition and the Law Commission

- **ESI §51C** (Act 44 of 1966, w.e.f. 28 Jan 1968): accident while travelling as a passenger in **employer-provided (non-public) transport** with express/implied permission deemed to arise out of and in the course of employment even without obligation — "a law which came to be laid down in *Agnes*… was given effect by a statutory recognition in the ESI Act" (*Daivshala*, para 39). Now **Code §34(4)**.
- **62nd Law Commission Report (Oct 1974)**, para 3.3: adopt §51C into the WC Act "with modification that **it should not be necessary that the transport be provided by the employer** if the workman is travelling directly to or from the place of employment" — after surveying foreign law and the ILO Convention of 1964 (C-121). Parliament did not act on it for the EC Act.

▸▸ Step 5 — The restrictive turn: Regional Director, ESIC v. Francis De Costa (1996) 6 SCC 1 (3 judges)

Employee cycling to the factory was hit by the employer's lorry about **1 km** from the factory, 15 minutes before the shift. Held: not an employment injury — a road accident on a public road while going to work, in one's own conveyance, is not caused by the employment; §51C applies only to employer's transport; notional extension cannot be stretched to the public highway. The Court **doubted** the Gujarat High Court's liberal view in *Sadgunaben Amrutlal v. ESIC* 1981 Lab IC 1653 (employee killed at a public bus stop while boarding a bus to work — covered, treating the theory as "an elastic and flexible formula to be applied in a purposeful manner").

▸▸ Step 6 — Legislative response: ESI §51E (2010) → and judicial completion: Daivshala (2025)

§51E ESI (ESI (Amendment) Act, 2010): "An accident occurring to an employee while commuting from his residence to the place of employment for duty or from the place of employment to his residence after performing duty, shall be deemed to have arisen out of and in the course of employment **if nexus between the circumstances, time and place in which the accident occurred and the employment is established**." Now **Code §34(3)** (ESI) and — for the first time for non-ESI employees — **Code §74(4)**.

***Daivshala v. Oriental Insurance Co.* 2025 INSC 904** (K.V. Viswanathan J.): watchman on the 3 a.m. shift killed ~5 km from the factory while riding to work in April 2003 — *before* §51E and long before the Code. Held: EC Act and ESI Act are **pari materia**; §51E is **clarificatory** and therefore applies retrospectively; the phrase in §3 EC Act includes commuting accidents on the **nexus** test; the night watchman "dutifully proceeding to his workplace to be well on time" satisfied it. Award of 26 June 2009 restored.

C.6 Statutory deeming provisions — Chapter VII and their ESI twins

Situation	Chapter VII (EC)	Chapter IV (ESI)	Old provision
Presumption that an accident in the course of employment arose out of it	— (no presumption; inference on evidence)	§34(1)	ESI §51A
Acting in **contravention of law/orders** or without instructions, if the act is done for the purpose of and in connection with the employer's trade or business and would otherwise be covered	**§74(2)** (new in the EC scheme — imported from ESI)	§35	ESI §51B
Travelling as passenger in **employer's (non-public) transport** with express/ implied permission, though under no obligation	— (apply *Agnes*)	§34(4)	ESI §51C
Accident during **emergency** at the premises — rescuing/protecting persons or averting damage to property	— (apply general law)	§34(2)	ESI §51D
Commuting residence ↔ workplace, if nexus of circumstances, time and place is established	**§74(4)**	§34(3)	ESI §51E; *Daivshala* reads it into EC §3
Occupational disease — Third Schedule Part A (any period), Part B (≥ 6 months' continuous service), Part C (period notified/specified)	§74(3), (5)	§36	EC §3(2)–(4); ESI §52A
Other diseases	Only if "directly attributable to a specific injury by accident" — §74(6)	§36(2)	EC §3(4)

C.7 Defences, exceptions and the no-contracting-out rule

The three statutory defences — §74(1)(b) [old §3(1)(b)]

- Available only where the injury does **not** result in **death or permanent total disablement**; the accident must be **directly attributable** to (i) **drink or drugs**; (ii) **wilful disobedience** of an order *expressly given* or a rule *expressly framed* **for securing safety**; or (iii) **wilful removal or disregard of a safety guard/device** known to be provided for safety.
- "Wilful" = deliberate, not mere negligence, thoughtlessness or a momentary lapse; the **burden is on the employer**. *R.B. Moondra & Co. v. Bhanwari* AIR 1970 Raj 111 — driver told to check a petrol-tank leak entered the tank with a lighted match and died: **covered** (act done for the employer's purpose; no express safety rule breached; in any case death removes the defence). *Padam Debi v. Raghunath Rai* AIR 1950 Ori 207 — defence unavailable in death cases.
- The employee's **contributory negligence**, rashness or breach of a general instruction is **no defence** — the statute is no-fault. §74(2) goes further: breach of law/orders *for the employer's business* is deemed within employment.

Other exceptions / bars

- **Three-day rule** — §74(1)(a): no liability where disablement does not exceed three days (a "waiting period" also reflected in §76(4)).
- **Election of remedy** — §74(7) [old §3(5)]: no compensation if the employee has sued for damages in a civil court; no civil suit if he has claimed compensation or agreed to receive it. (Under the Motor Vehicles Act, 1988, §167 gives the injured an **option** between the Claims Tribunal and the EC forum — not both.)
- **Chapter IV excludes Chapter VII** (First Schedule) — an insured person claims ESI benefits (bar formerly in ESI §53).

◆No contracting out — §161 [old EC §17; MB §27; PG §14]

Any award, agreement or contract of service inconsistent with the Code is overridden, save more favourable terms. *Roshan Deen v. Preeti Lal* (2002) 1 SCC 100: a workman's "compromise" accepting Rs 24,000 against a statutory entitlement of more than double could not be enforced; the High Court erred in relegating him to it — the protective purpose of the Act cannot be defeated by a settlement (§89 requires registration of lump-sum agreements and lets the competent authority refuse inadequate ones).

◆Example — "safety guard" defence

A power-press operator removes the interlock guard to speed up output and loses two fingers (PPD 20% — Fourth Schedule Part II item 9). The employer proves (a) the guard was provided for safety, (b) the worker knew it, (c) removal was deliberate. Defence succeeds — no compensation. If the same act had led to death, the widow recovers in full; if it had led to loss of both hands (PTD), the worker recovers in full.

⬢ Disablement — partial / total, temporary / permanent

§2(55), §2(56), §2(83) and the Fourth Schedule [EC Act §2(1)(g), (l); Schedule I]

D.1 The statutory definitions

◆§2(55) Permanent partial disablement

"where the disablement is of a permanent nature, such disablement as **reduces the earning capacity** of an employee **in every employment which he was capable of undertaking** at the time of the accident resulting in the disablement: Provided that every injury specified in **Part II of the Fourth Schedule** shall be deemed to result in permanent partial disablement."

◆§2(56) Permanent total disablement

"such disablement of a permanent nature as **incapacitates an employee for all work which he was capable of performing** at the time of the accident resulting in such disablement: Provided that permanent total disablement shall be deemed to result from every injury specified in **Part I of the Fourth Schedule** or from any **combination of injuries specified in Part II** thereof where the aggregate percentage of the loss of earning capacity... amounts to **one hundred per cent**."

◆§2(83) Temporary disablement

"a condition resulting from an employment injury which **requires medical treatment** and renders an employee, as a result of such injury, **temporarily incapable of doing the work which he was doing** prior to or at the time of the injury." (Covers both temporary total and temporary partial; the 1923 Act defined temporary partial disablement as reducing earning capacity "in any employment in which he was engaged at the time of the accident".)

PARTIAL

TOTAL

TEMPORARY

Temporary partial

— reduces earning capacity in the

employment he was engaged in

for a time (e.g., fractured finger, 6 weeks light duty).

§76(1)(D)

half-monthly payment = 25% of monthly wages (capped by the "half of the difference" rule — proviso (b) to §76(4)).

Temporary total

— incapable of any work for a time (e.g., fractured femur, 4 months in plaster).

§76(1)(D)

25% of monthly wages half-monthly, from the 16th day (or after a 3-day waiting period if < 28 days), for up to 5 years; reviewable (§79), commutable (§80).

PERMANENT

Permanent partial

— permanently reduces earning capacity in

every

employment he could do (e.g., loss of a thumb 30%; loss of one eye 40%).

§76(1)(C)

scheduled % of the PTD amount, or % of loss of earning capacity assessed by a medical practitioner for unscheduled injuries.

Permanent total

— incapacitated for

work he could do (Part I injuries; combinations = 100%; or proved on facts, e.g., carpenter losing a hand).

§76(1)(B)

60% × monthly wages × relevant factor, or the notified minimum, whichever is more.

⬢ Chapter VII — Employee's Compensation, §§73–99 section-wise

Each section with its 1923 Act ancestor, the working rule, leading cases and an illustration

E.1 Liability provisions (§§73–75)

E.2 Quantum — §76 Amount of compensation old §4

Result of injury	Compensation
Death — §76(1)(a)	**50%** of monthly wages × **relevant factor** (Sixth Schedule, by completed age at last birthday) **or the amount notified by the Centre, whichever is more** (the 1923 Act floor was Rs 1,20,000) + funeral expenses ≥ **Rs 15,000** deposited with the competent authority for the eldest surviving dependant (§76(7)).
Permanent total disablement — §76(1)(b)	**60%** of monthly wages × relevant factor or the notified amount, whichever is more (1923 Act floor Rs 1,40,000).
Permanent partial disablement — §76(1)(c)	Scheduled injury: the Schedule % of the PTD amount. Unscheduled injury: % of loss of earning capacity assessed by a medical practitioner (having regard to Schedule %). Multiple injuries aggregated, capped at PTD.
Temporary disablement (total or partial) — §76(1)(d), (4), (6)	Half-monthly payment of **25% of monthly wages**: first payment on the 16th day from disablement (if it lasts ≥ 28 days) or after a 3-day waiting period (if < 28 days); thereafter half-monthly during disablement or **5 years**, whichever is shorter. Deductions for compensation-type payments already received (not medical payments); cap: not to exceed half of (pre-accident wages – post-accident wages). Pro-rata for a broken half-month.
Medical expenses — §76(5)	Employer to **reimburse actual medical expenditure** for treatment of injuries caused during the course of employment (from the 2009 amendment, old §4(2A)).
Accident abroad — §76(2)	Compensation awarded under the foreign law is deducted.
Wage ceiling — §76(3)	Centre may specify the monthly wages to be reckoned — presently **Rs 15,000** (S.O. 71(E), 3 Jan 2020, saved by §164(2)); so a worker earning Rs 40,000 is computed at Rs 15,000.

§76 compensation calculator (illustrative)

Monthly wages (Rs)

Apply notified ceiling of Rs 15,000 (§76(3))

Age at last birthday before the accident

Nature of result

Death

Permanent total disablement

Permanent partial disablement

Temporary disablement

Loss of earning capacity (%)

Enter values and press Compute.

◆Worked example (death)

Watchman aged 35, wages Rs 9,000: 50% × 9,000 = 4,500 × 197.06 = **Rs 8,86,770** (well above the old statutory floor of Rs 1,20,000) + funeral Rs 15,000 + interest from the date of accident if paid late (§77). Same worker with PTD: 60% × 9,000 = 5,400 × 197.06 = **Rs 10,64,124**. Loss of a thumb (30%): 30% of 10,64,124 = **Rs 3,19,237**. Temporary total disablement for 3 months: 25% × 9,000 = Rs 2,250 per half-month × 6 = Rs 13,500 (+ medical reimbursement).

E.3 Adjudication — §§90–99 (competent authority, procedure, appeal)

E.4 Employee's Compensation Act, 1923 → Code Chapter VII: what changed

Point	EC Act, 1923	Code on Social Security, 2020
Adjudicator	Commissioner for Employee's Compensation (§20)	**Competent authority** (§91) with defined qualifications; e-filing (§93(3))
Coverage	"employee" §2(1)(dd) + Schedule II; separate State extensions	§2(26) third proviso + Second Schedule (50 items) with catch-all item (l) saving State extensions; applies only outside ESI (First Schedule)
Commuting accidents	No provision; *Francis De Costa* restrictive; *Daivshala* (2025) read §51E ESI into §3	**§74(4)** expressly deems commuting accidents covered on the nexus test
Breach of law/ orders	No deeming (only ESI §51B)	**§74(2)** deems such accidents within employment if for the employer's business
Minimum compensation	Rs 1,20,000 (death) / Rs 1,40,000 (PTD) fixed in the Act	"amount as may be notified by the Central Government", whichever is more; Centre may enhance by notification (§76(1) proviso)
Funeral expenses	Rs 5,000 (§4(4))	≥ **Rs 15,000** or State-prescribed amount; Centre may enhance (§76(7))
Plantation house collapse	—	**§75** — liability to workers and family members
Interest on default	12% p.a. fixed (§4A(3))	Rate as prescribed by Central Government (§77(3)(a)); damages up to 50% retained
Insolvency	Presidency-towns/Provincial Insolvency Acts, Companies Act 1956	IBC 2016 and Companies Act 2013 (§87(4))
Legal aid to dependants	—	§88(5): authority may provide an advocate from the State panel
Employer's duty to inform	§17A (2017): inform employee of rights in writing/ electronically	General duties under §123 (records/returns) and the overriding §161; rules prescribe information duties
Contracting out	§17 — agreements relinquishing rights null and void	§161 — Code overrides inconsistent contracts; more favourable terms saved

ESI touch-points — coverage, casual workers and the Turf Club litigation

Chapter IV of the Code (ESI Act, 1948) as it bears on Unit 8: who is an "employee", what is a "shop", and why *Royal Western India Turf Club* is in the syllabus

F.1 The ESI scheme in one view

- **Applicability** (First Schedule): every establishment with **10+ persons** (except seasonal factories); notified **hazardous** occupations even with one employee; plantations by option. Under the 1948 Act, non-factory establishments (shops, hotels, cinemas, road transport, newspapers, educational and medical institutions) were covered only by **State notifications under §1(5)** — the source of the "shop" controversy.
- **Employee** (old §2(9); now §2(26) with a wage ceiling notified under §2(89) — Rs 21,000/month; Rs 25,000 for persons with disability): includes persons employed through an immediate employer/contractor, on work incidental or preliminary to the establishment's work, whether in the premises or elsewhere, and administrative/purchase/sales staff.
- **Contributions** (§29): employer 3.25%, employee 0.75% of wages (employees below the notified daily wage exempt from their share); **contribution period** ≤ 6 months (Rule 2(2A) of the 1950 Rules, cited in *Turf Club*) and corresponding **benefit period**.
- **Benefits** (§32): sickness, maternity, **disablement** (temporary/permanent), **dependants'**, medical, funeral; plus unemployment allowance (Rajiv Gandhi Shramik Kalyan Yojana / Atal Beemit Vyakti Kalyan Yojana) by regulation.
- **Employment injury** deeming: §§34–36 (presumption; emergency; commuting; employer's transport; breach of law; occupational disease) — see Part C.6.
- **Adjudication**: Employees' Insurance Court (§§48–51); appeal to High Court on a substantial question of law within 60 days (§52).

▸ F.2 The two Turf Club decisions — a reference and its sequel

1968 · 1976 · 18 Sept 1978

Parts of the Royal Western India Turf Club (Mahalaxmi, Mumbai and Pune race courses) covered under ESI from 28 Jan 1968;
consent terms
in ESI Application No. 16/1976 (Bombay) record that workshop, garage, security, carpentry, personnel and accounts staff are covered but
the Racing Administration Department, casual race-track labour and temporary race-day ticket/dividend staff; the Maharashtra Government's
notification of 18 Sept 1978
under §1(5) then covers the remaining departments.

2004

ESIC v. Hyderabad Race Club

(2004) 6 SCC 191 — a race club is an "establishment"/"shop"; contributions for a past period waived in view of bona fide doubt.

2005 · 2009–2013

Bombay High Court (21 Oct 2005) partly allows the Club's appeal but upholds coverage of temporary race-day staff; a two-judge bench of the Supreme Court doubts
Hyderabad Race Club
("in common parlance a club is not a shop") and refers the question to a larger bench.

31 July 2014 —

Bangalore Turf Club Ltd. v. RD, ESIC

(with Royal Western India Turf Club and Sri Visalam Chit Funds) (2014) 9 SCC 657, three judges (H.L. Dattu, R.K. Agrawal, Arun Mishra JJ)

Held: a race club is an establishment and falls within "
shop
" in the §1(5) notifications — a shop is any premises where goods
or services
are systematically sold/rendered for consideration; State Shops Acts are not
pari materia
; "namely" is illustrative;
stare decisis
supports the
Hindu Jea Band
R.K. Swamy
line; horse-racing is a public entertainment business (
K.R. Lakshmanan v. State of T.N.
(1996) 2 SCC 226).
Hyderabad Race Club
affirmed; the Royal Western appeals remitted to a Division Bench for the remaining issues.

29 Feb 2016 —

Royal Western India Turf Club Ltd. v. ESIC

(2016) 4 SCC 521 (V. Gopala Gowda & Arun Mishra JJ)

Casual race-day staff are "employees"; the consent terms cannot override the 1978 notification; liability runs from 1978-79 (not 1987) with interest; costs of Rs 2 lakh. [Detailed analysis in Part I.]

⬢ Gratuity — Chapter V, §§53–58

Definition & scope, eligibility, computation, continuous service, nomination, determination and disputes, compulsory insurance, competent authority [Payment of Gratuity Act, 1972]

▸ G.1 Concept, definition and scope

Gratuity (from *gratuitas* — a gift) began as a voluntary payment by a grateful employer; industrial adjudication converted it into a claimable **retiral benefit** — "a reward for long and meritorious service" payable in addition to provident fund (*Indian Hume Pipe Co. v. Workmen* AIR 1960 SC 251; *Garment Cleaning Works v. Workmen* AIR 1962 SC 673 — forfeiture only to the extent of loss caused; *Delhi Cloth & General Mills v. Workmen* AIR 1970 SC 919 — principles for gratuity schemes). The Kerala (1970) and West Bengal (1971) Acts led to the central **Payment of Gratuity Act, 1972**, now re-enacted as Chapter V. It is a **statutory right**, a form of **deferred wage / social security for old age**, not dependent on the employer's profits (unlike bonus) and not a matter of contract (*Bakshish Singh v. Darshan Engineering Works* (1994) 1 SCC 9 — payable even on resignation; a contract cannot take it away).

Definition under the Code: the Code does not define "gratuity" as a term; §53 defines it operationally — a sum payable by the employer at 15 days' wages for every completed year of service (or part in excess of six months) on the termination of employment after five years' continuous service (with exceptions). **"Wages"** for gratuity = §2(88) (basic + DA + retaining allowance, with the 50% add-back rule); **"completed year of service"** = continuous service for twelve months (§2(17)); **"superannuation"** = the age fixed in the contract/conditions of service (§2(82)); **"retirement"** = termination otherwise than on superannuation (§2(70)).

G.2 §53 — Payment of gratuity (eligibility, rate, ceiling, forfeiture) old §4

§53(1) — When payable

On **termination of employment** after **continuous service of not less than five years** — (a) on **superannuation**; (b) on **retirement or resignation**; (c) on **death or disablement** due to accident or disease; (d) **on termination of the contract period under fixed term employment**; (e) on any other notified event.

- **Working journalists**: "five years" read as **three years** (first proviso).
- **Five years not necessary** where termination is due to **death, disablement, expiry of fixed-term employment** or a notified event (second proviso).
- **Death**: paid to the **nominee**, or if none, to **heirs**; a **minor's share** is deposited with the competent authority to be invested for the minor (third proviso).
- **"Disablement"** (Expl. 2): such disablement as incapacitates an employee for the work he was capable of performing before the accident or disease.

§53(2) — Rate

- **15 days' wages** (or such number of days as notified) for every **completed year of service or part thereof in excess of six months**, at the rate of wages **last drawn**.
- **Monthly-rated** employee: 15 days' wages = monthly wages ÷ **26** × 15 (Expl. 3) — i.e., **wages × 15/26 × years**.
- **Piece-rated**: daily wages = average of total wages for the **three months** preceding termination, excluding overtime.
- **Seasonal** establishment (employee not employed throughout the year): **seven days' wages per season**.
- **Fixed-term** employees and **deceased** employees: gratuity on a **pro-rata** basis (third proviso) — a Code innovation.

§53(3)–(5) — Ceiling, reduced wages, better terms

- Ceiling: "such amount as may be notified" — currently **Rs 20 lakh** (notification of 29 Mar 2018 under the 1972 Act, saved by §164(2)); Government employees' ceiling is Rs 25 lakh under pension rules.
- Employee re-employed after disablement on **reduced wages**: pre-disablement service at pre-disablement wages; post-disablement service at reduced wages (§53(4)).
- Better terms under any award, agreement or contract are saved (§53(5)); read with §161.

§53(6) — Forfeiture (notwithstanding §53(1))

- **(a)** Services terminated for any act, **wilful omission or negligence causing damage or loss** to the employer's property → forfeited **to the extent of the damage or loss**.
- **(b)** May be **wholly or partially** forfeited if services terminated for (i) **riotous or disorderly conduct or any other act of violence**, or (ii) an act constituting an **offence involving moral turpitude** committed in the course of employment.
- Conditions: there must be a **termination for the misconduct** (not merely a finding after superannuation — *Jaswant Singh Gill v. Bharat Coking Coal Ltd.* (2007) 1 SCC 663) and the loss must be quantified; a **speaking order after hearing** is required. On whether a criminal **conviction** is necessary for "moral turpitude": *Union Bank of India v. C.G. Ajay Babu* (2018) 9 SCC 529 said the offence must be established in a court of law; a 2025 bench in *Western Coal Fields Ltd. v. Manohar Govinda Fulzele* (2025 INSC 233) held that a disciplinary finding of misconduct amounting to an offence involving moral turpitude (e.g., securing employment on a forged date-of-birth certificate) suffices — conviction is not a pre-condition.

◆Computation examples

- Clerk, last drawn wages (basic + DA) Rs 30,000, service 12 years 7 months → 13 years × 30,000 × 15/26 = **Rs 2,25,000**.
- Fixed-term data analyst, one-year contract, wages Rs 52,000 → pro rata: 52,000 × 15/26 × 1 = **Rs 30,000** on expiry of the contract (no five-year requirement).
- Worker dies after 2 years 8 months, wages Rs 20,000 → 3 years (part > 6 months) × 20,000 × 15/26 = **Rs 34,615** to the nominee; five-year rule inapplicable.
- Seasonal sugar-mill worker, 10 seasons, daily wage Rs 600 → 7 × 600 × 10 = **Rs 42,000**.

G.3 §54 Continuous service · §55 Nomination old §§2A, 6

§54 — Continuous service

- **(A) Uninterrupted service**, including interruptions by **sickness, accident, leave, absence without leave** (unless treated as a break under standing orders/rules), **lay-off, strike, lock-out or cessation of work not due to the employee's fault** — before or after the Code.
- **(B) Deemed continuous service** (non-seasonal): for one year if the employee has **actually worked ≥ 190 days** (below-ground mine / establishment working < 6 days a week) or ≥ **240 days** (others) in the preceding 12 months; for six months, ≥ 95 / 120 days. Days "actually worked" **include** lay-off days, leave with full wages, absence due to **temporary disablement from an employment injury**, and **maternity leave up to 26 weeks**.
- **(C) Seasonal** establishments: ≥ **75%** of the days the establishment operated.
- *Lalappa Lingappa v. Laxmi Vishnu Textile Mills* (1981) 2 SCC 238: "actually employed/worked" means days on which the employee worked or is deemed to have worked — badli workers with sporadic attendance fell short; voluntary absence is excluded. *Netram Sahu v. State of Chhattisgarh* (2018) 5 SCC 430: service as a daily wager before regularisation counts.
- **"4 years and 240 days"**: several High Courts (e.g., Madras in *Mettur Beardsell* (1998)) treat 240 days in the fifth year as completing five years under the deeming clause; the point is not finally settled by the Supreme Court — mention both views in an answer.

§55 — Nomination

- Every employee who has completed **one year** of service must nominate in the prescribed form/time; may **distribute** among several nominees.
- If the employee **has a family**, nomination must be in favour of family members — a nomination in favour of an outsider is **void**; if no family, anyone may be nominated but the nomination becomes **invalid on acquiring a family** and a fresh nomination must be made.
- Modification at any time by written intimation; if a nominee **predeceases**, the interest reverts to the employee who nominates afresh; the employer keeps nominations in safe custody.

- "Family" = §2(33): spouse, minor/dependent children, dependent parents (including in-laws of a woman employee), and for unmarried employees whose parents are dead, dependent minor siblings.

G.4 §56 Determination & disputes · §57 Compulsory insurance · §58 Competent authority old §§7, 4A, 3

§56 — Determination of amount

1. Eligible person (or authorised agent) applies in writing; but **whether or not** an application is made, the employer must **determine** the gratuity as soon as it becomes payable and give **notice** to the payee and the competent authority (§56(1)–(2)).
2. **Payment within 30 days** from the date it becomes payable (§56(3)); default → **simple interest** at the notified rate (not exceeding the rate for long-term deposits) from due date to payment — unless the delay is the employee's fault and the employer obtained the competent authority's written permission (§56(4)).
3. **Dispute** (amount, admissibility, or person entitled): employer must **deposit the admitted amount**; any party may apply to the competent authority; inquiry after hearing; direction to pay; disbursal to the person entitled (§56(5)).
4. Powers of a civil court (attendance, discovery, affidavits, commissions); inquiry is a **judicial proceeding** (§56(6)–(7)).
5. **Appeal** within **60 days** (extendable by 60 for sufficient cause) to the appropriate Government/appellate authority; **employer's appeal admitted only on deposit** of the amount (certificate or deposit) (§56(8)); appellate authority may confirm, modify or reverse (§56(9)).

§57 — Compulsory insurance

- From a notified date, every employer (other than Central/State Government establishments) must **insure** its gratuity liability with an **IRDAI-regulated insurer**; exemptions for employers with an **approved gratuity fund** and for employers with **500+ employees** who establish one; **registration** with the competent authority is conditional on insurance/fund; recovery from the insurer/trustees; on default of premium/contribution the employer must pay the gratuity (with interest) forthwith to the competent authority. (§4A of the 1972 Act had been brought into force only in a few States; the Code makes the machinery central.)

§58 — Competent authority

- Appointed by notification by the appropriate Government (officers with prescribed qualifications/experience) for specified areas; distribution of business where several are appointed; may take the assistance of persons with special knowledge (§58(3)). Replaces the "controlling authority" (§3 of the 1972 Act).

G.5 Salient features & PG Act → Code comparison PYQ May-June 2025 Q.8(e); Nov-Dec 2025 Q.8(b)

Feature	Payment of Gratuity Act, 1972	Code, Chapter V
Qualifying service	5 years (§4(1)); not needed for death/disablement	5 years; **not needed for death, disablement, fixed-term expiry, notified events**; 3 years for working journalists (§53(1))
Fixed-term employees	No special provision (2018 FTE rules under Standing Orders gave pro-rata gratuity)	Statutory **pro-rata gratuity** (§53(2) third proviso; §2(34)(b))
Wages base	§2(s): basic + DA (excluding bonus, commission, HRA, OT)	§2(88) uniform definition with the **50% add-back** — may enlarge the base for allowance-heavy pay structures (labour.gov.in FAQ: applies from 21 Nov 2025)
Ceiling	Rs 20 lakh (2018 amendment authorised notification)	Amount notified by the Centre (§53(3)) — Rs 20 lakh continues
Teachers	Excluded until the 2009 retrospective amendment (*Ahmedabad Pvt. Primary Teachers*; *BIT v. Jharkhand*)	Covered by the wide §2(26)
Forfeiture	§4(6)	§53(6) — identical
Nomination / continuous service	§§6, 2A	§§55, 54 — identical, with maternity leave counted up to 26 weeks (earlier 12)
Adjudication	Controlling authority; appeal to appropriate Government (§7)	Competent authority (§58); 30-day payment, interest, deposit-on-appeal retained (§56)
Compulsory insurance	§4A (largely dormant)	§57 — central framework
Penalties	§9: imprisonment up to 1 year/ fine	§133 etc.: §133(g): failure to pay gratuity — imprisonment up to one year or fine up to Rs 50,000, or both [failure to pay compensation — fine up to Rs 50,000 (§133(h)); failure to provide maternity benefit or penalising a woman employee — imprisonment up to six months or fine up to Rs 50,000, or both (§133(d), (i))]; repeat offences — 2 to 3 years and fine of Rs 3 lakh (§134 proviso); opportunity to comply before prosecution (§137); compounding (§138)

● Maternity Benefit — Chapter VI, §§59–72

Every provision of the Chapter [Maternity Benefit Act, 1961 as amended in 2017], with the case law that gives it teeth

H.1 Object, constitutional basis and key definitions

The Chapter protects **the dignity of motherhood and the health of mother and child** by (i) prohibiting work during a period around childbirth, (ii) securing **paid absence** ("maternity benefit" at the average daily wage), (iii) granting ancillary rights (medical bonus, leave for miscarriage/illness, nursing breaks, crèche), and (iv) **protecting employment** against dismissal or adverse variation. It implements **Art. 42** ("just and humane conditions of work and maternity relief"), Arts. 14, 15(3), 21, 39(e)/(f), and India's obligations under **CEDAW Art. 11** and the ILO Maternity Protection Conventions (C-3/1919, C-103/1952, C-183/2000). The Supreme Court treats maternity benefits as part of the **right to reproductive choice and dignity under Art. 21** (*Deepika Singh v. CAT* (2022) 7 SCC 1; *K. Umadevi v. Govt. of Tamil Nadu* 2025 INSC 781).

Applicability (First Schedule): (a) every establishment being a **factory, mine or plantation**, including Government establishments; (b) every **shop or establishment with ten or more employees**; (c) other notified establishments. **§61**: a woman remains entitled under this Chapter notwithstanding ESI coverage of her establishment **until she qualifies** for ESI maternity benefit under §32 — so no woman falls between the two schemes.

◆Definitions (§2)

- **"woman"** §2(91): a woman employed, directly or through a contractor, for wages in any establishment — *no qualifying category or wage ceiling*; for Chapter IV, "insured woman" includes a commissioning mother and a woman adopting a child up to three months old.
- **"child"** §2(12): includes a still-born child; **"delivery"** §2(23): birth of a child; **"confinement"** §2(18): labour resulting in a living child, or labour after 26 weeks resulting in a child alive or dead.
- **"miscarriage"** §2(48): expulsion of the contents of a pregnant uterus before or during the 26th week (excluding miscarriage punishable under the IPC/BNS); **"medical termination of pregnancy"** §2(45): termination permissible under the MTP Act, 1971.
- **"commissioning mother"** §2(13): a biological mother who uses her egg to create an embryo implanted in another woman (surrogacy).
- **"maternity benefit"** §2(43): the payment referred to in §60(1).

H.2 The core rights — §§59–63

H.3 Ancillary benefits — §§64–67

Section	Benefit	Details	Old MB Act
§64	Medical bonus	**Rs 3,500** (or notified amount) if the employer provides no free pre-natal confinement and post-natal care.	§8 (Rs 3,500 since 2011; power to raise to Rs 20,000)
§65(1)	Miscarriage / MTP leave	**Six weeks** leave with wages at the maternity-benefit rate immediately following the miscarriage or MTP, on proof.	§9
§65(2)	Tubectomy leave	**Two weeks** with wages immediately following the operation.	§9A
§65(3)	Illness leave	Illness arising out of pregnancy, delivery, premature birth, miscarriage or MTP: additional leave with wages up to **one month**.	§10
§66	Nursing breaks	Two breaks of prescribed duration daily (in addition to the rest interval) **until the child attains 15 months**; no wage deduction (§69).	§11
§67	Crèche	Establishments with **50 employees** (or prescribed number) must provide a crèche within the prescribed distance (separately or as a common facility — Government, municipal, NGO or pooled); **four visits a day** including rest intervals; **written and electronic intimation** of all Chapter VI benefits to every woman at initial appointment (§67(2)).	§11A (2017)

H.4 Employment protection and enforcement — §§68–72

H.5 Case law map for maternity problems PYQ Dec 2024 Q.4(c); Nov-Dec 2025 Q.7

Case	Proposition	Use in answers
B. Shah v. Presiding Officer (1977) 4 SCC 384	Benefit computed for all days of absence including Sundays; beneficial construction	Quantum
Air India v. Nergesh Meerza (1981) 4 SCC 335	Termination of air hostesses on first pregnancy — "callous and cruel", violative of Art. 14	Constitutional dimension
MCD v. Female Workers (Muster Roll) (2000) 3 SCC 224	Daily-wage/muster-roll women entitled to maternity benefit; Art. 42, CEDAW; the Act's benefits extend to "casual" workers — nature of employment irrelevant	Ad-hoc/casual/contract employees
Manisha Priyadarshini v. Aurobindo College-Evening (Del HC 2019)	Ad-hoc Assistant Professor's non-extension after maternity leave (14 Jan–24 May 2019) quashed; University Resolution 120(8) excluding contractual staff struck at; penalising motherhood violates Arts. 14, 16, 21 — reinstated	Ad-hoc academics; DU-specific
Deepika Singh v. CAT (2022) 7 SCC 1	Maternity leave for the first biological child despite two step-children; atypical families; Arts. 14, 15, 39, 42, 43; purposive reading	Purpose of the law; "two surviving children" proviso
***Dr. Kavita Yadav v. Secretary, MoHFW* (2024) 1 SCC 421**	Benefit accrues on satisfying §5(2) [§60(2)] and is **not coterminous with tenure**; legal fiction of continued employment for the sole purpose of the benefit; §12(2)(a) [§68] and §27 [§161]	**Fixed-term contract expiring during leave — the definitive authority**
K. Umadevi v. Govt. of Tamil Nadu 2025 INSC 781	Government teacher denied leave for a "third" child (first two from a prior marriage, not in her custody): reproductive rights and maternity benefits are facets of Art. 21; State rule read down/purposively	Latest word; "two or more surviving children" limit

⬢ Case law in detail (DU case material)

Facts · issues · arguments of both sides · decision · principle evolved — for each prescribed case, followed by the supporting cases you will cite around them

AGNES

▸▸ 1. General Manager, B.E.S.T. Undertaking, Bombay v. Mrs. Agnes

(1964) 3 SCR 930 · AIR 1964 SC 193 · decided 10 May 1963 · Supreme Court, three judges · majority: K. Subba Rao J.; dissent: Raghubar Dayal J. · Workmen's Compensation Act, 1923, §3(1) [now Code §74(1)]

Claimant —Mrs. Agnes, widow of Nanu Raman, bus driver of the B.E.S.T. Undertaking (Bombay Municipal Corporation)

Claim —Rs 3,500 under §3(1) WC Act before the Commissioner for Workmen's Compensation, Bombay

Course of litigation —Commissioner dismissed → Bombay High Court allowed the appeal → Supreme Court (by majority) affirmed the High Court

▸▸ Facts

Nanu Raman was a driver in the Undertaking's city bus service. On **20 July 1957** he finished his shift at about **7.45 p.m.** at the **Jogeshwari depot**. To go home to **Santa Cruz** he boarded another B.E.S.T. bus, travelling under a facility given to the Undertaking's staff. Near **Erla Bridge, Andheri**, the bus collided with a stationary **lorry**; Raman was thrown out, sustained serious injuries and died in hospital on **26 July 1957**. The Undertaking's **Standing Orders/Rules** for traffic staff were in evidence — inter alia **Rule 19** (drivers and conductors in uniform may travel free in the Undertaking's buses, with limits on the number of staff who may travel in one bus), and rules showing that drivers were posted to various depots across Greater Bombay, had split duties and could be called to duty from home, and that crews were expected to reach depots punctually even when far from their residence. The Commissioner held the accident did not arise in the course of employment; the High Court reversed.

▸▸ Issue

Whether the death of a bus driver, who after finishing his duty was travelling home in another bus of the employer under a free-travel facility, was caused by an accident "arising out of and in the course of his employment" within §3(1) — i.e., did the **course of employment extend** to the return journey in the employer's own bus?

▸▸ Arguments

Appellant (B.E.S.T. Undertaking)

- The employment ended when the driver handed over his bus at the depot; thereafter he was a member of the travelling public availing a **concession**.
- The English House of Lords' "**obligation**" test governs: *Cremins v. Guest, Keen & Nettlefolds* (1908) 1 KB 469; *St. Helens Colliery Co. v. Hewitson* [1924] AC 59; *Alderman v. Great Western Rly* [1937] AC 454 — a workman travelling to or from work is not in the course of employment unless he is **contractually bound** to use that means of transport; a mere privilege of free travel is not enough.
- Rule 19 is a bare concession; it does not oblige the driver to travel by bus; he was under **no control** of the employer while travelling; there was no duty to be performed on that bus.
- Notional extension applies only to the employer's **premises** and their means of access, not to the public streets of Bombay.

Respondent (widow) & amicus curiae (Mr. Ganapati Iyer)

- The test is not contractual obligation but **nexus**: was the workman's presence at the place of the accident so related to his employment that he was acting within its scope? (*Weaver v. Tredegar Iron & Coal Co.* [1940] 3 All ER 157, HL; Evershed MR's formulation.)
- The Supreme Court has already accepted the **theory of notional extension** of the employer's premises in time and space (*Saurashtra Salt Mfg. Co. v. Bai Valu Raja* AIR 1958 SC 881) — what counts as "premises" must be adapted to the nature of the undertaking.
- For a city transport service the **whole fleet** is the premises; free travel is provided **in the interest of the service** (long distances, split shifts, punctuality) — a **proved necessity** generating an **implied obligation** to use it; the driver used it **as an employee**, not as a member of the public.
- The Act is a beneficial statute to be liberally construed.

▸▸ Decision — majority (Subba Rao J.)

- Reviewed the English authorities and accepted the **wider nexus test** of *Weaver*; applied *Saurashtra Salt*'s four propositions.
- Para 12: "the employment does not necessarily end when the 'down tool' signal is given or when the workman leaves the actual workshop... **There is a notional extension of both the entry and exit by time and space.** The scope of such extension must necessarily depend on the circumstances of a given case."
- Para 14: the doctrine developed for factories and harbours "equally applies to such a bus service, [but] the doctrine necessarily will have to be adapted to meet its peculiar requirements... in the case of a city transport service, by analogy, **the entire fleet of buses forming the service would be the 'premises'**." The free transport was provided "in the interest of service, having regard to the long distance a driver has to traverse... the user of the said buses is a **proved necessity giving rise to an implied obligation** on his part to travel in the said buses as a part of his duty. He is not exercising the right as a member of the public, but only as one belonging to a service." The illustration of a staff bus: "what difference would it make if the employer, instead of providing a separate bus, throws open his entire fleet... They are given that facility not as members of the public but as employees; **not as a grace but as of right because efficiency of the service demands it**."
- Held: "when a driver when going home from the depot or coming to the depot uses the bus, any accident that happens to him is an accident in the course of his employment." Appeal dismissed; the widow entitled to compensation (quantum not challenged).

▸▸ Dissent (Raghubar Dayal J.)

- Rule 19 created only a **concession**, hedged by limits (a fixed number of staff per bus; no guaranteed seat) and extended to others such as councillors and police — it was not a term of the contract of service and imposed no obligation.
- Applying *Hewitson* (Lord Buckmaster: the workman "was under no control... nor bound in any way either to use the train or... to obey directions; though he was where he was in consequence of his employment, I do not think it was in its course that the accident occurred"), Raman was **off duty** once he left the bus he had driven; in the second bus he was under no control and had no duty to perform; the accident was "in consequence of" but not "in the course of" employment. He would have allowed the appeal.

DAIVSHALA

▸▸ 2. Daivshala & Others v. Oriental Insurance Company Ltd. & Another

2025 INSC 904 · 2025 SCC OnLine SC 1534 · Supreme Court · judgment by K.V. Viswanathan J. · Employee's Compensation Act, 1923, §3(1) [now Code §74(1), (4)]

Deceased —Shahu Sampatrao Jadhavar, night watchman at a sugar factory (respondent No. 2), Osmanabad district, Maharashtra

Accident —22 April 2003, while proceeding to the factory for the 3 a.m.–11 a.m. shift; spot about 5 km from the workplace

Course of litigation —Commissioner for Workmen's Compensation & Civil Judge (Sr. Dn.), Osmanabad — WC Application No. 28/2005 allowed on 26 June 2009 → Bombay High Court (Aurangabad Bench), First Appeal No. 2015/2011, reversed on 1 Dec 2011 → Supreme Court allowed the dependants' appeal and restored the award

▸▸ Facts

The deceased was employed as a watchman — a Second Schedule employment [item (xxxiii)]. His duty hours on 22 April 2003 were 3 a.m. to 11 a.m. While he was on his way to the factory to report in time, he met with a road accident at a place about five kilometres from the factory and died. His widow Daivshala and other dependants claimed compensation under the EC Act against the employer and its insurer, Oriental Insurance. The Commissioner allowed the claim; the High Court, in the insurer's first appeal, held that an accident on a public road five kilometres away, before the commencement of duty, could not be said to arise out of and in the course of employment, relying on the line of cases that restricted notional extension (notably *Francis De Costa*).

▸▸ Issues

1. Whether an accident occurring to an employee **while commuting** from residence to the place of work (or back) can be an accident "arising out of and in the course of his employment" under §3(1) of the EC Act.
2. Whether the principle in **§51E of the ESI Act** (inserted in 2010) — deeming commuting accidents to be employment injuries where a nexus of circumstances, time and place exists — can inform the interpretation of the EC Act, and whether §51E is clarificatory (retrospective).

▸▸ Arguments

Appellants (dependants)

- The theory of notional extension (*Saurashtra Salt*; *Agnes*) covers a watchman travelling at an unearthly hour solely to reach his post on time; the employment "as such — its nature, conditions, obligations and incidents" (*Mackinnon Mackenzie*) placed him on the road at 2–3 a.m.
- The EC Act and the ESI Act are cognate social-security statutes in **pari materia**; ESI §51C (1968) codified *Agnes*, and §51E (2010) codified the commuting rule; both should guide the reading of §3 EC Act, as the 62nd Law Commission had recommended.
- Beneficial legislation must be construed to advance the remedy; the Commissioner's finding of nexus was one of fact.

Respondents (insurer / employer)

- The three-judge decision in *Regional Director, ESIC v. Francis De Costa* (1996) 6 SCC 1 holds that an accident on a public road while going to work, away from the premises, is not an employment injury; the High Court rightly followed it.
- §51E is confined to the ESI Act and is prospective (2010); Parliament chose not to amend the EC Act; courts cannot legislate a deeming provision into §3.
- Five kilometres from the workplace, before duty commenced, on a public road, in the employee's own conveyance — there was no causal connection with the employment; notional extension cannot be stretched so far.

▸▸ Decision and reasoning

- **The need for "deeming" and its Indian source** (paras 34–39): quoting Lord Denning in *Vandyke v. Fender* (commuting accidents, even in the employer's transport, need a statutory deeming provision), the Court noted that ESI §51C, introduced w.e.f. 28 Jan 1968, was precisely such a provision — and that it gave "statutory recognition" to the law laid down in *Agnes* (10 May 1963). This demonstrated "the **cognate nature** of the EC Act and the ESI Act. Both the statutes seek to ameliorate the conditions of workmen and provide them social security benefits." *Mackinnon Mackenzie*'s formulation (nature, conditions, obligations, incidents) was reaffirmed.
- **Law Commission and ILO** (paras 40–41): the 62nd Report (Oct 1974, Gajendragadkar, CJ (retd.)) recommended adopting §51C into the WC Act without insisting on employer-provided transport for direct journeys, after considering the ILO Convention of 1964 on commuting accidents.
- **The conflicting High Court decisions** (paras 42–44): *Sadgunaben Amrutlal v. ESIC* 1981 Lab IC 1653 (Guj) (bus-stop death covered; theory "an elastic and flexible formula to be applied in a purposeful manner") — doubted in *Francis De Costa*; *Bhagubai v. Central Railway* (1954) 2 LLJ 403 (stabbing in railway premises en route — covered, not disapproved in *Francis De Costa*). This "parade of case law" showed "considerable doubt and ambiguity" about commuting accidents. "It was to clarify and put beyond doubt the meaning of the phrase... that Section 51E was enacted... we have no manner of doubt that the said amendment is **clarificatory in character and will have retrospective effect**."
- **"Deemed to have"** (para 45 ff.): in §51E the words are not used to create a legal fiction but "to put beyond doubt a particular construction that might otherwise be uncertain".
- **Pari materia** (paras 52–55): citing Bennion, *R v. Wheatley*, *State of Assam v. Deva Prasad Barua* (1969) 1 SCR 698 and Viscount Simonds in *AG v. Prince Ernest Augustus of Hanover*, the Court held that decisions and definitions under one of two statutes in pari materia may be applied to the other. "Applying the above principle, we interpret the phrase 'accident arising out of and in the course of his employment' occurring in Section 3 of the EC Act to **include accident occurring to an employee while commuting from his residence to the place of employment for duty or from the place of employment to his residence after performing duty, provided the nexus between the circumstances, time and place in which the accident occurred and the employment is established**."
- **Application** (para 56): undisputed facts — employment as watchman; duty 3 a.m.–11 a.m.; proceeding to the workplace when the accident occurred ~5 km away. "Considering that the deceased was a night watchman and was dutifully proceeding to his workplace to be well on time, there was a **clear nexus** between the circumstances, time and place in which the accident occurred and his employment as watchman." Appeal allowed; High Court judgment set aside; Commissioner's award of 26 June 2009 restored; no costs (para 57).

TURF CLUB

▸▸ 3. Royal Western India Turf Club Ltd. v. Employees' State Insurance Corporation & Others

(2016) 4 SCC 521 · AIR 2016 SC 1143 · Civil Appeal No. 49 of 2006 (with CA 1575/2006, 3421–3422/2012) · decided 29 Feb 2016 · V. Gopala Gowda & Arun Mishra JJ (judgment by Arun Mishra J.) · ESI Act, 1948, §§1(5), 2(9), 2(22), 2(23), 39, 42; ESI (Central) Rules, 1950, r. 2(2A); ESI (General) Regulations, 1950, regs. 26–31, 36

Appellant —Royal Western India Turf Club Ltd. — conducts horse-racing at the Mahalaxmi Race Course (Mumbai) and Pune

Prior round —Three-judge bench, 31 July 2014 (*Bangalore Turf Club Ltd. v. RD, ESIC* (2014) 9 SCC 657): a turf club is a "shop" within the Maharashtra notification under §1(5) — ESI Act applies; remaining issues remitted to a Division Bench

Period in dispute —1978-79 to 1982-83 and subsequent years; High Court had limited recovery to the period from 1987

▸▸ Facts

Several departments of the Club (workshop, garage, security, carpentry, personnel, accounts) had been covered under the ESI Act from **28 January 1968**. In **ESI Application No. 16 of 1976** before the ESI Court, Bombay, the Club and the Corporation filed **consent terms** (based on an Inspection Report of 29 Nov 1975 and a Memorandum of 14 Apr 1976) recording that those departments were and would remain covered, while "the employees of Racing Administration Department, casual labour engaged on race track, temporary staff engaged on race days for issue of tickets/ dividends were not covered." On **18 September 1978** the Government of Maharashtra issued a fresh notification under **§1(5)** extending the Act to the remaining departments of the Club. The Corporation demanded contributions in respect of the **casual/temporary race-day staff** from 1978-79. The ESI Court and, in part, the Bombay High Court (21 Oct 2005) upheld coverage of temporary race-day staff but the High Court directed that no recovery be made for the period before 1987. Both sides appealed.

▸▸ Issues

1. Whether **casual workers** — temporary staff engaged on race days to issue tickets and pay dividends, and casual labour on the race track — are "employees" under **§2(9)** of the ESI Act.
2. Whether the Corporation was bound by the **consent terms of 1976** excluding such staff.
3. From which date the Club was liable — **1978-79** (date of the notification) or **1987** as directed by the High Court.

▸▸ Arguments

Turf Club (Mr. J.P. Cama, Sr. Adv.)

- Race-day staff work only on racing days for a few hours; such **sporadic** engagement does not make them "employees" employed "for wages in or in connection with the work" of the establishment.
- The **consent terms** in Application No. 16/1976 specifically excluded casual race-track labour and temporary ticket staff; the Corporation is bound by them.
- **Rule 2(2A)** (contribution period not exceeding six consecutive months) and **Regulations 29 and 31** make it impracticable to compute contributions for persons working a few days; the scheme presupposes regular employment.
- The High Court's direction not to recover contributions before 1987 should stand — *ESIC v. Hyderabad Race Club* (2004) 6 SCC 191 waived arrears for a period of bona fide doubt.
- *ESIC v. Premier Clay Products* 1994 Supp (3) SCC 567: coolies who work for several employers on the same day are not employees.

ESI Corporation

- §2(9) is deliberately wide: any person employed for wages on any work of, or incidental or preliminary to, or connected with the work of the establishment — race-day staff do the Club's **core work**.
- The **notification of 18 Sept 1978** specifically covered the departments in question; the consent terms related to an **earlier period** and a different notification (26 Feb 1976); they even acknowledged coverage of the Club since 1968.
- §39(4) and §42(3) expressly contemplate employees employed for **part of a wage period** — i.e., casual employees; the Regulations (reg. 36) fix when their contribution falls due.
- Welfare legislation — *South India Flour Mills* (casual construction workers covered), *Davangere Cotton Mills*, *Oswal Woollen Mills*.

▸▸ Decision and reasoning

- **Casual workers are employees** (paras 5–12): "The definition of 'employee' is very wide... The Act is a welfare legislation and is required to be interpreted so as to ensure extension of benefits to the employees and not to deprive them." §39(4) shows that "an employee who is employed for a part of the wage period is also covered for the purposes of contribution"; §42(2) does not prescribe any minimum period of work; §§2(22)–(23) (wages, wage period) "does not exclude the wages payable to casual workers"; Rule 2(2A) prescribes a maximum, not a minimum, contribution period; Regulation 36 fixes the due date for part-period employment — "the intendment of regulation is clear to cover work rendered in part of wage period." Following *South India Flour Mills* (which overruled *Gnanambikai Mills* and held that §§39(4) and 42(3) "clearly envisage the case of casual employees... it is the intention of the Legislature that the casual employees should also be brought within the purview of the Act"), the Club's submission was "too tenuous for its acceptance." *Premier Clay Products* was distinguished: there the work was sporadic and the coolies served several employers on the same day; here "the employees' work for the day of racing which is **perennial activity** of Royal Turf Club."
- **Consent terms** (para 13): the submission was "factually incorrect, misconceived, legally untenable and otherwise also devoid of the substance" — the 1976 terms concerned a prior period; after the 1978 notification the left-out departments were specifically covered; "**Notification has statutory force and agreement cannot supersede it.**"
- **Period of liability** (para 14–15): the 1978 notification was clear; *Hyderabad Race Club* "turned on its own different factual matrix" (there was genuine doubt whether the Act applied at all); here the Club had complied since 1968 for other departments. High Court erred in quashing the demand for 1978–1987. The Club must pay contributions per the 1978 notification **with interest** till actual payment, within three months; the Corporation's appeals allowed; the Club's appeals dismissed with **costs of Rs 2 lakh**.

KAVITA YADAV

▸▸ 4. Dr. Kavita Yadav v. Secretary, Ministry of Health and Family Welfare Department & Others

(2024) 1 SCC 421 · decided 17 Aug 2023 · Supreme Court, three judges: Aniruddha Bose, Sanjay Kumar & S.V.N. Bhatti JJ · Maternity Benefit Act, 1961, §§5, 8, 12(2)(a), 27 [now Code §§60, 64, 68, 161]

Appellant —Dr. Kavita Yadav, pathologist, Senior Resident (Pathology), Janakpuri Super Speciality Hospital (autonomous institute under the Government of NCT of Delhi)

Counsel —Mr. Sourabh Gupta (appellant); Ms. Rachita Garg (respondent employer)

Course of litigation —Employer allowed benefit only up to contract expiry → Central Administrative Tribunal rejected her claim → Delhi High Court dismissed the writ (19 Aug 2019) → Supreme Court allowed the appeal

▸▸ Facts

The appellant was appointed on **6 June 2014** on a purely temporary, residency-scheme basis for one year, extendable annually to a **maximum of three years**. Her tenure was extended twice, the final term ending on **11 June 2017**. On **24 May 2017** she applied for maternity benefit commencing **1 June 2017**. The employer granted benefit only for **11 days (1–11 June 2017)**, treating her entitlement as ending with her contract. During her earlier pregnancy the same employer had extended maternity benefits to her as a contractual employee, and it was undisputed that she had worked more than 80 days in the twelve months preceding her expected delivery (§5(2)). The Tribunal and the High Court accepted the employer's stand that "actual absence" under §5(1) presupposes a subsisting obligation to attend, which ceases with the contract; granting benefit beyond expiry would amount to an unintended extension of the contract.

▸▸ Issue

"Whether the maternity benefits, as contemplated in the 1961 Act, would apply to a lady employee appointed on contract **if the period for which she claims such benefits overshoots the contractual period**" (para 6).

▸▸ Arguments

Appellant

- Once the prerequisite in §5(2) (80 days' work in the preceding 12 months) is fulfilled, a contractual employee is entitled to the **full benefit** under §5(3) (26 weeks); entitlement of contractual employees as such was not in dispute (the employer had paid during her first pregnancy).
- §12(2)(a) shows that the benefit survives discharge/dismissal during pregnancy; §27 gives the Act overriding effect over any contract of service.
- The Act is a welfare statute implementing Art. 42; *MCD v. Female Workers (Muster Roll)* extended benefits to daily wagers.

Respondent employer

- "Once the term or tenure of the contract ends, there cannot be a **notional extension** of the same by giving the employee the benefits of the 1961 Act in full"; benefits must be confined within the contractual period.
- "Actual absence" connotes absence from a subsisting employment; after 11 June 2017 there was no employment to be absent from.
- *Female Workers (Muster Roll)* is distinguishable — it arose from an Industrial Tribunal award and the muster-roll women had worked for a long period.

▸▸ Decision and reasoning

- Para 8: §12(2)(a) "contemplates entitlement to the benefits… even for an employee who is dismissed or discharged at any time during her pregnancy… Thus, **continuation of maternity benefits is in-built in the statute itself**, where the benefits would survive and continue despite the cessation of employment… such benefits can travel beyond the term of employment also. **It is not coterminous with the employment tenure.**"
- Paras 9–11: *MCD v. Female Workers (Muster Roll)* (2000) 3 SCC 224 — Art. 42 and the Universal Declaration/CEDAW; the Act's benefits available to casual/muster-roll women; *Deepika Singh v. CAT* — the object is to enable women to participate in the workforce as mothers and workers; the Court read the statute purposively.
- Para 12: having regard to §27 (overriding effect), "the High Court erred in law in holding that the appellant was not entitled to maternity benefits beyond 11-6-2017." Para 13: daily wagers too lack unlimited continuity, yet their tenure "stood notionally extended so far as application of maternity benefits… was concerned."
- Para 14: the Act speaks of "maternity **benefits**" (§3(h)), not "leave"; §5(2) fixes accrual, §5(3) the maximum; the last proviso to §5(3) pays the full period even if the woman **dies** after delivery; "the expression 'discharge' is of wide import, and it would include '**discharge on conclusion of the contractual period**'."
- Para 15: "once the appellant fulfilled the entitlement criteria specified in Section 5(2)…, she would be eligible for full maternity benefits even if such benefits exceed the duration of her contract. Any attempt to enforce the contract duration term within such period by the employer would constitute 'discharge' and attract the embargo specified in Section 12(2)(a)… **The law creates a fiction in such a case by treating her to be in employment for the sole purpose of availing maternity benefits under the 1961 Act.**"
- Para 16: High Court and Tribunal orders set aside; employer directed to extend benefits under §§5 and 8 (less sums already paid) within **three months**; rejection orders quashed; no costs.

BIRLA

▸▸ 5. Birla Institute of Technology v. State of Jharkhand & Others

AIR 2019 SC 1309 · Civil Appeal No. 2530 of 2012 · orders of 7 Jan 2019 (recalled) and 7 Mar 2019 · Abhay Manohar Sapre & Indu Malhotra JJ · Payment of Gratuity Act, 1972, §2(e) as amended by Act 47 of 2009 [now Code §2(26), Chapter V]

Appellant —Birla Institute of Technology (BIT), Mesra, Ranchi — "a premier technical educational institute"

Course of litigation —Controlling authority (7 Sept 2002): gratuity Rs 3,38,796 with 10% interest → appellate authority dismissed BIT's appeal (15 Apr 2005) → Jharkhand HC, Single Judge dismissed writ (12 Jan 2007) → Division Bench dismissed LPA → Supreme Court

▸▸ Facts

On superannuation the teacher claimed gratuity under the 1972 Act; BIT refused, contending that a teacher is not an "employee" under §2(e). The authorities and the High Court upheld the claim. In the Supreme Court, the Bench initially (order of **7 January 2019**) allowed BIT's appeal on the strength of *Ahmedabad Pvt. Primary Teachers Association v. Administrative Officer* (2004) 1 SCC 755, which had held that teachers, whose principal function is imparting education, do not perform "skilled, semi-skilled or unskilled, manual, supervisory, technical or clerical work" and hence were not employees. Neither counsel had brought to the Court's notice that Parliament had, by the **Payment of Gratuity (Amendment) Act, 2009 (Act 47 of 2009)**, published on 31 Dec 2009, **amended §2(e) retrospectively from 3 April 1997** — the date on which the Act had been extended to educational institutions employing ten or more persons (S.O. 1080, 3 Apr 1997). Realising the error, the Court **suo motu recalled** its order and re-heard the matter.

▸▸ Issue

Whether a teacher of an educational institution is an "employee" entitled to gratuity under the Payment of Gratuity Act, 1972 — in the light of the amended §2(e).

▸▸ Arguments

BIT (Mr. Shambo Nandy)

- *Ahmedabad Pvt. Primary Teachers Association* squarely holds that teachers are not employees under §2(e); the authorities below erred in ignoring it.
- Applying *noscitur a sociis*, the enumerated categories (manual, supervisory, technical, clerical) do not encompass the intellectual vocation of teaching; Parliament had used wide words ("any kind of work, manual or otherwise") in the EPF Act but not in the Gratuity Act.

Respondents (State; teacher — Mr. Sunil Roy)

- The 2004 decision has been legislatively superseded: the Statement of Objects and Reasons of the 2009 Bill expressly refers to *Ahmedabad Pvt. Primary Teachers* and states that the amendment is "to widen the definition of 'employee'... in order to extend the benefit of gratuity to the teachers", retrospectively from 3 Apr 1997.
- The teacher, having served 30 years and retired in 2001 (after 1997), falls within the amended definition; the award of Rs 3,38,796 with interest is correct.

▸▸ Decision and reasoning

- The Court reproduced the **unamended** §2(e) ("skilled, semi-skilled, or unskilled, manual, supervisory, technical or clerical work") and the reasoning of the 2004 decision, including its observation that it was for the legislature to consider teachers' gratuity.
- It then set out the **Statement of Objects and Reasons** of the 2009 Bill (introduced 24 Feb 2009; re-introduced after lapse; signed by Mallikarjun Kharge, 12 Nov 2009) and the **amended §2(e)**: "'employee' means any person (other than an apprentice) who is employed for wages, whether the terms of such employment are express or implied, **in any kind of work, manual or otherwise**, in or in connection with the work of a factory, mine, oilfield, plantation, port, railway company, shop or other establishment..., but does not include any such person who holds a post under the Central Government or a State Government and is governed by any other Act or by any rules providing for payment of gratuity."
- Held: the amendment, being retrospective from 3 Apr 1997, brings teachers within the Act; "the decision rendered in *Ahmedabad Pvt. Primary Teachers Association* has **lost its binding effect**"; reliance on it was "wholly misplaced". The earlier order of 7 Jan 2019 was recalled; the appeal was **dismissed**; BIT directed to pay the gratuity as determined with interest, with costs of Rs 25,000 to the teacher.

SUPPORTING CASES

▸ **Supporting cases (cite around the five)**

PREVIOUS YEAR QUESTIONS · UNIVERSITY OF DELHI · LL.B. V TERM

PYQ Bank — Unit 8 (questions only)

Q1 DEC 2024 · 6
Employees' compensation — heart attack while proceeding to hospital after a workplace incident

◆ **Refer makelaweasy.in for detailed notes**, full model answers to every question below, additional case briefs, diagrams and revision material on this unit.

Q2 DEC 2024 · 4(C)
Applicability of the Maternity Benefit Act to ad-hoc/contractual employees

Q3 MAY–JUNE 2025 · 5
Doctrine of notional extension — accident to a workman

Q4 MAY–JUNE 2025 · 8(E)
Salient features of the Payment of Gratuity Act

Q5 NOV–DEC 2025 · 5
Notional extension — quotes the Saurashtra Salt propositions; full case analysis expected

Q6 NOV–DEC 2025 · 7
Maternity benefit — fixed-term contract (Dr. Dolly, 15 Jan 2024–14 Jan 2025) expiring during leave; only 20 days offered

Q7 NOV–DEC 2025 · 8(B)
Applicability of the Gratuity Act to teachers

Q8 LC-I 2008
Contract of service v. contract for service

Q9 CLC 2001, 2002, 2004, 2005
Total and partial disablement; distinction

Q10 CLC 2002, 2008; LC-I 2002, 2004, 2005; LC-II 2000
When does the employer become liable — conditions for claiming compensation, with cases

Q11 LC-I 2001, 2003
Theory of notional extension with cases (incl. Mahabir -type facts)

Q12 CLC 2001
Peon 'A' (office + outside mail delivery) killed commuting — widow's claim

Q13 LC-II 2004
Driver ‘A’ doing Manager's domestic work; killed taking Manager's children to school in company vehicle

Q14 CLC 2005
Fisherman ‘A’, Great Nicobar, swept by tsunami 10 m from the work-spot after muster — daughter's claim

Q15 LC 2003
Ticket-checker with free Roadways travel killed while going to his personal court case

Q16 CLC 2006
Employee attending Silver Jubilee function killed crossing the road outside the gate to board a bus

Q17 LC-II 2002
Extent of the Tribunal's jurisdiction (§33 IDA — outside this unit; noted in Jain's WC chapter footnotes)

Q18 DEC 2024 · Q.6 EMPLOYEES' COMPENSATION — HEART ATTACK WHILE PROCEEDING TO HOSPITAL AFTER A WORKPLACE INCIDENT
Reconstructed problem (the paper's exact wording is summarised in the Cornell PYQ analysis): A workman meets with an incident at the workplace (injury/acute distress) and is being taken to a hospital; on the way he suffers a heart attack and dies. His dependants claim compensation. The employer contends that death was due to a natural cause (cardiac failure) unconnected with employment and that it occurred outside the premises after work had stopped. Decide.

Q19 DEC 2024 · Q.4(C) SHORT NOTE — MATERNITY BENEFIT ACT AND AD-HOC EMPLOYEES
Does the Maternity Benefit Act, 1961 (now Chapter VI of the Code on Social Security, 2020) apply to a woman employed on an ad-hoc/contractual basis? Discuss with reference to decided cases.

Q20 MAY-JUNE 2025 · Q.5 DOCTRINE OF NOTIONAL EXTENSION — ACCIDENT TO A WORKMAN (PROBLEM)
The paper set a fact situation of an accident to a workman away from the actual work-spot (on the way to/from work or on the employer's transport) and asked whether the dependants could claim compensation, applying the doctrine of notional extension.

Q21 MAY-JUNE 2025 · Q.8(E) SHORT NOTE — SALIENT FEATURES OF THE PAYMENT OF GRATUITY ACT, 1972 (NOW CHAPTER V OF THE CODE)
Write a short note on the salient features of the law relating to payment of gratuity.

Q22 NOV-DEC 2025 · Q.5 CRITICALLY EXAMINE THE DOCTRINE OF NOTIONAL EXTENSION WITH REFERENCE TO DECIDED CASES, INCLUDING THE MOST RECENT SUPREME COURT PRONOUNCEMENT (THE QUESTION SET OUT THE SAURASHTRA SALT PROPOSITIONS AND ASKED FOR THEIR APPLICATION)
As a rule, the employment of a workman does not commence until he has reached the place of employment and does not continue when he has left the place of employment... subject to the theory of notional extension...” Examine the doctrine in the light of this statement and the case law, and its present statutory position.

Q23 NOV-DEC 2025 · Q.7 MATERNITY BENEFIT — FIXED-TERM CONTRACT EXPIRING DURING THE BENEFIT PERIOD (DR. DOLLY)
Dr. Dolly's one-year fixed-term contract with a research institute runs from 15 January 2024 to 14 January 2025. She applied for maternity leave commencing 25 December 2024. The institute informed her that only 20 days of maternity benefit can be granted since her tenure ends on 14 January 2025. Advise Dr. Dolly with reference to statutory provisions and leading cases.

Q24 NOV-DEC 2025 · Q.8(B) SHORT NOTE — APPLICABILITY OF THE PAYMENT OF GRATUITY ACT TO TEACHERS
Are teachers entitled to gratuity? Trace the legal position.

Q25 Short note: contract of service v. contract for service [LC-I 2008]

Q26 Short note: total and partial disablement; distinction [CLC 2001, 2002, 2004, 2005]

Q27 Essay: when does the employer become liable to pay compensation? Conditions for a claim, with cases [CLC 2002, 2008; LC-I 2002, 2004, 2005; LC-II 2000]

Q28 Essay: theory of notional extension with cases [LC-I 2001, 2003]

Q29 Problem: Peon ‘A’ (office work + outside mail delivery) killed while commuting to office — widow's claim [CLC 2001]

Q30 Problem: Driver ‘A’, given a rent-free house by the Manager for domestic work, killed while taking the Manager's children to school in the company vehicle [LC-II 2004]

Q31 Problem: Fisherman ‘A’, Great Nicobar, swept away by the tsunami ten metres before the work-spot after reporting for muster — daughter's claim [CLC 2005]

Q32 Problem on the facts of Agnes [CLC 2002]

Q33 Problem: Ticket-checker ‘A’ with free State Roadways travel leaves office to attend his personal court case and is killed in a Roadways bus accident [LC 2003]

Q34 Problem: employee attending the employer's Silver Jubilee function killed while crossing the public road outside the gate to board a bus [CLC 2006]